

Bank of Maharashtra. (MAHABANK)

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"Bank of Maharashtra Q1 FY'23 Earnings Conference Call"

July 18, 2022

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Moderator: Ladies and gentlemen, good day and welcome to the Bank of Maharashtra Q1 FY'23 Earnings Conference Call. We have with us from the management, Shri A S Rajeev, Managing Director, and CEO; Shri A B Vijayakumar, Executive Director; Shri Ashish Pandey, Executive Director, and all General Managers of the bank. I now hand the conference over to Shri A S Rajeev. Thank you and over to you sir.

Shri A S Rajeev : So, very good afternoon to all. Today, our results are approved by the board of directors for the quarter ended June'22. This was one of the best quarter and the number of areas the bank has improved its figures and the number of figures are actually one of the best as compared with the past quarters.

The total business grew by around 18% to reach Rs.3,36,470 crores, total deposits up by 12% with Rs.1,95,909 crores, CASA stood at 56% of the total deposits, gross advances increased by 27% to Rs.1,40,561 crores. CD ratio increased to 72%. Gross NPA improved to 3.74%. Net NPA improved to 0.88%. Provision coverage ratio improved to 95%. Net profit up by 117% to Rs.452 crores. Operating profit is Rs.1,202 crores in spite of the bank as per the revised accounting policy depreciation of investments of around Rs.200 crores we have debited to other income accounts. And another one item as corresponding to last year, our profit on sale of investments was around Rs.240 crores. This year because of the market movement real profit was only Rs.75 to Rs.80 crores. So, that also reduction has happened. And third point is last year PSLC certificate bank was able to get around Rs.75 to 80 crores in Q1. This year because of the market availability we were able to get only Rs.2 to Rs.3 crores profits. So, around Rs.500 crores reduction. So, this operating profit of Rs.1,200 crores which is slightly not up to the mark. Basically last year Q1, our profit on sale of investment was around Rs.240 crores which has come down to Rs.75 crores for the current year, that means almost around Rs.160 crores reduction in profit on sale of investments. In addition to that around Rs.200 crores depreciation has happened during the Q1 because of the movement in prices.

Second point is that other income is reduced by around Rs.75 crores as compared to Q1. Last year, we could able to sell at around Rs.75 crores PSLC certificate, but the current year we were not able to do that because of the market movement. In spite of that, our operating profit was improved to Rs.1,202 crores, that is basically the main core operating profit and increase in net interest income of 20% this growth rate, bank was able to grow the operating profit. And net interest margin improved to 3.28% and cost-to-income ratio improved to 40%. ROA improved to 0.81% and return of equity improved to 16.75%. CRAR improved to 16.15%, of which tier-1

capital is 12.16 %. So, this has been the profitability ratios .

As regards asset quality is concerned, our SMA numbers have improved a lot . In case of SMA -2, those numbers above Rs.1 crore , which only Rs. 569 crores , of which SMA -2 is Rs. 230 crores and SMA -1 is Rs.339 crores, which constitutes only 0.40%, that means SMA -1 percentage is of the total gross advances is 0.24% and SMA -2 is 0.16 % in case of Rs.1 crore deposit. In case of slippage during the current quarter was Rs.697 crores , out of that one single account was around

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Rs.280 crores, that is UP-based sugar account. So, 100 % provision we have made . Barring that, all the asset quality ratios especially in case of gross and net NPAs are reduced .

As far as recovery is concerned , during the current quarter Rs.400 crores recovery has happened in addition to Rs.120 crores prudential written-off account recovery. So, the net slippage was around Rs.100 crores. As you are aware

that during Q1, there were little disturbances regarding

transfers and debtor recoveries could able to do that and the current year's recovery targets we have kept at Rs.3,000 crores and we are confident that we will be able to do that . And during the current quarter some of the big accounts like NARCL transfers or IL&FS or like that some of the accounts were in the pipeline and we are expecting around Rs.400 crores recoveries in pipeline in different stages and that will happen during the current quarter.

All the ratios regarding key ratios have improved. And we feel that this is one of the best results as far as the Bank of Maharashtra is concerned and we will continue to do that. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Ashok Ajmera from Ajcon Global Service Limited. Please go ahead.

Ashok Ajmera : I have got a couple of few observations and some questions. One is you said about the fresh slippages that one account of Rs.280 crores of sugar account slipped in , you made 100% provision. What is the status of this account and what are the prospects of recovery in this account and the asset coverage NPA of these accounts , can you give some color on that ? And then we are having the recovery target you said of Rs.3,000 crores and in the coming quarter that is the July to September quarter you said you lined up NARCL and IL &FS about Rs.400 crores. So, still there is a long gap in the remaining three quarters. So, from where this recovery will come ? My other observation is on the credit side comparatively a slower credit growth and that too whatever credit growth has happened is more in the corporate. So, what are our plans and targets of this like our debt being a minimum lower base, we can still achieve higher target , so what are you thinking on that? And my last question is on investment losses which we are hearing now instead of the profits or lesser profits. So, going ahead, what do you see in your AFS portfolio because you've transferred about I think Rs. 3,000 crores to HTM , but this AFS what are your views on this? So these are my few questions and observations in this first round of questioning.

Shri A S Rajeev : Your first question regarding the recovery of that sugar account. I think our recovery , GM is here. he can give a color on that .

Shri Prashant Khataavkar : This is UP-based sugar account so that has been slipped this time. So we made 100% provision on this. So in days to come we'll see that any regulation is possible or we'll take the account to NCLT, that plan is to be decided , so consortium will take a call . But we prudently made 100% provision so that we are protected from future losses. As far as this total recovery target was referred to as Rs.3,000 crores , this is a full year target, it's not a one quarter target, and of course, in the next quarter, we expect NARCL to happen, because that is long awaited, everybody knows

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that. So, this time that transfer will happen in this quarter . IL&FS already the court order has been given. So that distribution whatever is realized is going to take place . Religare is one big account, where we expect resolution , it is already under pipeline. So, like that, there are certain big accounts and in terms of our retail recovery also we are continuing our efforts. So that way we are confident that we'll achieve this target .

Shri A S Rajeev : What I was telling is that actually we were able to only recover Rs.400 crores , but this Rs.400 crores what I was telling in the pipeline, it should have been happening in Q1 itself, because that was the plan earlier, because money is in the personal account, only credit has to come or transfer of the account , definitely it will happen. So, this Q1 recovery of Rs.400 crores is postponed to Q2. But Q2 whatever is the

recovery will happen . So Rs.3,000 crores recovery is estimated

but, according to me much more than we will be able to recover that , number one . And regarding the credit area, what you are talking about , our credit growth is around 27% to 28% . I think that

would trigger. I think further it may be difficult to increase that even our expectation that 20 % to 24% only happen, that is the corporate target given only 20 % to 22% credit growth only. And so, credit is growing at the right of all segments about 20%. Of course, in case of corporate credit, it has happened; 33%, because the corporate is almost 40% to 41 % with a band of 2% as per the board direction. So, 4,000 crores only the corporate has grown because that is why the ratio is slightly high. Out of the Rs.4,000 crores also, around Rs.2,000 crores is added basically, not really a big corporate it is a mid-corporate, Rs.100, 120 crores or something between 100 -150 range mid-corporate accounts. And balance is already sanctioned, pipeline was there that we have released during the current quarter. Other growth rates of all segments for example, MSME, retail, housing all are growing at the rate of 22% to 25%. So, that growth rate will continue. Third point is regarding investments of AFS. Modified duration is 1.4. So, for the current quarter, our depreciation was Rs.200 crores when the rates moved around 70 basis points. So, afterwards, we have rebuilt the portfolio and the same modified duration will continue. In Q1, the rate was around 7.52, 7.53 level. As of now again 20 basis point rate has already come down. Now, we are sitting in positive appreciation only. So, even if it is increasing by another 25 basis points by maximum market experts, but market as far as latest RBI reports and inflation, all these things are peaked and expectation is there may not be much increase in the interest rates. So, even if it is increasing at 25 basis points bank is protected from the yield. So we don't have any issue as far as AFS is concerned.

Ashok Ajmera: Sir, our CASA overall has come down in this quarter from Rs.1, 17,000 crores to Rs.1,09,000 crores. Is it a conscious decision or only because in March it has increased because of certain regions of the government deposits or something.

Shri A S Rajeev: It was not a conscious decision because the CASA mainly has come down in case of current account and as you know that there was little instability in the government during that last quarter afterwards, some of the transfers from other funds and other things has not happened during the last week, because of the change in the government of Maharashtra some of the funds were there, it was held up. Average CASA of the bank we are keeping 56 % to 57%. So, average CASA is more important than the terminal figure. So, our average CASA is above 56% as of now also.

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So, today also, CASA is around 56.5%. So, as far as CASA is concerned, we are very comfortable and there may be small shifts from SB accounts because of the rising interest rates scenario, small amount Rs.1,500-2,000 crores is shifted from SB accounts to other term deposits area it has happened in some of the rural areas. This percentage is continuing at the same level and that will happen during the current year.

Ashok Ajmera: Compliments to you for having one of the largest amount of the CASA among the public sector banks. Only in one quarter I observed some fall, that is why is the question.

Shri A S Rajeev: One thing is very clear, we are also very cautious that any bank keeping at 50%, 60% CASA is slightly difficult. So, what we wanted is something above 55%, that is sufficient because we also know that once if you reach to 58%, 59%, it may be slightly difficult. So, the average CASA, we are keeping at above 55%, but we will strive hard to improve that.

oving that.

Ashok Ajmera: My last question is around NBFC exposure. I think your NBFC exposure is only 6.23 which is very low as compared to other peer banks. So, what are your views on NBFC direct credit for onward lending and also on the co-lending front sir?

Shri A S Rajeev: So, direct lending, that is a cautious decision taken by the board. Last year one of the NBFCs having difficulties. So, that time board has taken a decision to exposure. Bank is more concentrating on mid-corporate and MSME sector. Of course, this is a major area we are looking after some sectors. Board has given some kind of directions, some hospital sector, pharma sector, manufacturing sector and infrastructure, some of the areas. So, on NBFC, we will continue to lend but in a cautious way on a selective basis based upon the full rating because as per the internal policy A and above only and pricing also we may have to see for NBFC lending is concerned. Otherwise there is no problem in NBFC lending is concerned. Our all assets are very good. There will not be any problem. Other areas are growing. So we have not got very aggressively in the sector.

Moderator: The next question is from the line of Mahrukh Adajania from Edelweiss Securities. Please go ahead.

Mahrukh Adajania: One question on your loan growth. Basically, your corporate loan growth has been strong like Mr. Ajmera also mentioned. QoQ sequential loan growth is 8%. So, what are the segments of the sector that has seen this pickup in growth?

Shri Sanjay Rudra: In this corporate growth, mainly some of the airport assets we have taken, in addition to that, some infrastructure also we have taken and NBFCs small exposure is there. Since the industries are doing well, some small exposure to steel, petrochemicals, metal industry, we have taken the exposure and textiles also we are keen on taking exposure and we have taken some exposure.

So, overall exposure in the corporate is a mixed bag, not only on one sector we have got, we have a diversified portfolio. And one more thing which I would like to inform is that our overall investment grade rating exposure has also improved, earlier it was 43,519, which has improved Bank of Maharashtra
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to 44,242. And similarly also, the government guaranteed advances which was 10,857 has increased to 11,446. So, our book is granular as well rated book and well guaranteed book. This is the composition of our corporate book.

Mahrukh Adajania: What would be your incremental loans to airports in this quarter?

Shri Sanjay Rudra: Sanctioned amount is around Rs.1,300 crores.

Mahrukh Adajania: To airports during this quarter?

Shri Sanjay Rudra: Yes.

Mahrukh Adajania: In infrastructure, would it be roads or in general?

Shri Sanjay Rudra: It's a mixed bag, in infrastructure, road also is there, other in infra also is there, some of the water projects are there, then effluent treatment plants are there, Namami Gange project is there. It's not concentrated to any one infra, all mixed in infra projects we are taking.

Mahrukh Adajania: My question was that there's a lot of media reports on state-owned banks stakes likely to be sold to private players. So any feedback on these articles?

Shri A S Rajeev: There is no feedback. What we have also seen is only media reports.

Moderator: The next question is from the line of Ashfaque Ahmed from A-Square Financial Services. Please go ahead.

Ashfaque Ahmed: Just a small question I have, especially on the digital initiative we are taking actually, because still I believe some teething problems, or some fine-tuning is needed to be an enabler for the user. So just wanted to understand what digital initiative our esteemed bank is taking on that front sir?

Shri Asheesh Pandey: Yes, on the digital initiatives bank is working on the two pillars; one is on the customer journeys,

where the digital footprints are there. So if you see particularly our analyst presentation as well, so at least four to five parameters, like the QR code and the transactions in the QR code, even if you see on WhatsApp the increase in the onboarding of the customers on WhatsApp as well as on the mobile banking. Particularly if you see the transactions, which has happened from quarter-to-quarter on the mobile platform, it indicates two important things. One is it is reducing my operational cost. The second is the bank is building the STP journeys, total end-to-end. No bank is having the STP till in-principle and furthermore. But secondly, the bank is also looking to strengthening the internal processes and systems. So, this is the second journey which the bank is looking into. Now the third part which bank is looking on both the sides which will help the bank to strengthen its own internal system efficiencies, as well as customer journeys onboarding fintechs. So almost many of the fintechs are evaluated as per the policy adopted by the bank. And there are few areas like artificial intelligence or the voice AI or maybe bringing AI into the Bank of Maharashtra

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underwriting STP part. So, bank is working upon that. The purpose of intervening the technology into the bank processes only is first is to give a more convenience to customer and at the same time reduce operational cost, the third very importantly to build in the compliance during the journey itself. So, these are the three priorities which bank is looking forward in the current FY also.

Ashfaque Ahmed: So STP will be primarily for the renewal of the existing accounts as well as it will get implemented in trade finance as well. Because one of our peer banks is already at a very advanced stage of implementing or they have implemented also.

Shri A S Rajeev: See, the building of the STP involves two, three factors one is your own integration of internal and external database. The second is bringing into your appraisal process. Now, the third thing the policies which has to be built in with a bank on PD and LGD. So, with these three pillars, any bank would first like to do the beta testing with the review renewal. So, our strategy is also the same; we will deploy and do the back testing with the review renewal case within the existing portfolio. Now, because account aggregator is going to be very, very soon, your JanSamarth is going to be very, very placed very soon and certainly the low-ticket size is also increasing in the market if you see. So, going forward this digital lending platform has to be STP end-to-end is going to be the key area and focus and the backbone of the bank.

Moderator: The next question is from the line of JK Jain from JK Jain & Co. Please go ahead.

JK Jain: Congratulation on the very good set of numbers. Actually, this is the first time I've seen your number. In fact, the numbers for the year ending March '22 was also very fantastic, because on the ratios if I see that your net NPA was just less than 1%, this time it is hardly 0.88% and your

provisioning is also Rs.600 crores and the net NPA right now is only Rs.1,200 crores. So, it means if you carry on this provisioning in this same system, your net NPA will be zero by the year-end. If I am correct or not, as a layman, please clarify me. The other thing you said is that there will be recovery of Rs.3,000 crores. So that Rs.3,000 crores means that is the gross recovery. Out of that Rs.3,000 crores, what amount will come to your kitty? So that as a layman if you can clarify this it will be a good thing. Other thing is there is a good amount of tax provision of about Rs.200 crores in this quarter itself. Bank must have brought forward losses. So how this Rs.200 crores tax provision for the quarter as well as Rs.800 crores for the year ending March '22 was made, kindly

clarify?

Shri A S Rajeev : First question is regarding the recovery. Recovery this current year also we are expecting at least Rs.2,000 -2,400 on slippages. On an average, we are expecting around Rs.500 -600 crores new slippages for the current year and the recovery will be around Rs.3,000 crores. Kitty will come to maximum Rs.500 to Rs.600 crores, so the reduction will come. Second point is that regarding taxation. Rs.200 crores what we have made is we have enough because the last March, we have switched over to new tax regime with 25 % and the next two to three years we may not be requiring any taxation provision and this is where profit is more. So we have given Rs.200 crores for DTA reversals because the bank was earlier around Rs.600 to Rs.700 crores, DTA is created, Bank of Maharashtra
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out of that last March, we have already released around Rs.150 crores, so, Rs.200 crores, we have released for the current quarter. So, this is the position. For the coming quarter, this taxation provision is there and another Rs.300 -350 crores deferred tax assets is there, we will release that. One point is when we are able to release the deferred tax asset, it will improve our capital adequacy ratio without raising for any capital. So you can see that in last quarter 16.45 % was after declaring dividend. And in spite of Rs.5,000 to Rs.6,000 crores addition of these advances, we could able to keep the capital adequacy ratio of 16.15. So for keeping the capital adequacy ratio, these deferred tax assets we may have to write up. Rs.1,206 crores is the net NPA figure. We need to wait for next year for write up because we have already Rs.1,200 crores COVID position is kept for that. There is a floating position we have kept and we have not written back. At any point of time, we may be able to utilize Rs.1,200 crores. In fact, as of now, we don't have any NPA at all because if you consider that Rs.1,200 crores.

JK Jain: You mean to say Rs.1,000 crores is the excess provision?

A S Rajeev : Rs.1,200 crores last year we have provided for COVID provision, that is continuing, that is not captured.

JK Jain: That means whatever the result is being shown, the bank has a very rosy picture if I am not wrong. My feeling is because I have not seen any PSU bank or HDFC their net NPA is something like 0.4 or 0.5 and the CASA ratio, I think you have the highest, HDFC is near about 50%. You can give a reply. The price is just two times of the face value. That's a little perplexing. It looks as if there is something beneath it or we are not able to understand or things like that.

Shri A S Rajeev : Share price and book value, all these things and generally investors will look into the consistency and other areas. I think we are also of the same opinion like you that in future I think things will improve.

Moderator: The next question is from the line of Sri Shankar from InCred. Please go ahead.

Sri Shankar : I've got a couple of questions. The first question is your cost of deposits has a sharp decrease during an environment wherein things have been moving up. What is it leading to, is it because of your sharp jump in your current asset?

Shri A S Rajeev : One of the main reasons is that CASA ratio and up to last year it was reducing in interest rate and so on deposit cost has increased. So there is a large effect in case of deposit is concerned.

Sri Shankar: Sorry sir, I'm not referring to last year. If I look at December '21 onward which used to be 3.69 has sharply decreased to 3.42 the last 6 months.

Shri A S Rajeev : Yes, on cost of deposits, the share of CASA has increased, you see that it has gone up from 46% to 58%, around 10% to 12% CASA ratio has increased, out of that the main increases happen in case of current account. So current account if we are able to raise funds and other cu

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accounts, good corporates also. The current account growth for the past two years it was around Rs.15,000 crores. So that is zero interest rate and around Rs.15,000 crores, SB also our interest rate is 2.75, one of the lowest. And we don't have any differential deposit and only Rs.4,000 to 5,000 crores deposits are retail deposits above Rs.2 crores, differential bulk deposits we are

having . But bulk deposits also interest rate is much below the CAR rate. That is the reason for keeping the cost of deposits.

Sri Shankar: Your sharp increase in CASA part, how much you think is going to be maintainable and how much will not start to deplete , that was my first question ? Second , your yield on advances also have moved very sharply . But the NIM if I actually look at it , it has not seen a significant increase in line with the kind of increase in your yield on advances and the decrease in your cost of deposit s. I'm trying to figure o ut where exactly that has gone . Second part is we have also seen a sharp growth in your credit outlook and advances. H ow much is the growth that is sustainable for you as a bank over the next few quarters ?

Shri A S Rajeev : CASA sustainability will be aroun d 55% to 56 % and credit outlook sustainability will be at any cost, we may be able to grow at the rate of 20% to 22%. A nd regarding the NIM what you have referred , NIM is a combination of not only the yield on advan ces, it is investments also , because our 40% to 45 % if you see that , yield on investments have come down by around 60 basis point s as corresponding to last year though the yield on advances has increased by 50 to 60 basis point s, correspondingly around 45 to 50 basis point s yield on investments has come down . That is why slightly this has affected the NIM. S o going forward these investments may continue like this or it may increase by 10 to 15 basis point s, but we will be able to continue this yield on advances same way and we will continue the NIM above 3.25 range , that is our plan .

Sri Shankar: You think the advances should grow around 20 %-plus?

Shri A S Rajeev : 20% to 22 % is our target because as of now our growth rate is very good , there is no doubt in that case , but the conservative approach is 20 % to 22 % , it may go up to 25 %.

Sri Shankar: The next question is on your SMA sir. Y ou have given the SMA numbers that is extremely low SMA numbers that you have at Rs.569 crores SMA -1 plus 2. T hese are account s which is Rs.1 crore and above. Can we get some color on the SMA figures of less than Rs.1 crore?

Shri Dinkar Sankpal : Our SMA -1 and 2 in absolute terms for J une 2021 was Rs.4,637 crores. T hough in absolute term it is increased at 7.16 on quarter -on-quarter basis , but YoY it has improved to 8.16. The YoY figure for June ' 22 it is Rs.4,166 crores . So improvement is th ere.

Sri Shankar: That is SMA -1 and 2 put together. Can you give me the breakup sir?

Shri Sanjay Rudra : You are asking for below Rs.1 crore. This is including the SMA -2 also. So be low Rs.1 crore, at present figure we don't have, but we will give you.

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Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. P lease go ahead .

Dixit Doshi : I have three questions . Firstly , can you give any guidance for the credit cost going forward ? My second question is if I see your other operating expenses that has come off very sharply , I mean , almost Rs.950 crore s was the average per quarter last year and in this quarter it is only Rs.800 crore s. So what was the reason and is this Rs.800 crore s sustainable or will come back to over Rs.950 crores?

Shri A S Rajeev : On operating expenses of Rs.950 crores last year, this quarter Rs.800 crores and will slightly coming down beca

use of AS15 valuation for the current year because of increase in bond rates.

Yields on investments of the AS15 has slightly improved . So this is reduced by Rs.50 to Rs.60 crore s. So it is not going to have much impact , maximum around Rs.75 crore s difference may come. S o otherwise there will not have any impact . Going forward the credit cost will come down further because reducing that net NPA this year additionally of Rs. 250 crores provis ion we have made . So the coming quarters that may not be there , but rem aining credit costs will continue .

Dixit Doshi: My last question is regarding the capital requirement . So looking at a strong profitability and capital adequacy at almost 16 %-plus, are we looking for any raising of capital this year ?

Shri A S Rajeev : So Hon'ble board and the AGM ha s already permitted up to Rs.5,000 crores umbrella for ra ising capital , all the kind of equity , tier-1, tier -2, all these things . So at present, our position is comfortable . And additional Rs.1,200 crores COVID provision also we have not computed for the capital adequacy purpose , that also is eligible and the current year profit also comparatively in future also we are of the opinion it will be good . Above 15 % capital continuance is board direction . But however , looking at the situation for the current year , if there is a requirement , we may be able to raise some tier-2 capital or t ier-1 capital during Q3 or Q4. So equity also if the situation is good means maybe Rs.500 to Rs.600 crore s we may be able to raise capital because tier-1, common equity if it is coming down , because our advances rate is growing from 20% to 25%. For the current year, we may not be required any capital , but in future 23 %, 24%, 25% we may require some comm on equity even if good profitability comes also .

Dixit Doshi: My last question is so as you have pointed out that we may not require the capital in the near future ... pure equity capital I am saying , so our President of India holding is almost 91 % in our company and as per SEBI the promoter holding requires to be below 75 %, so do we have any

exemption or maybe government looking for OFS at some point of time , any idea you can give?

Shri A S Rajeev : That is already accepted . I think up to '23 October was given the permission . You are also aware that one year , one year extension they keep on giving that . So we expect that will continue .

Moderator: The next question is from the line of Ashok Ajm era from Ajcon Global Services Limited. Please go ahead .

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Ashok Ajmera : Again, I've got some couple of questions . Sir, this NARCL now these things are getting now clearer , and I think we had worked out those numbers about nine months back that how much will go , can you give a fresh color on what is our status in NARCL accounts like total how many accounts are identified and how many are going in the first tranche out of that Rs.50,000 crores of this thing , can somebody give little more color on this NARCL.

Shri A S Rajeev : Our GM, Recovery will respond to that.

Shri Prashant Khataavkar: Yes, in the first list of Rs.50,000 crores , we have three accounts shortlisted , around Rs.660 crores , so that will be going in the first list .

Ashok Ajmera: Earlier assessment was made for the first tranche of Rs.2 lakh crores figure which was given . In that what is our status or we are still standing on the same old number only ?

Shri Prashant Khataavkar: Discussions are going on . They have finalized only the first list of Rs.50,000 crores. So as and when this is over , then the next tranche will come . Then again the discussion will take place .

Ashok Ajmera: Even if suppose say 20 % , Rs. 120 crores and out of that 15 % cash, so we will get about Rs.18-20 crores something when this Rs.660 crores materializes , isn't it which will come directly in

the income ?

Shri Prashant Khataavkar: The cash will be that and another SR component that is government guaranteed SR, that is as good as cash for me .

Ashok Ajmera: Just one small observation , when we are looking at the expenses this slide 8 that you made a provision of audit fees for Rs.8 crores only in this quarter . So out of the total Rs.17 crores of audit fees in the last entire year Rs.8 crores is made only in June ' 22 in one quarter only now , so is it going to be like almost 50 % increase in the overall audit expenses or it is one -off some provision has been made ?

Shri A S Rajeev : It is some kind of provisions only . Sometimes you see some figures they will give provision . So when the profit is good , then some provisions may happen in some of the assets.

Ashok Ajmera: Because Rs.8 crores looks to be in one quarter , a little higher number . Generally it used to be Rs.4-5 crores per quarter and overall in last year is around Rs.17 crores.

Shri A S Rajeev : Some provision will take care of the audit fee may be taken in the current quarter.

Ashok Ajmera: This provisioning of Rs.637 crores, Rs. 280 crores you said is the 100% on the sugar account, that entire Rs.280 crores has come in this quarter only or already the provisions made earlier on that?

Shri A S Rajeev : That was an earlier restructured account of Rs.40 crores there , in standard that is reversed , so net of around Rs.240 crores additional has come.

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Ashok Ajmera: In this Rs.637 crores?

Shri A S Rajeev : Yes.

Ashok Ajmera: Sir, this additional buffer provision which we are having you said of Rs.1,000 crores, what are our plans for the next three quarters , do you see that it will be required looking at the current situation or you will start taking the benefit of that by reducing the provisions in the future quarters?

Shri A S Rajeev : Restructured book is there for that purpose only we have kept it . You maybe knowing that 10% provision is already made in the books by a restructured account as per regulatory . So last two years , there was some confusion in the market about this restructured book. So this COVID provision for two years where we have given because around 3,900 crores is the totally restructured portfolio , so it is a cushion provided for this restructured portfolio for this Rs.1,200 crores . As and when this restructuring portfolio is coming down , then we will be able to utilize that provision . It's a conscious decision taken by the management .

Ashok Ajmera: On this entire NCLT list 1 , 2 okay , almost 100%, but overall the NCLT referred accounts and the admitted accounts how much provisions are you having with the other banks and consortium also altogether NCLT?

Shri Prashant Khataavkar : 100% provision has already been done in all NCLT cases .

Ashok Ajmera: We have improved our CD ratio to 71.75 % I think from 66.85 % in the last quarter . So how far you can go , I mean , as per your plan , if your credit growth remains the same

Shri A S Rajeev : In March end, we can go up to 75 % and our aim is to reach minimum 80%.

Moderator: The next question is from the line of Sri Shankar from InCred. Please go ahead.

Sri Shankar : You mentioned about Rs.4,100 crores of SMA -1 and 2 accounts of less than Rs.1 crore . How much is the slippage that you expect from those accounts?

Shri A S Rajeev : SMA -2 figure as of today is around totally Rs.872 crores is there including all figures and SMA -1 is around Rs.1,700 crores as of now . So this figure Rs.872 crores is not even coming even below 1 % actually . So what we wanted to tell is that this is a comfortable position for the bank as far as the SMA is concerned.

Sri Shankar: Point taken. I'm not disputing the fact that it is not comfortable for you , it's comfortable , it's quite enviable to be in that position . But what

at I'm asking you is from your estimate , what is the expected slippages and what is the credit cost? I think somebody asked that question earlier . I missed it . What do you expect overall from this overdue account ?

Shri A S Rajeev : Expected slippage is Rs.500 to Rs.600 crores per quarter .

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Sri Shankar: Credit cost ?

Shri A S Rajeev : Credit cost will be around 1.2% to 1.3% annualized.

Moderator: As there are no further questions , I would now like to hand the conference over to Shri A S Rajeev for closing comments .

Shri A S Rajeev : Our Executive Director , Shri Vijay akumar ji will do the closing comments .

Shri A B Vijay akumar: Thank you, M.D. and CEO, Rajeev sir and E .D., Ash eesh Pande y ji and my general managers .

Thank you very much all for sparing your valuable time . Quarter -after-quarter we used to have precise whenever we make writing of funds . You all always supported . On behalf of Maharashtra , I would like to say a few words . If you look at our last eight quarters or nine quarters , consistently on top line growth as well as all the ratios in terms of quality of assets and in efficiency , profitability and every parameter , Bank of Maharashtra has been posting healthy ratios which has come from the support definitely from the customers , workforce and of course the media and analysts. On behalf of the Bank of Maharashtra , I convey my sincere thanks to each one of you . Some of the questions you posed on the ratios and business growth , is very fine, how the market is not taking into account and your share ratios . Not only the overall growth is coming everywhere and as a public sector bank , we are very much conscious about the nation building and the priority sector lending. Otherwise, there was no question anything about our priority sector lending by the analysts , but in those areas also we have done extremely well and we have been conscious about the government of India schemes which this current year also we are focusing it . Perhaps , a very few banks in the public sector are continuously getting awarded from all the state governments and central government . Recently , we got a committed award from none other than the Hon'ble Prime Minister for MSME growth for the last year and SSG growth from the Maharashtra state government through the NABARD. So on behalf of Bank of Maharashtra, once again I convey my sincere thanks to all the analysts for participating and your support . Thank you very much .

Moderator: On behalf of Bank of Maharashtra , that concludes this conference . Thank you for joining us and you may now disconnect your lines .

Call: Oct 2022

AX1/ISD/STEX /2022 -23 Date: 21.10 .2022

The General Manager,
Department of Corporate Services,
BSE Ltd.,
P.J Towers,
Dalal Street, Fort ,
Mumbai - 400 001
The Vice President,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

BSE Scrip Code: 532525 NSE Symbol: MAHABANK -EQ

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 17th October, 2022 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the enclosed transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for Q2 FY2022 -23 held on Monday, 17th October , 2022 at 04. 30 p.m.

The transcript of conference call for Q2 FY2022 -23 is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Chandrakant Bhagwat)
Company Secretary & Compliance Officer

Encl: As above

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■■■■■■■■■■ /Tel.: 020 25511360 ■■■■■■■■■■ / Email: investor_services@mahabank.co.in ■■■■■■■■■■/ Website:
www.bankofmaharashtra.in

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“Bank of Maharashtra Q2FY'23 Earnings Conference Call”

October 17, 2022

MANAGEMENT : SHRI. A. S. RAJEEV – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , BANK OF MAHARASHTRA
SHRI. A. B. VIJAYAKUMAR – EXECUTIVE DIRECTOR ,
BANK OF MAHARASHTRA
SHRI. ASHEESH PANDEY – EXECUTIVE DIRECTOR , BANK
OF MAHARASHTRA

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Moderator : Ladies and gentlemen, good day, and welcome to the Bank of Maharashtra Q2FY '23 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

We have with us from the management, Shri . A. S. Rajeev – Managing Director and CEO; Shri . A. B. Vijayakumar - Executive Director; Shri . Asheesh Pandey – Executive Director, and all General Managers of the Bank. I now hand the conference over to Shri. A. S. Rajeev. Thank you, and over to you , Sir!

A. S. Rajeev (MD&CEO) :Good afternoon to you all. I am Raj ee v and today our Board of Director s has approved the Q2-FY2023 results. I think you might have seen that we have already published in Stock exchanges as well as our Bank 's website alongwith presentation of the bank results . We feel that the results are very good in the present economic scenario. And as you are aware that our growth rates are much above the industry growth rates especially in case of advances ., The industry is grown around 16% to 17% while our growth rate is almost double around 28% to 29%. And the deposit is in tune with industry growth rates .

The growth rate was 28% to 29% but it was not reflected in pricing , and NII also grown in the same level . The operating profit and the profitability of t he bank also was good. The in terest rate is slightly increased so, we have change d our borrowing strategy. . And with the excess SLR , we have used for borrowing and we have funded for the credit which has improved the CD ratio from 66 % to 76 %.

So, during this period, we have added around eight lakh new customers in SB and around 50,000 current account holders . We have added 37 branches and now the total branches have reached to 2,066. Our coverage is enlarged to almost around 510 districts all over India which was two to three years was below 300 districts in India . The growth rates of MSME growth rate was 25% , retail 27%, RAM sector 22% corporate is around 38% and the agriculture is 12% mainly because we have sold off some o f the IBPCs around Rs. 2200 crore in the agri for increasing the NII .

So, financial results for the quarter , at a glance the business has grown at 16% , deposit is grown at 8% , and CASA is increased by 13% . The CD ratio improved to 76% , advance s the growth is 29% , NPA declined to 3.4% and net NPA reduced 0.68%. PCR improved to 96 % . Operating profit is grown by 4.43% on year -on-year basis, which is likely so while seeing the numbers, but in reality corresponding last Q2 in '22, it was Rs.

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260 crore exceptional item of DHFL recovery . It was accounted under other income , barring that exceptional item, the operating profit if you see that it is around 20% to 22% growth rate . And Q-on-Q basis, Q1 of this year and Q2 of this year, operating profit is increased by 22% which is mainly on account of N II growth through the pricing , not under other income growth. Other income is almost in the same level , growth rate is

single digit , mainly because , as I already told that Rs. 260 crore, corresponding last year it was booked on as other income .

And second point was profit on sale of investments last year, the profit interest rate was favorable , this year interest rate was moving northward and we could not able to get for profit on sale of investment , though it was Rs. 32 crore profit is booked . But our portfolio is fully protected and modified duration of the HFT as well as AFS is around 1.29%. So, there is nothing to worry with the portfolio of the investm

ents .

And this has impacted the yield on investments also , it is around 6.3%. So, Net Interest Income is increased by 26% on a year -on-year and 12% on quarter -to-quarter basis . Net interest margin reached 3.55% , cost-to-income ratio improved to 38.82% in spite of other income which has not improved much , because of the reduction in the profitability, profit on sale of investments. So, return of assets improved 0.92% and CRA R is improved 16.71 % where Tier-1 is 13%. Return on equity also is improved to 18.32%.

So, net profit for the current quarter is Rs. 5 35 crore as against Rs. 2 64 crore , Q2 of last year. Operating profit is Rs. 1 ,462 crore as against Rs. 1400 crore in Q2 of last year. . Return of assets 0.92% as against 0.53% for last Q2 of last year , and 0.81% for Q1 FY23. So, as far as our profitability is concerned , you might have seen that it is growing steadily for the past 12 quarter s, our business growth, is happening around 30% growth rate continuously , we are showing for the past eight quarter . And in the meantime, we can see that the asset quality is also under control , SMA as well as the N PA addition, slippages, all are under control.

So, while coming to Assets and Liabilities , Net Advances is grown by around 31%, RAM sector has grown by 22%, Retail advances 27%, MSME 25%. And like last quarter we hold around COVID -19 provision of Rs. 1,200 crore as of September , 2022 also. And we have not worked any amount and cushion available for the bank is around Rs. 1,200 crore .

So, these are the major highlights of the results of the current q uarter. And our regarding digital area our Executive Director Shri. Pandeyji will give you some brief of digital initiatives . I want to hand over mic to Mr. Pandey .

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Asheesh Pandey (ED) : Thank you , welcome to all of you for this analyst meet and thanks for the good support along with the bank. So, coming to your digital initiatives certainly ,. So, if you know like the business, the bank is sustaining , the growth and the business parameters as you can see for last seven to eight quarters and even today, on the various performance indicators .

So, certainly this is also one thing that whether the Press or the Analysts people would like to know the sustainability through the digital because digital is the order of the day.

So, coming to that , I would like to say one more thing that not only for your own sustainability, but even the ecosystem , whether the Central Government or the State Government or the local bodies, the ecosystem which is changing is also demanding , the development on the tec hnology and digital side.

Now in brief, your bank is actually concentrating on the three pillars in the technology front, the Digital Journeys , Digital Operations and third is the Digital Compliance . In this one what we are trying to cover is those initi atives which are yielding to customer convenience, staff convenience that is ease of doing business and the third is cutting my cost. So, we are also reviewing the processes, where the process can be made, more technologically driven, and where the time ca n be saved , customer convenient can be maintained , and also what we are looking particularly probably you may all find one word . Digital Compliance that the compliance function which is from the regulator side, one of the major stakeholder of the banking industry that it should happen within the journey itself. So, these are the three pillars which your bank is focusing on.

Now, if you see our website for last five to six months, the re were so many RFPs .. So, one is that related to , you would have seen rec ently Robotic Process Automation were 50 the Board approved the RFP was floated and it is on the culmination stage. The next is also UP I which is we wanted to scale up at a very large scale. So, that is also now on the c

onclusion s tage.

Some five to six on Cybersecurity , because that is also very important today to take care of when you think of digital and technology. So, five to six already the purchase order proper after the RFP and CVC guidelines, the process was done and already the purch ased order is issued.

Similarly, I can assure you that some like WhatsApp Banking , if you see , there is a

presentation also which has been uploaded on our website and also on the stock exchanges. So, if you see the growth particularly for last two quarters, whether it is a WhatsApp Banking or from the Chatbot or from the Mobile Banking or the ATM transactions and on, so it is in moving.

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So, yesterday also we have opened two digital banking units, one in Satara and the one in Aurangabad. But then not only related to 75 which is announced by Honorable FM in the budget, but then we are trying to have our own scale up in the days to come from say 10 to 15, and then 25 to 50 in a year or so. So, this is what I wanted to say that on like Team 2.0, it was also a press news we are the third bank to integrate with the team recently.

So, like this, I can say the team is not only working upon the new initiatives, which is going to give the good fillip to the business, but also the good convenience to the customers. Like, shortly the bank is also poised for the video KYC where the bank opening accounts will happen. So, in totality like some of the RFPs as per the Reserve Bank, like Bureau Integration and all, it was a close between the four bureaus only, where it is not only a selection, but then into an integration with the bureau company, data aggregators and some scrutinized impaneled FinTech companies. So, in brief, this is the whole, let me tell the framework, thought process and the architecture of technological initiatives by the bank.

I think EASE also, you would like to know, we inched up from position #9 to #6, and we were benchmarking again there, we improved a lot. Now EASE 5.0 as far as the internally EASE 5.0, there are three pillars one is the common for all the 12 banks. The second pillar is where the bank is specific roadmap. So, the bank has selected from 20 to 22 some projects which is being placed to the Board and will be submitted to DFS. Already draft and all like other banks, other banks are also doing in the same way. It has been also submitted to IBA.

And the third is collaboration. So, let me also brief your bank is also working on all these fronts. So, not only the initiatives, but let me tell you like Digital Journeys, Digital Operations and Digital Compliance. So, like three are the major stakeholders, government, customers, my own staff, and certainly the Reserve Bank of India, regulator. So, these three pillars which we are working is going to help us in sustaining and going forward. We look in a one, two year, three year tenure that whether it is our own business, maybe the retail or other or account opening, asset and liability side or whether third-party, it is also a RFP in our website, which you can see. There also even in third-party which we are trying that we should start with a sourcing of end-to-end from 5% onwards and increase it to 20% to 25% in two to three years' time. So, this is the roadmap of the bank.

A. S. Rajeev (MD&CEO): And now, if we can start the question answers, then in the meantime we will discuss any of the queries regarding digital or any of the areas wherever a stand and when it is required. Over to Madam. Thank you.

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Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Ashok Ajmera from Ajcon Global Services Limited. Please go ahead.

Ashok Ajmera: And my heartiest compliments to you once again sir, to all of you,

Mr. Rajeev, Mr.

Vijayakumar and Mr. Asheesh Pandey. Along with your team of all General Managers and performing people for the best performance, in fact, your bank is a bank of only Rs. 3.5 lakh crore business, but on many of the parameters I mean you have excelled even better than the other top banks also. Your PCR coverage ratio is now 96%, your NIM is 3.55%, your gross NPA is under control, less than 3.5% and net is less than 0.75% that is 0.68%. So, my compliments to you on all the front.

I just have a couple of questions or rather observations and seeking some information also. Now, of course, you had a small base so your growth in percentage terms is very high as compared to many other banks as far as especially the credit goes and overall business also goes. So, now going forward:

1) Where do you see the growth coming forward?

2) With this kind of turmoil in the global markets, the interest rates are hardening up, and lot of uncertainties which have come up even local interest rates have gone up, whether do you see the pressure coming up now into the coming quarters though the September

quarter has been saved, even on the treasury front also you don't have losses, rather you have made some money only. So, going forward, where do we see and how are we cushioned to take care of those major blips or major happening?

3) There was a report that on agriculture loan portfolio, there is a tremendous pressure and on an average about I think 18% to 19% of the agriculture portfolio is going into the NPA yours is around 14% to 14.5%. So, what are your views on the agriculture loan front? And little bit on the education loan because the interest rates going up the currency rupee becoming weak, now, the repayment pressures are there. So, these are the couple of few questions.

A S Rajeev (MD&CEO): Yes, thank you for your compliments, and definitely we will continue our good performance. And regarding growth, the growth is happening around 28% - 29% out of that, you might have seen that the growth is averaging among all the sectors especially in case of RAM sector. Housing loan is growing by around 22%. MSME or Retail sector or RAM sector is the major thrust we are given 27% to 28% growth rate. In the current quarter, corporate sector has also grown around 33% basically because earlier some limits and other things sanctioned by the corporate, they have utilized because of the interest rate pressure. The corporate sector may not grow much in future, because they have already utilized the limits and so we are not much going aggressively in the Bank of Maharashtra
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corporate sector. So, as per our board's direction we are targeting mainly RAM sector that was the reason we are concentrated now, yesterday also we have reduced our interest rates in case of housing loans and other retail sector to improve the quality of the credit, and to increase the RAM sector.

The second point is regarding the turmoil or the interest rate increase in the market. Of course it is true that market interest rates have increased, but, our position as of now, is comparatively good and you can compare with other banks that some of the banks their CASA has come down by 2% to 3% during this time. We were able to sustain the CASA ratio at the level of June itself or March slightly has come down, because you are aware that March and because of the budgetary allocations and other things, 1%, 1.25%, 1.5% because budgets allocation collection will come, this is a temporary nature. So, above 55%, CASA we could be able to continue this quarter also. And we may be expecting that it will continue.

And Term Deposit we have not grown much, the specific reason is because of the cost of deposits. We have not taken any bulk deposits with the differential or we were able to manage with the present level. Of course, we have

gone for little borrowing, that

borrowing is gone for excess SLR and it's a strategic move as Director Advisory Board, our all Board members are highly qualified people who have good experience in treasury and other areas like LIC also. As per their direction we have switched over through borrowing mode we have gone to excess SLR and through this diversion our CD ratio is gone up from 66% to 76% and this will fetch additional 2% to 2.5% NIM for as against average yield of the investments. In the meantime, we have reduced our modified duration of securities to 1.29 and over a period of time we will reduce to 1.10. So, there will not be any additional depreciation from the investment point of view. As of now, we have around 5% to 6% or 6% to 7% of the excess SLR is there. That we can be able to move further towards the increasing CD ratio, that we are going to do in the second half of this year.

The third point is agriculture as you are aware, that agriculture is slightly difficult. And our portfolio, two years back it was more than 20%, because of the divergence where we have, earlier more importance was given for CC or KCC. Now, this year, the presentation also we have given agriculture investment is grown by 50% to 55%, and CC is not at all grown. So, based on our strategy we have taken that KCC to agriculture investment and allied activities that's more kind of, in that industrial area, MSME sector, food processing or rural godowns, where it is a good return also as well as there is risk is not much risk like a monsoon issues may not be there like in KCC.

So, the fourth one is education, our education loan is grown, mainly for outstation students, that's not for these, smaller loans is very less. And most of the loans are above
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Rs. 20 lakhs, Rs. 25 lakhs which are fully covered by mortgages and very capable people have taken the education loan and that is why you can see that NPA under Education

Loan is very small amount.

So, this portfolio is built up through the department and particulars are there education loans or housing loans it is the job of the vertical has to see that the NPA or slippage management of the particular vertical. So, in future also this is the area where we are more concentrating on slippage management as well as SMA -1 and 2 management as from the figure it shows it is proved that our slippage management as well as SMA management is comparatively good.

Ashok Ajmera : I have just two small other question , one is that loan acquired through assignment of Rs. 2,294 crore where we say the tangible security coverage is 28.79%. So, what kind of loan this has been acquired where 11% the originator is holding , and 89% we are holding . And with a tangible security coverage of only 28.79% , So, one is, I mean this what kind of loan these are.

And secondly, on Income Tax front I have got a query of Rs. 348 crore provided against Rs. 201 crore in the last quarter. And this is also net of the DTA and write back . If somebody can explain me that about Rs. 348 crore, how did we arrive at this picture ?

A S Rajeev (MD&CEO) : This first question what you have raised and we have not acquired any loans according , to this actually we have only sold off some IBPCs –

Ashok Ajmera : Report #13, loan acquired through assignment Rs. 2,294 crore where the tangible security is only 28.79% . I don't know I may be wrong, but I read this note --

Sanjay Rudra (CRO) : Yes. Good evening, Mr. Ajmera . These are the actually the pool buyout which we have done , during the quarter and half year . Actually these are the some of the pools which are related under the gold loan category also . These are the mainly secured category only, but few of the loans pool which we have acquired under the education loan and others which are unsecured in nature, those are appearing under t

hat particular category . Earlier

also we have acquired those type of assets and the repayment in those accounts are quite satisfactory . And we are not facing any problems in these type of accounts.

V.P. Srivastava (CFO) : Regarding , Income Tax liability , I would like to share with you that we have not provided for any current Income Tax liability , as that as per the computation of income tax there is no tax, because we are having the carry forward losses . What are that Rs. 348 crore, this is on account of DT reversal ? So, we were having that DT on the losses that roughly Rs. 280 crore that we have reversed. And you know that when we reverse the DTA it will improve your CRAR also, and rest is that because of reversal of provision we have Bank of Maharashtra

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revised the corresponding DTA . So, there is no current Income Tax liability provision in respect of the overall Income Tax liability what we have shown .

Moderator : Thank you. I now request Mr. Mahesh M . B. from Kotak Securities to please proceed with your question .

Mahesh M.B . : If you could just kind of give us some color on what is the kind of corporate recoveries that you are expecting , on the corporate NPL book side.

P.R. Khatavkar (GM) : See corporate recoveries, we are expecting more from now NARCL transfer, because (Recovery) lot of accounts are lined up because of this final bits finalized and the entire process will be completed by the end of this month. And as regards to other NCLT accounts, there are DSK DL and then IL&FS, all these accounts are also there. Our corporate NPA portfolio is very less now , in NPA category and whatever is there is in either NCLT or for ready for transfer of NARCL . So, amount of around Rs. 500 crore we expect in this current remaining Q2.

Mahesh M. B . : Sorry , in terms of NARCL you are saying that the full, I mean what is the status here, in the sense how much of the accounts are expected to be transferred now?

P.R. Khatavkar (GM) : Actually, the 20 accounts are shortlisted amounting to Rs. 3,000 crore, but the final bits confirm bits are issued in case of two accounts at present. So, immediately by the end of this month , two accounts will be transferred that will be the actual recovery will be around Rs. 160 crore , balance of course, these are all written -off account so, it will go to P&L directly.

Mahesh M. B. : And the other one you said the combined total Rs. 500 crore impact at the P&L front is it?

P.R. Khatavkar (GM) : Yes.

Moderator : Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital . Please go ahead.

Deepak Poddar : I just wanted to understand more on the credit cost , now your PCR is 96% , even your gross NPA is declining , but your credit cost is still at 1.6%. So, how do we see that stabilizing going forward?

A S Rajeev (MD&CEO) : So, this current cost actually it's Rs. 587 crore credit provision we have made , this is two

components is there, one is new slippages as well as the existing NPAs. So, our net NPA ratio was earlier it was 0.88%, for bringing down 0.68%, additional provision of around Rs. 250 crore to Rs. 300 crore provision we have made. So, once this net NPA is coming Bank of Maharashtra
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down, our estimate aim, it has to come below 0.5% that is what we are expecting that. So, once it is come to this level, then further provision requirement for bringing down the net NPA, the additional requirement will not be there. And in the meantime, parallelly we are trying for further reduction now in slippages also. And SMA -2 also, SMA -1 and SMA -2 also we are under close monitoring. So, then this provision coverage provision will come down, once the real provision for addition is this year this quarter was Rs. 597 crore. And we are providing 1

00% provision

we are making, for this that is the reason in reality as per RBI norms, it may not be required, only maybe Rs. 100 crore, Rs. 150 crore is sufficient. So, we are giving 100% provision and bringing down these that is why credit cost is high. Real credit cost is not even, I think 0.4% to 0.5% may come in the present scenario. And in future also is 0.3%, 0.5%, 0.4% credit cost will continue.

Deepak Poddar : So, this Rs. 250 crore to Rs. 300 crore of additional provisioning. So, you are targeting to reduce net NPA to below 0.5%. So, this additional provision will continue only for a couple of next quarter's right then your net NPA will fall below 0.5%.

A S Rajeev (MD&CEO) : Correct. Yes.

Deepak Poddar : So, from 4th quarter onwards is it safe to assume a credit cost of 0.5%, I mean, if you subtract this Rs. 300 crore, so, the remaining is what Rs. 250 crore to Rs. 300 crore, right?

A S Rajeev (MD&CEO) : Correct. Another one or two quarter, most likely it will continue then the credit cost will come below, definitely it will come below 1% definitely.

Deepak Poddar : Below 1% right, that would be a stabilized level of your credit cost.

A S Rajeev (MD&CEO) : Yes.

Moderator: Thank you. We will move to the next question from the line of Prabal Gandhi from Ambit Capital. Please go ahead.

Prabal Gandhi : Sir, my question is on the borrowings, can you highlight what is the SLR currently that we are holding in the balance sheet?

V.P. Srivastava (CFO) : We are holding excess SLR at roughly Rs. 18,000 crore and out of that, we have taken the borrowing. And if you see the borrowing cost is roughly 5%. And if you want to take the Term deposit at present, they could cost more than 6%. So, we have taken a conscious decision and we have switched to the borrowing and you know that this borrowing is

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against the SLR securities, and taking on average 5%, giving 8% is giving the NIM more than 3%. So, that was the conscious decision taken by the bank to increase the borrowing.

Prabal Gandhi : And these borrowings are overnight. So, it has to be rolled over, or what is the tenor of these borrowings?

V.P. Srivastava (CFO) : Mostly these are the overnight borrowings and every day we are rolling over it.

Prabal Gandhi : And so these Rs. 18,000 crore is the excess SLR and you would also be dipping into some part of the mandatory SLR --?

V.P. Srivastava (CFO) : No mandatory SLR, we are taking borrowing against the excess SLR.

Prabal Gandhi : Second question, are we actively sanctioning corporate proposals or have we, how are we restraining ourselves from them?

Sanjay Rudra (CRO) : No, it was not said in that reference. This quarter our corporate credit growth is in the range of around 35% to 36% which is quite a high growth rate. We are targeting to grow corporate book by 20% to 22%, on year-on-year basis, we will continue to grow. It is not that we are not targeting the corporate also, but if you want to have a proper mix of RAM and corporate, which is our target to maintain at around 42% to 43% of the corporate and remaining in the RAM sector. So, that way we are growing and we will continue to grow on the corporate side also.

Prabal Gandhi : And which are the segments within the corporate that you are most confident on, currently?

Asheesh Pandey (ED) : Certainly pharma, I think this is one of the segment. And we are also looking at the sectors where there is a good exports, which is well supported with the country. So, as of now, if you see like on the corporate side we are looking at the good quality infra, then second pharma, even in textile which are doing and having good exports. So, I think

these five six sectors we are looking to and will continue to support the sector while continuing you have heard our MD also that on the retail

loan book we have reduced

our rate of interest. So, combining both we would like to continue in the range of say 22% to 25%, range of the growth in the segment.

Prabal Gandhi : And just on the CAPEX bit, so, the proposal that we are seeing, are they more into the Greenfield side or they are still on the on the Brownfield side which is where the CAPEX was being given.

Asheesh Pandey (ED) : It is continuing both on that because there are certainly, if you see today the EV also is coming very well, as a economic green projects. So, we are having both on the retail side

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also and if you see the CAPEX on the corporate side, so, not only the Brownfield or the Greenfield, but what we are looking at is the prospect of that particular segment or the industry and where actually they are selling. And you may see actually this presentation. So, if you see a 'AA' and 'A', if you see there is a good increase that itself gives a good clue that the bank is very much selective on choosing the client. So, what we are looking at, yes, industry analysis and audit is there with the bank. But that even within that we are having some more parameters to look into. And then expand into those lines, whether it can be Greenfield or maybe a Brownfield.

Moderator : Thank you. The next question is from the line of Mahrukh Adajania from Nuvama.

Please go ahead.

Mahrukh Adajania : My question is on the CD ratio, so it's 76%, how much higher can it go from here? What is your comfort level? Because at the end of the day, CD ratio depends on management comfort level, but what I have seen historically is that state banks are comfortable with 76% to 77% CD ratios, whereas private banks, probably because they have higher Tier-1, are comfortable with 85% to 86%, maybe even 87%. So, where do you stand on your opinion on the CD ratio? That's my first question. And then I will have more questions.

A S Rajeev (MD&CEO) : I think we can go up to 80% CD ratio now.

Mahrukh Adajania : So, till 80%, you will not have a big pressure on growing your deposits or offering very high rates, right, because you still have leeway to liquidate your existing investments or borrow against them.

A S Rajeev (MD&CEO) : Yes.

Mahrukh Adajania : So, you are comfortable on deposits, I mean, when do you think will the deposit tightness start hitting you?

Shri A S Rajeev : Another 2% to 3% definitely we can go for increasing the CD ratio. And we have not raised any CDs or any bulk deposits or any differential rates. So, our strategy is to first to build up the assets then we will go for raising resources if it is required. As far as our excess SLR is already there, excess SLR is Rs. 17,000 crore to Rs. 18,000 crore is there, so that is sufficient for us to reach that 80% CD ratio.

Asheesh Pandey (ED) : Actually, it is a trade-off between the returns on the either of the side okay. Let me put, the bank itself is now expanding so almost some 60 to 70 branches bank has opened and now going forward we do have a plan of around 150 to 200 branches to open like the new format of digital banking units, which yesterday you would have seen honorable PM. So, what we are feeling that we are entering into the new territories and there also we are targeting both on the retail side, retail means both on asset and liability side. Now,

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coming to the CASA that is also adding me so it is not like only one sector or one location or one cluster which we are specific to and then we may face issue. So, we are also trying to compensate, because of the increase in rate what portion is moving from CASA to fixed deposit side or maybe to other banks right, but then we are trying to build up our own base on the CASA sides. So, like continuing in the range of say 54% to 56% going forward as well enteri

ng into the new territories and then having the tradeoff that which option is better whether it is from the investment side or from the loan book side and where the profitability is protected.

Mahrukh Adajania : And given that your LDR can expand from here, your margins could continue to improve in the next few quarters.

A S Rajeev (MD&CEO) : Margin now itself I think that we have reached to 3.55% which I think it is comparatively one of the best margins. It may be difficult to increase too much, so it will be around

3.5% . It may be here and there maybe 10 to 15 basis point, it may change.

Mahrukh Adajania : And what about the quality of MSME loan? Any particular feedback you have on ECLGS or on any segment of MSME?

P.R. Khatavkar (GM) : Yes, in MSME, we are containing our slippage, in MSME quality is improving. And this ECLGS also is performing well, it's not that, barring some few exceptions.

Mahrukh Adajania : What would your total cumulative slippage from ECLGS, yes?

Asheesh Pandey (ED) : Madam in specific, there we have given, so actually her point is that what is your field wherever you have given ECLGS here, if I am not wrong, that is the feel she wants to know.

Ideally that is, looking into the book both from the credit monitoring and from credit risk side, both the departments are looking into it and we have not seen as such any pressure coming in on the mid-size or maybe the MSME where the ECLGS is given and some signs of stress. Yes sometimes, it moves to SMA -0, but then maybe the very good regular follow up. So, there is a roll forward some time and roll back but more or less the position is same, but then not moving to slippage more or less I think that is not an issue.

Moderator: Thank you. The next question is from the line of Suraj Das from B&K Securities. Please go ahead.

Suraj Das: Couple of questions, first question is on the restructuring slide. So, this Rs. 4845 crore restructuring number, is it inclusive of everything I mean, the previous CDR, SDR and earlier MSME restructuring number as well, because your restructuring 1.2 and 2.2 the sum is not equal to Rs.4845 crore.

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Sanjay Rudra (CRO) : Yes, it includes entire restructured book.

Suraj Das: There if I see the agriculture and corporate restructuring has increased on a QoQ basis.

So, if you can explain the rationale behind it, why this number has increased?

Sanjay Rudra (CRO) : Agriculture, actually restructuring is done purely based on the natural calamity and that too at the district level. Some of the centers wherever the restructuring has been done, but that is very marginal increase in there in the agriculture sector. In corporate few accounts where the DCCO has been extended and if the DCCOs are extended for non-infra for a period of two years and one year more than one year and for infra from more than two years, then it amounts to a restructured accounts, though it is a performing asset and it is only purely because of the extension of the DCCO.

Suraj Das: And the second question would be, if you can provide the loan mix by benchmark how much would be your EBLR linked, how much MCLR, and how much fixed rate? And what will be the total quantum of ECLGS number?

A.B.Vijayakumar (ED) : Now, I would like to clarify one answer to the three questions regarding the agriculture NPA and then the digital player, so the digital journey and compliances level and the latest question on restructuring agriculture. All put together, there is one, good thing is happening, across the country apart from the digital level is happening at the individual bank level, Government of India has initiated Jan Samarth Portal wherein 13 of the major Government of India schemes have been uploaded that end-to-end from the application to the process, sanction, disbursement and close everything

going to be digital. And KCC

is now they are giving a topmost priority, where most of the problems are there, you can say credit culture or waiver of loan that happened in the past due to any political reasons or vagaries of monsoon. Going forward the digitalization going to play a very big answer for all bringing the most credit culture, ease of doing business and above all, the tax will also come down and there is some percentage of multiplication of load is happening at the top load level by this mini banks and also cooperative societies. All these things will go and there will be a healthy agricultural growth will be there in the country. This is what I would like to make clarification.

Moderator: Thank you. Let's move to the next question from the line of Rohan Mandora from Equirus. Please go ahead.

Rohan Mandora: On the RAM portfolio, just wanted to understand growth that we are seeing. So, what is our origination channel here? Is it a DSA driven or RAM channel? And also, how are we pricing these loans vis-à-vis the market leaders in terms of the market share that are there, that was the first question.

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And the second is that you alluded earlier to the fact that on the agri side, we are targeting agri businesses here, so the new proposals that we are getting in these agri businesses are

these fresh proposals or are they takeover from other banks? And if so, like what kind of banks or lenders are we targeting in this segment?

Sanjay Rudra (CRO): Channel we use all the channel for mobilization of the RAM sector, whether it is a DSA we have in place, branch definitely we have the branch, aggregator model also we follow. So, there are various models, which we follow for channelizing the business, but as far as the rate of interest is concerned for the RAM sector, if you see recently we have reduced our housing loan rate to the lowest in the industry that we are at present at 8%. For personal loan also we have reduced to 8.90% this is also the lowest in the industry. Both these are the rates revision has been done in spite of the increasing rate rising scenario, we have reduced the rate only to attract the good quality of assets, good quality of customers, which we can onboard that is our target for raising the RAM sector advances.

V.N. Kamble (GM): In case of agricultural sector, we are focusing for the investment credit and particularly food processing, then pack house, grading or cold storage and there is no any takeover from the other banks. We find out the fresh candidates and fresh customers who are taking, onboarding our bank.

Rohan Mandora: So, this could be fresh entities also which are getting set up that we will be funding in this case that will be a correct understanding here?

V.N. Kamble (GM): Yes.

Rohan Mandora: On the first reply in terms of the origination channel, so, just wanted to check on the DSA side like is it a predominant origination channel and if so, the payouts higher? And second, again in terms of the pricing that we talked about. So, just want to understand the customer segment which has been targeted isn't predominantly a salary segment or is it across the board in terms of the customer segment in the RAM?

Sanjay Rudra (CRO): DSA commission is at par with the industry level. We cannot have a lower DSA commission payout and higher DSA commission payout. So, our DSA commission is at par with the industry level. As far as the rate of interest is concerned for the RAM segment we have recently launched that scheme for the defense, we have given the best possible rate that is 8%. And as well as the salaried customer with some PSU or good organizations are there working, there also we have given the rate of interest. In addition to that general rate of 8% has been given for CIBIL score of 800 plus the CIBIL score of 800 plus so they are very good assets

book which we can build. That is the target customer for us.

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Rohan Mandora: And lastly on the corporate sanctions, are this consortium being sanctioned or are these all-standalone sanctions that the bank is giving in the A and AA rated segment?

Asheesh Pandey (ED): Maximum it is consortium only, I can say that almost 65% to 70% and the rest of the things maybe somewhere one or two bankers

Moderator: Thank you. The next question is from the line of Rakesh Kumar from Systematic Shares. Please go ahead.

Rakesh Kumar So, firstly, this question on this excess SLR thing. So, basically like we are lending the excess SLR as such through the RBI borrowing window. First, you said, I think that your borrowing cost is around 5%. So, just wanted to understand under which window we are taking this borrowing from RBI at 5%?

V.P. Srivastava (CFO): We have taken and if you say when I am talking about average borrowing costs is 5%, I am taking the half year. And so initially that you see the borrowing costs was 4% plus and now, recently it has increased to 6%. So, see over all the borrowing cost was 5%. And whereas that term deposit now, it is crossing 6.50% or more. So, we have taken this arbitrage opportunity, where we did not go for the bulk deposit and we resorted to the borrowings.

Rakesh Kumar So, your incremental spread by lending excess SLR would not be 3% correct as you said on the call just now.

A S Rajeev (MD&CEO): All borrowing, no, it is not only you know the – Then borrowing will not only excess SLR there are some SIDBI borrowing there are other NSP borrowing, that type of borrowing also is there.

V.P. Srivastava (CFO): Recently we have taken borrowing from SIDBI which is 4.17%. So, we are taking into account all borrowing.

Rakesh Kumar But you just mentioned in your response to some other question that you are taking from RBI at this rate and you are many maintaining a state of 3% so I was a little surprised.

Asheesh Pandey (ED): No, he was actually talking about the six-month spread, #1, #2, on a bouquet of the borrowings, not only the RBI specific.

Rakesh Kumar That is now understood.

Asheesh Pandey (ED) : Yes weighted average sort of you can consider it.
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Rakesh Kumar Secondly on this the tenor of your borrowing obviously it is like , it's a overnight thing, but on the lending side, where you are using this borrowing through the excess SLR and what is the tenure there ?

A S Rajeev (MD&CEO) : That is a different tenure is there, one-month MCLR also is there. Some cases overnight also is there. And I think that borrowing is not only overnight it is a term repo also is there. So, term repo is up to 45 days is there. So, it is a combination of borrowing not really fully I think overnight borrowing might not be more than Rs. 2000 crore or Rs. 2500 crore . And no other borrowing windows we have not utilized that also kept outside actually .

Rakesh Kumar No, so basically your all this detail position, then your excess SLR position and then borrowing position and the lending position , all the asset liability, maturities will be matched. So, first of all, if you can tell us what is the average maturity period that you have for your NDTL, because if your NDTL keeps on rising which will happen in the natural course of process, then your excess SLR will actually come down . Then your borrowing should come down, then you have to wind up those loans which you have given against these borrowings which you have taken from the RBI.

So, if you can give some clarity that what is the average maturity you are maintaining throughout, because the flow is coming from NDTL. So, if you can help us understand that, it will be helpful .

A S Rajeev (MD&CEO) : Our CFO will give you the details that ALM

statements of this borrowing as well as where it is utilized, he will provide you that.

Moderator: Thank you. The next question is from line of Pushkar Jain from Joindre . Please go ahead.

Pushkar Jain: How much part of the book is fixed and floating, if you can give a number?

Sanjay Rudra (CRO) : We don't have any fixed rate of interest , our entire portfolio is floating. They are linked to either repo linked or the MCLR based lending , which we are doing. We don't have any fixed rates.

Moderator: We will have to move to the next question, which is from the line of Jay Mundra from B&K Securities. Please go ahead.

Jay Mundra: If you can explain the formula for your interest rate and this 30 basis point cut that you have effected 1 or 2 days prior only , what have you changed in the formula ? I mean, if you can first tell us the 590 repo and then what is the business spread or credit risk for mortgage and how that has changed in the last few days ?

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Sanjay Rudra (CRO) : And then see the interest rate has a simple formula one is the marginal cost of lending that is we are having mainly for the corporate and other agricultural borrowers, but for retail borrower it is a repo link. So, it is 5.90 % is the repo and it is linked to that rate. As far as the cost of the lending rate pricing is done, it is mainly depending upon the business trade and the credit risk . Credit risk in case of the mortgage loan is less than point 0.5%. And if you see my cost of deposit or cost of funds is in the range of 3.31 % to 3.50 % . So, comfortably I have a margin over that around 4.5%. If I remove my cost of the fund , other establishment cost and all, I am very comfortable for giving the 8% rate of interest to my borrower , because at the same time if you see the marginal cost of lending one year MCLR is 7.80 % . So, still I have a spread of 20% over my MCLR pricing. So, I don't find any problem in giving this rate of interest and that to the segment specifically having the CIBIL score of more than 800 scores so which are one of the best, where the delinquency I will say even is less than 0.01% . So, credit costs will be in the range of 0.1%. So, two components are there one is a profitability is one aspect and second the market competition is also there . If I had to compete in the market, then I have to offer one of the best . And since our cost of deposit is very low, so, bank is capable enough to offer that type of pricing.

Jay Mundra: Of course you have thought through but what I was trying to understand that in the last few days your cost of deposit would not have gone down , right the incremental cost of deposit would not have gone down. So, you would have reduced the credit risk premium or business risk premium . And one of these two has to go down so as to bring down the overall cost lower. So, what have you changed? Have you changed the credit risk premium or have you changed the --

Sanjay Rudra (CRO) : It is the only, Diwali Dhamaka it is a business strategy. So, we have changed our Business

Strategic Spread which we call the BSS that we have changed and our rate has come down .

Jay Mundra: So, how frequently can you change this so let's say Diwali gets over --?

Sanjay Rudra (CRO) : Yes, this rate is valid till 31st January, 2023 so entire Diwali then Christmas, all these will be covered .

Jay Mundra: And how frequently can you change in a calendar year or in a fiscal year ?

Sanjay Rudra (CRO) : BSS is case-to-case basis . On portfolio level we can take a decision , it's a Business Strategy S spread so that call can be taken by a bank at any point of time.

Asheesh Pandey (ED) : Yes just to supplement you , because you wanted to know , it is not only related to one product, the bank is strategically also viewing a customer relationship from 1:4. Now, Bank of Maharashtra

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certainly the bank is growing up various segments for the salary accounts and various others the PPF and all it is not in that presentation, but then around two lakh we have targeted and more than 60% we have covered. So, what we are looking at this product not in isolation per se, that matching only everything from neck-to-neck, but then it is a relationship and like the CIBIL score of 800 and above what Mr . Rudra has told. So, like it is a total bouquet of services on which the rate is also offered and team field below is approached with the customers and then look into the total wallet of the share.

Moderator: Sorry, to interrupt. We will have to restrict your question here. For further questions, you may please email your queries . Due to time constraint that was the last question for today.

I would now like to hand the conference over to management for closing comments.

A. B. Vijayakumar (ED) : I am Vijay Kumar here, Executive Director, on behalf of the Maharashtra Bank Parivar Bank of Maharashtra we convey our sincere thanks to all analysts who have participated this concall today . You are being a source of support to us for quarter after quarter. You must have observed that Bank of Maharashtra has been doing extremely well in terms of the growth for the last three years and particularly for the last eight quarters . And with all your support and guidance and your analytical skill which helps to the market to push our prices also in the market . And on behalf of the Bank of Maharashtra we convey our sincere thanks to you . Besides we are concentrating in the growth , we also want to be #1 in terms of the digital , compliance , integrity ; this is what is our focus . We want to be more ethical banking . And once again I convey my sincere thanks on behalf of the Bank of Maharashtra Wish you a Happy Diwali.

Moderator: Thank you very much. On behalf of Bank of Maharashtra that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

AX1/ISD/STEX /2022 -23 Date: 20.01 .2023

The General Manager,
Department of Corporate Services,
BSE Ltd.,
P.J Towers,
Dalal Street, Fort ,
Mumbai - 400 001
The Vice President,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

BSE Scrip Code: 532525 NSE Symbol: MAHABANK -EQ

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Analysts / Institutional Investors held on 16th January, 2023 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the enclosed transcript of Earnings conference call with Analysts / Institutional Investors regarding Financial Results of Bank for Q 3 FY2022 -23 held on Monday, 16th January, 2023 at 04. 00 p.m.

The transcript of conference call for Q3 FY2022 -23 is uploaded on Bank's website and same can be accessed through below link:
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Chandrakant Bhagwat)
Company Secretary & Compliance Officer

Encl: As above

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“Bank of Maharashtra ”
Q3 and 9M FY '23 Earnings Conference Call ”
January 16, 2023

MANAGEMENT : MR. A. S. RAJEEV – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – BANK OF MAHARASHTRA
MR. A. B. VIJAYAKUMAR – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA
MR. ASHEESH PANDEY – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA
GENERAL MANAGERS OF BANK

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Moderator: Ladies and gentlemen, good day, and welcome to the Bank of Maharashtra Q3 and 9M FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us from the management, Sri. A. S. Rajeev, Managing Director and Chief Executive Officer, Sri. A. B. Vijayakumar, Executive Director, Sri. Asheesh Pandey, Executive Director and all General Managers of the Bank.

I now hand the conference over to Sri. A. S. Rajeev. Thank you, and over to you, sir.

A. S. Rajeev : Thank you, ma'am, and good afternoon to all. Today, we have reviewed results, and we would like to share results of the Q3 as well as the nine months ended on - 31st December, 2022 to all of you as you are one of the main stakeholders of the bank and we would like to have your suggestions, if any, in future also. Whatever the corrections have to be made, that also we are ready to do that.

Just I'll briefly explain the results of the bank at a glance. As you've seen that interest rates in the system has increased by around 200 to 210 basis points during the nine months period, and more particularly, 50 to 60 basis points in case of deposits for the current quarter. Same way the advances, lending rates, also, most of the banks are increased. We have also increased the lending rate. At present, our MCLR rate is around 8.20% level which is the median of the banking system –As per the indication given by the RBI Governor two, three days back, there may be chances of that interest rates may be either in the same level or slightly it will increase by another 25 basis points and thereafter, there may be chances of reducing the interest rates. That is the indication is given.

Being that interest rates and economy in mind and our results, the total business for the last quarter has increased by around 16 % to INR 3,65,000 crore and total deposits increased by 12% to INR 2,08,000 crore . Gross advances increased by 22% to INR 1,57,000 crore . CD ratio, at present is 75%, with an indication that by March we will be able to increase CD ratio by another 200 basis points, that is the 77 % to 78 % level.

Gross NPA declined to 2.94% and net NPA reduced to 0.47%. Provision coverage ratio improved to 97%. And as we are in profitability, the net profit has increased by 139% to INR 775 crore as against INR 325 crore corresponding last quarter of previous year. Operating profit has increased by 36% to INR 1,580 crore as against INR 1,162 crore last corresponding period. Net interest income has increased by 30% and net interest margin improved 3.6%. Cost -to-income ratio has improved to 39.69%, which is below 40% for the past two, three quarters, and we will be able to continue the same level. ROA improved to 1.30% as against 0.60%. Return of equity has improved to 25% and CRAR improved to 17.53%, which is Tier 1 is 13.47%.

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As you're aware that the current CRAR, this current year's profit is not yet added. If we add the current year's profit, the CRAR may be around 19.21%. So earlier, COVID provisions, whatever, we have provided INR 1,200 crore , as it is we have kept it and it is not considered for either capital adequacy purpose or for provisioning purpose.

So for profitability for the nine months, net profit is INR 1,762 crore as against INR 796 crore corresponding nine months last year. Operating profit also shown a growth of 16% to reach to INR 4,244 crore . Net interest income grown by 25% year -on-year. Fee -based income increased

by 8% to INR 927 crore . Cost -

to-income ratio is 39.48% for nine months. Return on assets for full year is 1.02% for nine months as against 0.52% for nine months ended 31/12/'21. Return of equity has also improved to 18.50% as against 11% for the last year.

So during the last quarter, we have added 1.2 million customers and 62 branches are opened to reach to 540 districts as of now. We have recruited around 1,200 employees in the process. In the process because just other things are over -- this is basically for, the new branches opening and retirement and other wastages. As far as SMA is concerned, SMA is well under control, below 2.5% of the total assets, including SMA one and two.

So these are the main highlights what we wanted to share with you. And regarding the digital area, I will request our ED what are the initiatives we have taken for past one quarter. Earlier, we have already shared with you.

In our digital area, there is good improvement during the last quarter. That will be shared by our Mr. Pandey. He is looking after the digital area and Shri. Vijayakumar is looking after the entire internal control system of the bank and other areas, so he will share the major points with you.

Afterwards, we'll have the question -answer -session.

Moderator: Yes, sir, this is fine. Thank you.

A. S. Rajeev : Over to Mr. Pandey.

Asheesh Pandey : Yes. Thank you, sir , you all have got on the bank's performance in the business which indicates that we are inching towards the bettering ourselves quarter -to-quarter. We are just making all our efforts and endeavors in that line.

Certainly, the technological intervention and the digital is going to play two key role, as we said earlier and we emphasize always. The first is sustainability of the business growth that is quality, as well as the percentage or maybe the amount wise. The second one important thing is the embedded compliance. So you keep on having a well complied culture and other things using the technology.

So as you see that the last quarter, we gave and then this quarter also there is a slide on it, two slides are there, which shows the digital footprints . So key growth, if I say, UPI/BHIM users from 2.49 million to 2.53 million which is consistent. Transaction wise also grown from 326

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million to 352 million. Digital transactions, which were 96.34% moved to 96.66 %. So similarly, Internet banking users moved from 21.73 lakhs to 23 lakhs; mobile banking, 21.31 lakhs to 22.76 lakhs. WhatsApp is 2.35 lakhs to 3.15 lakhs. QR merchant also we take, 22.30 lakhs to 28.49 lakhs transactions are happening.

So what we indicated last time also, and we are very much cautious and also very much progressive on the IT and digital interventions. So UPI on some of the identified things where we wanted to be more hold and also, we analyze the cost is better when we move from opex to capex. So similarly, you would have seen the various RFPs which are floated for last three to four months' time. So for UPI already one of the best player in the market has come in, and we have started and we are trying to close this project by March.

The robotic process automation, again, one of the bank, public sector, 62 processes in which 48 are high complexities. So already, it is awarded and one of the best player, which is -- now we can very well clear, UiPath has been empaneled . So we are planning five to six or seven processes delivery per month which is going to help on three things , the first is the business, which is the customer expectations and convenience, the more business , second is the compliance and third is ease to my staff on ease of banking.

So the third is data we have announced we have already completed, and the bank is well complied and we are already, actually, it is working for last 1 - 1.5 months we are using it for various our returns and other things. The bank is on the

private cloud, which is Nakshatra. And

three to four cyber security solutions are implemented and three to four are in process even now.

So already bank is on the asset, liability and the services side , has planned around three to five STP journeys going forward. And similarly, the fintech onboarding is also poised for.

So when I say the upgradations, so the bank has also having the advisers from IIT Mumbai and the others. So we are having the upgradations of software, hardware , UPI switch and NEFT already we have done it, FI Gateway . So in totality, we have started with the 4 COEs as of now , one center of excellence in database, another on CBS with TCS, another cyber security with Inspira Analytics . And now we are thinking of on the recon side because it is very important to have some well -defined frequencies within the day under reconciliation and the other things.

So with this, I would only like to say that on the business side, how to start with, say, 3% to 5% of the business occurring from the digital side, moving to around 15% to 20% for next two to

three years' time. That is one. Secondly, the cost -to-income, certainly, that how the expenses with the change to digital systems, change to IT interventions or robotic process, automation, so all those things, how it can be further made cost conscious.

And third is the customer expectation how to be met with the technology. So these three, four key areas which are going to support the bank and all the stakeholders, because customer is the important stakeholder. So on a customer service and better journeys. The staff certainly, because it is the most important, ease of doing business is there and they are deployed for the better, prudent and productive branches rather than the repetitive complexities.

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And the third is the regulator. So more -and-more digital intervention which you make in the compliance will enhance the bank to achieve as we progress with the business. So with this, I leave it to Shri A.B. Vijayakumar, ED.

A. B. Vijayakumar : Yes. Good evening to all of you. Welcome to this analyst meet. I am Vijayakumar, Executive Director. As you all know, Bank of Maharashtra being the premier public sector bank, we have been doing extremely well in the last several quarters. At the same time, we are constantly working in line with the national priority, upkeeping our technology and with a focus of customer-centric activities.

While doing so, we are focusing on improving and controlling internal control measures, compliances and risk management. In a nutshell, I would like to say from HR side, we are transforming ourselves from Government Karmachari to Karmayogi. Is what I would like to say at the initial. We'll take up questions as and when it comes, not only the business, any other area improvements, because quite often the question comes the sustainability, and that's why I made announce remarks on that point. Thank you very much. Now, we are ready to take on the questions.

Moderator: We have the first question from the line of Ashok Ajmera from Ajcon Global Services Limited.

Ashok Ajmera: I have a few questions and observations, and I request the moderator to please do not cut me unless I complete at least those two, three questions and some observations. Sir, my compliments to you, sir, the MD and CEO and both the EDs and the entire team of the top management of the bank for the fantastic performance quarter -after-quarter. And this quarter, your profit before tax is touching to almost INR 1,000 crore for a quarter.

On other parameters also if you see the -- I think one of the best net NPA figure in, I think, the entire public sector bank of 0.47 %. Even the gross NPAs are under very much control. Slippages are under control. Your NIM is growing quarter -after-quarter. I think 3.6 % or something even in this quarter. And

the asset quality has been improved to that extent of, I think, one of the highest provision again of almost about 97%.

So my compliments to you, sir. On all these parameters, I think, your bank, if one do not consider the size among the public sector bank, which also is now almost INR 3,65,000 crore can be said as one of the best performing bank, especially among the public sector bank. And it can match with any other private sector bank also.

Sir, I have just a few observations and some questions. I would have liked to have some clarity on the calculation of the net worth at various places, in the results also, in the balance sheet. So like the net worth of INR 12,699 crore is said there in the results, point number 7, 11, where if you add up the profit and everything, it doesn't come to that level. It is rather higher. So if you take the net worth of -- the equity of INR 6,730 crore and the reserves without the profits of this year of INR 5,577 crore, it becomes INR 12,307 crore. And if you take the profit of three quarters of INR 1,762 crore, it comes to INR 14,069 crore.

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But if you look at the balance sheet, again, there the reserves and surplus and capital if you add up, it is INR 15,644 crore, even, again, in your own note. So what I would like if somebody who has done the calculation of this net worth of the bank at various places, can explain me or can send me the details a little later, also I don't mind about that.

Sir, my second one is that there is a SR. And I am asking a bit that I hope it is 100% provided for, INR 197 crore of this pending SR, note number 12, 4. And I would also like to know on the accounts acquired, INR 1,916 crore in this quarter with a tangible security of only 24.91%. So what kind of account these are, because the accountability of the person from whom you bought this account is, I think, about 10% or 11%, which he is holding. So I would like to have some clarity on this.

And sir, if I look at the segment-wise results, then our treasury income has come down to INR 34 crore -- rather profit has come down to INR 34 crore as against INR 105 crore in the last quarter. And the wholesale book profit has gone to INR 676 crore against INR 487 crore, while the retail banking, it has again gone down to INR 280 crore against INR 326 crore. So if some one can give explanation because of the provisioning or because of what -- because corporate book has just increased now in this quarter by 7%. But how much -- why this anomaly in this segment-wise profitability I would like to know?

I would like to complement on CASA, which is, of course, going 52.5%, which is not less as compared to the other banks. But it has come down from 56.27% in the last quarter. So any specific reason for that if it can be explained? And going forward, where do we see the CASA to be, because it is the one which is giving you the maximum yield and maximum profit?

I would also like to appreciate here that while the yield on advances has gone up to 8.28% from 7.81%, which is almost 19 plus 28, it's almost about 50 basis points, whereas the cost of funds have gone up only, to 3.61% from 3.31%, that is only 30 basis points, which is another good point for the bank. So sir, some of these issues.

And one on the provision for taxation, in spite of the profit going up, the taxes provision has come down to INR 223 crore from INR 348 crore in the last quarter. If time permits later, I would like to discuss something about the advances and the credit growth going forward.

A. S. Rajeev: Regarding this network, we will give you the details. Mainly because of revaluation reserves and the other things it may be because in some of the areas -- for example book value of the share, in some of the areas, revaluation reserves has to be reduced and in case of capital adequacy also, we have to change

that revaluation reserves, Rs.55,000 only. So that maybe the reason. But our CFO will be in touch with you and give you the details. Regarding SR and other thing, as per the valuation, 100% provision we have made and there is no issue. Treasury yield has come down mainly because of the profit on sale of securities because of the increase in interest rates. Last quarter, only a small amount, INR 20 crore to INR 30 crore was the treasury profit and in case of other income, we have changed the accounting methodology. Bank of Maharashtra
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Earlier, commission on guarantees earlier it was on cash basis, this year onwards, we have converted to accrual basis. So the other income has come down by around INR 30 crore during the current year. And that is only accounting aspects.

Regarding CASA, which is around 52.5%. Of course, you are well aware that in the highly increasing investment scenario, there is a shift from deposits, term deposit shifting is there. But here, CASA we may be able to contain it at the rate of 52.5%. So generally, 3% to 4% government deposits and the corporate deposits are there generally because of the higher interest rates. Government deposits and corporate deposits we have shifted to term deposit. But otherwise, CASA rate in the range of 52% to 53% we will be able to continue in the going forward also.

Regarding taxation for the next two to three years, the bank may not provide any tax. But however as a precaution, we have kept some DTA we have reversed and we have kept for some INR 200 crore -INR 300 crore because we have more than INR 15,000 crore to INR 20,000 crore loss created for the past two years, it is continuing in the books. So two to three years, taxation will not come. But we have kept some amount for taxation purpose for futuristic purpose. So otherwise, this can be considered as a profit also.

So we will be in touch with you. And our CFO, Mr. Srivastava, will give you the detailed working on your net worth as well as other areas wherever -- regarding treasury also, we will be giving to you.

Moderator: We have the next question from the line of Sunny Agarwal from SBICAP Securities Limited.

Sunny Agrawal: Sir, my first question pertains to the sector or corporates. From which sectors we are seeing a healthy credit demand for us? And in the current, I mean rising interest rate scenario, where do we see NIM panning out, especially for the corporate on our corporate book? So that is the first question.

And my second question pertains to the customer base. So I believe we are adding a few customers on current account and saving account side. So if you can throw some light on what kind of customer or salary account we are adding, especially in a hypercompetitive environment where everyone is chasing those CASA in the rising cost of deposit scenario?

A. S. Rajeev: So first question is regarding NIM on corporate book, and corporate book NIM is around 2.75% to 3% NIM and so that yield is comparatively good and we have not gone for any lower interest rate scenario, any of the accounts, we have not got for cases. So the average yield is good. And so that in current account and SB account, mainly the salary accounts and other things, we are getting state-wide, for example, I can tell you that we are having a tie-up with some of the state

governments and other things, and their salary accounts as well as their loan accounts like your housing loan accounts we are getting.

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Plus, we have SME accounts which is the major area of our source. That is, we are having so many state governments. Our team is very strong government department team in Delhi as well as in Mumbai and different states, head of the states, our team is very strong. It is a strong force of around 250 to 300 people. That is a major area of benefit i

s coming from current account and

SB account. So these are mainly SME accounts and corporate accounts as well as the salary accounts.

Sunny Agrawal: Sir, so which are the sectors from where we are seeing a healthy rate dem and, or loan demand? Which are the industries which we are planning to land over the next 12 to 18 months?

A. S. Rajeev: I think our GM will give you data.

Management: We are seeing good demand from all the sectors, be it infra, manufacturing. So there is no dearth of good proposals.

Moderator: We have the next question from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Sir, could you give us an update on the NARCL and also if there's been any further traction on recoveries and upgrades on the corporate side, sir?

A. S. Rajeev: Yes. Our GM Recovery will give you that.

P.R. Khatakar : Yes. This NARCL, as you know, that shortlisting has been done. From our bank, 13 accounts are already shortlisted, around INR 2,700 crore. Now that guarantee issue is also resolved because the government has given the approval about these guarantees of SR. And now that work of actual transferring the account to NARCL has been started. So we expect that within this week the first account will be transferred to NARCL. And then the things will move.

M.B. Mahesh: And visibility of recovery, sir?

P.R. Khatakar : Recovery, sir, as you already noticed that we are at the lowest GNPA and NNPA. Now it's a challenge to maintain that level, below 3% and below 0.5%. So recoveries in this quarter, we expect at least INR 500 crore recovery in write-off account and almost equivalent reduction in the NPAs.

Moderator: We have the next question from the line of Sridhar Sivaram from Enam Asset Management Company.

Sridhar Sivaram: Yes. Sir, my question is on the credit cost and the provisioning. For a bank which has 97% coverage and more than INR 1,000 crore of provisioning, the first nine months credit cost is 1.6%. And even for the third quarter, it is 1.4 almost. So some guidance on provisioning going forward? We've seen credit costs coming off for many of the other PSU banks. You've may be prudently continued to provide very high. But if you could help us with some guidance on how to look at it for the next year?

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A. S. Rajeev: So credit cost, we expect, sir, it come down to 1% by next year. So this is 1.4%, this come basically because for -- a small amount is utilized for reducing the net NPA ratio because earlier -- last quarter, it was -- 0.68% was there. Now it has come to 0.47%. So now for going forward, we have reached our target below 0.5%. Now in and around, this NPA will continue in the same level, 0.4% to 0.5% level. So there will not be any requirement for credit provisioning for reducing the net NPA.

Otherwise, our addition is coming only INR 572 crore is the last quarter added, and the recovery is almost in the same level. So there will not be any additional credit provisioning requirement is not there. Actually, it is all maximum INR 100 crore or INR 120 crore something, a small amount only will come. So that will continue next year also. But we expect that up to 1% credit cost is always -- is better to keep it in mind.

Sridhar Sivaram: Sir, INR 100 crore -INR 200 crore and 1%, there's almost INR 1,500 crore difference. So you're throwing numbers like 1% we want to keep. So the range you are talking is so wide. So it will help us if you can give some reasonable number. Because you'll do almost INR 2 lakh crore of, say, loan book next year. 1% would almost mean almost INR 2,000 crore. So should we expect around INR 1,000 crore of credit cost next year? Is that a reasonable number?

A. S. Rajeev: So that -- as a conservative way only I'm telling that 1% maximum.

Sridhar Sivaram: That seems like a very conservative number, sir.

A. S. Rajeev: You can reduce

the number. There is no problem. I am telling the outer limit.

P.R. Kha tavkar : You have to see that we are keeping that NPA ratio 0.47% and to bring down that ratio, you are required to weigh projects more than IRAC Norms. So that's why sir has taken that into consideration.

Sridhar Sivaram: My other question is you mentioned about tax also, that you have substantial losses which are carry forward and you don't need to provide tax. So what number should we model for next year? If you could help with some number that will help, because both the provisioning and the tax numbers are -- they are varying so much that it is very difficult to make any forward estimates. So if you could help us with some tax number. What should we -- what percentage or what absolute number should we keep for tax? Is INR 500 crore or INR 1,000 crore a reasonable number for the full year next year, or some sort of guidance will help?

V. P. Srivastava : Yes. I'm CFO here. You see that whatever tax budget we have made, it is not the actual tax level. It is DTA reversal. So we have created DTA, this allowed provision when we have written off from that. We have reversed that DTA, and this DTA reversal will help us in improving CRAR during third quarter. And the profit cannot be added during the quarter. So one thing is that DTA reversal we are using for improving the CRAR during the quarter.

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Secondly is that we are holding INR 10,000 crore losses. And whatever our profit projection for two years, we don't expect that there will be any actual tax liabilities. Having said that, there may be some DTA reversal to improve the CRAR. That's all.

Sridhar Sivaram: But should we expect about INR 500 crore of DTA reversal coming in next year?

V. P. Srivastava : It would be on lower side.

Moderator: We have the next question from the line of Jai Mundhra from B&K Securities.

Jai Mundhra : Sir, on wage revision hike, have you started providing on the bipartite? and what is the salary growth that you are estimating?

V. P. Srivastava : CFO here. That we are expecting 15% wage revision and accordingly, INR 32 crore we have provided during this quarter.

Jai Mundhra: So this INR 32 crore is for two months, right?

V. P. Srivastava : Right. Yes.

Jai Mundhra: At INR 16 crore per month, right? That is the math.

V. P. Srivastava : Right.

Jai Mundhra: And secondly, you said at 15% you have provided, right?

V. P. Srivastava : Yes.

Jai Mundhra: And secondly, sir, it looks like that the standard assets provisioning has been negative in third quarter. Is it because restructuring loans are slipping? Or otherwise, what would cause the standard assets negative provisioning because you are growing your assets reasonably well?

V. P. Srivastava : Some of the restructure, it has become the standard also for which we need not to make the provision. And what in terms of restructure has slipped, in that case the restructuring will be written back. That is the case. Which have become standard now, it is no longer to provide restructuring provision. So accordingly, we have written back the restructuring provision.

Jai Mundhra: So may be the first restructuring, these people -- the two years term has got over, right? And that is how they are turning back into standard?

V. P. Srivastava : Yes.

Jai Mundhra: And secondly, sir, on your loan mix by benchmark, sir, how much is repo-linked, how much is T-Bill and how much is MCLR? If you have that number for your loan book?

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Sanjay Rudra : Our out of the total loan book, 43% is repo-linked rate and remaining 57% is the MCLR-linked rate.

Jai Mundhra: And sir, you would have something on gold, etcetera, also, right, which is fixed rate? Or that is like negligible?

Sanjay Rudra : See, that is linked to repo.

Jai

Mundhra: Gold loan also?

Asheesh Pandey : Yes, actually, fixed we do not have as such in the portfolio.

Jai Mundhra: Sir, last question. Sir, on your EBLR, right, so when you had started this EBLR, what was your reset time line? And can you change the reset time line for a customer who is on repo rate? So if someone who has taken a home loan at, repo plus spread and his reset was initially, what was the reset period was every month, every quarter. And has that been changed also?

Sanjay Rudra : Repo-linked rates are linked to the repo only. So whenever there is a change in the repo, the rate

of interest undergoes a change.

Jai Mundhra: But when would it be effective? So let's say, RBI 7 December...

Sanjay Rudra : As we said before, the same day it will be affected.

Jai Mundhra: Even from the beginning of this regime, right, you would have almost immediate basis?

Sanjay Rudra : That is the basic concept of the repo -linked rate, sir. As the repo changes, we have to pass on the benefit to the customer.

Jai Mundhra: No. I understand that, sir. What I was asking is, does this change overnight to every customer .

Sanjay Rudra : It is applicable to all customers who are linked to repo-based lending.

Moderator: We have the next question from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: A wonderful set of numbers, so many congratulations for that. Sir, I just wanted to know, now you one point you mentioned was about INR 500 crore of recovery you are expecting from a written -off account, right, in this quarter itself. So ideally, that effectively means that you will have that -- I mean, the neutral provisioning, right? I mean we are currently doing INR 500 crore per quarter, and if we can kind of recover that amount or you're planning to reduce the net NPA from that amount?

P.R. Khatavkar : Yes, that recovery is -- in write -off account INR 500 crore is definite there. We expect in this Q4. With this, of course, it will be useful for both ways, because that is direct profit, as you know. So how we use it for -- because the net NPA as we have reached to 0.47% level, so now Bank of Maharashtra

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it is I think the idealist level which we have to maintain over a period. So a lot depends upon how the slippages work. Accordingly, we'll plan.

Deepak Poddar: So that effectively means our credit cost can be much below 1%, right, as we go into fourth quarter?

P.R. Khatavkar : Yes, a lot depends, sir. What you said, we also expect. But we always are conservative.

Deepak Poddar: Yes, of course, we should be conservative. Sure, I understood that point. And what sort of recovery we are expecting next year, FY '24?

P.R. Khatavkar : FY '24, sir, again the 13 accounts are lined up with NARCL. So that will keep happening now in next year. And the big accounts also that is in NCLT, which is already NARCL -only bidding. So likewise some big accounts will come. So in the same line, we'll keep our GNPA and NNPA. And accordingly, we'll if you see that, my recovery and upgradation is our aim to be at least not more than, but least equal to the slippages.

Deepak Poddar: And my second question is around your growth. I mean, we were expecting around 24%, 25% growth this year. And we are, I mean, currently at 22%. So largely in line what we have been guiding?

A. S. Rajeev: Yes. Our target is 20% to 22% growth under advances and 12% to 13% under deposits.

Deepak Poddar: And what sort of growth we're looking next year?

A. S. Rajeev: Next year also around the 18% to 20% we are expecting . Because when the balance sheet size is increasing, definitely 1% to 2% growth rate may come down.

Moderator: We have the next question from the line of Mangesh Kulkarni from Almondz Global Securities.

Mangesh Kulkarni: Sir, I just wanted to know, today's media, paper suggests that we are looking for fund raising and a

ppointing the merchant banking. So what kind of time line we are looking? Will it be in the first quarter or second quarter of FY '24 or later on?

V.P. Srivastava : You have rightly heard about the capital raising plan of the Bank of Maharashtra. Recently, we have come with the RFP for selection of BR LM. And what we are planning that in first or second week of February , we will hit the market. We intend to raise INR 1,000 crore capital.

Mangesh Kulkarni: And in terms of our prudentially written -off accounts, what will be the quantum on which we will be sitting? And what kind of recovery targets we are looking from that?

P.R. Khatavkar : Yes. Prudential write -off, we have already told that INR 500 crore we are expecting recovery in this quarter, Q4.

Mangesh Kulkarni: So what is your total outstanding quantum which is there?

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P.R. Khatavkar : Around INR 18,000 crore that quantum is.

Mangesh Kulkarni: So going forward also we will be looking similar kind of run rate in every quarter, around INR 500 crore ?

P.R. Khatavkar : So we keep our aim like that only.

Mangesh Kulkarni: And slippages also you are guiding similar what -- equal to or like upgrade and recovery will be equal to the slippages, right?

P.R. Khataavkar : That is again our aim.

Moderator: We have the next question from the line of Ashfaq Ahmed from A Squared Financial Services.

Ashfaq Ahmed: Many congratulations, MD sir, ED sirs and the vertical Heads for an amazingly and a consistent result. So I have -- two small questions. One is that, especially, with regard to your MSME and retail portfolio, because in the last -- around more than a year, we have increased our footprint across India in a very calibrated way. So what boost in the MSME and retail credit we are expecting because of the increase in our footprint across India, - in the interlines also?

And the second is that since we have increased our footprint with additional zonal offices, additional branches, obviously, to boost the business, so, and how do we see because of this the impact on the cost -to-income ratio?

A. S. Rajeev: MSME and retail as of now for the past two years we are growing at the level of 24% to 25%.

And MSME, we are expecting around 20% to 22% growth rate in coming quarter also. And retail, around 23% to 24% is the growth rate we're expecting. And second point is regarding...

Ashfaq Ahmed: Cost-to-income ratios?

A. S. Rajeev: Current year, we have opened 106 branches, and another 150 branches permissions is already given and in the process. So before March, another -- this quarter, another 50 to 60 branches we'll open to end with 2,200 branches by March. And the remaining branches, we'll be opening next year.

Ashfaq Ahmed: And on the cost -to-income ratio, sir, how do we see that guiding.

A. S. Rajeev: Cost-to-income ratio now, I think, 39%, 40%, our aim is to keep around the 40% cost -to-income ratio. We will be able to do that.

A. S. Rajeev: Yes.

Ashfaq Ahmed: And sir, one small question, a very strategic question. Like if you see in the MSME and retail, the majority of the transactions that are happening on the ground is not because of the credit formation right now. It is because of the balance transfer that is happening, that is the customers Bank of Maharashtra

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are moving from one bank to another every six months. So how do we put ourselves -- means on -- what is our strategy so that we can grab the majority of the pie that is shifting from one bank to the another? Especially, in the MSME, it has been the trend of lately for the last around 1.5 years that even for 50, 25 bps the customers are moving from one bank to another. So what is our strategy to maintain the MSME book, consistent MSME book? This is just strategic questions I have?

Asheesh Pandey: Yes, As

hfaq, as you have asked, I am Asheesh Pandey here. So as you have asked about the MSME growth in retail. So you had one more thing in mind, like when we are increasing the branches, so how the growth. So MSME, it is already explained. And very clearly told you that how we are going to do the growth from the MSME, retail. And even you agreed like outside Maharashtra with this new footprints.

Now you wanted the cost -to-income ratio. Certainly, you feel probably that with the increase in branches, there will be more than the expenses.

Asheesh Pandey: Yes. So I think having a spoke model. So where we have only one branch mainly, and then we are having either BC and the CSP model to service customer which is very cost effective one. Secondly, the bank has also looked the entire processes and is reviewing it. So wherever with technology we can reduce the cost that is also taking place across various functions in the bank that is why cost -to-income 40% plus/minus 1%.

Now your third question was the MSME and retail. So what you are like probably perceiving is that there is a huge balance transfer. Am I audible?

Ashfaq Ahmed : Yes, sir.

Asheesh Pandey: Okay. Like balance transfer is going on. But actually we are perceiving differently, if you see even the various credit rating agencies and various research reports. See, the demand is very welcome. If you take the housing itself and both vehicle loan, particularly the EV segment, the demand which is coming in is very huge. So what we are doing is that the Bank of Maharashtra has also fine -tuned its various policies, where the DSA appointment in the specific areas, specific locations.

And also, bank has identified along 15 clusters. So I would not say the cluster scheme basically which is also in place. But then specifically focus with mid corporate branches and the corporate finance branches where we are targeting location -wise and we are trying with each location like the tiles maybe a cluster, maybe a textile can be clustered. There are three to four clusters if you take textiles, which Bhilwara, Tirupur, then engineering, Coimbatore is there. Ichalkaranji again in the textile.

So if you take -- the bank is very clearly like INR 300 crore to INR 400 crore eyeing for this cluster specific ally at each location. So not only the balance transfer. The bank is having very

much competitive edge because of the interest rate. So if you see, the home loan is also one of the lowest.

So two, three products are very competitive. So we do have a competitive advantage and the balance transfer, but then demand is also very much picking up, which bank is catering with specific tie-ups, with specific approach, focused approach and the locational approach.

A. B. Vijayakumar: Yes, I would like to add -- Vijay akumar here - regarding MSME. You asked a specific question that only the files are shifting. Yes, I do agree. But we are also in the market and we also have a scheme called Gharwapsi. So we continue to focus on the customers who left a few years before -- I mean four, five years before. We are bringing them by giving them a very market rated demand, attractive rate of interest in the terms. Our sense is now improvement in TAT, which we're focusing. And focused approach we have identified now major centers that we are giving a trust for improving in this particular cluster. Through that also we are improving MSME.

If you look at the MSME, there are three MSMEs only micro, small and medium. We have got a very, huge increase in the portfolio of micro. All our banks all our branches, the brick-and-mortars, are doing by growth on aligning with the national priorities, be it be a Mudra or PM Stand Up India or even PM Svanidhi we have been focusing. So we are aligning with the national priorities' objective. And that is the reason why th

e MSMEs growth is now robust. And we continue to focus on this.

Ashfaque Ahmed: Perhaps my complement: your TAT is perhaps the best in the industry, I would say, right now. And many congratulations, sir, for answering all the questions.

Moderator: We have the next question from the line of Akash Jain from Ajcon Global Services Limited.

Akash Jain: Congratulations, sir, on a very good set of numbers. My question sir, regarding the co-lending book. What is the size of the current co-lending book? And what is the target to increase it?

Amit Sharma: Sir, at present, total loan book size in co-lending is around INR 500 crore. We have developed our software. So once that is stabilized, we'll take it forward, sir, on a much larger scale.

Akash Jain: Okay. And have we are in talks with NBFCs to increase this book?

Amit Sharma: Yes, sir, we regularly have discussion with all the stakeholders in this regard, sir.

Akash Jain: Okay. And also on the gold loan book, what is the size of the gold loan book? And what is the bank's strategy to increase it?

A. S. Rajeev: Now the gold loan balance outstanding is around INR 6,000 crore. And gold loan is growing at the level of around 30% to 40%.

Akash Jain: Okay. And what is the target for this book?

A. S. Rajeev: So target is given to the branches to reach INR 7,500 crore in March. I think we may be able to reach INR 7,000 crore to INR 7,500 crore by March.

Moderator: Sorry to interrupt. Sir, we missed on the number. Can you please repeat it?

A. S. Rajeev: Yes. Target to the branches is given around INR 7,500 crore by the March end. So we may be able to do that for gold loan book.

Akash Jain: And what is the yield that we are getting on this book?

A. S. Rajeev: Yield is around the 7.90% to 8%.

Akash Jain: Okay. And also in last quarter, we had talked about using the excess SLR. So I think it was around INR 18,000 crore as on last quarter. So what is the excess SLR as of now? And what has been utilized so far?

A. S. Rajeev: As of now, only 3% to 4% excess SLR is there. Balance we have already utilized. That is why we have not raised much funds through deposits. So another INR 5,000 crore to INR 6,000 crore excess SLR we may be able to utilize through increasing the CD ratio.

Akash Jain: Okay. And CD ratio we have talked about, I think, increasing to 80%. So that number we are sticking to.

A. S. Rajeev: Now it is 75%. Another 3% to 4%, we will be able to increase that.

Moderator: We have the next follow-up question from the line of Ashok Ajmera from Ajcon Global Services Limited.

Ashok Ajmera: Thank you for giving this opportunity again. Of course, a lot of clarity has come after the deliberations with my other colleagues, analysts. But sir, I would touch again this raising the capital of INR 1,000 crore through equity. Sir, now of course, our share prices are firming up and it has come to a very good level, almost about, I think, 1.75 to book, or maybe it may reach

to maybe two times of the book.

But whenever capital adequacy is already 17.5% and we are having a very good profitability. And in any case, it doesn't help as far as your CD ratio is concerned. What is the basic purpose of raising this INR 1,000 crore as an equity now, just to take advantage of the rising share prices or anything else is there?

V.P. Srivastava : That as per the SEBI guidelines, we have to reduce the government value to 75%. So partly for this purpose, we are coming with the issue of equity share capital. And you know that we are having the growth of advances to 25% we are planning. For that here we require the capital. So for that, we are going to raise the equity share capital.

Ashok Ajmera: So from 90.97%, it might just come to...

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V.P. Srivastava : Sir, it will not

remain 90.7% once you increase advances by 20% to 21%. So at the time, you require the capital.

Ashok Ajmera : Okay. The government holding will come down to...

V.P. Srivastava : Yes, government will come down by...

Ashok Ajmera : Only by 3% or 4%, I think.

V.P. Srivastava : Yes, yes.

Ashok Ajmera : It will come down with this. Okay, sir. Sir, my one question which was there last time also, which was remained unanswered, was that note number 12, the accounts acquired, INR 1,916 crore at 24.91 tangible security. I just wanted to know the quality of these accounts which are acquired with such a low percentage of the tangible security. What are these accounts? And after having acquired, is there any stress or anything that has been seen in the last couple of months on these accounts?

Sanjay Rudra : I will tell you. These accounts are basically related to the securitized asset which we have purchased from other NBFCs. These are basically pertaining to MFI. MFI loans are not considered as a secured asset in our book. So we have classified these assets under the unsecured category. Mostly, these are pertaining to that only. And here, when we are going for the full buyout, we go for the loss estimation also. And as for our book, it is loss estimation given where most of the MFI is below 3%, but it is basically in the range of 1% to 1.5%, which we are observing as on date for the last so many quarters. So the NPA percentage in this book is very low and the returns are very good.

Ashok Ajmera: So going forward, are we continuing the same trend? Like it becomes almost about - I think this is INR 1,916 crore is a good amount during the quarter. So are we going to keep the same trend? Or we have reached to a certain level now and we don't want to increase much?

Sanjay Rudra: Yes. I will explain here that, see, these are the MFI loans, which is the maximum duration of the loan is between 1 year to 15 months only, because they are giving for 24 months. Then there is a holding period is there. So effectively, it is coming in our book for a period of 12 months to 15 months.

So, we are acquiring this too, but the repayments are equally fast. Most of the loans are repaid within a period of 18 months. So, these are the acquisitions. But outstanding's are always much lower than what is acquired during the quarter.

Ashok Ajmera: Thank you sir. Now, as the discussion was going on that we are already on the net NPA of 0.47% and whether net -to-net the recovery from the accounts which are totally written off will come either as a reversal of provision or as a profit to the book. So naturally, do we need to have any further provision? So, what do we have in mind about that ad-hoc provision of INR 1,200 crore which we have on the COVID account developing the COVID situations in future?

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So, do we have any plan to even make use some part of that even in March for the whole year ending, so that no further provisioning as such net -net is required in the March and we can have a bumper profit in the books? Any idea on that?

A. S. Rajeev : As of now, nothing is given by the Board. For this last quarter also at the Board level they have discussed, under Reserve Bank of India level also. Then only this third wave started somewhere here and there. Then they told that we will wait and see. And of course, finally, it has to come to the books as a profit and it will come to capital or profitability.

Ashok Ajmera: Sir, on credit side, what is our position on direct lending for onward lending to the priority sector to NBFCs? Have we reached to that particular level? Are we considering them still? Second is our corporate book has again started growing well.

Ashok Ajmera: Some color was given that -- I think the GM Credit observed, infrastructure and something. Can we be a little more specific on that...

A. S. Rajeev : No, NBFC, we have a Board approved level is given up to -- 8% to 9% of the total advances we can go NBFCs. But we have gone only 5% to 6%. There is a gap of 3% to 4% of the total advances. But very cautiously we have gone for that. And now presently, we have gone for some of the accounts, basically corporate is one, some of the pharma sector or some petroleum sector and some aviation.

Aviation means not this type of aviation sector per se. It is for development of airports. As well as highly rated AA and above accounts we have gone for that. And some accounts - some amount has gone to NBFC also, INR 2,000 crore to INR 3,000 crore. But keeping - 5% to 6% of the total advances, we have kept it for NBFCs.

Asheesh Pandey : Yes. Ashok, particularly manufacturing we are looking more as a banking focus where exports are more.

Management: Yes. Actually, we are looking more in pharma or maybe a textile or maybe even the engineering goods. And what we are looking is that it should be an export more. So, the bank is focusing to augment its even fee-based income. So that's the reason that we're focusing more on the ventures, particularly like the pharma, textile, maybe in some of the things which we have seen. The glass is doing very well, industry and some of the places. And particularly, in some of the locations, we have seen even the EPC is also doing somewhere better, slightly.

So, these are some of the sectors which we are looking apart from the infra. And as such the forex part, where import, export are more and where the good working capital and the manufacturing sector is the focus.

Ashok Ajmera: What are your views on auto ancillary?

Asheesh Pandey : Yes, auto ancillary too, particularly EV side.

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Ashok Ajmera: We are open for that...

A. S. Rajeev : And I think that at our export growth rate was quarter -to-quarter, it is around 40% to 45% for the current year. Export is doing well and earlier, bank was not having that much export area. And medical devices, medical equipment's, that types of areas.

Asheesh Pandey: Even hospital sector, we are...

A. S. Rajeev : It is a wide range of areas, not a specific area.

Ashok Ajmera: Yes. A very wide range. My last question, sir, is on treasury again, where do we stand? So, you have already given the idea that as per the RBI -- I mean, what we can infer is there can be another 25 to maximum -- I think 25. Because 35 basis already came, 60 was expected total.

So, if that is -- if it comes, say, another 25 basis point, does it make any change in our dynamics, in our way of working or everything is fine, we are capable of taking care of that?

A. S. Rajeev : Yes, everything -- that is what -- first itself, I told that 210 basis point change has come. It will not change any dynamics. So, another 25 or 50 basis points comes also, it is not going to much impact.

Moderator: We have the next question from the line of Franklin Moraes from Equentis Wealth Advisory.

Please go ahead.

Franklin Moraes: Yes. So, I joined a bit later in the queue. So sorry if this question has already been answered. I wanted to know what is your total write-off book?

A. S. Rajeev : The total write-off book is around INR 18,000 crore.

Franklin Moraes: So this is which is already part of your book, but it has not yet gone out of the books, right?

A. S. Rajeev : No, it is already written off in the books. And it is not in the books actually. But recoverability is concerned, legally it is recoverable and we are recovering also. So, this quarter, we have recovered around INR 200 crore. And next quarter, as our GM Recovery has already told, that the expectation is around INR 500 crore recovery for next quarter.

A.B. Vijayakumar : Sir, I'll make it more clear. See, INR 18,000 crore it is written off from the financial results we have published today. But this

INR 18,000 crore is very much in the branches of our bank. And our branch at the field level, they are -- day in and day out, they are focusing on recovery. The target for recovery is also on the basis of the outstanding line in the branch book. But publication of results, it is not there.

Franklin Moraes: Also, what part of this book would probably go under NARCL maybe in the next one year or two years?

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P.R. Khatavkar : It is around INR 3,000 crore , INR 2,700 crore to be precise.

Franklin Moraes: This is already transferred?

P.R. Khatavkar : No. The process will start now. First will be transferred in this month. It is expected to be now. The process has started.

Franklin Moraes: And what could be the maybe time line for transferring of this INR 3,000 crore ?

P.R. Khatavkar : See, it is shortlisted accounts. Now certain accounts will get finalized in a process. So, it keeps -- a dynamic list always. It keeps changing also with the circumstances. So, at present, at least we expect one account in the first quarter, definitely will get transferred.

Franklin Moraes: And could you also share some insights in terms of what is happening at the NARCL level? Because last year is when they started, but so far we have not seen any accounts getting resolved?

P.R. Khatavkar : Yes. See, in NARCL, actually, there was a delay because of that approval of bank guarantee, which are SRs are given which is backed by the government guarantee. That approval in NARCL was to be received. Now very recently in the last week only, the government has given the approval. So that process has now started. Now everything will happen fast. The account transfer will start happening now.

Franklin Moraes: Any quantum that is being targeted maybe in the next six to nine months?

P.R. Khatavkar : See, for our bank concern, we expect at least in the first quarter one account is definitely -- this Q4 one account is definitely going to be transferred. Remaining accounts will follow in the next year.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Shri A. S. Rajeev, Managing Director and Chief Executive Officer, for closing remarks. Over to you, sir.

A. S. Rajeev : So, thank you so much for having one hour discussion of -- and afterwards, also any update -- anybody having any kind of queries or anything, we will be in touch with you and our CFO will be open to give any clarification or any figures, whatever required. Thank you.

Moderator: Thank you. On behalf of Bank of Maharashtra, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you, everyone. Have a great day.

This is a transcript and may contain transcription errors. The company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2023

AX1/ISD/STEX /2023 -24/ Date: 28.04.2023

The General Manager,
Department of Corporate Services,
BSE Ltd.,
P.J Towers,
Dalal Street, Fort ,
Mumbai - 400 001
The Vice President,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

BSE Scrip Code: 532525 NSE Symbol: MAHABANK -EQ

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 24.04.2023 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the enclosed transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for Quarter/ Financial Year 2022 -23 held on Monday, 24th April, 2023 .

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Nehal Rawat)
Company Secretary & Compliance Officer

Encl: As above

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“Bank of Maharashtra Limited
Q4 FY '23 Earnings Conference Call”
April 24, 2023

MANAGEMENT : MR. A S RAJEEV – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – BANK OF MAHARASHTRA
MR. A.B VIJAYAKUMAR – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA
MR. ASHEESH PANDEY – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA

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Moderator: Ladies and gentlemen, good evening and welcome to the Q4 and FY'23 Earnings Conference Call of Bank of Maharashtra. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. We have with us from the management, Shri A.S Rajeev, Managing Director and Chief Executive Officer; Shri A.B Vijayakumar, Executive Director; Shri Asheesh Pandey, Executive Director and all General Managers of the bank. I now hand the conference over to Shri A.S Rajeev. Thank you, and over to you, sir.

A S Rajeev: Thank you, And good evening to all. Today, our Board of Directors adopted the financial results for the quarter and the year ended, 31st March 2023 of our Bank of Maharashtra. And we are happy to share our results with all the investors. And this year, particularly the quarter, it was one of the best quarters as far as bank is concerned.

And for the whole year, the result is comparatively good. I'll share some of the results at a glance, then we can start our question-and-answer session. The total business grown by 21% to INR 410,000 crore, the deposit increased by 16% to reach INR 234,000 crore, gross advances increased by 30% to INR 175,000 crore. As of now, the CD ratio is improved to 75% and gross NPA 2.47%, net NPA 0.25%.

With this provision coverage ratio is raised to 98%. For the current quarter, net profit increased by 136% to reach INR 840 crore and operating profit grown by 57% to INR 1,855 crore. Net interest income increased by 36% to INR 2,187 crore for the current quarter and NIM improved to 3.78% as of the 31st March, 2023. Cost-to-income ratio improved to 38% and ROA improved to 1.32%, return of equity improved to 26%. The CRAR improved 18.14%, of which Tier 1 is 14.25%.

For the full year, net profit increased by 126% to reach INR 2,602 crore as against INR 1,152 crore for the year last year. Operating profit has shown a growth of 26% to INR 6,099 crore, against INR 4,848 crore for the year ended March 31st, '22. Net interest income for the full year grown at 28%. Fee-based income is increased by only 6% as during the current year because of the shift in interest rates. Profit on sale of securities was not there. Instead of that, we have given around INR180 crore MTM provision for SR more than five years at 100% provision we have made.

If the provision was not there, there would have been a growth of around more than 20%. So onetime measure, we have given SR provision of 100%. Cost-to-income ratio, for the full year, it is 39%, as against 44% last year. ROA for the full year is 1.1% as against 0.55% for the year ended, March 31, 2022. Return of equity improved to 20% as against 11% for the last year.

RAM sector is the one where major growth happened. Retail grown by 23%, MSMEs grown by 27% and Agriculture grown by around 25%.

So, the total RAM sector is grown by around 24% to 25%. Net advances have grown by 31%.

So, last year, up to last quarter, we have kept INR 1,200 crore provision, COVID-19 provision we have kept it, so that provision we have not utilized and it is kept as it is. It is not considered

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for capital adequacy purpose also. It is like floating nature. As and when required, that may be able to utilize that. So, these are the major area of the financials, and now I request Mr. Pandey to brief regarding digital area, about initiatives that we have taken for the current year, if it is okay, Madam. Thank you.

Asheesh Pandey: Thank you, sir, and good evening to all the analysts. You would

have already seen the bank

performance results. So, accordingly to inch up further, you would have seen almost say, for last one year or so, bank is adding up the business in the range of say, INR 60,000 crore to INR 80,000 or INR 90,000 crore. So, that is very much imperative to augment its technology.

So first of all, the Board has already adopted and directed to have a budget of more than INR

1,000 -plus crore to augment this technology and various accounts.

So, bank is working upon the three important pillars. One is the digital operations which means whatever banking operations we are doing, converting it to more and more technology, whether it's a reconciliation, whether it is reconciliation even not T+1, but whether more frequency within the day. So that is one sort of thing.

And so second is what sort of operations can be converted to digital journeys? So, bank, you would have seen the two press release, one which has come on our Commencement Day, 8th of February and another last month because the bank has also taken a decision that each month, there will be a digital launch day.

The third pillar is digital compliance. So, because the compliance is one thing, when it becomes a legacy, it takes a lot of time and the resources as well. We are thinking to imbibe all those sort of compliances within the journey itself. So, within these three, we are banking upon, amongst others, basically on the three cases. The one is the artificial intelligence that we are on the verge of finalizing so that we will be directly taking up the robotic process automation long back, we have already started deploying.

So almost 10 processes we have concluded and the 62 approval we had. Around 100, we have already identified. So, that business process finalization and all is happening. And the third is machine learning, which is analytics or deep learning, I should say. It is in place with the analytics team in the bank which we are using for our soft collections, also for the upsell, cross - sell and also some of the areas where we have to strengthen or to understand where our stress book will be. So, I think under these three pillars, which we are working, the fourth is that already, which is in our website.

We have come with almost more than 50 RFPs for our various collaborations and IT initiatives. And going forward, within this month itself probably we'll be seeing some of the biggest RFPs, which we are coming on the lifestyle banking and other things. So, in this, again, what we proposed and the Board has deliberated is that on the business acquisition side, we are thinking for starting with the 5%, not only on the asset and liability, but even on the third -party products. So, with starting from, say, 4% to 5% this year to increase it to almost 25%, 30% in the next three years' time.

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So, this is what we are looking from the technological side. And secondly, we have done some very big collaborations on the technological development/ digital journey. Second is the CRISIL, which is already in the press release and it is corpus history. So, we have strengthened our system of appraisals in the bank. And the third is where we are using AI. So, in brief, this is the total vision that the Board is having and on which the entire bank, all of us, we are functioning. This is the brief on the technological or the digital initiative, which bank is aspiring and the areas which we want to cover. Thank you.

Moderator: Should we begin with the question -and-answer session, sir?

A S Rajeev: Yes. There is one point I forgot to tell you and the Board has already recommended 13% dividend for the current year as well as against the last year, it was 5%. Yes, now we can take up the question -answer.

Moderator: We have a first question from the line of Ashok Ajmera from Ajcon Global. Please go ahead. Ash

ok Ajmera: Thank you for giving this opportunity. My compliments to you, sir, very rich compliments to you, Rajeev sir, Vijayakumar, Asheesh for the fantastic performance. I mean, it's not that only one quarter or two quarter, quarter -after-quarter. And in the whole year, you have given one of the best performance taking the bank total business beyond INR 4,00,000 crore. And I think you can be ranked as one of the best banks, if you look at least eight to nine parameters out of 10 parameters we have excelled exceedingly well. So, my compliments to you all. And especially even on the dividend front, going from 5% to 13%, I mean, 13%, is also another big achievement for a small bank like, small in the sense their business if you compare with other banks.

Having said that, sir, and even on the operating profit, you have performed well INR 1,855 crore this quarter as against INR 1,580. On the provisioning side, sir, the provisions have increased, even though the provision for NPA is not increased much hardly INR 7 crore. So, these other provisions which have increased. Will you elaborate on that? And whether it is going to be the feature in the coming years, too, this is one. Secondly, after growing so fast, even in the last quarter, I think the credit growth is almost 29.5% or so. Where do we see the bank going forward that are we going to, because still our base is low. So, are we going to go on the same pace in percentage terms? And making it almost totally 100% provided bank with the ROA of, say, 1.5 % or so.

So, what is our plan for the future for the FY '23 -'24. And on this digital journey, I mean, he has taken through the digital initiative, out of this INR 1,000 crore, which has been approved by the Board, how much has already been spent till now? And how much do we plan to spend in '23 -

'24? These are few observations and questions in the first round. And I think I'll get only chance for the second round.

A S Rajeev: Yes, Mr. Ajmera, thank you so much. And first query is regarding provisioning. The total provision for March '23 is INR 945 crore as against INR 582 crore for December and INR 365 crore for corresponding March. You can see that the script which we have given in this page number 17 of the presentation, that provisions for standard assets is given, INR 545 crore is the provision for nonperforming assets which is in tune with other quarters also. And basically, 0.47

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was the net NPA for last quarter and additional INR 250 crore -INR 300 crore was given for the reducing the NPA.

So otherwise, provision may not be required for in coming years, coming quarter also because there is nothing to reduce now because of the 0.25 range, we may have to continue as net NPA ratio that will continue. I think, INR 200 crore -INR 300 crore excess provision we have made. Second point is that regarding INR 280 crore provision we have given for standard assets. The standard assets have two components. One component is it should increase in the growth corresponding to December '22. From December '22, INR 10,000 crore to INR 15,000 crore standard assets has increased.

On an average, it is coming around 0.5% if it comes around INR 70 crore, INR 75 crore will come for standard asset provisioning and the remaining provision we kept for cushion little floating provision, we kept it because when the bank is coming for ECL, then next year RBI has given that from 2024 onwards bank has to give importance for conversion from the present provisioning to see expected credit loss methodology. We are creating certain provisions for in standard assets provisioning for moving forward because once the expected credit loss has to be classified under standard asset provisioning, not from NPA provisioning.

So, some INR 150 crore is kept for that, which is a floating type nature. So,

INR 167 crore non-

performing investment is given, INR 167 crore is given that is basically for SR provisioning because we have some SR that is below five years or three to four years, above five years. So that 100% provisioning we have made and with this, I think we don't have any SR. Now the provision is to be given 100%, we have provided. So otherwise, provisioning in future also there may not have much impact requirement for provision is concerned.

Second point is regarding the growth. Current year, the growth was 30% in advances and 16% to 17% for deposit growth. Deposit growth we have not taken much deposits because wherever possible, we have gone for our borrowing window which we have utilized. So slightly deposit growth rate has come down. The second point was the interest rate, the market interest rate was also slightly high so we have not utilized that window. In the coming years, 2023-24, bank may be able to perform as per the direction given by the Board.

20% to 22% is the growth rate envisaging by the credit and 15% to 16% is the growth rate for deposits. The growth rate of deposits of the current year will continue for next year also but the advances growth we are bringing down because last year, 30% growth rate was there and the base also year-after-year, base also is increasing. Definitely, 2% to 3%, we have to bring down the growth rate. So, otherwise, there is no such problems, and we will continue to grow. And we kept INR 500,000 crore business target of financial year '24.

Last year, we have kept, INR 400,000 crore business target, Super achievements target of INR 410,000 we have reached. So, INR 500,000 crore target is kept for financial year FY'24 and with these growth rates, we may be able to reach that. Regarding the digital, I think Mr. Pandey will tell you that correctly.

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Asheesh Pandey: Yes, Ajmera sir for every year, we are thinking INR 1,000 crore plus. It generally starts from the August, September to the next August. So, in this already, we have spent, I think, more than INR 600 crore. Some of the RFPs are already floated, which are on the way for the closure.

Some are already closed and some we are going to float another, say, 1 month time. As we said, the budgeted more than INR 1,000-crore plus that we will be going to inch up and end up with in this year as well as the next year.

Ashok Ajmera: Okay. Sir, if I'm permitted, we had certain accounts that are allocated for 13 accounts, I think, about INR 2,700 crore, shortly said. So, what is the status there in NARCL?

Management: This NARCL account list is, of course, dynamic. It keeps changing every time because some accounts are getting added, some accounts are getting deleted. At present, it is INR 2,400 crore now. We feel that, it is shortlisted for NARCL. Some accounts will come in the first quarter and remaining in the current financial year. One account has already been, two accounts have already

been received in Q4. One is JP Infra and another is Mittal Corp. Of course, though it was NARCL bid, actually, it was won by another ARC in Swiss challenge and finally, the account was transferred. So, two accounts finally done for our bank and remaining will happen now in the current financial year.

A. B. Vijayakumar: Little more I add along with our GM. I'm Vijayakumar here, ED. Total number of accounts short listed NARCL 43, Bank of Maharashtra has got 12 accounts, amounting to INR 2,673 crore., JP Infra that one account is in a discussion state, remaining 11 in the process.

Ashok Ajmera: Sir, the way we are going, the gross NPA is also expected to be reduced considerably in '24, as compared to what we have provided, net NPA has come down considerably to 0.25 %, but gross NPA is still, I think, 2.47 % or something. Is there any major reduction scope in the gross NPA in this year?

ar, I mean, '23 -'24?

A S Rajeev: We will try to bring down below two.

Ashok Ajmera: Thank you, sir. I will come back. I've got some other queries also but just to give the opportunity to others.

Moderator: Thank you. We have a next question from the line of Akash Jain from Ajcon Global Services.

Akash Jain: Sir, congratulations for a fantastic set of numbers. My question is regarding the gold loan book size. What is your target for the gold loan book? How is the book behaving in terms of delinquency? And what is the yield of the gold loan book and the means that you are enjoying? That is my first question. And my second question is your outlook on the restructured loans. So, how is the MSME restructured book behaving? And what is the percentage of MSME restructured book to total advances as on date? That is my second question.

Management : Yes, total gold loan portfolio of the bank is around INR 7,000 crore, and we have kept a very competitive pricing for the gold loan because the risk weight is zero. Our average yield on the gold loan is around 7.25% with a zero delinquency which is one good sign of our gold loan portfolio. This comprises both on the retail side segment also and the agriculture segment also.

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Regarding the restructured book, we had only INR 4,200 crore of total restructure, which are most likely to be come out from the current year because the periods are getting over.

Accounts are more or less working fine. There are not much delinquencies are observed. Even in our total SMAs, you see, it is almost 0.45% of our total advances book. So, restructuring book is performing nicely, and there is no major risk on the restructuring book also.

Akash Jain: Okay, sir. Another question is considering the accumulated losses that you're carrying on your book. So, what kind of taxation we can expect in FY '24 and your comments on the DTA reversal going forward?

Management : Sir, we do not have any accumulated loss in our accounting book. In the income tax, we have an accumulated loss. Accordingly, we don't need to make any tax provision for that. But whatever the DTA we have created earlier against our losses that also is already reversal is done. Now not much DTA is available. It is only the timing difference DTAs are on book of a small amount.

Asheesh Pandey: And overall carry forward loss is roughly INR 8,000 crore and it will give us benefit for another two years.

Akash Jain: Okay. And with regards to credit cost, what would be your guidance since the provision requirement seems to be less now and slippages are also under control. So, can we expect credit cost below 0.5% for FY'24?

A S Rajeev: Yes, it will be around 0.5% to 0.75% range, we can keep it.

Akash Jain: Okay. For FY'24?

A S Rajeev: Yes.

Asheesh Pandey: Whatever credit cost fee, that is on account of additional provision we have made in order to bring down the net NPA. The goal what sir has told, that it will below 0.5%.

Akash Jain: And your outlook on the treasury book?

Asheesh Pandey: In treasury book whatever bad patch we have already seen and you know that now the RBI this time has paused the rate also and going forward, we are expecting that softening of yield. We are expecting not only the yield of the treasury will go up. As well as that, we will book the trading profit and there would not be any MTM depreciations. So overall outlook is good in respect of the treasury.

Akash Jain: And with regards to corporate credit growth, which are the sectors that have led to this kind of good growth in the corporate book? Earlier we were focusing on different clusters like pharma cluster, textile cluster, also infrastructure projects, especially Namami Gange. So going forward now, which sectors are we focusing? Are we continuing the same focus, the sectors we discussed earlier?

Asheesh Pandey:

A S Rajeev: Yes, these are the same sectors what we have grown, earlier bank has not grown some of the sectors like pharma loan. This is LRD area where bank was not having any exposure, little exposure we have taken in LRD, other manufacturing sector and the corporate sector, the growth is though it is classified as corporate, the major component is coming from mid-corporate sector that we are looking for now, not these bigger corporates which we are not looking for.

Akash Jain: And sir, what is your sanction pipeline as on date for the corporate book?

Asheesh Pandey: Around INR 7,000 crore we already have in sanction pipeline.

Akash Jain: And fund based, non-fund based?

Asheesh Pandey: Basically it is more of a fund based only. Non-fund will be extra.

Akash Jain: Okay, that is all from my side. As of now I will come back in queue.

Moderator: Thank you. We have a question from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Thank you. I think Akash is also from my company and we have been only asking the question to the management. Most of the points have been covered. I would just like to know something about the NBFC exposure of the bank and how are we placed on overall limit on that and co-lending and where are we heading? What kind of yield are we getting from the NBFC business and what is our outlook on that sir?

Asheesh Pandey: Sir, regarding NBFC sector, we are continuously assessing our sanction exposure and based on that we are taking decisions as and when required and we are taking exposure in the top rated NBFCs only with the focus of having good return also which is prime sir. Regarding co-lending, after having gained experience, we are poised for good growth in co-lending and we are working on that front along with digitalization of that co-lending process.

Ashok Ajmera: What is our total book size of NBFC loan book?

A S Rajeev: It is approximately INR 10,000 crore.

Moderator: Thank you. We have our next question from the line of Himanshu Taluja from Aditya Birla Sunlife AMC. Please go ahead.

Himanshu Taluja: Thanks for the opportunity. Just a few small quick questions. Firstly, given we have seen a margin expansion of 18 basis points in this quarter as well and as the deposit pricing is catching up, how you see the margin outlook going ahead? Do you see any still further scope of a margin expansion? So that is my first question.

Second question is around, are you seeing any signs of withdrawal of the sanction limits of the corporate because of any nature of slowdown in any of the sectors? So that is my second question. And my third question is how is the pricing competitive intensity at this point from the corporate pricing? So these are small quick question two-three?

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A S Rajeev: The first one is regarding the margins. I think now as of the present quarter it is 3.78%. I think we will be able to continue with the same range of margins with a plus or minus 20-25 basis point here and there. Something definitely, it will be about 3.5%. We may be able to keep that, pricing is also connected with the margin and as far as pricing is concerned, we are looking to consider the pricing factors and even if corporates also, wherever highly competitive corporates we are not looking for.

So the pricing and reasonable profit or reasonable pricing, that type of corporation we are looking for that. So the pricing part, as of now, no competition is there in spite of competition and our cost of deposit is comparative and CASA ratio is high so slightly we can go with the lower pricing in the market with highly rated customers for whom we are looking. As you are aware that our pricing in housing loans, 8.40% is the lowest in the industry

try actually.

So the same kind of pricing, differentiated pricing will be due for highly qualitative customers. So that is the strategy which we are adopting. For example our housing loan portfolio or that type of retail portfolio, over 800 Credit Score is coming, it's a double digit is coming, that 15% to 20% is coming above 800 number is coming. So the quality is improved. The strategy of the board is to improve the quality above the operating profit level so that the provision has to be nil, that is the strategy we are adopting that.

The third point is regarding sanction, withdrawal, there is no such issues and we have enough cushion, but we are on selective basis only, corporate selections are doing only on a selective basis with reasonable pricing. So there is no such issues or concern. Still there is good flow of corporate is coming and on a selective basis we are picking up that.

Himanshu Taluja: Okay, sure sir. Just one small last final question. When you mentioned that you are expecting the margins to range between plus minus 25 basis point in the coming fiscal year, I understand

that downside triggers for the margins if decelerated to 25. What would be the margins uptick trigger according to you in the coming year?

A S Rajeev: Why I am keeping that 25 basis margin plus or minus because as you are aware when the 48% to 50% advances of the RLLR is based upon the external benchmark. So RBI has already paused the rates and we do not know maybe one more quarter they may pause and chances are there the interest rate cycle is coming down then definitely the rates may come, started coming down 25 basis or 50 basis point each, definitely this will impact the RLLR. So then when the prices are coming down definitely that transfer of pricing has to be happened.

So that is why I used that 25 basis point here and there we told but with the 3.50 range bound is kept at the margin. We feel that 3.50 % to 3.60 % is one of the good margin actually.

Himanshu Taluja: Okay, sure sir. Thanks a lot.

Moderator: Thank you. We have a next question from the line of Vikram Damani from Damani Securities. Please go ahead.

Vikram Damani: Okay. Congratulations on a good set of numbers. I just had a question with relation to taxes.

Year-on-year on a percentage basis it has fallen significantly and even on a quarter-on-quarter

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basis there does not seem to be any sort of consistency in terms of percentages. So if you could throw some light on it, I understand you said that INR 8000 crore worth of carry forward losses but going forward what can we expect? If you can just explain this a little bit. Thank you.

Asheesh Pandey: Regarding taxes, what figure you are seeing in the profit and loss, this is not the outgo of any tax liability, it is the reversal of DTAs that we have done. When we are writing off the account and over-the-top provision, so what are DTA you have created on the disallowed provision that has to be reversed once you are writing off that. So because of that there was a tax liability in the form of DTA reversal. And since because we are holding INR 8000 crore carry forward losses, even though the taxable income may come but it will be adjusted by the whatever that losses we are having.

Vikram Damani: Okay. So that is a good thing to come from a couple of parts. Good to know. That is it for me.

Thank you very much and congratulations again. It has been a great quarter. Thank you.

Moderator: Thank you. We have a next question from the line of J K Jain from J K Jain and Company.

Please go ahead.

J K Jain: Thanks for the opportunity and congratulations for a very good set of numbers. One question, when we have got a capital adequacy ratio of 17%-18%, then where is the need for further capital infusion? Is it just a resolution to be in hand because it was said that in the first quarter a

bout

INR 1,000 crore of equity will be raised.

And second question, what will be the price of the equity? Because the company is now just looking very good. So if you dilute the capital, already about two years back the capital was diluted and the equity was doubled. So a bank of your size having an equity of INR 6,000 crore looks a little embarrassing while you are showing a very good set of numbers. But if capital is diluted, so it will affect shareholders. So your view on this please?

A S Rajeev: Yes, this capital adequacy ratio is now 18.14%. And what you are correct that ratios will be affected because of the high equity of INR 6,000 crore. But that is already what is already happened and the Government of India's equity investment is already done. But for the business, growth is concerned.

Now the present rate is 18%. When the bank is wanted to grow at the 20% to 22% range, if you grow, the same profitability profit itself may not be sufficient to keep the pace of the growth. So what we thought it should be 50%-50% that whatever the growth rate is coming, 50% growth rate will that growth will take care of the additional net profit generated during the years and the remaining has to be funded the capital through either borrowing or for equity.

So over a period of time, this INR 7,500 crore umbrella provision is given by the board is only for two to three years growth capital is concerned and we don't want to require any capital from government also. The equity we are raising that this is only for growth capital. But you can see that ROE if you see the bank is able to grow at the rate of 20%-22% ROE, it is one of the best return for the equity holders also.

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So for the time being to reach then second point is regarding SEBI guidelines, bank has to follow it is a compliance issue. By '24, you have to bring down to 75%. So this capital raising process is mainly for reducing the shareholding of the Government of India to below 75% over a period of time.

J K Jain: So you can do one thing that Government of India disinvest their percentage instead of floating

the equity capital of the bank of your size and which is progressing so fast and so good. Because I don't think there is any other bank in India which has got a virtually negative NPA and such a good profitability and all these things. So why -- because I have seen that in all the PSUs, the capital is so high, your bank and Canara Bank and all these things, it is high time that when the conditions of bank has improved because of the very good work done by people like you and in other banks also. So you can impress upon the government that if they want the money and they want to keep it below 80%, they disinvest. Why the bank suffers?

A S Rajeev: I think that the government also may look into that, we will see that because they are also getting the opinion from different sides. I think how they may think we have to, I think already some of the market participants have already asked like you suggested, they have already suggested to the government and they may look for that. That is my feeling.

J K Jain: In any case what will be the rate of, if suppose you issue shares in the first quarter, what is your expected rate for the shares? I think at least may be INR40 - INR45 something like that?

A S Rajeev: That depends upon the SEBI valuation has to be seen, so that depends upon the value, we have to see that. For this issue actually we have planned for last quarter also because of the value was not there, so we have postponed actually. So postponement any time it can happen, if it is not good, definitely it will postpone that.

J K Jain: So would you say that the result which you have shown in this quarter, this fourth quarter, it will be bettered in the first quarter of 2024? We can jolly well accept, feel that?

A S Rajeev: Yes

es, as of now it is, it will be better. As of now, because we don't know that the things that are from the present point of view of the results, I think we can have a better result. That is what we are expecting.

J K Jain: Another question, very small question, it is out of my curiosity, because we generally see that NIM is usually 4%, 5%, 3%, but I usually talk to people and I say that the banks are having a margin of 60%, 40%, because if you are lending at INR9 and getting fund at INR6, so I will say you have got a margin of 50%. Why you banks, people are saying that we have got a name of 3% only? What is this statistical calculation? Can you highlight this or can you throw some light?

Why don't we say percentage operating profit, that should be the percentage of gross profit? When we talk about any industry also, we say this company is earning a profit of 30% gross margin. Why banks all over the world, they go for 3%, 2%, it looks very low. If you start saying that yes, we are having a margin of 40%, the prices of shares and stakeholders will go up like anything. Your view?

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A S Rajeev: We may have to look into that, I don't have any, because market practices are there generally, but we will, if you have any suggestions, we will look into that, if any disclosure is required, we will do that.

J K Jain: It is a question not to you, but question to the general fraternity of the banking sector, particularly from the American side. Thank you sir, thanks a lot.

Asheesh Pandey: One thing is that, since the measured income of the bank is from the interest income, so other parameters are also measured in that interest, based on the interest income. That's why the name etcetera, it is coming into picture. And one thing we should not forget that there are the operational costs, that can be also factored in percentage term.

Moderator: Thank you. We have our next question from the line of Jayesh Shah from OHM Portfolio Equity Research. Please go ahead.

Jayesh Shah: Hello, thank you sir and big congratulations for excellent results. I just wanted to clarify, I don't know if I heard it right, did you say you have a INR1,000 crore of expense budget for digital infra? And how much of this, you said you spent some INR 600 crore, so is this INR600 crore coming into P&L or it is capitalized?

Asheesh Pandey: No, it is the total budget, both capital and revenue and we used to calculate in that way that how much we are going to have an IT expense, IT and digital now put together. So actually both it is collective only.

Jayesh Shah: I see. Can you give a break up of capital and revenue expense of the INR600 crore that you spent in FY '23?

Asheesh Pandey: I think you can take it around say I think 60 -40 right now because now many RFPs are already floated in last one year and some of the RFPs are going to be floated in next one or two months.

So that is the reason that since you are going to acquire the software, so the first year you know what is the license cost and other things will go into the capital and then ATF, AMCs and other things will go into the revenue.

Jayesh Shah: I see. So 60% will be the capital expenditure and 40% will be revenue.

Asheesh Pandey: It will be in between 60% -40% or 70% -30% range it will come, mainly for AMCs and other things. Then depreciation also will be one of the part it will come because within the year

period we may have to write -off. That means one third you have to write -off that.

Jayesh Shah: I see. So INR600 crore will go to INR1,000 crore for the next two years each year.

Asheesh Pandey: Yes.

Jayesh Shah: I see. Okay, thank you very much.

Moderator: Thank you. We have our next question from the line of Akash Jain from Ajcon Global Services.

Please go ahead.

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Akash J

Ain: Sir, my question is the recovery from written off accounts. So as on that what is the accumulated written off accounts amount and what is the recovery target from that? And my second question is since we are taking many initiatives, especially on the process fund, making it digital. So is there any scope of improvement in cost to income ratio? We are already having one of the good cost to income ratio. We are one of the most efficient banks. So is there further scope of improvement?

Asheesh Pandey: Recovery in written off accounts is at present it is INR1,000 crore, it is almost 5% of what is the stock. And we expect same 5% to 6%, 7% in current financial year also, around INR1,200 crores.

Akash Jain: I think last quarter it was around INR18,000 crore total written off in last year?

Asheesh Pandey: The write-off rightly said by you INR18,000 crore, it is growing also now it is INR20,000 crore.

Management: Out of that INR1,000 crore we have recovered in the current year. I think the same 5% to 6% range will continue for future years also. It is a continuous process.

Akash Jain: And last quarter also we had a discussion regarding excess SLR. I think it was last quarter it was around INR5,000 crore to INR6,000 crore. So as on date what is the excess SLR we have? Would it be used for improving CD ratio?

A S Rajeev: For first 5% excess SLR is still it is there. So that around INR12,000 crore excess SLR is there that we can utilize for borrowing or it can be converted to for credit purpose.

Akash Jain: And what is the target we are having for our CD ratio?

A S Rajeev: CD ratio is now around 75%. So 75% to 78% is the target we have kept it. 78% is ideal according to us at present.

Akash Jain: Any plans to rationalize branches?

A S Rajeev: Yes, this is a continuous process. Last year also we have rationalization done by 30 to 40 branches either merged or we have closed and another 200 branches we have opened. New branches in different districts. So this year also this is a process same way because loss making and those branches where compounded annual growth below 5% for continuously for 5 years. So especially rural branches all these things. Those branches will either will be closed or it will be merged or if it is a loss making branch and correspondingly we will open 200 branches. Permission is already given by the board for the current year. So as of now 2,203 branches is there. So by FY24 I think we may be able to reach around 2,400 branches.

Akash Jain: Any comments on NCLT? Any recovery expected through NCLT resolution?

A S Rajeev: NCLT one big account of SREI is there where now we are expecting in the current financial year. DSKDL is there. 2-3 small accounts are also there. But SREI is one big.

Akash Jain: So when are we expecting recovery from this?

A S Rajeev: It should happen in current quarter or at the most up to September.

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Akash Jain: Okay. Thank you sir. All the best. That is all from my side.

Moderator: Thank you. We have a question from the line of Ashok Ajmera from Ajcon Global Services.

Please go ahead.

Ashok Ajmera: Thank you for giving the opportunity once again. Sir I would like to discuss a little more on the treasury side now because it can give another good flip now to the profitability of the bank after having seen in this quarter the losses in both. The segment also the treasury in this quarter has given the loss. So how since the rates are stabilized and the RBI has taken a fall, now how do we see the treasury operation going ahead and giving us what kind of roughly the profitability so that other profitability being intact this will add further to that. So any color on that I mean how much are we estimating and our modified duration also has come down. So I think we should have a good operating profit from the treasury operation.

Asheesh Pandey: Yes you, Ashokji you rightly said during this period when the yield was higher side we have accumulated 8000-10,000 securities where the yield is about 7.5%. So now with the RBI has paused the rate and going forward that it is expected that yield will further soften. This would be right time to earn the good trading profit. Secondly in previous year we suffered most because

of the MTM. With the softening rate the MTM was not there and one thing is that if you see our overall [M duration 0:50:12] it is below 1.25 so this will also help in keeping the check on the MTM. So going forward there will not be much MTM or the MTM will be nil and by selling the securities when the yield is softened the bank will earn good profit. You can expect good contribution from treasury side in the current financial year in the profit and loss account.

Ashok Ajmera: Are we looking to park if we have a proper liquidity the funds into the CP where the rates are comparatively higher. The yields in CPs you are getting especially 6 months, 9 months CPs I think you are getting anything from 8.75 to 9.25 in A rated well rated companies. Are you looking at that opportunity?

Asheesh Pandey: It will depend on what is the lending demand. If the lending demand is there and we are getting good rate so we will prefer to put the fund in the lending instead of putting in treasury. You know that treasury rate you will not get what you are going to get in lending. Having said that we will explore the good opportunity and at the right time we will purchase security and sell it. So that trading profit we are going to do and good thing is that if you see this financial report in quarter you will see that treasury yield has also gone up from 6.04 % it has gone up to 6.34 %. So with this accumulation of the security not only the yield will go up we will have more opportunity to earn the trading profit.

Ashok Ajmera: Sir a little observation I was just going through one note on the fraud account where the total amount of last year of I mean INR 933 some odd crore has come down to 735 or something I do not exactly remember the figure. So is that the recovery from the fraud account or I mean when it was already 100% provided for what is that exactly and where it has come in the profit quarter or this year?

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A S Rajeev: No, no the fraud which has been identified of INR 933 crore this includes also the unrecovered interest but basically we made the provision only for the balance which is outstanding so INR 735 crore is the balance which is outstanding against that we have made a 100% provision.

Asheesh Pandey: Only for clarification this provision has not made during the current year. We are holding the provision and that since it was declared fraud same provision is carried out.

Moderator: Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to Shri A.S. Rajeev Managing Director and Chief Executive Officer for closing comments. Over to you sir.

A S Rajeev : Thank you so much for all support given by you and once again thank you madam and if any further questions or any clarification anybody needs please let us know that you can send it the query and we will respond that immediately and once again thank you.

Moderator: Thank you. On behalf of Bank of Maharashtra that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2023

AX1/ISD/STEX /37/2023 -24/ Date: 25.07.2023

The General Manager,
Department of Corporate Services,
BSE Ltd.,
P.J Towers,
Dalal Street, Fort ,
Mumbai - 400 001
The Vice President,
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

BSE Scrip Code: 532525 NSE Symbol: MAHABANK -EQ

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 19th July, 2023 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the enclosed transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for first quarter Q1 FY 2023 -24 held on Wednesday, 19th July, 2023 .

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Nehal Rawat)
Company Secretary & Compliance Officer

Encl: As above

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Q1 FY '24 Earnings Conference Call ”
July 19 , 202 3

MANAGEMENT : MR. A. S. RAJEEV – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – BANK OF MAHARASHTRA
MR. A. B. VIJAYAKUMAR – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA
MR. ASHEESH PANDEY – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA

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Moderator: Ladies and gentlemen, good evening and welcome to the Bank of Maharashtra Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us from the management, Shri. A. S. Rajeev, Managing Director and Chief Executive Officer, Shri. A. B. Vijayakumar, Executive Director, Shri Asheesh Pandey, Executive Director, and all General Managers of the Bank.

I now hand the conference over to Shri A. S. Rajeev. Thank you and over to you, sir.

A. S. Rajeev: Good evening to all and I am Rajeev. Along with me, both the Executive Directors all other general managers and top management teams is with you for any kind of clarification. In my opening remarks, I will take you all through our financial results.

So first of all, thank you for joining us today for this financial results for the quarter end of 30th June, 2023. Our total business grew by 25% to INR 4,20,000 crore and deposits grew by 25% to INR 2,44,000 crore and CASA stood at 51% of the total deposits. Advances increased by 25% to INR 1,75,676 crore. CD ratio is around 72%. Gross NPA and Net NPA improved to 2.28% and 0.24% respectively. Provision coverage ratio improved to 98%.

As regards business figures are concerned, RAM sector, retail, agri and MSME stood at 58.25% and the balance 41% corporate sector, which the bank envisage that this will continue. Retail advance is grown by 25%. Agriculture is grown by 22% and MSME by 29%. While coming to the profitability, the net profit is up by 95% to reach INR 882 crore on year-on-year basis as against INR 452 crore for last year.

Operating profit improved to INR 1,863 crore as against INR 1,202 crore corresponding quarter in FY '23. NII grew by 39% year-on-year basis as against INR 1,686 crore Q1 financial year 23. Fee based income increased by 17% year-on-year basis. Non-interest income improved to INR 629 crore as against INR 317 crore for Q1 'FY23.

The growth rate of non-interest income is high because in the corresponding last quarter, there was certain depreciation in investments in Q1 FY '23. The current year, as against depreciation, it is around INR 45 crore profit on sale of investments. Cost-to-income ratio improved to 37% as against 40% corresponding last year.

ROA improved to 1.33% as against 0.82% FY '23. Returns equity 23.73% as against 16.75% for corresponding last year. CRAR Basel III Capital Adequacy Ratio improved to 18.07% as against 14.36% for Q1FY24. Slightly the capital adequacy ratio has come back, has come down by 10 basis points, mainly because of the operational risk weighted assets which increased by around INR 2,200 crore for the current quarter, which is the computation based upon the average of three years operational risk and increase in operating profit.

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So these were the major areas of results and then coming to question-and-answer session we will take it up but before that I will request our ED Mr. Pandeyji to brief regarding the digital transformation, what is happened during the current quarter, how the bank is planning to go for the digital transformation, so that the repetitive questions we can able to reduce that.

Asheesh Pandey: Sure, sir. Thank you very much, sir. And welcome to all the analysts for this meet. As you have

seen, the presentation and the figures, everything is uploaded on the NSE and BSE, and also on the website. Now, coming to specifically on the front, because in the press meet and earlier in analyst meet as well,

so there is certain times, you have a question of the sustainability and the other things.

So the bank is now putting up a lot of emphasis for almost last two years on the technology. So on the credit side, asset side, I would say, the three pillars are very important, like the sourcing, underwriting and monitoring. So bank has gone ahead a lot, and we have integrated model with which we have told last time also, with the Corpository, the CRISIL, the Probe42 and the CICs, all the four CICs.

So the bank has built the model on which it is working, and also similarly, on the liability side, many things the bank has already launched, including V-CIP. Now digital zone sort of thing which bank has opened in particularly, and a general manager cadre is posted where they are having the four wings within them. It is like, you will see in all the banks put together, there are generally one team which is looking on IT, IT infrastructure, DC network and the data center etcetera.

And another one is the digital, but the particularly what we observe that we need to understand the UI, UX, customer centricity and the emphasis that actually it is converted to business. We have now opened a digital zone headed by general manager, under which there is a digital CPC, there is all digital STP journeys, and there is an audit, digital audit which is happening through the external experts. There is a digital marketing team which will be doing and approximately INR 5000 crore of a business which is invested through this model.

So that is one thing. Now if you see on the website, so all our RFPs which are happening and mostly which we are concluding. So on the control function side, like you know, the entire audit software package we are concluding and the multi-function kiosk and various other alternative machines, you would be seeing the bank has already concluded those sort of RFPs.

Also, I would like to state that there was a press release already by our MD, sir, where it was emphasized that we have on boarded BCG for our digital transformation as our consultant, in which there are three pillars. One is the digital journeys, second is the digital operations, and the third is the digital compliance. So probably you will also analyze that digital compliance you would never have heard that an outside consultant that too top two is coming in for digital compliance so that the compliance is inbuilt in the journey itself.

So all the three, we have started working on that and that is taken as project Parivartan inside the bank and that is well taken off. Now coming to the fourth thing, like the collaborations so

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the bank is also collaborating with few. The bank is thinking to have almost 3% to 5% business from the first year, additional business, incremental business should come from these sources, and increasing to say 25% to 30% in next three years' time.

So I think this is the brief and yes, one robotic process automation, which is actually no public sector bank as of now, is very much on it, but then we have made already live and I think by next quarter when we are back, at that time we may have more than 25 to 30 processes which would be live. And in this year, we envisage that we will be crossing almost more than 60, and mostly on the reconciliation and the customer journey side.

So these are well bifurcated on the digital operation and journeys and on the compliance side.

So this is the brief on the digital initiatives. And the budget which bank has taken is around INR 1,200 crore which the bank has taken on this digital initiatives total.

A. S. Rajeev: Thank you. And another two minutes, our ED Vijayakumar will talk regarding the staffing pattern and the HR initiative what we have taken during that quarter, because that is also very important. And that's the other aspect.

A. B. Vijayakumar: Thank

you very much sir. Friends, once again a hearty welcome to this quick analyst call of Bank of Maharashtra. The results are before you. You have been tracking our performance for the last four to five years and we have been number one in terms of the financial numbers, out of 22 parameters last year, year on year, 16 parameters we were number one, major parameters, another three we were number two, another three, number three, third position.

In fact, we almost captured the first three out of 12 public sector banks. When you compare with the private sector banks, we compared with those banks which have more than 3 lakh business they're also out of 14 parameters where very comparably compared. Out of 16 parameters, seven parameters, we were number one. Others also in top five position were there.

So some of the areas, we are not only benchmarking with our private banks in India, we would

like to go along with the benchmarking the international in some of the areas. This is what overall view of what we have been thinking about internally to benchmark ourselves, to compare with ourselves other banks.

In any industry, whether it's a manufacturing service, the man began, the human capital much more important than anything else. In our bank, we give a lot of importance to that. The whatever the financial results we have been, quarter after quarter we have been giving, it goes to the investment we make in the HR, and we are consciously, I mean, attending to all the issues, particularly the optimum utilization of the HR, that was the objective, which we are to the most extent we have succeeded, that will be compared with the data.

We had a number of staff around 12,532 now as on 30th June 23 is 13,344, so 812 new staff has been added and so as to say that per-employee business, per-branch business substantially increased and when we compare with all the banks have to come out of the results only this is the second our public sector banks have come but when we compare the last quarter there also

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in those aspects, per-employee business, per-branch business, Bank of Maharashtra has been number one.

We have taken many initiatives to give training, upskilling their skills and giving maximum opportunity available within India and to some extent now the executives also been sent to abroad for both India and abroad through the reputed management's like NIBM to get feel of what is happening the other side of the border and that also gives the input to us.

Our bank was operating within the Maharashtra predominantly. More than 65% of our branches were operating within Maharashtra about three years before. Now, exactly 50% only operating Maharashtra. We are consolidating, we are improving our efficiency within the Maharashtra because it is the heart and soul of our bank.

But at the same time, our eye is on to expand our business outside the Maharashtra, where we are getting a good response. In the last, exactly last three years, we opened more than 430 branches, out of which more than 95% is outside the state and which gives a lot of business. In fact, 15% of the business came from those numbers. INR 45,000 crore business come from these 430 branches opened.

Ideally, what we want to have, at least one branch in each district. As of today in our country, 797 districts are there. And I mean, every now and then, every state is also expanding, dividing the existing districts and making it more. When we started this idea, it was only 680 and in a span of two years, it has come to 797.

Of course, some of the areas like northeast and northern, we have challenges to open, but we are happy to announce that along with this journey, we opened 12 new zones when we opened 430 across the country and one exclusive zone in Northeast in Guwahati with 25 plus branches out there.

Our focus is on opening up branches where we get

opportunity to do business and at the same

time, we are also focusing on our HR in all fronts. We have been giving much importance to the HR matter. Apart from that, we always say in our all-internal meeting and also through, any forum when we address business first, business first, business first, but compliance always.

The compliance is a very wide term, which includes corporate governance, risk management, and audit system. So, these areas also we have been focusing because when there is a growth, there is always a question from all the stakeholders including analysts, whether it is sustainable, how far it will go. So, we are aware of this and we have been giving a much importance.

I'm happy to share one or two information to you. Like in this last quarter, 430 branches are audited, out of which 430 was due for audit and around 230 is completed I suppose. Out of this 10%, 23 branches were spot [certification 0:15:40] second place. It means, see there is an internal system of auditing inspection internally by our own team, inspection team. When they go, they will make some observation. But we are insisting that those audit compliances as far as possible should be compliant, rectified then and there.

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So, the culture of rectification during the audit itself is happening in our branch. This is the one indication which I would like to share with you. Going forward, any specific information needed, which I would like to share with you – respond to you. Thank you very much for listening.

A. S. Rajeev : Sir, now I think we can go for question -and-answer session.

Moderator : Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on the touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Jayesh Shah from OHM Portfolio Equity Research. Please go ahead.

Jayesh Shah : Congratulations, sir, for great results. I just wanted to understand on the provisions for doubtful debts. We thought with the level of gross NPA and the net NPA that you had, the provisioning figure should have come down and credit cost should come down. So, however, it has not. So, how do you expect this to pan out for the whole year? And have you really taken some extra provisioning in view of the RBI norm which were specified last year, which are also in the draft situation. Thanks.

Management : Yes, what you observed that provisioning we are keeping specifically with a approach to have a more provisioning to protect our self for future because our profitability is good. As you understand that there also we are growing. Our PCR is already 98.37 %. So, the portfolio wise, we have to first take the stance and that is why we are controlling this, keeping the gross NPA and net NPA at lower level and some extra provisions for certain other things also we are keeping that is for ECL and that is for some standard assets also we are making additional provisions, though it is not required, but just to cover all these exigencies.

Management : For myself V. P. Srivastava, CFO. This time INR 250 crore we have made provision, in standard asset in anticipation of our ECL provision. We will continue to build up the provision to meet out the future challenges. And the NPA provision, you know, that when you are making the net NPA 0.24%, so almost everything you have to provide so that will continue. We want to keep our net NPA between 0.24 % to 0.25 % ranges and will continue to do so. Going forward since that already legacy provision we have done so you'll see that the provision respectively will come down going forward.

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Jayesh Shah : Okay, can you give a guidance now based on this thing, am I correct to expect that you don't need any other provisioning on your legacy assets and you would only need provisioning on your new loans that you have given?

Management : Yes

Jayesh Shah : So, if one should look at minimal credit cost going forward for the current year?

Management : Yes.

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Jayesh Shah : Okay, would you be able to give a number for the total year for the provision?

Management : Provision would be roughly around...

A. S. Rajeev : We expect that the slippages may be INR 500 to INR 600 crore per quarter, that just means around INR 2,000 to INR 2,200 crore slippages for the year may happen, because advance is also growing. So, correspondingly, the provision may be required that, because then after adjusting these slippages because most of the assets we have already written -off then the recovery will come under other income. So, it will not be under reduction as well as the upgradation. So, if suppose INR 2,000 crore if it's adding for a year, reduction and recovery will be a small figure because assets are already written -off, it will reflect in other income, so it is affecting the profitability. So, whatever INR 2,000 crore of the provision INR 400 crore to INR 500 crore provision will continue to be there quarter wise that.

Jayesh Shah : I see, so if I understand you right, provisioning may still be around INR 2,000 crore and the recovery figure will come in the other income?

A. S. Rajeev : Yes.

Jayesh Shah : Okay, and going forward would we see NII growth of 20% -plus since you have raised the funding and you are in a fairly comfortable position?

A. S. Rajeev : Yes, NII will be definitely it will be double digit growth.

Jayesh Shah : Okay, thank you very much. And congrats once again for great numbers.

A. S. Rajeev : Thank you.

Moderator : Thank you. We have a next question from the line of Suraj Das from B&K Securities. Please go ahead.

Suraj Das : Yes, hello sir, thanks for the opportunity and congratulations on a good set of numbers. Sir, just wanted to understand your outlook on NIMS and specifically I mean this quarter you have seen increase in yield on advances. So, what is driving that point one and if you can give a hint on your book bifurcation in terms of how much is MCLR linked, how much is Repo linked, and how much is fixed rate loans. So, that would be my first question?

A. S. Rajeev : So this NIM , as of now it is 3.86 %. I think we may be able to range bound if I can say that 3.75 % to 3.85 % level. I think we may be able to continue that as far as NIMS is concerned. And yield on advances, of course, it is slightly improved basically because the interest rates has increased last 1.5 years. And the same interest rate, if we continue, definitely the yield will continue to be the same level. And at the board level decision also, we have the growth where we have envisaged only based upon the risk -based pricing is fixed. And that was added the yield improvement as well as NIM improvement.

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So, the assets created during the period are based upon the risk -based pricing, and which was reflected in the NII growth. Regarding the MCLR and this, I think it is at 48% MCLR, and the remaining is coming under [RLL 0:23:22] around 50 -50 will come or here by and large 5 basis point here 5% -plus or minus, yes.

Management : And there is no fixed rate lending .

A. B. Vijayakumar : Yes. Suraj ji, actually if you see MCLR reset also happens, no? So, when the rate was increasing and suppose MCLR is also increased that takes time of six months, one year as per you know that whatsoever is given to companies, say one-year MCLR then it will be due in one quarter then another quarter and all. So, that has also given a good impac

t.

Suraj Das : Understood sir. And sir on this 48% MCLR , I mean , where we are in the journey of reset I mean how much of that book has already been reset or how much is still pending if you can give a color on that?

A. S. Rajeev : MCLR we have a different product under MCLR. We have majority of the MCLR under the one-year MCLR, and six months, and three months . These are the major MCLR product which we have so three months MCLR get reset within three months, six months MCLR get reset within six months and one year within one year. Most of the loans which were sanctioned almost one year back are already reprised. Our book presently running with the current MCLR mostly.

Management : Now going forward, actually that is more than one-year MCLR whatsoever was sanctioned and during the August to if you take January period that whenever it will be coming from next August onwards, that portion only will come. So, mostly are now reset.

Suraj Das: Okay, understood. The second question sir is on the asset mix on the retail credit, so I mean, if I see your other retail which is something around INR 15,000 crore that has seen good growth over the last many quarters. If you can give some color on this book, I mean, is this largely gold loans and staff loans or I mean, what are there in this other retail credit?

Management : Other retail credit is largely on the gold loan sides. The major growth has happened in the gold loans. In addition to that, recently we have started giving the personal loan also on the digital platform. So, some small, but this is the beginning, the personal loan is there. And then, third is the Aadhar loan which we call, is basically the loan against the pension of people. So , that is a major component. These are the three major components of personal loans. And in that the gold loan is mainly increasing with a rapid growth of almost 40% on year -on-year basis.

Suraj Das : Okay, so gold loan would be how much, I mean, approx. INR 10,000 crore or something like that or...?

Management : It is INR 7,000 crore approximately if I add both the gold loans it will be approximately INR 7,000 crore plus.

Suraj Das : Okay. And sir, what are the yields here, I mean, on this retail gold loans?

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Management : So, the overall yield will be around 98.3%.

Suraj Das : Okay, okay understood sir. Sir, the next question is on the ECLGS, I mean, if you can give your ECLGS figure, how much you have disbursed and sanctioned and what are the NPA levels there and do you see any impact on the new guidelines on this ECLGS to recognize this stress accounts as NPA that would be great?

Management : ECLGS we had originally sanctions around INR 3,200 crore when the scheme came in 2020 onwards. Till date, it is INR 3,200 crore has been sanctioned. But our observations on the ECLGS portfolio is that the portfolio is doing well. No, major risk is observed till date. Even if you can very well see, our SMA numbers and even the delinquencies also is not very high in the MSME sector also. Two years back it was slightly on the higher side, but for the last one year

we have more or less we have controlled that MSME slippages also. So, we don't find any risk on the ECLGS portfolio. And since the pricing was lower rate of interest, so the customer has not defaulted on that large list. But yes, few accounts have slipped, that's a different thing, but it is in a routine course. But no major risk in the ECLGS portfolio.

Suraj Das : Okay, and you are recognizing all that stress accounts as NPA in line with the recent guidelines, right?

Management : Yes, whatever the IRAC norm says we follow that for recognizing the NPA.

Suraj Das : Okay, okay. And sir one last question, if I can squeeze in is on the ECL migration, so I mean what is your preliminary reading on the ECL migration, I mean, how much, let us say, total provis

ioning, additional provisioning requirement would be there and if you have any contingent buffer or something like that?

Management : As you know that bank is well capitalized – is already having 97%, 98% of PCR and for the last few years bank is also preparing the Ind AS balance sheet. ECL if I use the management overlay then approximately INR 2,000 to INR 2,500 crore of additional provision is required to meet the ECL guidelines. And as you know that the bank is holding -- already holding INR 1,200 -plus crore of COVID provisioning plus additional INR 250 crore of the ECL provision which we have made for the current year. So, almost INR 1,400 crore, INR 1,500 crore is already in the books of the bank.

Management : Yes. So, INR 1,500 crore provision is already bank is having and we need INR 2,000 to INR 2,500 crore. So, bank don't foresee any challenge in ECL going forward.

Management : And RBI has also given dispensation that it can be amortized over a period of 5 years and looking to our profits that the business we are envisaging the profit is going to increase. So, we don't find any problem. It may happen that without waiting for 5 years it may be adjusted in 1 or 2 years.

Suraj Das : Okay, understood, sir. Great. And sir, one last question. So on the modified duration on the investment book, if I see that, this quarter, it has seen increase from 1.2 years to 1.8 years. Is it

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a one of thing or this is a conscious call taken by the ALCO or something like that? That will be my last question. Yes, thanks.

Management : It is a conscious call. If you see that, the short-term maturity rate has gone up and it is nearing to the 10-year G-sec. We have taken benefit of that and we started accumulating the security and having the duration of one year to two years. And that, we have accumulated a good yield. At an appropriate time, we will square up on the profit. And if it is lying in that portfolio, it will improve the yield of the investment.

Moderator: Mr. Das, does that answer your question?

Suraj Das: Yes, yes ma'am. Thank you so much, sir.

Moderator: We have our next question from the line of Akash Jain from Ajcon Global Services. Please go ahead.

Akash Jain: Sir, my question is regarding the deposits. Total deposits have increased to INR 2,44,365 crore as against INR 2,34,083 crore in the last quarter. As a result, our CASA ratio has been affected. So I wanted to understand, how is the growth from the deposits, is it from the fixed deposit size or bulk deposit?

Management : There was a growth in term deposit but you see that, we have not taken bulk deposit higher rates. So we have taken CD, short term CDs, where the interest rate is below 7%. So you know that, if you want to contain your cost of deposit in a cost of fund, so instead of taking bulk deposit, we switch over to borrowing, under interest rate, where interest rate is between 5.5% to 6.5%, and we have select short term or ultra-short-term series, because we are expecting that, maybe after two months that rate will come down. So at that time, you can again take the deposit and this is a good strategy in order to contain the cost and you see that, impact is that our NIM has also improved.

Management : I will supplement, what our CFO sir has said. If you go through our cost of deposit, you will find that, the entire quarter, when the rate has gone up and we have taken some deposit on the term deposit side also, but we have managed our cost of deposit. Our cost of deposit has increased by only 10 basis points. So whatever the deposit we have taken, though it may be in the form of the term deposit, but not at a very high-cost deposit.

Akash Jain: And my sir, second question is regarding co-lending book. So what is

the size of the co-lending

book as on date or as on Q1 FY '24 and how many NBFCs, we have tied up?

Vijay Srivastava: See this is, we have a four, we have tied up. Co-lending portfolio, March '22 was INR 147 crore. Now we are INR 371 crore, out of which retail is INR 13 crore.

Akash Jain: Okay. And what is the target for increasing this book?

Management : Look, we always keep our option open. Wherever we get opportunity, we do it as of, this last couple of quarters, it was initially started with a good book, but we don't find any kind of good

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quarters nowadays. And there is no -- not much is happening in this segment. In at least last quarter, I can say.

Management: Co-lending.

Management: Actually, the co-lending, I think, there are two. So actually, we are on -boarding now our software solution. So for that purpose, we are strengthening our systems and we are close to complete that software solution. But at the same time, we are in discussion with some 10 more people in that, so that we can take up the co -lending agreements with them. So we are also finalizing the rates or terms and conditions with all these people.

But what we were actually looking to strengthen the co -lending. Right now also we have one of the good software, but then the Edge and Newgen, what actually, is required? So you may see our website. So there also, we have come up with the co -lending fintech partners. We have impaneled. Now in that, three we have impaneled, one we are concluding for the final implementation.

Akash Jain: Okay. Also, sir, I wanted to understand as cost to income ratio is already, around 37% in this quarter. So with this robotic process automation, as earlier said, that 25 to 30 processes will be automated. So to what extent, this cost -to-income ratio can go down now?

Management : See, if you see the cost to income, it is really very, very good. But actually it is not only, the impact is not only the RPA. Or see, actually, if you see RPA, there are five clear benefits from this robotic process automation. The first is certainly, cost optimization , second is the customer service because whenever you are manual, it takes maybe a number of days and you may be having some errors.

But when RPA comes, so actually like your internet banking, that creation of the profile, now we have done all that. It is hardly one and a half of it is done in a single day. So six rounds, it is working, that both in a particular one day. The third is on the reconciliation side. EGL log, which is actually very, very important for the bankers to reconcile. It is very difficult also for the banks because you are having 3,000 to 10,000 ATMs. And how to read that electronic EGL logs? So that is also we have put into the robotic process automation.

So now, because your question was caring two things, one is the implementation of RPA, so we are using it certainly for the cost optimization but then the important three things is customer service, the third important thing is reconciliation, so we want to strengthen our compliances. Also, if you see the digital transactions, which are happening and increasing 1.5x to 2x, now it needs a robotic reconciliation because for the failed transaction, you need to credit the customer's account immediately.

But now coming to your cost to income, yes, we actually, if you see, our MD has also gave the sort of, I would not say guidance but then indication that, we may be in the range of say 39 plus minus 1, something like that. So what I feel, when we are opening a branch, so almost 150 to 180 and our MD sir has also told that, we are on -boarding around say 2,000 people in various

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cadres in the bank to sustain and give a comfort to such sort of business. Then certainly,

we

foresee that, we may continue in the same range going forward.

Akash Jain: Okay. And sir...

Moderator: Mr. Jain, I request you to join back the queue, sir.

Akash Jain: Thank you.

Moderator: Thank you. We'll take the next question from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: Hi, sir. Good evening. I just have two questions on firstly, your views on AUM growth for FY '24 and another is ROA outlook. So if you can just help me with these numbers? Thank you.

A. S. Rajeev : AUM growth is we are expecting that, though the growth rate of deposits is slightly more in Q1, it will normalize during the current year around 14% to 15% deposit growth and 20% to 22% advances growth as far as growth is concerned. And ROA is concerned, that will be the same level, it can able to 1.3 % to 1.4% level range bound, ROA as it may be able to continue that.

Rahil Shah: Okay. Did you say 20%, 22% in advances?

A.S. Rajeev : Yes.

Rahil Shah: Right. And ROA will be in the same range. Okay. Got it, sir. Thank you.

Management : We are targeting for a business of INR 5,00,000 crore up to March '24.

Rahil Shah: Right. Okay, sir. Sounds encouraging. Thank you, and all the best.

Moderator: Thank you. We have our next question from the line of Prashant Galphade from Whitestone Advisory. Please go ahead.

Prashant Galphade: Hello. Thank you for the opportunity. I have two questions. My first question is, if you see our NNPA was INR 435 crore in Q4 financial '23. During Q1 we did a provision of INR 776 crore of which, INR 530 crore is for NPA. Still our NNPA did not come down in Q1. Still it is still INR 414 crore. Can you explain why?

Management : See our provision required for Q1 for NPA, NNPA for that INR 539 crore, which has brought and it was as compared to March, it was INR 545 crore and this time it is INR 539 crore. So not much difference is there and as we are already at the bottom of NNP of 0.25%. So it is always we use to maintain that range.

A.S.Rajeev : I will explain that INR 250 crore contingent provision, we have made and it is not impacted anywhere. Because ECL provision of around INR 250 crore contingent provision, we have kept for the current quarter. So that is not considered for NPA purpose or capital adequacy purpose.

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So it's a part of creating ECL conversion for the next year like that. Though we have around INR 1,250 crore provision, COVID provision we held up. And another we, Board is of the opinion that, we have to create over a period of time at least INR 1,000 crore provision for ECL purpose. So that is why this difference has come.

Prashant Galphade: Okay. Understood, sir. And my second question is for Q1, our credit cost was 1.23%. For rest of the quarter, let's say Q1, Q2, Q3 sorry, Q2, Q3, Q4, what will be the level?

Management: It will continue to be around 1%. We'll continue.

Prashant Galphade: 1%. Okay.

Management: On conservative basis. Yes.

Management : If you see, as per IRAC norms, it would be below 0.5, because we want to maintain that NPA ratio within 0.25%. It means that, everything you have to provide with the accounts list. So that's the third rule, that it will be 1% is correct, but as per IRAC norm, it should be below 0.5%.

Prashant Galphade: Okay. Thank you, sir.

Moderator: Thank you. We have a next question from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Sir, congratulations to top management of Maharashtra and entire bank for a good performance and a successful QIP during the quarter. My first question pertains to all the questions, which are asked. Has the Board taken to irrespective of RBI, whether they grant you time or not to start making a buffer on ECL provision and if so, how much have you made so

far?

A.S.Rajeev : Yes, just now I told that ECL, we have already COVID provision is kept there that, we may utilize for the ECL that is around INR 1,250 crore. In addition to that, another INR 250 crore, we have already made. So another INR 500 crore provision is already kept under restructured area, where we have not utilized it. We have kept adequate provision kept for as and when ECL comes, we may be able to switch over that. That is our expectation.

Sushil Choksey: Sorry to interrupt, sir, but you made a provision between buffer and this at INR 1750 crore. Is that the bank has made some kind of a calculation that provisionally this can be a ECL number with a five year or a three-year window, whatever RBI provides with that calculation is not there?

A.S.Rajeev : This is based upon some rough estimates. Whereas the final guidelines is yet to come and this is all based upon some kind of draft based upon that. There may be some, definitely, there may be a good difference between the draft as well as the final guidelines. We are expecting that. So, based upon the draft guidelines, only we have kept it that. But however, we know that, even if the final draft guidelines, there may not be much impact is going to happen for the band. That is the purpose.

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Sushil Choksey: Do you estimate your ECL provision requirement to be in approximately range of INR 3,000

crore to INR 4,000 crore or more?

Management : It will be INR 2,000 crore to INR 2,500 crore .

Management : Now you can take INR 2,500 crore approximately.

Sushil Choksey: So then you have already almost achieved the number, where you have a five-year window?

Management : Yes. You know that we are submitting the draft financial, that half yearly pro -forma financial

India's statement to RBI. So yes, we are aware of that, and we have been making computation.

Though there may be some changes in RBI guidelines, because already they have come with a

discussion paper. So the estimation, we have done for additional provisioning, so we are able to

meet it even from our existing provisioning.

Sushil Choksey: And my next question, what is the estimated cost fund likely to be for the year from you're the current level?

Management : Estimated cost for?

Sushil Choksey: Cost of fund right now is at 4.06%, therefore...

Management : Cost of fund, it will hover between -- around 4%. Same range, 3.70%.

Management : There is a pause also, right now. So we foresee that we'll continue in the same range.

Sushil Choksey: And yield on advances will remain at the current range? Or it may pick up a little higher?

Management: More or less, it will remain the same change. It will depend upon, what the RBI take the start in respect of the repo. So -- but our views that, RBI's is not going to do the hike. So for the year, it will be range bound.

Sushil Choksey: Sir, as a year between various quarters questions, which I might have asked the management or whatever commentary, I read in the newspaper or in the media, bank is working towards future enable rs and future ready, whether it's digital, human resource and various other things. Some number was highlighted for digital spend for current year and the previous year also, I've heard that number. Based on the current estimates, have you revised the number upwards between human resource and digital or it is more or less same?

Management : It is more or less, the same and in that way only, we are going because if you take the last year and this year and compare to earlier years, so there is a good, high call period and it is not only related to the budget but actually using it and properly using it through various channels and which is actually giving good results for the bank. So I believe that, if you see the RFPs and for which it is going intended to be used, then probably, it is a very well

thought of and well

deployed sort of a budget in IT.

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And similarly like, scale 2 and 3, so various skills, the bank is recruiting, which is also in our social media and for last, if you see one year period. And including the CTO sort of a position, which we are taking from the market. So both of them are going hand in hand and it is all intended to support, what the bank is trying to achieve for last say one year and going forward also.

Sushil Choksey: Sir, my last question is at any point of time to prove more from your, as your enablers are all for future, in your advances, how much is public sector and how much is private sector? Have you ever bifurcated in terms of advances total?

Management : Yes, public sector.

Sushil Choksey: Public sector including states?

Management: Yes, that already we have given, it is around INR 16,000 crore is the government guaranteed exposure, which are pertaining to various states and central government, almost 10%.

Sushil Choksey: No, I am not on government backed schemes or anything, I am saying in total advances?

Management: Out of total advances of INR 1,75,000 crore , INR 16,000 crore is almost government guaranteed exposure.

Sushil Choksey: Sir, I am not asking government guaranteed, I am saying, let's say whether it is REC, PFC, NHA, Food Corporation, one side and the other side, the private sector. So have you aggregated total, so if there is more of a private sector, it speaks volume for your bank that you are market oriented that, is in the market?

Management : That data is not immediately available.

Sushil Choksey: No problem. I will take question on offline.

Vijay Srivastava: Even in such cases that, they are working at very fine margin. So last two years or three years that, we intend to keep our interest at reasonable rate. So, we have not invested much in that such PSUs. Instead of that, we have lent to the state-owned corporation backed by the state-owned government, where the returns are reasonable and the guarantee is available. And it is also helping in, when we are computing the CRA.

Management : So only one data immediately available in the [inaudible 0:49:07] out of INR 1,75,000 crore , INR 15,000 crore , almost INR 16,000 crore government guaranteed .

Management : Which we have given to state government corporation.

Management: But that also public sector, how much is there, we can provide.

Sushil Choksey: Thank you very much and I will come back and all the best for the years to come by.

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Management: Thank you, sir.

Moderator: Thank you. We have our next question from the line of Ashok Ajmera from Ajcon Global Services. Please go ahead.

Ashok Ajmera: Thanks a lot. I've been waiting right from the beginning and my line got disconnected, three four time. So please excuse me, if there is any repetition and give me some time to ask my question.

Sir, as the very outset, sir, compliments to you for the fantastic results and especially if you compare year-on-year, everything on and Vijay Kumar ji had already explained that the bank ranking on various parameters and even we have been writing about it. So compliments for that sir, to all of you.

Sir, my first question is on the credit growth. So now in this quarter, it is absolutely muted, INR 1,75,676 crore again INR 1,75,120 crore, hardly some INR 500 crore or so. But we are still maintaining our target of 22% or so. It means that, around INR 13,000 crore to INR 14,000 crore per quarter now onwards, the credit growth has to be. So are we think, it is achievable and are we looking in the same ratio of the corporate and the non-corporate credit or in order to accelerate it, we are going to change that norm. So, this is my...

Management : So, we will continue to that

60 -40. You have completed the question.

Management: Sir, your question is complete?

Ashok Ajmera: So, this is one of the questions, sir. And my second observation is on, when you go on the external rating slide, there the BBN below has gone up to INR 4,391 crore from as against INR 3,742 crore. Is it because of the revision in the credit rating? Because it cannot be because of the extended credit given now. So is it because of that? Related to that is unrated also has gone up by almost about INR 1,000 crore? So some observation, some color on that. This is my...

Management : Okay, so the question number two I will take first. So actually, when you are saying a few of the accounts, so because as such, we cannot take the name, but let me tell you, some five accounts are there, and one is a very good hospital like AIMS. So there are certain, accounts, we got very good opportunity, where the hospitals are still running and then part has to be done, but it is a very good and even it is a guaranteed.

So, there are some of the accounts which are un-rated, but we got a very good opportunity and say eight to nine accounts where, we can, we have underwritten those so that is where, you find those figure, which are coming. It is not something which has, downgraded or something like that. It is a fresh sanction and it is a very good sanction. So on those basis, it has come.

The second one which you asked, the part one was the credit growth. So quarter to quarter. So let me also brief you that, even if you see around 25% growth from June '22 to June '23. So if you take the March also, there is a growth but then we have sold IBPCR around INR 1,500 crore. So actually still we are banking upon that and we are still having the sufficient both on the RAM.

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So RAM also, when we talked about and the corporate, so still we are maintaining 41% plus minus one sort of. So we are in that range only and the RAM also if see, we are continuing the same range bound group, and which is almost same, if we take quarter to quarter, which is 24.85% approximately. Are you fine, sir.

Ashok Ajmera: Sanction already in pipeline, the sanctioned amount undrawn?

Management: Sharma ji.

Management: Sir, it depends upon there are certain projects, which takes time to complete. So it depends upon the completion work.

Management : Roughly, around I think INR 7000 crore. More than that. More than that. It will be around INR 8000 crore approximately.

Ashok Ajmera: Okay, sir. My second question is on this SMA 2 and 1, there also our figure has gone up. SMA 2 has gone from INR 289 crore to INR 529 crore and SMA 1 from INR 504 crore to INR 743 crore, this is the quarter on quarter, sequentially. So how are we placed today, when already 15 days have gone, whether this is because of it's going to be regular feature or there is some improvement in that, sir?

Management : Sir, if I take the overall percentage of the SMA level, it is a little bit higher for the particular this first quarter and you are talking about SMA 1 and SMA 2. Hardly there is one or two account, where the amount is a little bit higher. But all other accounts are in retail and MSME. And that retail also, it is because of some difference between the EMI. So we are closely monitoring all the accounts. So, it will be, and we have also placed the loan tracking sale and we have also launched the new application Arjun a, which got Finovate 2023 award. So, we are closely monitoring and definitely, there will be much improvement to happen.

Management: And that June quarter is flat quarter, so sometime number is bound to increase, but definitely in further quarter, it will come down.

Ashok Ajmera: Sure sir, my next question is... All right, sir, my last question is on the investment book. That modified duration has gone to 1.81 years, against 1.22 years. So is

that -- our little bit of INR

3,000 crore of the AFS book also has gone up. Can you give any reason for that? Have you gone into some -- what kind of investments?

Management: Ajmera ji, that I have already replied, since you have joined late. Again, I will repeat it. You know that, in this quarter, the short-term yield has gone up and it was almost touching the 10-year reset. And banks has taken the advances and one years to three years, many mature paper, we have accumulated, not only the [inaudible 0:57:01] going forward, that at the time of softening, we will be able to sell it and earn good profit.

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So this is a delivered attempt to accumulate the security and of course, because of that, advances within tolerance, is below 2%, though our tolerance is 4.25%. But some time that you have to do, and it's a good strategy, to earn the profits.

Ashok Ajmera: No, definitely, you have done well on the treasury front. Treasury operations overall income is INR 352 crore as against INR 199 crore of loss. And even on the treasury book, the profit has been booked. So that's good, just I just wanted to know the reason for increase in the ...Anyway, thank you very much.

Management: Ajmera ji, yield is also good.

Ashok Ajmera: Thank you very much, sir. Thank you.

Moderator: Thank you. We have our next question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes. Hi, sir, good evening and thanks for the opportunity. Sir, I have a question on ECL provisioning only. So you had mentioned that the bank would need around INR 2,500 crore of ECL provisions. So just wanted to understand the math a little bit. Does this include the purely credit cost-related provisions? Or it includes some of the provisions pertaining to maybe investment book in terms of HTM, etcetera. Or this is the portion for credit provisions?

Management: So, it is an overall number, including your investment, non-fund or credit. So whatever ECL provisions, we are referring, it is overall number. All the assets together.

Jai Mundhra: Right. No, so I understand sir, but this is pertaining to the credit exposure, right? Not limited. So let us say, can there be a, so you are saying that the investment book of a corporate, right, not for HTM, etcetera. So, there may be some provisions, which may come on HTM book which is not included here. So, only the credit exposure?

Management: I will explain that, when you will land to India, most of your HTM property it will be converted to amortized cost. In amortized cost, that there is no M2M. So you need not to make the ECL provisioning. Yes, in respect of the fair value and [FOCI and FTPL 0:59:31], you have to make M2M provision. So when we are talking about the ECL provisioning, we are taking both. Investment as well as that advances.

Jai Mundhra: Okay, so even the non-credit, let's say credit in the sense, let's say default kind of a provision which is credit loss or loan loss kind of a provisions, you are also including some of the hit, when you migrate from on the treasury, standard treasury book also. Is that the understanding?

Management: Yes, most of the esteemed portfolio would be...

Management: Basically on the basis of draft report. Yes, this is the estimation in anticipation we are doing it. So, what is our draft report it carries, the department and the bank has worked out a single line.

Jai Mundhra: Correct. Right, sir.

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Management: But it is entire book.

Jai Mundhra: Okay. And sir, when in the draft paper says that SMA 2 is clearly a credit event and there should be accelerated provisions on SMA 2, they have left open ended that should SMA -1 be treated as a credit event or no. So in your calculation, have you taken SMA -1 as a trigger point also or gone by SMA -

2 as a trigger point?

Management : A significant increase in the credit risk has been considered for calculation of ECL. So, SMA -1 also the provisions, but that's a calculation is slightly different from the SMA -2 and the restructured book. Restructured is considered as a stage three and SMA -2 is a stage one. So, only the provision is calculated.

Management: Yes, so as per that RBI guidelines, SMA -2 will be taken in stage two, whereas the earlier guidelines of the RBI states, it has said that 38 party will be part of the Stage 2. So there is a difference. But having said that, our Stage 2 portfolio is very less. So the project provisions is less.

Jai Mundhra: Yes. So that is what I'm wondering, sir . Our SMA 2 portfolio or even SMA 1 portfolio is very, very miniscule number or is a very limited number. And the INR 2500 crore , if I calculate, it is around 1.5% of our loan book. So, and we have already provided more than adequate on our stock of loans. Ideally, they should be right back, when you look at lifetime losses on the already NPA. So, this INR 2,500 crore , I was a bit struggling that, how are you getting that number?

Management : It is arising on account of two things. One is the restructured book, which is around INR 4,000 crore . So that will be considered, as on date it has a normal provision of 10% maximum. But under the stage 3, it will have a ECL computations and provision is required for that. Second thing is the off -balance sheet items also has to be considered for provision and then standard asset provision itself is higher on ECL methodology. So all this taken together is a provision is calculated around INR 2,000 crore to INR 2500 crore .

Management: One thing is that I would like to inform you that, when we are making that provision under stage 3 category, impaired assets, so we have huge management holders. So where was the requirement of provision under Ind AS 40% to 60% and in Indian GAAP, we have made 100% provision, so we have taken 100%. That benefit we will get, when we land into Ind AS. Of course there will be some increase in the provision in respect of stage 1 and stage 2. So that will be offset by whatever the provision will be released under stage 3.

Jai Mundhra: Right, so you have not taken into consideration the probable provision released from where you have already provided, let's provided 99% - 100%?

Management : Okay. Yes.

Jai Mundhra: Okay. Understood. And sir, this ECL provision that we have done in this quarter, is it a part of standard assets? I mean in that INR 981 crore of total provision, including income tax, where does it sit? Is it in non -performing assets or standard assets?

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Management: It is part of standard provision.

Jai Mundhra: And lastly sir, the INR 1200 crore provisions that we carry, right, this will also include the provisions on restructured assets, right?

Management : No.

Jai Mundhra: Sorry, that is not a part, I mean this does not include the restructure assets?

Management : We have a separate provision of INR 600 crore , which is separate from this INR 1,200 crore .

Jai Mundhra: Okay, so that INR 600 crore provision is a separate number only.

Management : Yes.

Jai Mundhra: This INR 1,200 crore is pure contingent in that sense, right?

Management : Yes.

Jai Mundhra: Sure. Understood, sir. That is very, very helpful, sir. Thank you and all the best, sir.

A. S.Rajeev : Thank you.

Moderator: Thank you. I would now like to hand the conference over to Shri A. S. Rajeev, Managing Director and Chief Executive Officer for closing comments. Over to you, sir.

A.S.Rajeev : So thank you so much and for all your support and all those, who are joined this meeting and whatever for the past eight quarters to 10 quarter or at least the 15 quarter to 16 quarter, whatever the commitments which we have given and the

direction or some kind of guidance, whatever

were give, we could able to do that. And in future also, we will try to do that. And whatever the figures and whatever we have talked, very conservative manner only, we have talked, but we will try to improve further, whatever we have talked. The figures may try to improve further in

coming quarters. Thank you so much.

Moderator: Thank you. On behalf of Bank of Maharashtra, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Oct 2023

AX1/ISD/STEX /76/2023 -24 Date: 20.10.2023

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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 16th October, 2023 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the enclosed transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for quarter and half year ended on 30.09.2023 held on Monday , 16th October, 2023 .

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Nehal Rawat)
Company Secretary & Compliance Officer

Encl: As above

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"Bank of Maharashtra
Q2 & H1- FY24 Conference Call"
October 16, 2023

MANAGEMENT : MR. A.S. RAJEEV – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER –BANK OF MAHARASHTRA
MR. A.B VIJAYAKUMAR – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA
MR. ASHEESH PANDEY – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and Half Year Ended 30th September 2023, Conference Call of Bank of Maharashtra. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us from the management, Shri A.S. Rajeev, Managing Director and Chief Executive Officer; Shri A. B. Vijayakumar, Executive Director, Shri Asheesh Pandey, Executive Director; and all General Managers of the bank. I now hand the conference over to Shri A.S. Rajeev. Thank you, and over to you, sir.

A.S. Rajeev: Thank you so much to all of you for joining this conference call. As you are aware, today, our quarterly financial results for the half year ended as well as the quarter ended 30th September '23, just concluded by around 2 o'clock and we had a press conference also. I will just go through this important financial parameters, though you might have already gone through that. Then, we shall have the one-to-one interaction regarding any queries.

So, the total business of the bank grew by 23% to INR 422,000 crore, and total deposits it is increased by 22% to INR 239,000 crore, and gross advances increased by 24% to INR 183,000 crore. CD ratio of the bank is at 77%, while asset quality gross NPA declined 2.19%, and net NPA is reduced to 0.23%. Provision coverage ratio improved to 98.4%. Net profit increased by 72% to INR 920 crore for the quarter, with operating profit growth of 31% reached to INR 1,920 crore.

Net interest income increased by 29% to INR 2,432 crore. Net interest margin improved to 3.89% as on 30/9/2023. Cost-to-income ratio improved to 38%, though it is slightly more than the last quarter, that was basically additional some INR 60 crore to INR 70 crore provision we have made for employee expenses because employees discussion is going on it may be required, otherwise, we can write it back.

ROA has improved to 1.37%, and the Return on Equity improved to 23.25%. CRAR improved to 17.61%, of which Tier 1 is 13.72%. As far as, profitability is concerned, net profit is 72% growth rate to reach INR 920 crore as against INR 535 crore for last Q2 financial year '22. The growth rate for the quarter-to-quarter basis, is 4.27%. Operating profit showed a growth of 31% to INR 1,900 as against INR 1,462 crore Q2 FY '22, the same has improved by 3% on a Q-o-Q basis. NII grew by 29% on a year-on-year basis to INR 2,432 crore as against INR 1,887 crore for Q2 financial year '22. NII growth on quarter-to-quarter sequential basis was 4%.

Net revenues for Q2 financial year '23 improved by 29.73% to INR 2,389 crore to INR 3,100 crore. The same is increased by 4.5% on a Q-on-Q basis. Cost-to-income ratio [inaudible 0:04:43] 38.04% while 37.23% was at quarter ended 30/6/2023 and 38.82% for Q2 financial year '22. ROA is 1.37% as against 0.92% for Q2 '22 and 1.33% Q1 financial year '23. ROE also improved to 23.25% as against 18.32% for Q2 financial year '22.

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Profitability for the half year, net profit increased by 83% to INR 1,802 crore as against INR 987 crore for half year corresponding 30/9/2022. Operating profit has shown a growth of 42% to INR 3,784 crore on year-on-year basis as against INR 2,664 crore for the half year ended 30/9/2022.

Net interest income grew by 34% on a year-on-year basis to INR 4,772 crore for the half year ended as against INR 3,573 crore for half year ended 30/9/2022. Fee-based income has also grown by 18.77% on a year-on-year basis to INR 723.96 for the half year ended.

Return on assets improved to 1.35% for the half year as against 0.87% for half year 30/9/2022. ROE also

improved to 23.31% for the half year ended 30/9/2023 as against 16.9% for the half year ended 30/9/2022.

Regarding RAM, advances grew by 24.38% on year-on-year basis. Retail advances have grown by 20%, MSME by 26% and agriculture advances by 30%. Capital adequacy improved to 17.61% with a CET -1 of 12.28%. During the half year ended 30th September, bank has raised equity capital of INR 1,000 crore through QIP and Tier 2 capital of INR 515 crore.

As of the asset quality, gross NPA, as I already told, it was 2.19% as against 3.4% as of 30/9/2022. The same was 2.28% as of 30/6/2023. Net NPA declined to 0.23% as against 0.68% as of 30/9/2022. And the same was 0.24% as of 30/6/2023. Provision coverage ratio improved to 98.4% as against 96.06% as of 30/9/2022. The same was 98.37% as on 30/6/2023. The bank holds cumulative COVID -19 provision of INR 1,200 crore as of 30th September 2023.

So, these are the major highlights of the performance. Now, I think we can go ahead with one-to-one question and answers. Our entire team is there to give the figures whatever required and any figure which is not available, please give your e-mail ID, and we will provide all the details to you. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Darshit, Robo Capital. Please go ahead.

Darshit: So, I just have two quick questions. I wanted to understand what is your loan book growth and credit cost outlook for next two years? And also, if you have any capital raising plans?

A.S. Rajeev: As of now, the loan book growth is 23% to 24% and the expected credit growth will be around 20% - 21% during the current year. As regards to capital raising, as of now, 17.61% is the capital adequacy ratio, and INR 1,800 crore of it is already booked and we expect that in the next half year also, profit will be booking.

So, including that profit of the current year, we are expecting the capital adequacy ratio may go to around 19%. There may not be any requirement for raising Tier 1 capital at present. So, if it is required, in Q3, we may go for some Tier 2 or Tier 1 that is a debt instrument, we may think of that. So, equity may not be required yet.

Moderator: We move to the next question. Our next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

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Ashok Ajmera: Good evening, sir. And once again, very rich compliments to you and the entire team for the fantastic performance, continuing the performance of the bank. If you see slide four, out of 15 boxes, 13 are upward only, only two are downward, that is gross NPA and net NPA, which shows the excellent performance of the bank. And even if you look at, year-on-year, it is very good. Even on quarter-on-quarter basis also, net profit is going up, your yield and NIM is going up, ROA is also going up so there is nothing much to comment or to be negatively spoken about it.

I have got only a couple of observations, questions, sir. One is on our credit growth. If you look at the credit growth of the half year, it is just about INR 8,000 crore, if you compare it to the March figure because now let us look at the financial year '23, '24. So, if today is the 21%, 22% growth of INR 38,500 crore, only INR 8,000 crore has been achieved in -- till September.

So, can we say that about INR 30,000 crore will come in only in this next two quarters, the growth in the credit? Similarly on the overall business, a growth of almost about INR 75,000 crore - INR 80,000 crore is expected to make it to INR 500,000 crore business. So, on both these fronts because deposits are seem to be declining in the last quarter, one question on that, if you can elaborate. And actually,

net-net, if the growth is INR 8,000 crore, but what actually is the credit growth in the quarter, the gross credit growth in the quarter?

A.S. Rajeev: Yes, you have rightly observed that credit growth as of YTD level, I think it is 5% to 6%. We have [inaudible 0:13:06] secure assets, IBPCs during the half year, and that credit has come down basically because of our sale of IBPC during the half year, that is number one. That is in the market. And after the three months, nine months, six months period, these IBPCs will come back. So, normalization will happen and [inaudible 0:13:33] the second half.

And second point is that generally, the growth rate, if including these IBPCs, our growth rate will be now already grown by around 89%. And during second half year, always the major growth rate will be around slightly more than the first half year. So, this year, we are expecting 20%, 21% growth of credit, I think, it is easily possible. That is number one.

So, number two is deposit growth. During Q1, the deposits was the same thing what we have done. The reason was that market interest rate, we have given more importance for bottom line, profitability, NIM and margin protection. When the interest rate has gone up and the CDs, we have not gone to CDs for any kind type of differential deposits. So, when the deposits we have brought down. Around INR 7,000 crore to INR 8,000 crore excess SLR was there that we have deployed for the credit.

So that the existing assets itself, we could be able to get additional 1,000 to 2,000 additional margin through the shifting. We have around INR 12,000 crore to INR 14,000 crore additional excess SLR. If it is possible, it will be possible that INR 4,000 crore to INR 5,000 crore, we can bring it with SLR because though GSEC has improved slightly, but the yield is not up to the mark like, because our average yield advances is around 8.93% that means almost 9%, where the tenure is yielding around 7.3% to 7.4%, so differential is 1.7% to 1.8 %.

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And as and when it is required, any time we can go, and you may be aware that we have the lowest in the interest rate regarding deposit is concerned, which is reflected in our NIM as well as NII growth and the cost of deposits and cost of funds also. The strategy which we are following is the bottom line has to be given more important. But the growth, we will continue to drive.

Ashok Ajmera: Sir, my second question is on our digital initiatives. I mean, we are going very strong on that. And in every quarter, we get...

A.S. Rajeev: That's our ED, Mr. Pandey ji will explain you.

Asheesh Pandey: Yes, please ask.

Ashok Ajmera: Sir, I just want to know the digital journey where we have allocated a good amount, by almost INR 1,000 crore a year. So, like how many modules are ready? And how many such products are ready, which has started giving delivery, or which has started -- I mean, put in the use? And how are we going forward to implement the entire digitalization?

Asheesh Pandey: Okay. I think your question is having three, four dimensions. So quickly, I will try to address all those three, four. So, this is correct that the bank is having around INR 700 crore to INR 800 crore of expenditure on the budget, both revenue and capital, on the IT side. And the last -- I think, almost for one year and 1.5 years, a lot of RFPs and other things are in place. Also, the bank is having the digital transformation consultant on board.

And so, the bank is, at present, working on the digital journeys, digital operations and digital compliance, all the three. And if you ask the prior also, some of the analysts have asked some questions on the loan growth and the deposit growth and other things, so I think this is the reply which will supplement to even that also.

So right now, we are actually having the STP jour

neys on the asset, on the liability and on the services side, all the three, and also on the fourth, which is insurance third-party products. So as of now, almost, I think, 12 to 13 -- 15 journeys, we have STP online, and the video KYC is there, in which almost more than, approximately, 100 accounts we are opening per day.

And coming to the PM SVANidhi, which is also the government initiative, we have made it fully STP right now and we have done the POC and other things on that, it is helping is on the business front, getting the things done very fast.

Second is with credit quality. So, it is when the technology comes and when the data aggregation happens across the lines, what sort of things you want under the BRE. So, both the things are happening on the services front. We have already launched online nomination and for the customer; and second is our debt claim settlement. We are having four, five things which are already on the services side.

And the next is on the insurance of two, three journeys on the non-life and two on the health, already is online. So, if you ask this, the entire package, so one is on the journey side, second is

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when it comes to operations. Probably, our Bank of Maharashtra is one of the public sector banks having the 17 robotic process automation journeys, process live.

And at least another 20 are in production, means on the development. And in this quarter, by the time we meet next time, probably we will be crossing almost 40 of them, I think this is one of the highest in the public sector. Now, what is happening with this RPA, the bank is in a position to have a robust reconciliation, very good customer service, cost optimization and the most importantly, which a regulator sees is the reconciliation and the compliances. So, this is the second part.

Coming to the third part, where you see the other things which are moving to back offices. So, the bank is also working on the various back offices, things like the services, which are mostly done by the branches. The things are identified, which are the branches of the repetitive nature, which are not productive and making the branches and the staff free for the servicing of the customer and for the more business terms. These are five and six various key areas in which the bank is working.

And as I explained on the compliance side, the entire audit function, we are now taking it to back

offices using AI/ML. So as of now, we have already empaneled with 54. I think another 50 are fintech companies, are getting empaneled. So probably, again, more than 100.

Right now, more than 15 fintechs are already on board with the bank and this quarter, you will see another 15 to 20 getting on boarded, which probably, again, would be the highest as far as the usage of fintech is concerned, which is all under the outsourced policy of the regulator and within the ambit of the guidelines of the bank and the regulation.

So, I believe we could answer you what you wanted to know that what technology piece is going to help on the business side, on the operations side, on the customer convenience side and also on the compliance side.

Moderator: Thank you. Our next question is from the line of Kunal from DSP Mutual Fund. Please go ahead, sir.

Kunal: Yes, hi. This is Kunal from DSP Mutual Fund. So, my question was on the restructured book, which, I assume, all of them would have come out of restructuring as of now. So, if I could look at the numbers in terms of the personal loan specifically, so there was around 5% - 6% of the book, which was written off during the half year. So how has been that book behaving of late? And also, in terms of your new generation in terms of the personal loans, how that book is behaving, given the concerns sounded by RBI as well as the market participants?

Management: Yes. As far as personal loan book is concerned,

it is around INR 1,800 crore to date. And the

NPAs under that is 0.33%. As what you are probably thinking that the stress on the personal loan is because, it's not that high because we are very careful in selecting those. It is given to all salaried people who are also seeing the CIBIL so, all risk parameters are placed in.

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And as far as the restructured book is concerned, you said, that restructure, there are certain retail accounts which are restructured, which are those accounts, which were restructured during the RBI framework, regulation framework during the COVID period, which are continued because we have given that benefit to all of them. And that -- gradually, those are now reducing from there.

The repayment in most of the accounts is regular, so we do not foresee in such accounts any material slippages. Of course, with the inflation is lingering, some rate of interest is definitely high, so that we are keeping watched closely those.

I think you are asking about probably the COVID loan book on personal loans. So, because that was -- one of the thing which came at that point of time and actually, it is behaving well and if you see the last quarter also, there is quite a good amount of reduction in the book so that is one of the things which you can always see from the RP 2.0 side.

Now, when you came for a regulatory guidelines on the personal loans that is unsecured ones, so let me tell you that, if you see the journey of the last one year, 1.5 years, two years in the industry, put together both public, private and NBFCs, so there is a good amount of business generation that took through the digital journeys on personal loans. Actually, that is the key area of concern from the regulator side of the group.

But as far as the Bank of Maharashtra is concerned or any bank is concerned, there are four things we are very particular on a loan book: One is the underwriting, second is the target group, third is the collection mechanism, and the fourth is risk mitigation.

Now, as far as the Bank of Maharashtra is concerned, you will not see that our loan book rising very like NTB and ETB. So certainly, right now, we have moved to ETB, number one, where we have time tested people for the car loans and housing loans. So that is risk mitigated, point number one.

Point number two, we have tie-ups actually, with some esteemed organizations, which are AAA, and which are government. We have given a very lucrative terms. And on that basis, we have actually done a good business on personal loans.

So STP, yes, we are coming, then we have regulatory tested. Going forward, we will be bidding, we are very much concerned on the risk mitigation side on the underwriting target growth, as I said, even the correction mechanism and the risk mitigation on the floor. So, it is well under control as far as the RBI regulation is concerned, the bank is very much concerned about that.

Kunal: Thanks a lot for the answer given.

Moderator: Thank you. Our next question is from the line of Hatim Broachwala from JM Mutual Funds. Please go ahead.

Hatim Broachwala: Yes. Hello, sir. Thank you for the opportunity. Sir, my question is on provisions. So, I see that the provision number is on the higher side for the non-NPA part. If you can explain the reason

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for it? And also mention, what is the accumulated extra provision, which we are holding in the balance sheet.

Management: So, during this quarter, the overall standard provision is INR 362 crore out of that, INR 325 crore we have had additional provisions, this is not required as per the IRAC norm, but you know that to present current economic scenario and while we are in a situation where that there is a crisis is going to start in Gulf countries, and it may impact on the crude oil and the effected

the other

industries, for that, on the safer side, we have created INR 325 crore provision and that's just a provision due to increase in advances.

And you know that last quarter, we have created INR 250 crore ECL provisioning. And maybe that after two years, RBI will come with the guidelines, RBI will seek the bank will implement this in Ind AS. At the time these provisions were created, it will give us comfort while we think the provision under Ind AS guidelines.

Hatim Broachwala: And sir, how much is the accumulated extra provisioning on balance sheet?

Management: So besides that, we are holding INR 1,200 crore COVID provisioning. So that, we have not factored for the purpose of CRAR

Hatim Broachwala: How much you mentioned?

Management: INR 1,200 crore.

Hatim Broachwala: INR 1,200 crore. And this including the INR 325 crore you made this quarter?

Management: No. This is apart from INR 1,200 crore. So INR 1,200 crore is COVID provision. ECL provisioning, we created INR 250 crore. Now, its INR 325 crore is additional provision.

Hatim Broachwala: So, total is like INR 1,775 crore?

Management: Yes.

Hatim Broachwala: Okay. Yes. Thank you. That's it from side.

Management: Thank you.

Moderator: Thank you. Our next question is from the line of Himanshu Taluja from Aditya Birla Mutual Fund. Please go ahead.

Himanshu Taluja: Yes. Hi, sir. Congratulations for a healthy set of the numbers. Just a few questions at my end.

Sir, probably, if I do recollect, as you mentioned in the past one or two calls -- in the past call that your total ECL provisions might -- requirement could be around INR 2,500 crore. And possibly, if I do agree that you hold excess provisions of INR 1,725 crore. Is that right way look at?

Management: Yes.

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Himanshu Taluja: Fair. Second is, sir, on your margins. We have seen -- because our general expectation is that, we may do see a margin decline in this quarter, but your yield on advances has actually been raised by 31 basis points. Can you just explain what triggered this rise in yield on advances by a 31-basis point in this quarter?

Management: You see that, the yield has improved because that we have also improved our MCLR. So, one of the reasons that -- and you know that overall figures, other than agriculture, it has not increased. So overall interest income has increased, and we have taken various steps to contain the -- our cost of fund and cost of deposits.

You know that we have not gone for the deposit, higher cost. On one side that our yield on advances have improved. And other side, we are able to contain the cost. That's why you see that NIM has also improved.

Himanshu Taluja: Okay. Sir, now your earlier guidance of 3.5 sort of NIM guidance for FY '24, and in the last call that you expected that, that was a peak of 3.86; and may possibly from 2Q onwards, you may see a decline. Now will you revise your guidance now on the margin? And what sort of a sustainable margins do you think we should -- one should assume?

Management: See, if you see that, there is a stance from the RBI on the repo side. And then the -- here and there, normalization is happening between the deposit rates and the lending rates across the industry. Now the...

Himanshu Taluja: Sorry, I can't hear you. Can you be a little bit louder, sorry?

Management: Now is it okay?

Himanshu Taluja: Yes.

Management: If you see, there is a normalization happening across the industry on deposit rates as well as from the lending rates though there is a pause from the stance from the Reserve Bank of India. Now, almost if we see the NIM, which is in -- particularly which you asked for the Bank of Maharashtra, we still maintain, on a conservative side, 3.5 % to 3.6 %, plus /minus 0.02. It is a very good observation from your side that there is an increase in the NI

M, what we said.

See, what happens now, that for our side of balance sheet, we know the business. So, in the last

also, when we were talking about some person or something, so the basis again goes to the credit underwriting, which is how you're underwriting, what is the target group and what is the risk mitigation. So, if you see, we are very clear on the business side that which portfolio we are going to underwrite and how we are going to underwrite.

So if we get an opportunity, so switch from the lower yielding to better yielding within the range because the one is on the NIM side, the another is, if you see our presentation, where the AA, AAA and the other assets which we have given and shown, you will see a good chunk that the quality of asset is good. So, in that chunk, say, moving from BBB to A side.

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And if we are in a position to maintain from a lower version of ROI to a better margin, that is what we have looked into from account to account, and we have moved. Probably, that is one of the point the avenues which are used, so it has given a yield.

And certainly, there were certain accounts, which we're yet to reset in the last quarter. So, when they are resetting, so you see around 2% to 2.5% repo was changed. So, if you see the transmission, it was not to that extent. But then when reset has happened, that has also given a good.

So, I would say, if you take a June quarter, the impact will come in the September quarter. And the early September quarter, which was reset, has given the impact in the last two months. Probably, this is the one more thing which has helped in improving the NIM. We continue to maintain, I would not say, guidance but then we continue to expect a range of 3.5% to 3.6%, plus/minus 2%, going forward.

Himanshu Taluja: Got it. Sir, last question. When we are going to see, according to you, a normalized tax rate? How much DTA benefit, we are still yet to accrue? And when you think -- from which year onwards, you believe you're going to see a normalized tax rate? That's the last question.

Management: Yes. So, since we are holding the carry forward losses of INR 8,000 crore -- income tax losses...

Himanshu Taluja: Sorry?

Management: That losses carry forward is roughly INR 8,000 crore. So that benefit going to approve for another two years '24 and '25. We do not expect any actual income tax liability and the tax provision is, either it is DTR, reversal of DTA. We are having DTA of roughly INR 4,000 crore, DTSS. We will continue to do that for the carry forward of losses.

Himanshu Taluja: Okay. Thanks a lot.

Moderator: Thank you. Our next question is from line of Darshil from Crown Capital. Please go ahead.

Darshil: Congratulations on a great set of results. Sir, I just want to know, maybe on a longer-term basis, what kind of ROA can we expect? And the guidance that we have given for over 23%, 24% of growth, can that sustain for the next 3, 4 years?

Management: Yes, ROA, if you see for the last 4 or 5 quarters, it is above 1%. We have given the guidance of moving between 1.20% to 1.40% and you can see that our current ROA, it is within that range.

ROA will continue to be above 1.20%.

Darshil: And sir with loan growth, will that also continue in this range only for the next 2, 3 years? What kind of guidance -- can you have an overall guidance for the next 2, 3 years that we see?

Management: Regarding ROA?

Darshil: No, no, sir, regarding our loan book and credit growth, sir. Will it sustain of above 20%?

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A.S. Rajeev: Yes, yes. 20% can sustain. Maybe 1% or 2% here and there, depends upon the situation. But otherwise, definitely, is possible.

Moderator: Our next question is from the line of Samrat Jadhav from Prosperity Wealth Advisers. Please go ahead.

Samrat Jadhav: Congratulat

ions for a good set of numbers. I just wanted to understand that what number of branches we did last quarter? And what's the target for this quarter and overall, in the year?

A.S. Rajeev: Last two quarters, we have opened 78 branches we have opened last quarter and '21 we have opened around 60 branches.

Samrat Jadhav: Total, till date, 60 branches?

A.S. Rajeev: 60 branches, yes, yes.

Samrat Jadhav: And what is your target for the year?

A.S. Rajeev: Target of the year, another 125 branches.

Samrat Jadhav: Sorry, the voice was not clear. What's the number?

Management: 125 branches.

Samrat Jadhav: And this would be across India, as you said in the last quarter.

A.S. Rajeev: Yes, yes.

Moderator: Our next question is from the line of Gurvinder Singh from Fortuna Investment Advisors . Please go ahead.

Gurvinder Singh : I wanted to understand your SMA -2 for accounts which are smaller in size, less than INR 5 crore accounts?

Management: So, regarding that less than INR 5 crore , earlier we were giving the INR 1 crore and above. And if you compare with the deals to date, it has come down. So total SMA was INR 1,272 crore in June. Now, it was brought down to INR 1,238 crore .

Moderator: Our next question is from the line of Akash Jain from Ajcon Global Services Limited. Please go ahead.

Akash Jain: Congratulations, sir, for a very good set of numbers. I have a few questions. One is, what is the guidance for credit cost? I think it is around 1.23% at the moment. So, going forward, for the whole year, what kind of credit cost we are expecting?

Management: So, if you see the credit cost, so at present our net NPA 0.23% and almost every slip -in we are providing for , the one point is because of that, almost 100% provision is made. But if you talk about the IRAC norms as per IRA C norm that credit cost is below 0.5%. So -- and what we are Bank of Maharashtra

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expecting? Though these times, the slippages are on the higher side, in the coming quarters, it will come down. So definitely, the credit cost will automatically come down.

But having said that, since the bank has provided almost 100% of the slippages. On books, you will find that credit costs higher side but definitely, as per otherwise, it is on the very low side.

A.S. Rajeev: I think like you know the keeping in view the circumstances which is very, very low . I think you may consider on a safer side, 1%, plus/minus 10 to 15 basis points. I think that is a quite good expectation on that.

Akash Jain: So, 0.55% is per IRAC norms , correct?

Management: Yes, yes.

Akash Jain: Okay. And sir, one more question. In the past discussion, we had said that we will be focusing on mid -corporates and the growth will come from mid -corporates and in sectors like pharma, textile, engineering, goods, auto ancillaries, airports, effluent treatment plant like projects of Namami Gange . So, are we sticking to these sectors, or we are going beyond these sectors?

Asheesh Pandey: No, it is very good and really good to see that you are remembering that. So, thanks for that. But then the bank, as a strategic point, is continuing that. And in the last quarter also, if you see, around INR 800 crore , the textile, we have gone; around, I think, INR 500 crore to INR 600 crore pharma we have gone.

And one more thing we said when we talked about mid -corporate, particularly, that export is our focus. So, I think since last quarter also, I am very sure that our export also, we have increased for, I think, more than INR 600 crore to INR 700 crore . So, what we are now looking at is not only the sector, sector, as you said, is correct, the water treatments and other things.

The second one also on the auto EV side. The third is that, as you said, textile and pharma. And these sectors, we are looking, but the -- more so we are looking to the -- if it is

an export-oriented

side, that is also our focus.

Akash Jain: And sir, my third question is on the gold loan book. So, what is the size of the gold loan book as on Q2? And what kind of yield on advances we are enjoying on gold loans?

Management: INR 8,000 crore of gold loan book is there and yield stood at 9%. The year-on-year growth of gold loan witnessed about INR 2,358 crore and YTD is 27 % growth. We are going with a robust growth. Earlier , Bank of Maharashtra was not down in the gold loan business, whereas many banks are there for decades, which we have started very late, about a few years before, but it's quite steadily picking up.

And we could see that not only the numbers growing, the statutory NPAs also have come down.

Our NPA, as of today, is only 0.18%. The reason is that almost every month, we go for an auction in a time /date. As soon as it became slippage, we release the funds.

And we see a lot of scope for improvement in this particular area, particularly if you see the banks like now Canara Bank and Indian Overseas Bank even so -called the world generation Bank of Maharashtra

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bank, they're all driving on the gold loan, where Bank of Maharashtra has just now started focusing, considering we were asked from , previously , some body has also questioning how our advanced book is sustainable. These are the areas that were not in the focus but we can build up this portfolio, going forward.

Akash Jain: So, what is the aspiration in our gold loan book? What kind of book we see in future?

Management: We are expecting 25% growth year -to-year on our gold loan.

Akash Jain: And my last question is on NARCL. So, I think in the past discussion, you had said that we had identified around INR 2,000 crore to INR 2,500 crore worth of assets, I think, as on Q4 FY '23.

So, what is the status as of now?

Management: NARCL, you know that is a dynamic list. Today, 11 accounts are shortlisted, amounting to INR 1,600 crore. Two are realized during this Q1 and Q2, and a few more will be realized in the coming two quarters.

Moderator: Thank you. Our next question is from the line of Ashwani Maheshwari from Sky High Ventures. Please go ahead.

Ashwani Maheshwari: Congratulations on a great set of numbers, sir. My question is that out of total provisions of INR 984 crore during the quarter, INR 597 crore pertains to loan book, and what is the nature of the remaining balance of INR 237 crore? And what are the reasons for the increase from INR 237 crore during the quarter 2 of last year?

Management: Out of INR 985 crore, if you see the provision for NPA INR 597 crore, and standard, we have made INR 362 crore. As I told that out of INR 360 crore, INR 325 crore, we have made provision over and above, required as per the IRAC norm. As we know that current economic scenario and war-like situation, and it may impact the crude oil and definitely there will be impact not only on the international but also on domestic side as well due to which we are keeping additional provision of INR 325 crore.

Moderator: Mr. Ashwani, you are not audible. May I request you to unmute your line, please? Our next question is from the line Ashok Ajmera from Ajcon Global. Please go ahead sir.

Ashok Ajmera: I've got a couple of data points, sir, and some discussion on the just now the reprice given. So, sir, Asheesh just now said, I think, that in the growing list of the sectors for the credit growth, EV, electric vehicles, is also in focus.

So, I would just like to know that this EV loan scheme is for the individual vehicles? Or are we going to form a policy for dealing credit, the bulk number of the vehicles to be bought for the commercial use ought to be rented out to the corporate as a business? Is that any such thing there for the EV credit growth?

Management: Yes. See in EV there are two things. One

is the manufacturer OEM level. So actually, that is

what the focus was. We have given a few sanctions on that, which are projects underway, which are of very good growth which is one thing and the second is certainly, when it comes to

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corporate governance or ESG point of view, so being it is very prudent to be a part of the society on the environmental side. The bank is also extending the home loans on the EV for individual.

As you said, on the commercial side, so that actually, right now, we have not formed any as such thing. But then the exploration is on that for good proposal, there were certain proposals where the electric buses for the transport system as a whole, where it was well balanced for a certain metro level, some certain very good groups. We can see that as you said, a smaller vehicles and all that, we have not yet explored as such on a commercial side. It is prudent to be part of society, and the bank is very good in extending. EV is at a concessional rate, on this EV side. So, I think that is the reply on your ask.

Ashok Ajmera: Sir, now just continuing the discussion on the extra provision made, like INR 325 crore, now the reply was given. When we already have the almost -- I think that INR 1,200 crore extra provision on COVID, we already have that much buffer with us. Is there any need for continuously provide, making higher provisions and restricting the profit growth? So, what is your mindset?

Like how much buffer you want to build up in a bank, I mean, comparatively a bank of INR 400,000 crore bank, how much buffer or a bank of the credit of INR 183,000 crore or something?

You already have INR 1,200 crore. Now you build another INR 325 crore, so INR 1,525 crore.

So, is there any target or something that you will go on providing or extra provisions, making extra provisions and limiting the profits for some more time?

A.S. Rajeev: Yes, it is not restricting the profit. For example, what our CFO was telling, and the Board are of the opinion, a little difficult situation. Wherever it is there, you know that. The petrol prices or crude prices increased by \$10 to \$12 per barrel and like kind of situations, always having more provisions. Something which is not required, we can utilize for that otherwise, we can take it to capital. Especially during the half year, we have seen that little, small stress. We have seen in case of agriculture advance as well, especially in Marathwada region, where drought conditions are happening.

So, climate conditions are always, nowadays, making changes. So, if it is not required, we will utilize for our ECL provisioning, and we are created for that. That is the purpose. Only thing is last year, we have given ECL-specific name we have given. But then, no specific name is not given. So otherwise, a cumulative provision can be utilized. Since COVID why we are not fully utilized? During the COVID time, some of the assets we have restructured, including some retail assets and MSME account; some small portfolio, 1% to 1.5% of portfolio 1,500 [inaudible]

0:51:36] still convincing as a restructured book.

Though restructured book, we have given on an average provision of 20% - 25%, but it is an additional cushion available, even with inc omes, any changes, anything in our interest rate scenario. One, of course, still we thought of interest rate scenario, coming down, but it is still continuing. Once the interest rate scenario is favorable, these provisions can be returned back.

That was the reason, that's it.

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Ashok Ajmera: That's definitely a very prudent measure. So, a few data points. Sir, note number 14, the NPA loan transferred outstanding amount of INR 443 crore in consideration, the amount realized is INR 208 crore . Can I know how m uch was the provision made on this INR

443 crore ?

A.S. Rajeev: So, this is 100% provision that has been made. This is a written -off account. Whatever recovery happens that will be in P&L only.

Ashok Ajmera: So entire INR 208 crore has come into P&L only. Isn't it?

Management : No, no. This, we are not accounted for. The recovery has come because there is some legal issue in this account and that is why we have kept it in advance. The recovery has been received , that is a return of account. So, we'll watch i n the next quarter. And accordingly, we will account for.

Ashok Ajmera: So, this entire INR 200 crore is the additional profit, is going to come in next one or two quarter?

Management: That will come in future. There are some legal opinions we have taken. And once the clear -cut opinion get it, and we will book it.

Ashok Ajmera: Sir, the second note on note number 14 is that loans of INR 2,906 crore , where the tangible security is only 17.03%. These are all small. What is the nature of this loan of INR 2,906 crore , which we have acquired?

Management: This is a DA transaction, including MFI.

Ashok Ajmera: Okay. So, security coverage is only 17% ?

Management: Yes. That is. But the average duration also is only 14 -15 months .

Ashok Ajmera: So, my next, sir, is on the restructured assets. I mean, outstanding is now INR 3,169 crore . And as you said, that 25%, so 25% you count only on that INR 1,200 crore or you count entire INR 3,169 crore ?

Management: Yes, sir. Entire amount.

Ashok Ajmera: On the entire amount you expect...

Management: Expectation means entire -- we have kept it for extreme situation comes.

Ashok Ajmera: Point taken. Now only on the last like observation or question you may consider, is that on taxation, just now the reply was given on the DTA and INR 8,000 crore and INR 4,000 crore , and the benefit is going to be accrued over a period of next two years because even if we make a profit of INR 4,000 crore a year, still it will take two years , but the provision in the books, which affects our final net profit PAT in the books, is very erratic. In the last quarter, it was INR 205 crore , and in this quarter, it is only INR 16 crore , So, can I understand what is the logic of having so erratic provisions where nothing is changing and actually , no liability is accruing?

Management: It is not erratic. You see that deferred tax asset creation is two counts: One is based upon the asset depreciation, the other one is losses, and the third one is provisioning. Wherever

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provisioning, whatever it is t here earlier we have done, that deferred asset is already cleared and there is no room for the deferred tax assets reversal. Now , deferred tax asset kept in our books is only regarding depreciation of future assets and other area only , that is as far as 22 , we have to continue. Regarding this income tax loss, it is actually the loss booked by the bank, is not an INR 8,000 crore , another two to three years this will continue. Now here afterwards, deferred tax asset, reversal will not be there. Last time, it was INR 200 crore , the last component of the defer tax assets reversed during the last quarter. I think it is very clear.

Ashok Ajmera: I think I'll get in touch offline.

A.S. Rajeev: Yes, you can get in touch with our CFO, he will clear that.

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of our question -and-answer session. I would now like to hand the conference over to Shri A.S. Rajeev for closing remarks.

A.B. Vijayakumar: This is Vijayakumar. On behalf of our MD and, CEO A.S Ra jeev and Executive Director, Shri Asheesh; and top management considering all of General Managers , including CFO, Mr. Vijay Srivastava, on behalf of Bank of Maharashtra , Mahabank parivar, thanks to all the analysts who have participated, we appreciate the ques

tions, appreciate your quality questions. And if

anything is left out, you can write for further clarification. Please free to send us an email, we

will replay to you. Thank you very much once again.

Moderator: Thank you. On behalf of Bank of Maharashtra , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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AX1/ISD/STEX/ 116/2023 -24 Date: 23.01.2024

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Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 16th January, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for the quarter and nine months ended on 31.12.2023 held on Tuesday , 16th January, 2024.

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Nehal Rawat)
Company Secretary & Compliance Officer

Encl: As above

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“Bank of Maharashtra
O3 & 9 M - FY24 Conference Call”

January 16, 2024

MANAGEMENT : SHRI. A. S. RAJEEV – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , BANK OF MAHARASHTRA
SHRI. ASHEESH PANDEY – EXECUTIVE DIRECTOR ,
BANK OF MAHARASHTRA
SHRI. ROHIT RISHI – EXECUTIVE DIRECTOR , BANK OF
MAHARASHTRA

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Moderator : Ladies and Gentlemen , Good day and welcome to the Q3 & 9 M -FY24 Conference Call of Bank of Maharashtra Limited.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference , please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded.

We have with us from the management Shri. A. S. Rajeev – Managing Director & Chief Executive Officer , Shri. Asheesh Pandey – Executive Director , Shri Rohit Rishi – Executive Director and all General Managers of the Bank .

I now hand the conference over to Shri. A. S. Rajeev . Thank you and over to you, Sir.

A. S. Rajeev : Thank you so much. First of all , welcoming all of you to this conference call. Today, our results are approved by the Board of Directors. We would like to brief you on the financial results .

This quarter Bank would be able to reach different milestones in different areas like operating profit, crossing operating profit of Rs. 2,000 crore per quarter, net profit more than Rs. 1,000 crore per quarter, ROA above 1.50 % that is 1.55 % , ROE around 25%, cost -to-income ratio lowest of 36% , etc. and in the case of operating margin, it is improved to 34.5% where the net profit margin improved to 18%.

This net profit of the current quarter is up by 33.61% to Rs. 1,036 crore as against Rs. 775 crore corresponding the last quarter, the same is up by 12.58% on sequential basis quarter -to-quarter. Operating profit has shown a growth of 27.32 % on a year-on-year basis to Rs. 2,012 crore as against 1,580 crore in Q3 FY 23, the same has improved on a quarter -to-quarter basis by 5%. Net interest income grew by 25% on a year-on-year basis to Rs. 2,466 crore as against Rs. 1,980 crore for Q3FY23. The same is on a quarter -to-quarter basis up by 1.39%.

Net revenues, net interest income plus other income for Q3FY 24 improved to 20% from Rs. 2,620 crore to Rs. 3,146 crore as of Q3FY24. The same is up by 1.5% on a quarter -to-quarter basis.

The Cost-to-Income ratio improved to 36.04% as against 39.69% corresponding last quarter, the same was 38.04% quarter ended September 30th, 2023.

Return on Asset improved to 1.55% as against 1.3% Q2 FY23 and 1.37 % for Q2 FY 24. Return of Equity also improved to 24.51% as against 24.4% for Q3 FY23 and 23.25% for Q2 FY24.

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The total business grew by 18.89% to Rs. 4,34,000 crore . Total deposits grew by 18% to Rs. 2,46,000 crore , gross advances increased by 20% to Rs. 1,88,670 crore , CD ratio stands at 76.78% , gross NPA declined 2.04% and net NPA reduced to 0.22%.

The Provision Coverage ratio improved to 98.4%. CRAR stood at 16.85% of which Tier -1 is 12.92%. If we add the three -quarter profitability the CRAR stood at above 19%.

For nine months Net Profit up by 61% to Rs. 2,837 crore as against Rs. 1,762 crore for nine months ended December 31st, 2022. Operating profit has shown a growth of 37% to Rs. 5,796 crore for nine months as against Rs. 4,244 crore for nine months December 31st, 2022.

NI growth was 31% year -on-year basis for nine months to Rs. 7,237 crore from Rs. 5,554 crore . Fee Based Income increased by 13% on year -on-year basis to Rs. 1,048 crore for nine months ended December 31st, 2023.

Cost-to-Income ratio for nine months ended is 37% as against 39% corresponding nine months period. ROA for nine months is 1.42 % as against 1.02 % for nine months. ROE improved to 22.7% as against 18.5% for nine months.

Net Advances grown by 21% , from RAM sector , Retail is grown by 22% MSME advances have grown by 29% and Agriculture grown by 35%.

For the current quarter, we have reduced

our corporate exposure which was earlier 41.5%

reduced to 39% and thereby increase the RAM sector that much quantum.

During the period ended 31st December, the Bank has raised equity capital for the nine months, Rs. 1,000 crore is raised and Tier-2 capital of Rs. 774 crore .

Earlier, whatever the provisions held by the bank is continued to hold the provisions of Rs. 1,200 crore and for the current quarter asset-led provisioning additional contingent provision of around Rs. 300 crore to Rs. 350 crore bank has made consequent upon the prevalent agricultural growth and other issue is concerned and we have revised the guidelines of investments which are applicable from next year so for that purpose also we have contingent provision of around Rs. 100 crore in case of valuation if it affects .

So, these are the main areas which are the glance which were there to share with you.

So, I think that now we can take up a question & answer session . We have already uploaded the presentation. Thank you so much.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Suraj Das from Sundaram Mutual Fund . Please go ahead.

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Suraj Das: Just two questions sir. One on the staff cost I mean QoQ your staff cost has reduced. However , if I see the wage provision I think that has increased earlier you are providing at something like Rs. 55 crore per quarter this quarter I think you have provided something like Rs. 100 crore and also if I see the G-Sec I mean that is broadly stable on a QoQ basis, so just wanted to check what has led to this decline in staff cost?

A. S. Rajeev : Staff cost as of now as per RBI guidelines is expecting that around 17% increase in the staff cost for the latest bipartite settlement as against 17% I think we have already provided 20 % to 22% provision.

In addition to regular provisioning, for the current quarter we have made around Rs. 150 crore provision so that is why we have now last quarter it was not stabilized whether what was the rate of increase expected , that was finalized at 17%.

We have not provided that instead of Rs. 75 crore we have made only Rs. 50 crore for the current quarter that is why the small amount of difference has happened.

Suraj Das: But I think sir last quarter you provided Rs. 55 crore on the wage settlement bill. This quarter you have provided something like Rs. 100 crore . So, that is there is increase, but overall staff cost has decreased so that was my question ?

Asheesh Pandey : I will tell you that if you remember that earlier we provided staff cost at the rate of 15% and for two quarter we have made additional provision of Rs. 145 crore in addition to that 15%. Now the wage bill has settled at 17% so accordingly we have made provision out of Rs. 145 crore some amount when we made the 70% we have taken from the previous quarter. Now over and above 17 % amount is roughly Rs. 100 crore additional amount is there that is why you should see in Q3 staff cost has come down.

Suraj Das: And the next question and the last question there is increase in the SMA -1 book, I think you have mentioned excluding one account the book behavior is normal. So, just wanted to inquire about that one account, I mean what has happened there is it your sole account or what is the reading there if you can give some idea which sector this account pertains to?

Asheesh Pandey : Sir that was the government account. It has already been recovered; it has come out of SMA -1 now.

Suraj Das: And is this your sole account?

Asheesh Pandey : No, it's not a sole account.

Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities . Please go ahead.

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Rohan Mandora: Sir, just taking

about from that SMA -1 question in one of the slides the number of accounts in

SMA -1 has gone up from around 70 out to 700 -odd. So , just want to understand like while these are granular accounts, but which sectors are these SMA -1 coming from?

Asheesh Pandey : What you are telling again can you repeat again.

Rohan Mandora: Sir, if you look at the presentation in one of the slides the number of accounts that are there in SMA -1 that thing has gone up from 70 odd accounts from 700 plus accounts?

Asheesh Pandey : That we have given the amount in percentage earlier that was 736 it was the amount not the number.

Rohan Mandora: So, that was one account which has recovered and that's why it's declined?

Asheesh Pandey : Yes.

A. S. Rajeev: Out of that 736 amount one account was there around Rs. 560 crore one account government then this account was there. Now because of the change in the government there was some delay was there now it is clear and now it is not under SMA -1.

Rohan Mandora: And sir second was that the increase in yield on investments is largely because of the quarterly averages because the investment book declined towards the fag end of the quarter, would that understanding be right and that's also the reason for increase in NIMs for the quarter?

V.P. Srivastava, CFO : Yes, if you see that some of the investments which are carrying low yield, these are matured, or we sold out. It has improved the yield and for the last nine month we have added the high yielding securities . So, overall, it has an impact in increasing the yield on investment that's why it has come up to 6.53 % for the quarter and for nine months it is 6.40 %.

Rohan Mandora: Just to reconfirm the calculation of yield on investment is on the quarterly average or is on the daily average?

V.P. Srivastava, CFO : It is on fortnightly average.

Rohan Mandora: And sir if we look at the last 12 months the AAA rated corporate accounts that account has almost halved . So, which sectors are we exiting these clients from and what were the reasons for these exits?

Asheesh Pandey : Actually, you also know the competition which is there in the market. We are very clear in the Bank like which pocket we have to so that we maximize our returns and be safe as well so, that is why if you see the entire portfolio from AAA to AA and BBB as well. If you see that very cautiously , prudently and thoughtfully it is being invested. So, what happens because the deposit rate has gone up and if you are carrying with the same very competitive terms, then certainly it Bank of Maharashtra

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will hit. It was a very cautious decision to come out. It is not an exit I would say, but it's an exit on commercial terms.

Rohan Mandora: And sir lastly if you can just talk about the new customer acquisition trends in the liability side like especially on the CASA what is the new customer acquisition run rate within last three quarters that number on the absolute basis has been broadly flattish in terms of balances?

Asheesh Pandey : On CASA we will give you three points the first is certainly you must be aware that around 200 branches we have opened. We keep our target with all the last two months before opening a branch a target of Rs. 10 crore to Rs.15 crore business right from the day one that is the first point.

Second is the salary account which we are really targeting very high on a last 1 - 1.5 years. So, I think that is the second point and the third thing is that like CMA and SMA accounts or the corporations so that also with the help of the software integrations because today everybody want ease of doing business.

We integrate , we have a specific solution for various corporates not only I would say the government corporation, but even in the corporate s. We give so that their entire, their software is integrated, they ne

ed not do anything manually and the collections or the MIS and everything is given to them.

So, actually these are the three, four points which are giving the accretion in the customer base. We have run the campaigns as well almost for the nine months on addition of the C IF the C IF means a new customer coming into the banks hold. It has nicely yielded results that is why you see the customer base has also increased and the CASA I would also say has increased.

Moderator: Thank you. We have the next question from the line of Rakesh Kumar from B& K Securities. Please go ahead.

Rakesh Kumar: Sir, in the opening remark you mentioned that the provisions that we have of Rs. 1,200 crore some portion of it you are holding it to use for this new guideline on the investment valuation classification which came this year and applicable from the April. So, are you anticipating some provisioning requirement for this investment part because of the new guideline RBI guideline?

V.P. Srivastava, CFO : We have made Rs. 100 crore provision in respect of the provision on the standard investment. The new RBI guidelines on investment have come and it is going to be applicable from 1st April 2024 and some of the issues which are considered issues and where that we have sought the clarification of RBI. One of the issues is that the fair valuation of the recapitalization bonds which we got from the government.

As per that it has to be fair valued from the date of allotment. So, finding that clarification we

have made prudently we may have made Rs.100 crore provisions and once we get the Bank of Maharashtra
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clarification accordingly we will treat this provision whether to write back or we whether to use it.

Rakesh Kumar: So, is this provision like final or complete amount or going ahead we would require to make additional provision for the same reason or with 100 crore number what we have done is like kind of a complete number?

V.P. Srivastava, CFO : It is estimated provision. We cannot say it is a complete provision but looking to the investment guidelines we have made the provisions .

Rakesh Kumar: So, recapitalization bonds which are sitting in the Bank s, PSU Bank both. So, this provision is specifically for that, correct?

V.P. Srivastava, CFO : Yes sir.

Rakesh Kumar: So, what is the calculation if you can slightly elaborate we are not able to understand , so what is the calculation ?

V.P. Srivastava, CFO : As per RBI guidelines that recapitalization has to be fair valued at the date of allotment . So, suppose the government has allotted Rs. 100 at the time of fair market price of such type of bond is Rs. 97, Rs. 98 then Rs. 2 you have to be fair valued and accordingly that value there would be HTM depreciation.

So, in this regard we have sought clarifying the RBI because it is under HTM securities. So, once we get the clarification and there are some other issues ad hoc issues we have made Rs. 100 crore provision.

Rakesh Kumar: And there is no other provision that is required for the similar guideline ?

V.P. Srivastava, CFO : No, they have given the classification of investment where they have added new category F TPL. We are assessing the security that overall, the security where it will go because you have to do reclassification but based on that roughly we have made Rs. 100 crore of provision.

Moderator: Thank you. We will proceed to the next question which will be from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir I have a few questions and clarifications. So, first on this wage provisions so what you said is that the Bank was providing a higher rates than 15% and right now you are providing at 17%, but over and above you have Rs. 100 crore of extra provision, is that understanding right?

V.P. Srivastava, CFO : Yes.

Jai Mundhra: So, sir when you are

providing at the beginning of the quarter, did you say that you are providing at 20 %-22% assuming 20 %- 22% kind of a hike?

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V.P. Srivastava, CFO : At the time we were not knowing what the hike would be . So, on those estimations we provided . 15% over and above Rs. 145 crore we provided because there were uncertainties whether it will be 15% or more. Now it is clear that wage revision would be settled around 17%. That's why we're saying 17% we have provided. Overall , if you see taking into account additional provision it is 22%.

A. S. Rajeev : It is like we are keeping 20 % to 22% on higher commission and if it is finalized to 17 % to 18% we will take it and the remaining we will write back.

Jai Mundhra: So, sir when we say 17% wage hike, does it also mean that you are providing as per 17%, but have you also provided adequately on the pension provisions, or this is only for the non-pension part of the wage bill?

A. S. Rajeev : No, this is a actually total load actually. So, the amount we have already provided includes pension if any kind of arrears it is already provided.

Jai Mundhra: The load for pension can be different right from 17 %, 17% is the median number?

A. S. Rajeev : Sir 17 % even if 20 % comes out we don't have any issue because we kept it 22%.

Jai Mundhra: Sir, this we will take care of your pension provisions also the entire retirement liability which will go up because of this hike?

A. S. Rajeev : Entire pension provision because of arrears if any other retirement benefits like gratuity or leave encashment all this we have considered.

Jai Mundhra: And have you taken actuarial ball park numbers also or this is on ad hoc basis ?

A. S. Rajeev : Every quarter we are taking actuarial valuation and based upon the actuarial valuation only making the provision not on estimated basis .

Jai Mundhra: And sir out of your total staff how many would be on let us say old pension and new pension I mean if you had joined before I think 2003 or something?

Jai Mundhra: 6,000 people are eligible for old pension , right ?

Asheesh Pandey : 3,800 is the correct figure who are eligible for the old pension.

Jai Mundhra: And out of total staff cost if you if you roughly?

A. S. Rajeev : 13,400.

Jai Mundhra: So, your proportion of old staff is actually relatively low, much lower than industry, is that understanding right sir and 33% kind of a number?

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A. S. Rajeev : But some impact will come for existing pensioners around the 13,000 to 14,000 pensioners are there, there also some growth will come corresponding to the existing employees .

Jai Mundhra: But these Rs. 311 crore which is the cumulative provisions that we have this will take care of all this retirement liabilities, is that understanding right?

A. S. Rajeev : Yes, it will take care and we expect that some amount will come back as write back.

Jai Mundhra: The second thing is sir on this investment book and what you mentioned that Rs. 100 crore provisioning that we are carrying on contingent kind of a basis on this zero coupon bond I thought that during divergences last -to-last year when we had made this instrument as a part of our capital the discounted value was already we had knocked down our CET 1 by that amount , so we would have taken that amount into P&L, so why again the provision?

V.P. Srivastava, CFO : We have not received any zero-coupon bond . So, whatever that bond we received from government it is carrying coupon . In our case it is not applicable.

Jai Mundhra: And sir then in this quarter also we see that out of total loan loss provisions of Rs. 977 crore or Rs. 943 crore we still have Rs.250 crore of standard assets provisioning what is that and what is the thought process behind creating these standard assets provi

sioning or restructured

provisioning I mean what is the PCR that we have on restructured and could this be a recurring thing because we still have PCR we have to be standard restructured loans?

A. S. Rajeev : Restructured provision is already Rs. 400 crore to Rs. 450 crore restructured provision is already in our books and in addition to that Rs.100 crore additional provision we have kept for agriculture loans. If anything happens in agriculture drought and other areas if it happens and rest everything is okay we can write back the provision otherwise we have kept as a cushion for agriculture loans .

Jai Mundhra: Your restructured standard advance is Rs. 2,750 crore how much is the restructured provisions that we have standard asset restructured provisions?

V.P. Srivastava, CFO : It is roughly Rs. 450 crore and if you see where we can see slippage that is the MSME the figure is roughly Rs. 378 crore . We are expecting is maybe a 5% slip so Rs. 15 crore to Rs. 20 crore means slip against that the balance sheet have more than adequate cushion since we are holding restructuring provision Rs.450 crore plus.

Jai Mundhra: So, sir this Rs. 450 crore this provision on a loan book of let's say Rs. 2,750 crore this is roughly about 20% so 16%, how high can it go I mean over the next two, three, four quarters, would you aspire for a 40%, 50% kind of a provisioning or 15% is where you think you are decently provided?

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P R Khatavkar , GM: Going forward we will see the trend actually it is sufficient provision what we feel like, but if we see the trend accordingly we can make the provisions.

V.P. Srivastava, CFO : Initially we made a 10% provision when the restructuring was roughly Rs. 4,000 crore plus and we did not reverse even though the restructuring quantum has come down.

Jai Mundhra: Sir my only confusion is that we have a net NPA at 22 basis points and we have the credit cost which is. 120 basis point. So, I don't know I mean this looks very, very weird that last quarter we had 23 basis points net NPA and this quarter we have 120 basis point credit cost. So, what I'm saying sir what is the outer limit so part of this is, of course you are maintaining PCR and whatever is slipping you are providing as much as 85 %-90%, but on the restructuring what would be your comfortable provisioning level right now we are under say 15 %-16%?

P R Khatavkar , GM : We are actually at the lowest level of net NPA now. Going forward, we don't find that will improve the same. The challenge is to maintain that level from 0.20 to 0.25, so not much provision will be required subject to we are controlling our slippages also and the standard positions we are keeping as a cushion if something happens especially in agriculture sector, sir told you about that so accordingly we are going.

Jai Mundhra: Sir the total contingent provisions that we have is Rs. 1,200 crore COVID provisions plus Rs. 450 crore of restructured standard assets provisioning is that right or this is a part of that only?

V.P. Srivastava, CFO : It is right.

Jai Mundhra: So, the total provision is Rs.1,200 crore plus Rs. 450 crore , right ?

V.P. Srivastava, CFO : Yes.

Jai Mundhra: So, Rs. 1,650 crore is the total standard asset provisioning that we have?

V.P. Srivastava, CFO : And if you see that you are talking about credit cost, if you see as far I know we are making provisions we require only the credit cost would be below 0.5 since we maintain a net NPA below 1%, 0.22 whatever slipperage 100% you have to provide. So, that's why the credit cost is.

This is not because of that as per our norm we require higher provisioning.

Jai Mundhra: No, that is clear you need not provide too much, but that is still coming and last question sir, the tax rate which we pay is very, miniscule this quarter as well as

last quarter, so any details there?

V.P. Srivastava, CFO : This is not the actual income tax liability because we have been carrying the income tax losses roughly Rs. 8,000 crore so, whatever that tax able profit is going it is netted against that, there is no actual income tax liability, it is simply the reversal of the DTA so, small portion has come in the form of DTA reversal. So, actual income tax liability is nil.

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Jai Mundhra: For a full year what would be your tax liability tax rate?

V.P. Srivastava, CFO : If you see the actual income tax liability for this year would be 0 because of the carrying forward losses.

Jai Mundhra: And next year sir would that be normal, or you still have some benefit which is still left?

V.P. Srivastava, CFO : It will continue next year.

A. S. Rajeev : I think it will continue for another two years sir because of carry forward loss is around Rs. 5,000 crore to Rs. 8,000 crore carry forward loss is there, another two years tax liability will be 0.

Jai Mundhra: And last question sir our loan-to-deposit ratio right is around 75%-76%. Are there any informal guidelines from RBI to keep LDR within a certain threshold or do you think that is only I mean right now you are 73%-75% range, but is there any guideline from RBI to keep the tab on the LDR ratio across Bank?

A. S. Rajeev : There are no guidelines we have not received any guidelines.

Moderator: Thank you. Please go ahead. The next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: And I start with your award slide you have been receiving several awards best public sector Bank award, nation MSME award, technology award, best nationalized Bank in agriculture, retail Bank, so compliments to the entire team.

I got some broad in fact macro questions and some observation and why we seek your comment that our growth in terms of you take a business or advance has been I think over the period has been slowed down if you don't compare the corresponding year last year, but if you look at only 9 months of this year and only one quarter is left now.

So, when we were expecting the total business of this Bank crossing almost the landmark of these Rs. 5,00,000 crore I think we are lagging behind a lot on that. Even credit growth in the entire nine months is only 7.7% and just 3% in the last quarter.

Of course, you have achieved good results, good net profit, operating profit, good NIM this is one that what is your plan to continue to grow at the pace at which you are growing over last 1.5 to 2.5 years which is keeping Bank of Maharashtra stand alone amongst the entire Banking fraternity. So, this is one.

The second one is our CASA also which used to be 55% - 56% is sliding from March 53.38% to 50.71% to now 50.19%. So, there also what is our strategy I mean are we going to keep some Bank of Maharashtra

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lesser targets of the CASA also, so these are the my first question, these are the broad kind of observations I can get the answer of that?

A. S. Rajeev : Yes, what have observed is correct. Earlier the Bank was growing at the level of 24% - 25%.

Mainly one was that one of the reasons was the low base was one of the reason the growth rate was very high.

And the second point is that where the sectoral growth, if you see that now the base has come to almost Rs. 2,00,000 crore and slightly basis increased. So, it may be difficult for the Bank at the level of 24% - 25% growth rate and even if it is growing the quality credit has to be considered.

The second point is the pricing, when the growth rate is coming we are giving more importance to the bottom line than the top line as far as growth is concerned. So, if you see the current quarter also our RAM sector last quarter, our RAM

sector was 58% and the corporate sector was

almost 42% within one quarter we have changed the strategy to that 62% RAM and balance 38% corporate sector.

So, 3% to 4% corporate sector we have reduced mainly because of the pricing but our Mr.

Pandeyji has told that correctly why we have not gone for AAA rated accounts, because when it is coming for pricing AAA rated and corporate loans the pricing is very sensitive when the deposit rates are increasing.

Bulk deposit rates are increasing at the level of 7.5% to 7.80 level with the present pricing of the deposit with the AAA rated with the lowest cost nothing will contribute to the bottom line of the Bank.

The board also advised that instead of going for AAA rated of course it is required secondary, but the growth rate of advances we will continue to be around the 18 % to 20% that is possible because we have already sold some of the IB PCs in the market it is there that will come back for the fourth quarter and the deposit will grow at the 13 % to 14% growth rate that is number one. And regarding CASA you are well aware that when the market interest rate is increasing and this industry practice that industry all the industrial constituents, the CASA rate has come to 3 % to 4% reduction has observed.

So, the same thing is happening in the case of Bank of Maharashtra also, but we could be able to sustain at the level of 50% that we will try to continue with the 50% level. So, for that 50 % to 51% CASA level one of the reasons is that we have not grown much in high-cost bulk deposits.

So, when the bulk deposit is increasing it will impact the bottom line. Our strategy is to keep the bottom line intact and the profitability margin NIM. You can see that last quarter most of the Bank of Maharashtra

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Bank's are affecting the NIM and NII growth. We could be able to increase the NIM by 5 to 6 basis points.

So, at least even in future we may not be able to increase too much, but we have to be in the level of 3.8 % to 4.0% range we have to continue with this NIM that is the strategy adopted by the board. I think my answer is clear.

Ashok Ajmera: Yes sir definitely. My second question is on the new initiative on the information technology the slide you have given and also the digital footprint of the Bank I would just like to know I mean real business wise like if you look at the entire delivery of the business whether the credit or collections or credit card in this thing, how much actually has become operational and in terms of some value number, some figures that rate will be same today on the digital front?

A. S. Rajeev : Mr. Pandey will briefly explain the digital initiative as usual we used to do that.

Asheesh Pandey: Actually, related to the digital products and STPs. See we will tell you that it is not only and only business. It is something very directly to business and something very indirectly to business. In our Bank all the digital initiatives are actually having the three pillars.

One is the direct business which are STP like now we have done STP in the Mudra. We have done PM SVANidhi, PAPL so around 15 to 17 STPs we have launched, one is in the business second which we have done is in the operation side and I would say like video KYC which is also on the business both on asset and liability.

The second is on the operational side and the third is based on the services side. So, like nomination which we have done which is totally STP. Now even the third party we have done with the products in the health insurance, non-life insurance and life insurance.

Whenever we talk about a digital initiative, we talk about the three areas, one is the business, second is the operations, and third is the compliance side. So, like robotic process automation. As of now we have already implemented 27 which are live in Bank of

Maharashtra and another

10 which we are going to make live in another 10 days, around 35 -36 will be live in this and we aspire to cross 50 by 15th of March.

So, what we mean to say on a direct business impact yes we have launched very recently P APL on a very risk mitigation basis on the POC basis as well, within 10 days we could do almost I think Rs. 10 crore of a business within the POC level I am saying not on the public level.

The second one is certainly you know which is also on the talk that on the asset quality side. So, what we observed when PM SVANidhi we launched which is totally on the real good algorithm and back testing with the other parameters. Our SMA book on the vis-a-vis comparison is very less.

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This is the second outcome of that and where the people are not involved. In the video KYC we have crossed almost 125 to 150 accounts per day and the quality the average balance is very good so what I just wanted to give you a color is that the business is coming we are actually monitoring and now the things are implemented.

So, another down the line in six months you will see and our digital business zone which is

created for only digital journeys has the internal aspiration of around Rs. 3,000 crore to Rs. 4,000 crore in a year .

Moderator: Thank you. The next question is from the line of Gaurav Sharma from HSBC. Please go ahead.

Gaurav Sharma: Just a small question on fee-based income so we're just observing a decline in the fee-based income sequentially by 10%. So, just wanted to understand the reason in this quarter you have taken some conscious call, or you have received some directives from our regulator to go slow on insurance or mutual fund-based income because I think in insurance recently the EOM guidelines have revised and insurance has said that they have increased the commission, just wanted to understand the reason for this declining sir?

A. S. Rajeev : A decline in the fee-based income its three aspects were there. One is regarding fee income connected with advances. So, some one area where during the quarter we have reduced the corporate advances by 3% of the total advances and thereby slight impact is happened regarding processing charges, processing fees all these things.

And some of the sanctions we have given already there that is yet to happen that will happen during the current quarter. So , this current quarter whatever shortage is there will come next quarter.

The second point is that regarding profit on sale of investment that is the one area where slightly has come down because of the benchmark rates are for stand and we have not much profit on sale is not happened.

The third one is our prudential written -off accounts recovery so there is a scope is there so that some of the one or two accounts are there that is in the final stage and thereby the fee-based income will improve. There is no such regulatory guideline regarding commission or like that nothing is come to us so that fee-based income is the point -to-point basis now it is 6 % to 7% growth is there. So, at least double -digit growth we are expecting in the next quarter.

Gaurav Sharma: Sir, on this revision of expense of management guidelines by insurance, have you seen an increase in your commission cost from the insurance company?

Asheesh Pandey : See the commission on insurance is actually increasing because of the two calls because there is an earlier there was some cap sort of things and the Bank has also now taken as you would have Bank of Maharashtra

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seen the earlier press release. So , one more we have taken in life, one more we have taken in non-life, and one in the health sector .

So, I think the business is increasing and secondly as you mature in the life insurance business so if persistency is good

in our Bank which is good so, persistency the renewal commission which accrues to you as well as the new commission first year premium , I think both put together and not only this the Bank is also doing various other tie ups and other things. So, on the third party I would say the posture and the color is good.

Moderator: Thank you. We have the next question from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, just wanted to understand on your credit cost, I mean you did mention that we are providing majority of the slippage during the quarter in that particular quarter itself, but I think in the past we did spoke about maybe normalized credit cost of 1% plus minus somewhere 10 basis points whereas current credit cost is much higher than that. So, how do we see the credit cost going forward?

P R Khatavkar , GM : Credit cost we want to keep it up to 1% only if you see the additional provisions which we are doing that is why the credit cost is going up otherwise it is below 1% only that we are keeping as a cushion as and when required.

Deepak Poddar: So, going forward we expect credit cost to be around 1% rate ?

P R Khatavkar , GM : Yes.

Deepak Poddar: And that factors into this the policy of I mean providing majority of in the provision bucket the one that would have slipped during the quarter?

V.P. Srivastava, CFO : If you see that net NPA is 0.22 almost 0, so, such slippage you have to provide almost 100% if you want to keep ratio and net NPA within that band. Going forward with our credit monitoring and slippage will come down and some of the recovery will take care of some of the slippages .

Even if we provide 100% of that slippages credit cost will further come down.

Deepak Poddar: But we do intend to I mean provide about 95 % to 100%?

V.P. Srivastava, CFO : Yes, if you want to maintain ratio between 0.20 to 0.25 almost you have to provide everything.

Deepak Poddar: And in terms of ROA how do we see that I mean currently this quarter ROA of 1.55% is that sustainable and going forward what sort of ROA range we might be looking at?

A. S. Rajeev : Yes, we are expecting that it should be around 1.50% level now .

Deepak Poddar: 1.5%.

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A. S. Rajeev : Yes.

Deepak Poddar: FY25 as well I mean next year?

A. S. Rajeev : Yes.

Moderator: Thank you. The next question is from the line of M B Mahesh from Kotak Securities. Please go ahead.

M B Mahesh: Just three questions on slide number 19 with respect to cost of deposits, if you could just kind of tell us when this ratio would probably peak at current levels of interest rates?

A. S. Rajeev : I think the market expects that these interest rate peak it may continue for up to this year and by next second quarter of next year I think it starts declining. The same level of cost of deposits or slightly it may increase by 5 to 10 basis points next one or two quarters and then chances of that it may come down.

M B Mahesh: So, you're saying that the next quarter we can see a print of around 4.5% is it?

A. S. Rajeev : Yes another 5 to 10 basis point cost of deposit may go up quarterly basis.

M B Mahesh: And sir what have you done on the changes with respect to the NBFC guidelines sorry risk weighted assets for NBFC on unsecured loans what have you done to your borrowers?

A. S. Rajeev : So, that pricing part we have taken care because risk adjusted capital -based pricing we have done and in case of NBFC the pricing is passed on to NBFC and one or two NBFC could not able to take up so that we have not sanctioned that. So, the pricing we have passed on to that.

M B Mahesh: If I were to go to slide 20 currently your yields are at about 9.01% on the yield on advances site, where do you see this kind of going after making these adjustments?

A. S. Rajeev : That will come around 9.10%

level quarterly basis.

M B Mahesh: And sir on second question with respect to what is the impact on account of the recent guidelines on the CET-1 side?

A. S. Rajeev : Regarding the increase in the splits of NBFCs as well as personal loans.

M B Mahesh: Yes.

A. S. Rajeev : Yes, it was around 46 basis points.

M B Mahesh: My final question there has been some conversation in the media that the government has been asking you to step up recovery on the stickier corporate loans which has been there from the last

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cycle, do you see any kind of strong visibility of that happening through? Do you see any more recovery pending on that previous NPL cycle or are we largely done with it?

A S Rajeev : Large corporate more or less as far as our Bank is concerned are mostly very less remained, but 12 accounts are now poised in NARCL, they are large accounts of Rs. 1,600 crore. We expect that some sale to NARCL will acquire those in the current quarter and that reduction will happen in large corporates.

Moderator: Thank you. The next question is from the line of Omkar from Vasuki India funds. Please go ahead.

Omkar: Last two weeks back we saw that we reduced the interest rate on home loans and auto loans by around 15 basis points while other Banks have been increasing their MCLR in last few months, so some light can you throw on this?

A S Rajeev : Yes last week we have reduced that is only for specific bucket of CIBIL score of 800 and above, the aim of the Bank is to increase at present we have almost 10% under this bucket CIBIL score of 800 and above. Our aim is to increase under this bucket to 10% to 20% if possible so that it was without risk free assets we have to create under this housing loan portfolio that is the purpose there.

Moderator: Thank you. The next question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: So, what's your view on outlook on Bank of Maharashtra and Banking in view of the current deposit scramble, which is happening the CD ratio, there is a talk about RBI monitoring the Banks CD ratios are high and what's your outlook on the treasury market?

Rohit Rishi : As far as CD ratio is concerned we have not received any guidance from RBI at what level we have to maintain and going forward we look to maintain it around 76% to 78% and resources also will be mobilized.

As far as CASA is concerned we have told in the beginning that when interest rates rise there is a tendency for fixed deposits to grow and CASA percentage has to come down. I think we have stabilized around 50%. We'll continue to have that level going forward.

Sushil Choksey: And where do you see your CASA coming from existing attachment or some new initiatives?

Rohit Rishi : We have opened around 200 new branches that also is a source of CASA then we have SNA accounts, CNA accounts, we have government deposits, we have high network individuals.

There is steady growth from all the sources of CASA.

Sushil Choksey: And your outlook on treasury?
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V.P. Srivastava, CFO : If you see the treasury the yield has improved. So, earlier the yield has gone down below 6% now we are hovering around 6.50 % to 6.53% and that increasing trend will continue you can expect that further increase in yield in the March quarter.

Sushil Choksey: Any focus on where 10 year would be at March end?

V.P. Srivastava, CFO : My view is that it will hover around between 7.10 % to 7.25 %.

Sushil Choksey: So, in view of that how are you seeing the credit market and your treasury performance?

V.P. Srivastava, CFO : We will continue to see the opportunity in lending market because as our ED sir told we want to keep our CDs up to we are comfortable at 78%. So, since that yield on treasury comparatively on l

ower side and we are having SLR securities so you may see some switchover from investment to lending in order to have a better yield.

Sushil Choksey: You are not expecting major treasury profits in the current quarter as well as in Q4?

V.P. Srivastava, CFO : You know the treasury profit it will depend on the market, once the opportunity comes we definitely we will earn it, we will try to keep trade off between the yield as well as trading profit, but as I told that since the treasury is not having yield as compared to lending and there is excess investment there that excess we'll try to switch over to lending in order to have a better NIM.

Sushil Choksey: Rajeev sir one question to you Bank has done exceedingly well in your tenure in your management team. What is one thing which you would like to do in the Bank in 24?

A. S. Rajeev : 2024 our immediate aim is to cross the Rs. 5 lakh crore business that it will happen during the 2024. Second thing is high level of digitization that is already more than Rs. 1,000 crore CAPEX is already provided and BCG we have already appointed a consultant which is already there in the Bank for the past 6 months and most of the areas where digitization is happening end-to-end and STP is already done. By 2024, I think this will be fully digitized Bank that is the expectation.

Sushil Choksey: And to achieve all the goals, digital expenditure, all that is possible what have we done towards human resource and transformation of the Bank's entire top level and the middle level?

A. S. Rajeev : Human resource as of now 13,400 and this year we have opened and every year we used to open more than 200 branches and we are recruiting almost 1,500 to 1,600 employees per year. Our offices as well as clerical cadre we are recruiting which are sufficient to take care.

Human resources also we are doing well and the formal process under scale 2, scale 3 level or lateral recruitments. HR area is fully taken care and as regards trainings also we are giving good number of trainings, and all the chief managers and above employees this year have been trained in top three IIM Institute of top three management institute so such kind of trainings we are bringing down up to scale 1 level that's also parallelly we are doing.

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HR area we will improve further and in the productivity area Bank is the number one in case of total business per employee is concerned which we will continue to do.

Sushil Choksey: So, the Bank is future ready for digital and future ready with human resource both on integration basis that is what I should conclude?

A. S. Rajeev : Yes.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Shri. A. S. Rajeev for closing comments. Over to you, sir.

A. S. Rajeev : Thank you so much for having given an opportunity to share with you all of you, and please continue to support the Bank and I am sure that this Bank is having a bright future like this quarter and next quarter again this kind of results will continue I assure you that. Thank you.

Moderator: Thank you. On behalf of Bank of Maharashtra Limited that concludes this conference. Thank you all for joining us, you may now disconnect your lines.

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Call: May 2024

AX1/ISD/STEX/ 27/2024 -25 Date: 04.05.2024

The General Manager
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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 26th April, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for the quarter and year ended 31.03.2024 held on Friday, 26th April, 2024 .

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank o f Maharashtra

(Nehal Rawat)
Company Secretary & Compliance Officer

Encl: As above

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Bank of Maharashtra
Q4 & FY24 - Investor & Analyst Meet
April 26, 2024

Management participants

Shri. Nidhu Saxena Managing Director & Chief Executive Officer

Shri. Rohit Rishi - Executive Director

Shri. Asheesh Pandey – Executive Director

Shri. Vijay Srivastava – Chief Financial Officer

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Moderator: Good evening to all. So, we welcome all of you for this Investor and Analyst Meet. And we heartily welcome all of you for this meet.

Let me introduce the management team, our top management team here. Our MD & CEO, Shri. Nidhu Saxena here; our ED – Shri. Rohit Rishi, our ED – Shri. Asheesh Pandey. I am CFO – Vijay Srivastava, Bank of Maharashtra, together with me our GMs are there.

Management: I think one by one, they'll all introduce.

Prashant Khataavkar: I'm Prashant Khataavkar, I'm General Manager, Recovery.

Arun Kabade : Yes. Good afternoon, myself Arun Kabade, General Manager, handling DBZ and CIO.

Dinkar Sankpal : Yes. Good evening. Dinkar Sankpal, GM Credit Monitoring.

Suryakant Sawant : Good evening, one and all present here. I'm Suryakant Sawant, General Manager, Retail Credit.

Aparna Joglekar : Good evening, all. I'm Aparna Joglekar, General Manager, Recovery and Legal.

Devdatta Rokade : Good evening, all. This is Devdatta Rokade. I'm General Manager, Operations.

Dinesh Tambat : A very warm welcome to all of you. My name is Dinesh Tambat. I'm General Manager, Inspection and Audit.

Chitra Datar : Good evening, all. I'm Chitra Datar, General Manager, Agri, FL & SLBC.

Divesh Dinkar : Good evening, everyone. I am Divesh Dinkar, General Manager and Chief Compliance Officer.

Manoj Kare : Good evening, all. I'm Manoj Kare, I'm GM, Mumbai South.

Rajesh Singh: Good evening, all. I'm Rajesh Singh, General Manager, Transaction Monitoring Unit.

Rajesh Kumar : Good evening, all. I'm K. Rajesh Kumar, I'm General Manager, HR.

Amit Sharma : Good evening to all. I'm Amit Sharma, General Manager, Pune City Zone.

Mukesh Chandra Upadhyay : Good evening to all. I'm Mukesh Chandra Upadhyay, General Manager, MSME, Credit.

Javed Qasim Mohnavi : Good evening, all. I'm Dr. Javed Q Mohnavi, General Manager, Corporate Credit.

Pradeep Srivastava : Good evening, all. I'm Pradeep Srivastava, Chief Technology Officer.

Subhasish Roy : Good evening to all. I'm Subhasish Roy, Chief Risk Officer.

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Vijay Srivastava: We have been showing a very good results for the last 15 quarters if you see. And this time that we have shown an excellent performance. So, I request our MD sir to address you, what are the milestones we have achieved.

Nidhu Saxena : Thank you. So, good evening, ladies and gentlemen. First of all, I really express my sincere thanks for you all to have gathered here in such large number. This is not the first and last engagement, we will definitely be in due course always trying to get connected. We being a Pune headquartered will not be a constraint. We will come down here to talk to you. As and when by quarterly performances we would like to showcase even between that we will be requesting you to come down to listen to us, and to maybe review us and report on Bank of Maharashtra is what our request is going to be. I would have loved to have a one-to-one introduction, but this is such a large group. Maybe we will get those opportunities and we will with more interaction, know each other as well.

So, let me just start now and just present before you the performance, and I'm happy that I'm getting this opportunity indeed my privilege to present this financial performance in-person.

So, I'm pleased to announce that our bank has demonstrated its resilience and agility and has delivered once again a strong set of financial numbers. I'm happy to share that we continue to lead in many of the growth parameters, profitability and efficiency ratios. This lead among the scheduled commercial banks includes banks both in the public and the private sector because consistently, you would have seen that Bank of Maharashtra, maybe at a scale is a little bit so this

ing but in the industry, we are consistently performing and leading in many of the parameters so this consistent performance is now maintained for more than three years to be precise for the past 15 quarters. Going forward, we are confident that it would not only be continued, but also improved.

Our net profit has shown significant growth and is surpassing our projections and reflecting the dedication and hard work of our entire team. Our commitment to prudent risk management and strategic decision making has enabled us to navigate through challenging times, while capitalizing on the opportunities for growth. We have maintained a robust balance sheet and healthy capital adequacy ratios, which positions us well for sustainable expansion and innovation in the years to come. While by this time, I trust you would have seen the detailed presentation and the various parameters, which are of your interest, you would have seen how

the bank has done. But let me just quickly share the few highlights of these financial results. So, our total business has grown by 15.94% and we closed March at Rs. 4.74 lakh crore. Total deposits increased by 15.66% and we closed at Rs.2.7 lakh crore. Gross advances increased by 16.3% to Rs.2,03,000 crore. CD ratio has reached to a comfortable level of 75 %, there is always a scope for another four , five basis points. Gross NPA has actually declined sharply, and we are happy to share, it is now below that number 2% , we are at 1.88%. Net NPA has reduced to 0.2%. Our provision coverage ratio has improved to 98.34%. The the operating profit has grown by 31% to Rs.8,005 crore for the full year. The net profit has grown by 56% Y-o-Y, and we have clocked the figure of Rs.4,055 crore. The net interest income has increased by 27 % to Rs.9,822 crore for the full year. The NIM has improved to 3.92% as against 3.56% for the previous year. The cost -to-income ratio has also improved to 37.55% as against 39.14% for the previous year. ROA has improved to 1.5% as against 1.1% for the previous year. ROE has improved to 24% as against 20.38% for the previous year. CRAR as on 31st March stands at 17.38%, of which tier one is 13.72%.

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Our bank has taken several initiatives to build the quality loan portfolio through improved underwriting, we have stipulated minimum benchmark, credit scores below which we do not underwrite it alone and many such criteria have been put in place with an aim to build a healthy loan book. We are also taking steps to manage the stress in the loan book through a robust collection, recovery and follow -up mechanism. For the accounts that would slip to delinquent category despite my close monitoring, we are moving our upgradation efforts the recovery efforts are initiated immediately. For the underwriting fees to improve the credit underwriting happening in the bank for the large and the mid -corporate category, we have set up a cell in head office, which is assessing all greenfield and brownfield projects. We are also ensuring a quick turnaround time for all such proposals that are in the mid and the large corporate category.

Likewise, for the RAM segment, there are CP Ss, Central Processing Sales at each of our zonal offices for all the three verticals, the retail, the MSME and the agriculture segment loans are getting underwritten in the centralized sales and although we have set up the 100% coverage is yet to be achieved, but bank is steadily expanding this coverage to ensure that our share of sanctions in the RAM segment from these centralized verticals go on improving as we go forward so, more and more branches are getting mapped to these centralized verticals for this purpose. Through the centralized processing, what we have seen, and we are able to maintain a standardized processing across the bank. We are able to also ensure a quick turnaround. We

are also able to improve our underwriting through better due diligence that happens in these centralized verticals, vis -à-vis by general branch. Further, we have also a setup of specialized branches, like housing finance branches, mid-corporate branches, corporate finance branches so, to say about them, the specialized branches in the mid -corporate segment cater to proposals ranging from Rs.25 crore to Rs.100 crore , which typically are the MSME borrowers, whereas the corporate finance branches deals proposals of Rs.100 crore and above. These centralized verticals, these focus branches I have talked about have the required number of manpower and the required skill sets provided to them and so they are ensuring me, better monitoring, improved turnaround time and better customer experience for our mid and large corporate customers.

Likewise, for the important task of recovery of our bad assets, so we have specialized recovery branches, the asset recovery branches, which are 13 in number, deal with NPAs ranging from Rs.20 lakhs to Rs.5 crore or, there is a clear SOP in place, according to which if the account has slipped and if within some set time, it is not upgraded, the account moves to the asset recovery

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branches, where we have , again put specialized skill sets, law officers, which are effective tool, whatever effective tools for recovery, the step for recovery are initiated without any delay. So, likewise, we have the semi branches, which take care of NPAs above Rs.5 crore and all the NCLT cases are dealt by the semi branches. Out of our total NPA around 70% of our bad assets are housed in these just 17 branches of the bank. So , I'm able to give the required skill sets, manpower, legal expertise in these 17 branches, and that 's how my recovery also, you would see that we are doing well in recovery. The focused approach is giving me the desired results. The bank is well poised for growth in size and significance and move forward to become an important player in the industry. For this purpose, we are opening new branches to improve our presence across the country. Our current network has now reached to 46 zonal offices, 2,500 branches and 2,300 ATMs , currently, our VC network is low we have 3,300 VCs, but we understand the importance of the VC channel so we are in the process of putting in place and by September 2024, this 3,300 will be ramped up to almost touching 10,000 VCs working for us.

The bank is also implementing several digital initiatives such as the CRM platform and life style banking application. This will enable personalized service to our customers across all channels. Launch of the AI -based video assistant will provide instant personalized assistance around the clock. Further, the launch of digital insurance platform and integration with the online share trading platform will offer a one -stop solution to help customers manage their finances. The bank is implementing several Straight . Through Process journeys, STP journeys, such as the Maha GST scheme, digital vehicle loan, digital education loan, renewing the KCC loans, Kisan Tatkal loan and so on. We are also shortly implementing the EBG module, which will help provide faster processing and convenience will be there for the customer to do that part of banking anytime and anywhere.

We will also have proper risk mitigation and better customer service cost reduction from the bank through this simple EBG module. These measures will raise overall customer experience, make the interactions these customers have with our bank more efficient. The bank is also going to implement an end -to-end credit monitoring platform, which will enable to track credit performance across the entire life cycle of a loan, and thus strengthened my collection mechanism

, and I will be able to monitor my assets more efficiently. As far as my capital is concerned, currently we feel we are well capitalized, but we shall raise capital as and when required and whenever the time is opportune for us to do that.

This year 2024, we have a milestone. We will be celebrating our 90th foundation day of our bank on the 16th September. We will definitely keep some aspirational objectives for ourselves. Some newer products, some newer services, some newer initiatives will be all lined up for launch during this milestone when we touch 90 years. We feel that after displaying a good financial performance and that too consistently, we now aspire to become a bank of greater significance, but while we grow, we will remain mindful that growth in our top line Bank of Maharashtra – 26th April, 2024

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should be commensurate with our bottom line growth. Recently, as a strategic move, bank has gone for creation of a new vertical, and we are calling it as the new business and customer acquisition vertical. This has been established with a view to increase customer engagement, deepening of existing relationships and to acquire new businesses beyond the simple credit and deposit relationship that branches are typically known off, this initiative will drive the bank into newer areas of payment and collection services that we can offer to our clients, channel finance, both dealer and vendor finance, payroll business and so on. This vertical, giving it the due importance will be headed by a general manager ranked executive at the corporate office, and there will be a support of two DGMs at the corporate office. They will have an extended arm in each of the zonal offices where there are business development officers already existing up to the level of Chief Manager. We will align this structure is already decided, and this structure will start functioning very shortly.

We also have a subsidiary, which specializes in offering trusteeship services to both individual and corporate clients. Our analysis tells us that there is an inherent need for this product, and there shall be many takers from among the institutional and individual category of clients. No other PSB or even any private bank currently offers this service. This is also one of the services that differentiates us from any other bank and our newly created vertical, which I just spoke about, would reach out to all clients, corporates and individuals in the government sector, PSU or the private sector and they will ensure a complete offerings made to our clients. this will create as a differentiation for the bank and it will help us acquire more and more clients to grow, improve the BPC and also improve the customers' stickiness with us so, when my vertical will approach for new business, so while we will improve the product for customer, we will also improve the profitability for customers, and we also will ensure a better customer retention with us.

I'm happy to inform that Board has proposed to declare a dividend of 14%, which is higher than what we did for our shareholders in the previous year. Few parameters I will just share my guidance, the main ones. Advances, we grew by 16%. We have a guidance of 16% to 20% for the FY 24-25. Deposits, we grew 16%, we are keeping our guidance for ourselves 12% to 15%. CASA, anything above 50% is the guidance we are keeping. For RAM, we are currently 61 :39 RAM versus corporate, in the favor of RAM so, this will be maintained at 60 :40, one, two basis points here there. And the NII is 27%, we are going to keep around 20%. NIM, we have already clocked 3.92% near to the 4% mark, but knowing the concerns around in the system, when the interest rate cycle may see a reversal in the second half, that's what is talked about. If that happens, so we are keeping a conservative guidance of 3.7% to 3

.9%. Cost to income, we

already have achieved less than 38%. We will keep our cost to income below 40%. ROA is already achieved at 1.5%. My guidance for the next year would be 1.5% to 1.6%.

GNPA already we have come down below 2%, we will maintain that level. We will remain below

2%. NNPA between 0.2% to 0.25%, and slippage ratio anything around 0.75% to 1%. My credit cost currently we achieved 1.07%, we will keep at 1%. PCR already achieved 98% we will

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maintain around that level. CRAR, 17.38% is my March number, I will be having a guidance of 16% to 17%. So, these are the broad numbers. I understand you would have already gone through my detailed presentation and aware of what the various highlights, other than the highlights of the bank's performance, we will take your questions. I have my EDs, my entire general managers, top executives are here in front of you. We will take your questions. Some part of it, if we are not able to immediately come back to you with data, we will definitely come back to you. So, I think Srivastava, we can.

Vijay Srivastava: Thank you, sir. Now, I request that my analysts' friends or investors they may ask questions about the bank's performance.

Analyst: Sir, you announced a Rs.7,500 crore of some fundraising. So, can you elaborate when it's, going and how it's going to happen?

Management: Yes, for the ensuing year and year next to that, we have a capital raise plan in mind for one very simple reason. Currently, we stand at 86.46%, that's the Government of India holding with us. And we would like to bring it down below the 75% mark, and so comply with the SEBI regulation of minimum public shareholding of 25%. I'm also aware that this kind of capital raise required that number that you just quoted, sir, may not be possible to be done definitely in one tranche and maybe requiring two to three tranches for us to comply with that guideline and yes, the kind of growth objectives that we are keeping in mind, as I mentioned earlier, not in a pressing need to raise money for funding by credit growth immediately, but when we wish to maintain a CRAR of 16% to 17%, that's the guidance, we will raise some money for our credit growth, for our growth as well as to meet this criteria.

Ramesh Bhojwani: Sir, Ramesh Bhojwani from Mehta and Vakil. Sir, your performance for this year has been outstanding, not only for this year, over the past four years, it has been improving year-on-year. And I believe it is at the absolute peak ending FY 24. Fortunately, the situation economically, business-wise, manufacturing as well as services overall has been very good. But going forward, do you think and do you see any stress, any weakness in any segment of the economy or of the industry or business from your bank?

Management: Okay. Let me answer you in this manner. If you look at our country, the economy is poised for the next level. The international market and the world sees that the next decade belongs to India is what the statements we read about and when the economy progresses, when the economy flourishes, banks are the biggest winner or there's a direct relationship directly proportional in terms of what the GDP growth is, I plan a thumb rule of twice growing my bank, twice the GDP growth. So, yes, there will be some headwinds in this. When we look at the global position, the geopolitical tension is there, the oil crisis because as a result of that, as an outcome of that and yes, the Western world slowing down the demand, but at least domestic, we don't see those kind of challenges. And India definitely is poised for going to the next level. There are a lot of, support systems working and the newer initiatives from the Government of

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India when we heard about that Viksit Bharat 2047. So, there are 100 days, three years, five years agendas that are being chalked out, and all of those initiatives, there will be a lot of underlying initiatives under these broader objectives. So, I don't see any major challenges. Now coming to my bank, my loan book is a healthy loan book. We are mindful that whatever 2014, 15 era and how the banks have entered into one sector, one segment and how the experience has been and how we have come out so, not only as every institutional lender is mindful of that and how things also have changed, how these processes, systems, underwriting, those have changed newer ways are there so, there is no challenge. Currently, we are very, very sensitive about how the loan book we are building. Going forward, when we are thinking of becoming a bank of greater significance, I cannot think of building a loan book which is not a strong loan book so, we have for that matter, rather made these underwriting norms more stringent for us to grow, by keeping certain benchmarks below which we don't go, there is no deviation in that, our systems to monitor those accounts which are on-boarded are also robust our collection mechanism and a lot of technology is getting used in all these areas, whether underwriting, whether monitoring and even recovery is getting digitized. Many banks are doing at various levels, a lot of initiatives towards that. If we are growing in such a manner, I don't see much challenges also, these are the good times. World over, you would see regulators nudging banks when the times are good, to make extra provisions. And we lead somehow, we have some extra cushions, buffers, COVID provisions. Something more than what the regulator prescribes is what we have been doing. And those will be, these are the good times, the times are still continuing and that is my family silver, I'm not touching. I'm only building on that. So, that's the theme with which overall we are working. So, I don't see if this is the way we move, there

should not be a challenge.

Ramesh Bhojwani: You have put a contingency quotient in your PCR of 98%. It could have been very , you could have maintained it easily at 78% and 80%, but you have intentionally brought it to 98%. So, you have securitized your entire portfolio?

Management: Sir, actually if you see very well said, you can build up to 70% or so. But what happens let us see analyze the capital conservation buffer is also there from the Basel III norms. Now there are various ways still that there is not a very big recommendations for that but yes, so all the banks are putting up but coming to the Bank of Maharashtra if you see. It is really a good gesture when you are covering that site. And apart from that, even Rs.1,200 crore , you have put into so, what happens, the economy moves towards the IFRS or towards the Basel III, maybe the capital requirement or maybe the more better ones. You need to keep a cushion in your treasury, so that you can anyway without losing your strength, you can build upon that.

Ramesh Bhojwani: There is an excellent thing to preempt what is expected to come.

Management: Very true. Because IFRS and both Basel III and ECL norms if you are going to see in the future.

So, certainly, and Bank of Maharashtra being an analyst, you would have seen the bank has for many quarters have tried to build provision many times it has been asked as well. So, we before Bank of Maharashtra – 26th April, 2024

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even for the wage revision and all we kept almost Rs.50 crore to Rs.100 crore aside. So, we keep that.

Ramesh Bhojwani: Sir, two more things. CMD sir referred to 14, 15 onwards, the improvisation, improvement innovative and inventive journey. Are we today at a stage in banking because if you are lending to a customer or to a client o

r to a borrower, it is the borrower or doesn't take only money from one bank. He has two or three banks in the kind of a consortium. So, wherever there is consortium lending, are the banks exchanging with each other, the performance of that client like it may perform with one and default with two, that was the thought we had when we were discussing banking management and banking procedures in the years of 14, 15 onwards. So, is today an improvisation or improvement of interaction between banks who are lending to the same borrower. Is it happening , is it possible or going forward is it on the agenda?

Management: See today, the data is so much available. Let me share with you , certainly CICs are there and pertaining to your earlier question as well. The regulations are becoming, I would not say stringent better. So, because when you do good, if you are in discipline, certainly you don't meet up an accident, that is point number one. Now point number two, when you asked about the consortium lending, I would say consortium is a far better an arrangement where you are in continuous touch with each other even the drawing power, which is the told by the lead bank. But I would go beyond it, even at an individual level. Now today, there are three modes , the one is the credit platform if it is a Rs. 5 crore and above, that is available to you any point of time. The second one is the CICs there you have all the default even the willful default and everything. Third , probably I 'm not very sure about many of the people you will be knowing, there is NeSL which is an IU, Information Utility company , they are even operational critical data you are getting into as well as the default, the first default. Now with these three , if you take the data aggregators which are in the market today, the one like many players are there , you know very well. Now you are in a position to know not even that even a customer, if they are losing a bigger debtor or a customer maybe 30% to whom they are supplying , with in the era when you have a data very well with you and you know where to use it, probably I believe that 2014, 15 or whatsoever period you are saying, we are better placed today.

Ramesh Bhojwani: And that period will never come back again?

Management: And just to supplement what Asheesh has just now told. Lenders have also learned their lessons. Some of them have learned it hard way. As far as their underwriting skills are concerned , as far as development of expertise are concerned . In our bank for example, we have got industry -wise project appraisal cell. And then there are guidelines from IBA for monitoring by way of ASM. That is an agency for specialized monitoring and high -value accounts. On the appraisal side as well as on the monitoring side, there is a lot more wisdom that has gone into the system. So, those days are not going to come back again .

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Abhijeet Purohit: Myself, Abhijeet Purohit. Firstly, congratulations on a really good set of numbers. I 'm from Kaviraj Securities. I just wanted to know the kind of run rate that we have achieved in this quarter and the previous quarters. What is the mode that we are going to focus on , because from the commentary and from what it appears to be is that we are trying to put in a lot of effort to create a lot of competitive advantage and a lot of modes. So, what is that one driving force or a couple of driving force that will help us sustain this run rate?

Management: So, if you look at, you rightly said there cannot be one , there are combination of issues, combination of initiatives that is giving this kind of performance. So, maybe when we talk of the business mix, asset side, liability side, when we talk of our processes, so how we are

monitoring is happening and also very important when we are growing, th

e compliances part

of it nowadays regulator has no forbearance and there is no concessions. Sometimes, we have seen that they are coming very hard on entities. We are very mindful of that, that whatever is being done, whatever new initiative business, they should be all seeing compliant with what regulator expectation is going to be and so coming to this broad thing that we have in mind, beyond this, see what is helping us i s actually the kind of branch expansion that we have gone into. Last three years , around 750 branches, around 1 ,800 was the level when we started the branch expansion mode. Today, we are almost touching 2 ,500 branches and we have for the coming year also another 220 to 250 odd centers where we will identify and open branches , this is helping me a lot. We are also monitoring what is my expectation from this new branch, our SOPs in place to see how we have identified these n ew branches and once the branch is opened, how they are functioning, we are monitoring and what is the minimum expectation. We are seeing on an average in the various segments, urban, metro, it 's an average Rs.30 crore of business that has got added by one single branch that is opened in a one year's time , that gives us a good start and then that should be continued and yes, we still are going for a new branch opening that also will allow me to be present in areas where there are a lot of banking activities , a lot of maybe not only existing potential, but growth potential is also. And still we have to , country is having 700 odd districts +700, we haven 't covered the entire area. We feel that we can still go ahead and identify more. So, for this year as I sai d, we will be doing it and all this will be adding to our growth.

Management: Abhijeet , just to supplement. There are actually four pillars: people, process, technology and data. So, people wise in our bank, AGM and above, with their IDP, Internal Development Plans. We have gone with the IIMs, XLRI and ISBs that is one part. And even at the very, very top -level executives almost 67 people are sent to various universities across the wor ld so, re scaling is very important when it comes to people. Second one is the process. So, your bank, Bank of Maharashtra is today having 35 RPA implemented, probably the first public sector bank to implement RPA right now and further 25 under development that is the way the process you can think of redesigning. The third is technology , certainly we have given all the inputs in our earnings presentation. Now coming to the data, we need a clean data so, if you want to go from a big data or AI. On that fourth front, we are having a lot of many projects running in the Bank of Maharashtra – 26th April, 2024

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bank to have a data cleanliness and data shampooing and all those sort of things. We are also going to run a project on the data. These four are the important pillars in which your bank is working upon.

Palak: I'm Palak from Elara Securities. I had a few data keeping questi ons. Can you quantify the write off pool . And how much off it would be NCLT?

Management: NCLT is Rs.8500 crore . And in pool, we have around only Rs.321 crore of NPA.

Management: No, the question is asking what is the amount we have written off, right?

Palak: Yes, total pool.

Management: Return on assets or total?

Palak: Total.

Management: The current year, we written off Rs.1600 crore .

Palak: And I want the total cumulative pool add on?

Management: That is Rs.19,555 crore .

Palak: And how much recoveries are you expecting in this current year?

Management: This financial, at least Rs.1500 crore we are expecting there.

Management: And whatever NCLT + Rs. 8000 crore , it is also writte n-off account, technically written -off. So, whatever recovery will come, it will directly go to your P&L account.

Management:

And see, if you talk about the IBC cases, NCLT, we have seen there has been a delay in system, but there is a broad feeling that all these cases may be at whatever haircut, but would find resolution by 2025 because there is a lot of push and reviewing of the way NCLTs are functioning nowadays. So , we may see resolution of most of the cases. So, this Rs. 9000 crore , Rs. 8500 crore odd NCLT portfolio, where I have 100% provision and they have written -off maybe whatever haircut, but we can expect a large part of it maybe next 2 years to come to the bank as a complete resolution.

Sushil Choksey: Sir Sushil Choksey , Indus equity. Sir, you have done fantastically well over a number of years for CASA. And the future of Indian banks is dependent on CASA for many enablers. How are you seeing the road map of sustainable CASA over the next three , five years?

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Management: So, yes, one of the stren gths for us is the CASA share that we have to our command. Yes, there are certain relationships that patronize us and we are mindful of that. We are taking care of

these relationships and what I've just mentioned in my opening remarks about the new initiative in terms of a new vertical that we have established. The main task of this vertical is also to visit our top clients, both on the asset side and the liability side and explore what is that other things that can be done for them. Typically, if it's a government department, which maintains their operative accounts with us, I'm sure if we go and sit down and talk to them, they have some financial needs towards their regular payments that flow from their salary accounts, payroll to vendors, they also have some collection requirements. So, that must be done by somebody else, or they may be struggling to meet those kind of requirements. We will go as a complete bouquet of offering to these clients, which, I enjoy a good CASA. We will offer these products, we will do whatever customization in my CBS is required to help them streamline things and the advantage I look at it that I will deepen my relationship. I will also ring fence that business definitely under no circumstances, it stays with me because it's a competitive ear. and maybe when we get other lines, other ancillary businesses from that one account, we will be adding to our incomes also. CASA is one thing we will definitely, 48-49 is my average, but I have kept the guidance to keep it above 50 so that will require a lot of challenge on me to see so these existing relationships have to be ring fenced, also I will have to explore new areas so, that same vertical in a very structured manner, is going to look at these, we will also identify and find out which are some areas for improvement. From my SB, what is my salary share of business, typically we have data with us that what a private sector typically does, what is the best PSB that is there in that. If my salary share is low, I will then put in place the required strategies to see that there they improve. All put together, we will see that the CASA is maintained, the strength that we have because through this, we are able to give a lot of enablers. I can price my products very competitively, and I have good takers and when I'm entering new markets, I can ensure that my branches are a very competitive field, they are able to scout business.

Sushil Choksey: Sir, during my last visit, I was explained by executive with Asheesh Pandey that we are enabling a lot of products whereby the current CASA holders, we will be able to sell multiple products. And if so, how many products are we able to sell or mine today from the data that he is your customer, but taking a loan from some other banks and you are able to convert because he is already giving you CASA account, but not taking a loan. So, if we are selling

two products, can

we get to three, four do we have some data to speak up on that?

Management: So, very well said, this is a very important metric, and it's a measurable metric also that in one customer ID, how many products we have sold so, we are mindful of that. We are seeing that what is my current PPC. Going forward, what is that PPC say, one year down the line, six months down the line, how much PPC we would wish to improve. We will take use a lot of technology in helping us do it. And definitely, we would like to do the other businesses with the same client. So, we have a higher share of wallet share, is what we are mindful, we are aware of that.

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We will work on those lines that if this is the potential one client gives then if I'm taking part of it, why not I should get the whole. See at some places, we have a very distinct advantage. If it's a credit relationship, we are sole bankers, but we would find that for some of these things, some of the ancillary business is gone to some other banks so where we have the sole relationships, I'm sure we will be easily able to convert. Even in case where multiple banking is there, our consortium is there, at least we will go with the ask that what is my share in the consortium that much share in the ancillary business I must have. With these kind of things and approach, I am sure when the efforts are made we will get some value around this initiative.

Sushil Choksey: Sir, to take all the initiatives, digitization and digital expenditures would be going to be a big thing. So, you may be doing CAPEX as well as on an operating basis. Last two years, you have given some numbers and guidance. What is the future outlook and what kind of spend are we going to do in current year and maybe next two, three years in technology?

Management: Every year, we are seeing a heightened budget towards the IT spending. This year, it is Rs.1200 crore. I'll ask Asheesh to just add to any more things that.

Management: As you are aware, like last two, three years budget on the IT and digital so, we were at Rs.800 crore and Rs.900 crore and this year we are Rs.1,000 crore plus. At the same time, there are two important things, the one is that the spend which you are doing how it is getting into the conversion into the business. As we said earlier that we are looking from starting with the 5% share coming from the alternate channels and increasing to 20% in say two to three years' time that is point number one. Second, we are also mindful that when you talk about the IT budget. So, the thing is that the first is on the software side, the depreciation is 1/3 straightaway. And on the hardware side, which is ATM and all, it is almost a say five year, I'm just taking the ballpark duration. Now with these two things, and now certainly when we have given various press releases like last one, one and a half year, so that's around +350 initiatives we have done, and we have lost. So, what happens that how it is getting into that is why the digital business zone has been created in the bank. And further, as we have told, this last year, all the three

data centers, one is the DC, near D R and D R. All those three are upgraded in the top class, which is the first grade. The second one is that there are three important switches. One is the EFT switch and other is the UPI and third is the FI gateway, FI switch. So, all the three, the two are upgraded now third one, we are doing. So, what I feel, that the majority of the things the expenditures are made just to strengthen the way in which economy is behaving towards the progress in the same way as our MD sir has said that the bank is also aspiring to progress in the same way. These three years certainly, we are going to continue and not only on the IT business side but then

yes, on the cyber security side also in this pie we are also sharing a lot so that we strengthened a lot going forward in the cyber security as well.

Sushil Choksey: My last question is you are very successful to QIP because the performance was rewarding the shareholder whoever bought. Today, there's a lot of public noise that the government wants to reduce stake in some of the banks and Bank of Maharashtra is the one of the top performing Bank of Maharashtra – 26th April, 2024

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amongst that. I don't see, it's a question and answer, which I would see that you don't need capital at all. At the same time you have to get to 75% as per the newspaper reports, I understand ministry might have not spoken, but the papers are speculating. Will you raise the equity further or you will just be reluctant and asked government to sell in the market?

Management: So, the option number one that you give is one option, which is actively under consideration.

In fact, we are going to shortly take our internal approvals. We will go to the Board and get this idea approved and go to all stakeholders, RBI permission is already there and from shareholders in the next AGM and DFS, we will be definitely doing this and at the opportune time, we will take a view on this and yes, what you rightly said there is no emergent proceed on me but the way we wish to grow our size, definitely and also keep our CRAR of guidance of 15% to 16%. So, I require capital raise for both the objectives to bring down my government stake in Bank of Maharashtra number one. Number two, even for my growth down the year, the next three to four quarters next year, I will want that I should raise money and so I maintain this healthy CRAR what currently we are seeing or maybe around the guidance that we are having for us.

Sushil Choksey: So, what is likely effective tax rate for the years to come back?

Management: Yes. We have switched over to new regime where the tax rate is 25%, and if you talk about the financial result, the tax liability we have shown, we are not having a tax liability because we are having carry forward losses of roughly Rs.8000 crore, which are giving us the benefit even though there is a taxable income because of that carry forward losses, that actual tax liability is nil, and that benefit will accrue for another one or two years.

Sushil Choksey: So, the next two years, your tax liability will be negligible?

Management: Yes.

Sushil Choksey: Sir, in your asset column print out, there is a component, you have kept balances with banks and money at call and short notice. In FY23, it was Rs.21 crore, but in FY24, it is Rs.9150 crore?

Management: Yes. So, in March month, we were having excess fund, which we have invested in the SDL that's why you have seen the balance sheet bank is on a higher side.

Prasad: Sir, my name is Prasad So, my question was on yield on advances. So, we have been seeing improvement in yield on advances. So, if we take, it's given in the presentation. So, from March of 22, it has risen all the way from 7% to 9.14%. So, sir, can you give some granularity on what are the levers behind this improvement and since we have seen the increase in RAM share, so that has been largely the driver or there are some other factors, let's say majority of branches that you were saying or are there any more factors. And can we see peaking of these rates post Bank of Maharashtra – 26th April, 2024

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interest rate cut announced by the government maybe in this year or the next year. So, this is my first question.

Management: So, RAM is yes, definitely a major contributor and our share of 61%, which was 57% last year March 23, is definitely one of the component that has contributed in this. Our slippages are very much restricted and maybe

it's an outcome of the underwriting, the quality of underwriting and our good monitoring on these accounts. So, there are if less slippages, I have the higher ability to earn interest and continue to earn interest. So, anything else you want to add?

Management: Yes, actually, slippages have as low as 1.24%. And in fact, we have shared some of the low-yielding advances. We are very much conscious about the bottom line when we are underwriting or when we are onboarding any credit customer so, these are the reasons and NPAs across all the sectors if you see in this presentation. Across all the sectors, you will find a substantial reduction in NPA numbers so these are the contributors.

Prasad: And sir, my second question was on cost to income. So, in your initial remarks you were talking

about continue your geographical expansion even this year also there were nearly 300 branches added. Despite that, we have seen improvement in the cost-to-income ratio down to 37%. So, this year, in FY25 though you have given guidance of maintaining below 40% of cost to income ratio, do you see headroom further fall in ?

Management: We see digitization as a significant lever as far as the curtailment of cost to income ratio is concerned. Asheesh sometime back told what type of ambitious plans we have as far as digitization is concerned. Right now our digital business is around Rs.2000 crore slightly short of that. But going forward, we are going to increase it at a rapid pace, and that is going to reduce our operational cost. And other than that routine cost saving measures of reduction in routine expenses, use of LED lights, other cost curtailment measures. They are part of the culture they are going to stay. So, that's why we are confident that with the growth in volumes, this ratio is going to be well below 40.

Management: And if you compare with the denominator effect. So, the cost in fact, absolute term cost is increasing because when you are opening new branches definitely that you have to incur the cost. But the benefit accruing from that cost is higher side, that's why we are able to maintain our cost to income ratio as likely said by Rohit sir and Pandey sir that digitalization this is also, we are getting benefit of that. For reconciliation, a lot of persons employed in digital that reconciliation, and once you reconsider those person will be free and that can be used for the productive program, maybe for increasing the business of marketing, but that will also add additional benefit to the bank.

Management: So, actually, if you see some level of centralization, verticalization that we are doing also is helping us because imagine a situation in the center there at 20-25 branches and each one of Bank of Maharashtra – 26th April, 2024

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them has a credit officer to underwrite the RAM segment loans versus we put centralized processing sale and say a team of four to five officers. So, actually, from every branch, there's a credit officer who can be redeployed and used elsewhere. So, this is kind of the redeployment through the centralization which has happened. Also is able to help us grow also and not have that kind of impact we would have seen if every branch is doing everything. So, that's how centralization is also helping in many ways including the cost part.

Hatim: I'm Hatim from JM Mutual Fund. Sir, one question is, how much is the contingency and floating provision we are holding on the balance sheet?

Management: We are not having any floating provision.

Hatim: And contingency ?

Management: The contingency provision that we have created and as our MD sir told that Rs.1200 crore provision we are holding and if you see that this year, 1st Quarter we made an ECL provision Rs.250 crore and next quarter agri provision Rs.325 crore and the third quarter Rs.100 crore provision

for investment. And again, for this quarter we have created Rs.355 crore. So, put together Rs.1080 crore provision we have created in the profit and loss account, this is a type of contingency provision we can say. So, though this we have not factored while computing CRAR and profit. Yes, so sir this is the exercise of strengthening the balance sheet. And balance sheet measure will continue further also.

Hatim: Sir second question is operating expense Q-o-Q there is a very sharp increase. So, what is the reason for that?

Management: One of the reason is that because of that wage revision, our supervision benefit cost has gone up in the March quarter. So, because of that, there is an increase in overall operating expenditure. Apart from staff expenditure if you see that there is reasonable increase in other operating expenditure.

Hatim: Okay. Sir, last question is that you have guided for a NIM compression going ahead. So, I wanted to understand a detailed response because you said that more repricing of deposit is left, or we are shifting more towards lower yielding loans or is it completely because of the decrease in interest rate which is likely to happen in H2. So, yes, your response on that ?

Management: So, currently, it is rather to remain conservative, perform and showcase a better performance is our feeling and yes, there are some headwinds for the system as a whole, not anything specific to our bank. But we are mindful of the fact that with tomorrow, interest rate cycle is seen reversing, then how does it impact us. We want to actually keep a conservative performance come with you again, come to you with a better performance. And that I feel is Bank of Maharashtra – 26th April, 2024

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the better way to do things. Not that we plan to scale down for any of the reasons that you stated.

Management: It is in anticipation of macroeconomic dynamics rather than anything else. If the same macroeconomic factors continue, we are going to maintain this NIM, and it will may improve on it.

Hatim: If there is no decrease in interest rates then there's a likelihood of maintaining NIMs ?

Management: Yes. We may rather improve it.

Management: So, if you see, we have given a wide band it is 3.7 % to 3.9 % is the guidance, and we closed this year with 3.92 %. So, that's one of the reasons such a wide band is there.

Somair Choksey: Soma ir Choksey from Indus Equity Advisors. So, just looking at your presentation, there 's a particular slide on the external rati ng wise split of advances to corporates. Sir, so just wanted some clarity on one aspect. Our number of AAA rated borrowers in FY23, in both absolute numbers and in outstanding exposure. So, it's reduced from 26 to 11 and the exposures also come down from a round Rs.7800 odd crore to Rs.5500 odd crore . So, any particular rationale for this or were we looking to lend on higher yields to lower rated say AA kind of category more?

Management: It has to do with the migration of rating. But broadly, if you see the number of borrowers which are above investment grade, that ratio in the total portfolio that is showing improving trend it may be either due to shift migration and rating from AAA to either upward or downward category. But the way to look at this slide is percentage of portfolio that is , in or above investment rates. So, the trust of the issue here is that , BBB and above category as on March 24, we are at 74% and that is a significantly good number.

Somair Choksey: So, broadly, could one takeaway that you w ould like to reorient or re -strategize towards a set of customers who can earn better yields for you, but still have a pretty good credit risk quality?

Management: Yes, that 's right. Above the i nvestment grade most of the, in fact almost 3/4 of the borrowe rs but at the same time we are going to get significantly

that 's the issue.

Somair Choksey: And so if one were to see your AA category has shown quite healthy growth, so just out of curiosity, these incremental advances in the AA side of things, are they t o a certain sector or it's more broad -based ?

Management: No, it 's all broad based , it's spread across all the sectors.

Somair Choksey: Okay. And sir one last question if we see , MD sir also alluded to this your orientation has shifted more from the corpora te side towards the RAM side. And although corporate credit from high Bank of Maharashtra – 26th April, 2024

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base have grown pretty well. So, how are we poised to grow for this year , MD sir alluded to the fact that seeds of the NPA cycle are sold during the good times. So, how are you viewing t hat from an FY25 perspective?

Management: Focus is mainly on bottom line. So, wherever we get bottom line, and we are able to spread our risk, that 's the area we prefer to and with that logic, RAM is the ideal place to go. So, corporates, we are not averse to lending to corporates, but we should get our significant yield on that portfolio. That 's our criteria and viability of the proposal, diversification of risk. These are the things we are looking for. There are sunrise sectors in corporate, for example, PLI related sectors , there are green finance related sectors are there , then infrastructure is there . So, wherever we get viability, and we are in the sweet spot as far as ticket size is concerned and yield is concerned, we will go there.

Management: Some of the so called AAA sectors where we are not getting the good return we have said also.

Management: Yes, that 's right. Some of.

Management: Actually, since beginning 40 plus , minus 1%, we are just sharing that it is, last four quarters, we are sharing this information that around 40% plus , minus 1%, 1.5% is our level of RAM and corporate.

Management: Just to add to that, we all are aware of, we all know of it that the private sector CAPEX cycle in big way still to come. So , once that is happening, then automatically the demand from that sector is going to go up. And yes, we will always remain mindful of how the business that we are doing is going to impact the bottom line and then take our call keeping in mind the risk and the exposure and other things.

Management: Any more questions . So, friends, thank you. And we require your presence also , here also as well as we will continue to interact with you because you are the people, you tell us where we are going. And you are also the great guiding factor a nu mber of times when we met you personally, you have also guided. So, with this, I again thank you all of you for coming here, giving your precious time. Thanks.

This is a transcript and may contain transcrip tion errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy

Call: Jul 2024

AX1/ISD/STEX/ 71/2024 -25 Date: 20.07.2024

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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held
on 15th July, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of conference call with Institutional
Investors/ Analysts regarding Financial Results of Bank for the quarter ended 30.06 .2024 held
on Monday , 15th July, 2024 .

The transcript of conference call is uploaded on Bank's website and same can be accessed
through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(V P Srivastava)
Chief Financial Officer

Encl: As above

■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■ / Head Office : "Lokmangal ", 1501 , Shivajinagar, Pune - 411005
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"Bank of Maharashtra
Q1 FY '25 Earnings Conference Call"
July 15, 2024

MANAGEMENT : MR. NIDHU SAXENA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BANK OF
MAHARASHTRA
MR. ASHEESH PANDEY – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA
MR. ROHIT RISHI – EXECUTIVE DIRECTOR – BANK OF
MAHARASHTRA
MR. VIJAY SRIVASTAVA – CHIEF FINANCIAL OFFICER
– BANK OF MAHARASHTRA

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Moderator: Ladies and gentlemen, good evening, and welcome to the Q1 FY '25 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us from the management, Shri. Nidhu Saxena, Managing Director and Chief Executive Officer; Shri. Asheesh Pandey, Executive Director; Shri. Rohit Rishi, Executive Director and all General Managers of the bank.

I now hand the conference over to Shri. Nidhu Saxena. Thank you and over to you, sir.

Nidhu Saxena : Thank you. Good afternoon and thank you everyone, for joining this conference call. We are here with the Q1 performance for FY '24, '25, and data by this time has reached, you must have also seen that. So broadly, I will just in my opening statement talk about few parameters and then straightaway, we can go for the queries and your questions and answers.

So our total business has seen a Y-o-Y growth of 13.5% and stood at INR4.76 lakh crore . Advances grew by 19% at INR2.09 lakh crore . Total deposits grew by 9% Y-o-Y, stood at 2.67%. CASA also has seen growth. Current grew by 10%. SD grew by 6%. Term deposits also have Y-o-Y growth of 12%. CASA share is 50%. Coming to the advances, advances witnessed , 19% growth within which RAM segment also experienced a high double-digit growth and retail grew by 25%, agri by 15%, MSME 20%. Corporate book also has grown Y-o-Y 39%. GNPA and NNPA numbers, we are maintaining at a very healthy level and there is no challenge we are maintaining around that level only. Whatever guidance we have set for ourselves for this FY '24, '25 on all these parameters I have discussed. So we are in line and in sync with the guidance that we have kept for ourselves. Certain areas of concerns that we have identified and which are, I consider also not specific to our bank , but in the system, we are seeing that the credit growth is outpacing the deposit growth and there is a stiff competition in this segment. And we are also trying to see that we retain our share and get some additional share of deposits, which are my raw material to fund and fuel this growth in the credit where we are seeing a lot of traction in each of our RAM and other segments.

My slippage and the asset quality are well within my comfort zone. Yes we are mindful of these parameters, none of the parameters should be slipping and we are very confident and very happy that this is again a set of another good quarterly results that bank has come up, which is a performance now consistently coming for the last 13, 14, 15 quarters, and we are maintaining that trend without any deviation in any of the outline parameters.

My PCR stands at comfortable 98.36 %. CD ratio has improved to 78.17% , which I consider at a healthy level. There are some initiatives we are taking, especially for deposits, maybe I have a quick mention on those. So we enjoy a lot of government departments, ministries and entities banked with us for their current and savings deposits. So we are, as I last time spoke about relating a vertical new business acquisition that vertical headed by a General Manager has been given the complete machinery and they are working and I'm able to see some green shoots out Bank of Maharashtra

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of their efforts. So traction is seen and we are now further going one level ahead to see that we can strengthen this outreach.

So as I said, some initiatives in the area of deposit, so very quick steps that we took to see that there is no flight of deposits from my bank to other players because, as I said, due to intense competition, some banks a

re giving allurements with higher rates of interest. So we also had worked out some special schemes as per my ALM requirements and gave them some better rates. So there is a retention of my deposit, no flight. Also, we were trying to focus through this enabler , Can we get more deposits, more customers

added to us ? So new CIF IDs that added with the scheme is what we are actually focusing on. Then as I said, we have some government relationship, departmental relationships, we are reaching out to them existing both new relationships and trying to understand from them how to deepen the relationship or what is that we can do to solve any issues while they are doing their basic banking needs.

So things like we encounter that there is a requirement for integration, they run some ERP and they have some APIs through which they can connect with us and we can solve their transactional issues, bulk transactions . –So a lot of technology can take care of their basic needs. So keeping that in mind, we have created a cell and whenever there is a reach out from that new business vertical and requirements are coming, so they are being looked at by our head office in a defined time line. And we are able to get the objective of getting this existing relationship, further deepened and new relationships, we are able to see some green shoots are getting established through this vertical.

We are also looking at the very powerful channel in the digital efforts from any lender today which is the mobile banking app. We are upgrading our app for many features and rather there is a process wherein we will be revamping our entire mobile application and we will be a lifestyle banking solution, which we'll be launching as the new version of our existing mobile app.

So all these small initiatives will be ultimately helping the bank in easily onboarding clients, making them active on our digital channels . My video KYC functions even on Sundays and holidays, which probably my sense tells me that it is a differentiator of Bank of Maharashtra that on the liability side, not many banks have taken initiatives. Digital journeys have been on the asset side, but my video KYC is working fine and I'm giving that option 24/7 on Sundays and holidays. So wherever I am maintaining some relationship with some organization entities, I'm seeing that whether I can give this comfort to them of opening the account on a Sunday, holiday at their convenience which is also going to help me.

We are looking at a few more initiatives, which I can quickly talk about. We want to see how that co-lending portfolio that we are holding, can be further strengthened. We have done some tie-ups and we are exploring more tie-ups with the high-rated NBFCs, whereas risk, governance and other things are well managed. The business is properly getting conducted. We would like to join such NBFCs.

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For my infra funding also, I'm trying to see the term lending institutions, can I partner with them and where they have the expertise to assess proposals in the renewable sector, in the infra sector and I can participate and I'm getting certain leads that, yes, this is possible and there are projects where they have given the initial term loan CODs achieved now or some operative account is required, some escrow mechanism is required , and that's how we can build our relationship with these term lending institutions in India and on-board our infra book also further.

We have been also talking about verticalization. We have created a lot of verticals to centralize operations, centralize processing of loans and see that we get good underwriting done in the bank and the centralized operations will help us have a clearer oversight on these critical functions of underwriting, monitoring of loans and seeing that my asset quality and the monitoring is done properly.

So these

verticals going forward, we are only going to strengthen and then, we have also looked at product level . There are a lot of new products for the segments in the deposit like segmented products for Ultra HNI, HNI, NRI, some trust associations, clubs. We have existing offerings, but we are going to improvise and see that the products are found attractive and then the process of onboarding themselves is also completely happening seamlessly.

We have also looked at our retail loan schemes. We have mostly revamped, most of our schemes made them more market friendly while seeing that the risk that is there is properly addressed. In the recovery, we have been doing consistently quite good , but like for write-off, our recovery for the full last year was around INR1,000 crore but we keep a target of INR1,250 crore to INR1,500 crore this year. In the write-off book, I have a write-off book of INR20,000 crore , and my total write-off plus NPAs is INR24,000 crore . So Board has approved an NDND scheme, where I can on very liberal terms do the OTS with these things.

So up to INR1 crore is what my Board has approved. INR8,000 crore is the portfolio that is eligible under this NDND scheme. Out of my 6.22 lakhs NPAs, I have 6.18 lakhs NPA accounts, which are eligible in this scheme. So there will be a lot of small accounts, which we can clean up through this exercise. We are trying to see how we can ramp it up. We have around 500 -plus properties, which are with me through physical possession. We have started the exercise. Maybe by September, we'll come with a mega auction of these properties where my success rate is always better.

So 2025 is the success rate. If it's a physical possession property that I'm selling and trying to

dispose of through auction. So we will do all these initiatives also to see that the more traction is coming in our balance sheet and we get overall advantage. I think this is broadly from my side. Since all the information and presentation is there with you, we can open for Q &A, please.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora : Congrats on a good set of numbers. Sir, my question is on slide number 24. If you look at the market risk -weighted assets, that's come down to INR426 crore from INR7,500 crore last quarter. Probably this would be on account of the recent change in regulation. Further, if you

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can help us understand what will happen on the investment work in this? And also because the yields have moved up sharply on yield on investments. If you can explain how the recent circular is impacted on the investment portfolio ? That's one

Second, yields on advances have declined by 18 basis points Q -on-Q. So is there any one -off here? Or what explains the decline? And third, if you can just share your observation on the agri portfolio, how is it behaving any delinquencies there?

Nidhu Saxena : So that yield part, there is a slight decline, but it has no other reasons, but if you recall the regulatory guidelines, that the penal interest, which earlier was part of that is now not charged as the penal interest. It is towards the charges. And that is one of the reason, this change in the regulatory guideline, which has impacted this yield. It's a minor dip and has no specific reasons other than this. I think I'll ask my CFO to take the first question.

Vijay Srivastava: Regarding market, as you know, as per the new investment guidelines in respect of HTM, AFS, there is no market risk, credit risk will be applicable, that's why we could save INR7,500 crore plus and the market risk and there was an increase in credit risk by INR1,600 crore . So this is the impact of changing the guideline.

Talking about yield on investment

. You know that as per new investment guidelines, the RBI

now, they're not allowing shifting of the securities from HTM to AFS , and earlier the banks used to shift the high -yielding security from HTM to AFS and used to sell to market and the trading property to the higher side . And definitely , when you are selling your high yielding security, your yield on investment will come down.

Now because of new guidelines , all the banks including us, we have not shifted. So this has protected our yields. Of course, you will see that the interest income from treasury has increased, whereas the trading profit has come down.

Nidhu Saxena : As regards to agriculture advances, there is a growth . You would have seen that 35% growth is there. Of course, this is the sector where the stress is high, NPA levels are high, but it is on reducing trend. Now this time, it is 7.88%. And whatever growth we are doing, it is now we are doing away with farm credit, and we are going more into the investment credit like cold storages and food processing units like that. So we are taking the balance view of this and we are controlling the stress also.

Rohan Mandora : Sure. Sir, just on the market risk weighted asset movement. So what you explained was, on the HTM and AFS , credit risk was applicable even earlier and now after the change in regulation that is applicable on HTM and AFS?

Vijay Srivastava: Yes credit risk applicable, but market risk should not be there. So that's why you will find that market risk in March '24, it was INR7,540 crore . It has come down to INR426 crore . It is only applicable in respect of the HFT portfolio.

Rohan Mandora : Got it. And sir, lastly on this...

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Vijay Srivastava: Yield is there, we have also accumulated higher -yielding securities. It is also impacting positively on the yield on investment.

Rohan Mandora : Sure, on term deposits, sir, I believe that a good amount of term deposits would be getting auto -renewed for us. So just wanted to understand what is the proportion of such deposits and at what rates do they auto renew vis -a-vis peak rates offered?

Nidhu Saxena : Unlike the saving. TD is a price -sensitive issue. But 20 , 25 basis, if market offers more, my client who has been banking with me for years may not . All of them may have exercised the auto renewal option and automatically at the due date, the renewal is happening for them and whatever the applicable rate is for the tenor, it is getting renewed, will apply in the fixed deposit. We have to also see that our retail customers are getting adequate returns vis -a-vis the market, so my scheme should be competitive. For that reason, what we have done is, looking at my requirements, specific requirements as per my ALM, I have created buckets of 400 days, 666 days, 777 days. And we have offered them something more than which is applicable to the retail

investor.

That becomes an incentive for them and they are able to, on maturity, retain . It may mostly get auto renewed or the customer can exercise the option of closing that FDR and then moving it to these special schemes. And then, of course, there's a 20, 25 basis incentive to them, but I'm also fulfilling my ALM as per my need . I created those buckets as per my requirements.

Moderator: Our next question is from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri : Sorry sir, I just joined the call a bit late, so maybe you've already spoken about it , but could you just give me the guidance for our current year, sir?

Nidhu Saxena : Guidance for?

Darshil Jhaveri : For asset growth.

Nidhu Saxena : Okay. Yes, sure. Guidance, it is total business. We are keeping a guidance of 16% for this year and my advances within which would be growing at the rate of 18% to 20%. Deposit, I know it's very competitive , so guidance we have kept is 12% to 15%. CASA, we will maintain

around 50% CASA share. My RAM verticals , RAM to corporate will be 60% to 40% ratio and there'll be plus/minus 2 basis. My interest income growth, 18% to 20%. For the last 2 quarters, we have achieved the NIM of 3.97%, but we are mindful of the impact, which may be created tomorrow if the rate cut is given.

So we should be maintaining NIM guidance of 3.75% to 3.9%. Noninterest income also is growing, and we'll keep a guidance of 15% to 20%. Cost to income, 37%, 38% and I'll keep it below 40%. ROA, we have clocked 1.72%, but we are comfortable to maintain a guidance 1.5% to 1.6%, . GNPA it is 1.85% around and we will maintain it below 2%. NNPA between 0.2% to 0.25%. So these are broadly the guidance I would like to share. My CRAR would be between 16% to 17%.

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Darshil Jhaveri : And sir, credit cost, sir?

Nidhu Saxena : Credit cost is 1%.

Darshil Jhaveri : Okay. Fair enough . And sir, just wanted to get maybe like an idea from you what kind of roadblock or like a competitive intensity is there in deposits or anything else that you would like to share that on a background of business industry level, that would be problematic to our bank?

Nidhu Saxena : So if it is the deposits you are trying to ask, so this point definitely was discussed , but I can very briefly tell, yes, this is a very intense competitive area. Now every lender and the system is also seeing that credit growth is outpacing the deposit growth in the system and I'm not out of it , and every bank is getting that same impact.

So what we are trying to look at is I enjoy a lot of patronage from my clientele. So I'm trying to reference that first of all and then we are taking a lot of initiatives around to deepen this relationship, taking care of their other banking needs. That relationship is strengthened and we reference ourselves that there is no takeover of this kind of business or my clients.

Then over and above that, we are taking some proactive steps . We're moving to get new clients added , new customers added, whether in the retail segment, whether in the institutional segment, both require a different set of strategies. So my products are getting strengthened, we are improvising our products. We are introducing new products. We are looking at facilitating the onboarding process, making it simpler , easier .

So I spoke about the initiative of video KYC working for me 7 days a week. So even on a Sunday and any holiday, the customer can take this option and onboard himself or herself. By opening the account, we are revamping our mobile banking application, which we know and we consider that is a very powerful medium today . The most used channel among the digital channel is the mobile banking app. That is getting strengthened and we are rather in the process of introducing an entire new lifestyle banking option where I'm targeting by September, December, the first few set of services will be on boarded and where we'll be able to showcase and give to our clients much, much easier and more number of services through that application.

Moderator: The next question is from the line of Bunty Chawla from IDBI. Please go ahead.

Bunty Chawla : Congrats on a good set of numbers. As we have seen historically, there has been a strong improvement in agricultural NPA, which has supported us in terms of credit cost and improvement in the ROE. Now the scenario of around farm loan waiver, which is happening , and specifically, if I talk about the Maharashtra state, there has been announcement from the government that there should not be any CIBIL score for the farm loans . So how one should see the impact of this agri NPA going forward and specifically credit costs and asset quality and ultimately, the ROE impact in next year and next to next year?

Nidhu Saxena : A little bit my general manager recovery had spoken about the agriculture that we have migrated, deviated ourselves from doing KCC loans, farm loans to going forward towards investment

an impact on our recoveries also at times, but we are also trying to track and the monsoon predictions this year are towards normal or above normal rainfall.

All these things ultimately lead to better crop output, and we don't see major challenges coming out from this segment. And so far, agri NPA is being continuously getting reduced. Things are well within control, and if this monsoon is favorable, I think going forward, we don't see a major challenge building up for any banks for that matter.

Bunty Chawla : From the incremental basis, I agree and you have been focusing on the NPA on the agri side on the investment portfolio. But already, we have done lending to that. So have we taken care in terms of 1% credit cost which you have guided for? Have you taken some bit of increase in NPA, which we are seeing in the agri portfolio?

Vijay Srivastava: Yes. So you see that during this quarter, additional INR300 crore of provision in the standard provisions we have made, that is for the agriculture. As you know agriculture is subject to natural calamities, so we are also mindful of such things. And when your balance sheet is strong, you can create such cushions also. We have already created a cushion and this quarter, we have created cushion of roughly INR300 crore in the balance sheet to take the unforeseen stocks.

Nidhu Saxena : Credit cost is higher today because we are providing almost everything. You would have seen that our PCR is 98.38 and the entire thing is being provided and net NPA is 0.20. So that makes my credit cost more. Regulatory requirement, credit cost is absolutely below 0.40.

Conservatively, we said 1 because we are keeping this trend of over providing everything to ring-fence ourselves.

Bunty Chawla : Okay, sir. Lastly, on the infra book if we have seen, as a percentage of advances, there has been an increase from last two years. And now this infrastructure provisioning, which has been the circular from the RBI side. Any rough estimate we have done any calculation on the provisioning part on infrastructure?

Chief Risk Officer : As per the draft guidelines, we have estimated it is coming around INR490 crore. As per the draft guidelines, this provision will also be there if it is implemented starting from 2025 to 2027 which is over a period of three years. So if we make it INR490 crore over a period of three years, our impact is very less and alternatively we've also done some analysis whereas these additional provisioning, we can pass on the increasing interest to the customer for maximum to 0.4% to 0.5%, like that.

Bunty Chawla : Sorry to interrupt, sir. Have I heard rightly, INR490 crore, you said?

Chief Risk Officer : Yes, INR490 crore, and roughly our additional provision will be there. And as per the RBI draft guidelines, that provision also we can move on over a period of three years, starting from 2025 to '27 if at all these guidelines is implemented. Currently, it is a draft. So that is why I'm telling this INR490 crore, we can spread over a period of three years.

Alternately, we have an option that we can give some additional provisioning to increase our interest rate to our customers who are coming under the under construction phase. Based on our analysis, we have seen that we can increase the loan pricing by 0.4% to 0.5%.

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Asheesh Pandey : Yes. Chawla ji, actually, if you see mostly though infrastructure and construction-related loan where construction risk is there, there is always two set of rate of interest. One is the pre-COD and post-COD. So generally, the difference between the two somewhere lies b

etween 0.5

approximately. And certainly, when it is a guideline sort of then depending upon the competitiveness, depending upon the rating of the company and depending upon the other participants in the industry. So certainly there is always a chance where you can pass on this. That is the assessment which us in our banks and also the other banks which they have done and discussed.

Bunty Chawla : Thank you very much. That was very helpful. Best of luck for the future.

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje : Two questions from my side. Firstly on the recoveries from written off accounts, have you already started using the NDND scheme for your OTS and because your recovery from written off account is fairly high in this quarter at INR470 crore?

Prashant Khataavkar : Yes. This scheme is already there. We focus on the small accounts for recovering written off accounts and this quarter what you referred, this more recovery is also because of one account which was actually previously recovered having some legal causes there. And that is why that is accounted this quarter. But on an average, we envisage our recovery to be around 1,000, 1,500

in written-off accounts.

Ashlesh Sonje: And what was the quantum of this one large recovery?

Prashant Khataavkar : INR200 crore .

Ashlesh Sonje: Okay. Sir, secondly what is the conversation that you are having currently with the RBI around the ECL provisions ? Any clarity on the time line and calculation methodology?

Vijay Srivastava: Though RBI had issued a draft guidelines, but it has to be finalized and we have been submitting the half-yearly pro forma financial statement to RBI where we are crunching the ECL number.

So looking at our profitabilities and the time mandate given by the RBI for amortizing that ECL provision , we are quite comfortable.

Ashlesh Sonje : Sir the question is around the timeline for implementation . Any clarity on that?

Vijay Srivastava: Timeline for implementation that it is up to RBI when they come with the final guidance, but at our side we are keeping our self-ready . We have already onboarded or equipped for Ind AS software and E&Y for the implementation and it will take another 9 to 12 months to start the things.

Ashlesh Sonje: Perfect sir. Just one last data keeping question. What is the amount of provisions that you are carrying on the restructured advances on the outstanding provision?

Vijay Srivastava: Roughly it is INR 250 crore .

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Ashlesh Sonje: Okay sir. Thank you.

Moderator: Thank you. The next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Thank you for giving me this opportunity. Congratulations Nidhu sir and the entire team of Bank of Maharashtra for yet another good set of numbers. Sir, I have got some data points and some observations. The data point is sir if you look at our balance sheet the reserves and surplus is INR14,083 crore as compared to the March INR12,593 crore . So INR1,490 crore our net worth has gone up our reserves and surplus whereas the profit is INR 1,293 crore . So this INR 197 crore which has been added to the reserves and surplus is on what account? Is it because of the change in that investment that the profit of the AFS book goes to mark-to-market goes through the reserve or any other region for this?

Vijay Srivastava: You rightly said this is on account of the appreciation which has gone to the reserves. As per the guidelines whatever the AFS gain/loss that will go to general reserves on 01/04/2024 . So it has strengthened the reserve and surplus and second point is that appreciation you cannot take back in P&L account. That's why we will see that trading income is muted in the first quarter of the financial year.

r.

Ashok Ajmera: Is that the entire INR 197 crore or it has element of some other items also?

Vijay Srivastava: Mostly it is that appreciation in the investment book.

Ashok Ajmera: Now coming on the credit and the business growth. The Bank of Maharashtra over last almost 3 years, 3.5 years is known for its excellent performance or accelerated growth. The time was there when CASA was 55%, 56% the credit growth was 26%, 28% and equally the deposits were also good, but of course I can understand that the bottom line , I mean the base all has gone up.

So now we are coming slowly a little on the lower side like in this quarter our credit growth is hardly 2.65% or something. So you have given the target of 18% to 20%. So how do we actually intend to grow our credit portfolio from here because if it is only 2.5% now, are we growing by 15.5% in the remaining 3 quarters and how do we achieve that? This is on the credit side.

And on the deposit side we are declining on the overall deposit book as compared to March, I think it has gone down by about INR 3,000 crore . So that is also equally a very important point though you have maintained the target of CASA 50%. That's a very welcome move. So on both these deposit and credit growth the overall business growth, what actually are your plans and how do we increase the credit and under what segment because the agri is already too much. And our MSME book is too low as , I mean, especially the medium, if you leave the small and micro your comment, sir ?

Nidhu Saxena : So Ajmeraji absolutely there is no cause of concern . What we are looking at is because maybe Q1 is always a muted quarter which is in the industry scene and we've muted a lot of activities, audit , this movement of the staff, annual transfer exercise. All these have some bearing and impact. We also had the general elections and these things actually a little bit disruption gets

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created in the normal functioning. So Q1 performance is no worry for me. If I look at the Y-o-Y, the Y-o-Y growth that has been achieved in advances is 19%.

So this quarter, June '23 also had similar challenges, June '24 at the same set of challenges. And we have done a Y-o-Y growth of 19% in credit. So it's not a major cause of worry for us. But yes going forward we have to look, see you rightly pointed out that for some 2.5, 3 years is what you said I think on 3 years, 3.5 years. We have been performing at certain level and we have been generating those numbers.

We also, going forward, want to now become a bank of greater significance. So maybe if we have to grow in size we will have to also open up to new opportunities, new areas. Currently maybe we were doing selective basis, we'll have to open up and maybe the kind of NIMs that we command, what we do with that, whether we enter into new areas to grow in significance. So those kind of challenges will be there on which we will keep debating and working out, but I don't foresee this Q1 muted performance where Q-on-Q YTD growth is what you pointed out is not a worry point for me. Replying to your RAM corporate we have a guidance for ourselves 60-40 and this Q1, it was 61-39. So we are within that guidance, and we will see a lot of traction coming for retail advances.

We are growing there under each of the segments of RAM. There is no problem yes the private capex cycle which we all have been discussing at several forums those things are yet to be seen. And I think couple of quarters ahead that also will come, and then we'll get more and more opportunities. Currently we are trying to look at infra, renewable portfolios within Infra, LRD. These are areas where the government PLI is there, those sectors are our preferred sectors. So we are focusing on them and as and when demand is coming from these sectors we are there to participate as per our appetite

and see that what we are able to gain for the bank. So going forward growth will not be a challenge and specifically a lot of initiatives around products, the processes, and our turnaround time in communicating decisions. If we are improving on those using as much as possible technology I see there will not be a challenge to become a bank of greater significance and we are also mindful that today we want to see that when we grow, this growth is sustainable one and we should have a strengthening of our risk, governance and ensure that technology structure is strengthened to let me take care of the technology risk and the cyber risk. So keeping all these things in mind, we have recently gone for a specialist recruitment, where 195 officers will be on boarded in the risk management the treasury, the forex, the risk and the technology.

So this will all help me strengthen my risk and governance culture, compliance culture also strengthen my technology structure that is there and properly guard myself on the technology risk that we are seeing in this thing. So with all this, we are properly, I think, moving in the right direction and growth and the sustainable growth is what we are targeting.

Ashok Ajmura: Sir, one point is we have a COVID reserve for I think, for last almost 2 years, 1.5 years of INR1,200 crore, and even auditor also has pointed out in the measure in the emphasis that we have a COVID-related provision of INR1,200 crore. Although our provisioning is within control Bank of Maharashtra

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but in order to show a better profitability as compared to other banks, do you have any plan to use a part of this COVID provision, which is no more required and no chances of as such of any contingency on account of COVID is there now, of this INR1,200 crore, any plan for that?

And my second thing, needed a little more information. We have been talking about digital and tech front, but like earlier there used to be a report in our quarterly results also that how many cycles have we completed? What is the kind of budget, which was there? How much have we consumed, how much budget do we have? And where are we heading finally on the technology front. So these are the 2 things, sir.

Nidhu Saxena: So 2 parts. I think, sir, the part one is my silver jewellery, family silver or whatever we call which we'll keep. See, if you look at broadly the guidance, which is coming the advisers, which are coming from the regulators not only in India world over that when the good times are there you may create extra provisions for itself. And so if you plan for bad times that may hit you later on.

So we have been just following that strategy. Good times are there, so we are keeping extra provisions on that. We don't intend to touch on those things because my operations and my intention is that every quarter we can just add up to that. So we live with that same philosophy that good times you should plan and make the extra provisions more than regulatory prescriptions for times when they change, when the times move towards the hard times. I think for the technology, I will ask my ED to respond budget and other things. Anything you want to add Srivastava on the provisioning part.

Vijay Srivastava: To supplement MD sir, he rightly said, see these are our silver. In this quarter, we have also added INR300 crore in that silver. So, when good days are there you try to accumulate the things, so that it can be consumed in bad days. Though we are not seeing bad days for longer terms also, we'll continue to accumulate such provisions in our books to strengthen the balance sheet.

Asheesh Pandey : Yes. Ajmera sir, coming to the second one on the digital front , maybe we always share that what is our budget and utilization. So last 3 years, this year, it is almost INR1,000 crore approximately, which we are having. And if you see on the techno

logy front last 2.5, 3 years, if I take then all over has 3 switches which is one is the [EF2 switch] we have already migrated. The second one is Fi switch we have already migrated. Now we will be in the position to onboard almost 9,000 bcs in a phased manner in next 6 month to 1 -year period with more than 100 services. So that Fi switch recently only, I think some 15 places we have migrated.

The third one UPL, we are in line in that. Now coming to the DC, DR and near DR all the 3 are not upgraded , even shifted to the best in class. So that is the second point. The third is that most of our cloud and what we say NAKSHATRA 2.0 and for cybersec urity covers 2.0. So we have now invested huge on all these RFPs are on the closure side and moving to implementation side is still because as our MD has said that we have plans to deepen the relationship and also to give a good on boarding convenience to the customers.

So on that, 3 -4 things are very much required. One is the CRM solution. The other is the Life Style banking covering mobile and the third is the Microsoft entire suite. So Microsoft we are Bank of Maharashtra

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on the verge of my implementation. The entire audit because when we talk about growth totally when we are asking about 28% to 29% growth and the other things then we need to have a good the GRC mechanism.

So our entire audit package is now launched almost 6 modules and now another 6 months' time. So we are going with the 19 modules in that target package. So coming to 4 - 5 things, which are the major ones. This RFDs are almost closed and we are in a process for the issuance of the purchase order and implementation as well. So I think the upgradation of the entire infrastructure not only software but even hardware has been refreshed and it is all on the implementation side. This is the position latest as of now.

Moderator: Thank you. The next question is from the line of Yuvraj Choudhary from Anand Rathi. Please go ahead.

Yuvraj Choudhary : Congratulations on a good set of numbers. Sir, can I get some colour on the Agri book like how much would be the share of KCC loans? And how much of the Agri book would be based out of the state of Maharashtra?

Prashant Khataavkar : Agri book, as I already explained that we are now concentrating more on investment credit rather than farm credits. But still the percentage of growth is there. It is almost 35% and we are growing in Agri ancillaries at highest 38%.

Asheesh Pandey : And as far as KCC is concerned concentration in Maharashtra is almost 60% and other than Maharashtra it is 40%. But broadly, we are moving from production credit to investment credit. So focus is towards that.

Yuvraj Choudhary : Sure, sir. Thank you.

Moderator: Thank you. The next question is from the line of Bhumika Jain from Desvelado Advisory. Please go ahead.

Bhumika Jain : Congratulations sir for a good set of numbers. My question was firstly, the cost of deposits increased by 10.3%. So what can be the reason for this?

Vijay Srivastava: Cost of deposit increased. If you see the cost of deposit has come down from 4.56 to 4.48 it has come up. So as it is on account of that, we are having the higher average CASA . Whatever CASA, we got in March. So the larger portion was with us up to 15 June and it has helped in keeping our cost of deposit on the lower side.

Bhumika Jain : Okay. My next question was also the capital adequacy ratio has also fallen. So what can be the factors contributing to that also the market cap. Firstly, the credit and operational risk has been increased. So that can be included in that but market risk fell from 7,500 to 426 that's a lot like more than 100%. So can you give the breakdown of that?

Vijay Srivastava: This quarter, we have not raised any capital fund. And in July, we have raised the fund because of which there is a dip in CRAR ratio and yes, there

is an increase in credit operational risk

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because you know that in operational risk, we have added new year . So your profit for 2024, will be added while completing the operation risk. So it has increased the operation risk.

Regarding market risk, as per the new investment guidelines in the script of the HTM and AFS market is not applicable, but the credits has increased. Since our advances has also increased some credit risk has come from the advances side. So overall, if you see, despite not raising the

capital, we are able to maintain CRAR above 17%.

Nidhu Saxena : Capital adequacy, I'll just add to what my colleague told , is not a concern at all because we are much above the regulatory prescribed, and my guidance is 16% to 17%, we are standing at 17.04% what we just mentioned on July 4, we did a raise of INR 1,000 crore . That takes my CRAR to 17.7%. So we are comfortable madam in that.

Bhumika Jain : Also, I wanted to ask how you plan to navigate and stay competitive given the rising competition in your industry, like you told me something like a few minutes ago , you told the video KYC thing. Video KYC thing is also available on Sunday. So what other that point out that your company is makes you different from others?

Nidhu Saxena : Right. So see, there are 2 broad components. One is the asset side, one is the liability side. What we are looking at is the product that we offer in both the segments, asset and liability. So we are looking individually at the products and which is the segment in the market where we want to reach out and whether my existing product is making some value propositions for them or not. So we are looking at, first and foremost, the product improvisations.

We also in the process are finding that there is a new sector, new segment, which is growing or there is there is a segment which is not well taken care of currently by the bank and can we introduce new products for them to reach out to them. So , that also effort ultra HNI, HNI clients we are trying to look at segments of NRI.

So we will come up very quickly with new products. Products are there, but can we have some more tailor -made schemes that will appeal to them, and then second part with products. So products on the liability side . Similarly, on the asset in the RAM, we have done a review of all our existing products in the retail, agri and MSME segments.

So all the schematic products have been reviewed, and we have for the ease and convenience of our field functionaries and also helping them to explain these products to our clients who come in with it or we reach out to them to explain , so master guidelines are given, and this guideline for whatever circulars that were issued on that particular scheme, they are all consolidated and just like RBI comes with a master guideline , and every July, they've reproduced whatever circulars, even no changes there, they will give.

So one guideline comes in one place. So that has been done. So small things, and there's a long list of these kind of initiatives. Ultimately, all aim to see that the client gets a good experience, get a value. And it's easy to on-board to our system. My field functionaries are properly empowered. They are able to easily market and spend their energies in new customer acquisition.

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Those kind of initiatives are there around products, around processes, so processes which are easy to on-board , and is not cumbersome. So that one small thought came that why this video KYC cannot work on a Sunday and holiday in cities where most of us are having no time in Mumbai, where we can get so if we give him/her the option that on a Sunday, you can come and you can do the video KYC functioning and between 10 to 6, my video KYC officer is available, and they'll help the entire process of

on boarding .

Suppose one organization we have reached where there are -- in the payroll business is allotted to me, and I get 500 employees to be on boarded . So that's how we can use technology, we will make a link and send to them and they can simply click the link as per their convenience, do the entire account opening process at their ease. And there is no manual intervention, branches not to reach out. The account completely starts functioning and we are able to send an account opening kit.

So as granular things as the account essentials, our passbook, how does it look like, how our debit card, does it give a smart look and the way the clients of today would want it. If we are reaching a particular segment . So we are even looking granularly to that levels that my account essentials, card, check book, paying slip and these things, whether they are all updated and customer on boarding is totally frictionless and seamless.

So these kind of initiatives, both on liability and the asset side, using a lot of technology for all these things wherever possible. So while my ED has spoken about broadly the structure, the technology structure we are having DC -DR, near DR and all those. We are also looking at every spend on technology, how it is making life of my client easier. So with that, I'm sure the technology and the returns on my investment through technology is going to start coming in, in a better fashion.

Asheesh Pandey : Yes. Just to supplement, like you say, video KYC, we have already launched some 4 -5 digital journeys in the earlier quarters. And now we are again tested and now POC is also that we are about to launch another 4 or 5. So what happens, when you come to a digital journey, so like video KYC. So compliance is done basically within the journey itself, point 1. Point 2, my staff gets free because it is digitally done. So see KYC and all, it will be done. Third will be customer convenience.

Similarly, I think in public sector space, Bank of Maharashtra is one where the robotic process automation, we have implemented 46. So 46 are live, in which 8 to 10 are straight away customer facing. So within minutes, their resolution, reconciliation is done, and around 15 are under development. Probably by September we'll be close to 15, so that is second.

And third, we are reading the cluster approach growth for a targeted market approach, whether MSME or whether on the retail side. So these are the few and we have one digital business to which is having a target of INR 5,000 crore. Already, they have achieved INR 2,500 crore, they only do business digitally. So they don't involve the people in the field function.

Bhumika Jain : Also, the last question is that I want to know your company's mode like what is Bank of Maharashtra providing that your peers aren't?

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Nidhu Saxena : So differentiator for the, so yes, I think, see, it's a tricky question. I would take it because most of us look alike, but we are trying to still find differences. And yes, we have differences within, and this video KYC is a small thing. We have a list of items that differentiate me from the 12 PSBs.

We are even looking at how we can differentiate what any new generation private bank would do, can we not do it better than that. Not to replicate, not to just go ahead and see what they are doing and try to copy that, no. We can always be better than that and do that. So a lot of differentiators, we are working on it to, when we go out and we talk for new business, my new business acquisition vertical does not just go and say that these are my products, these are services. We go in a very structured manner, we research that this appointment and this meeting with their prospective client we understand who are they currently banking with. So for what all their banking needs, which are the banks they are dealing with, and what

is the problem points, pain

points for them and whether I can simply go in that meeting and tell to the client that this is something which I understand is your pain point and this is the solution I can give you.

So we see that success rate, our hit rate to convert these calls into real business sitting in my balance sheet has also increased, and that's what they are very systematically working on and doing it. So we are definitely continuously working on creating differentiators for ourselves and then going to the market.

Moderator: Due to time constraints, we would be taking this as a last question. I would now like to hand the conference over to the management for closing comments.

Nidhu Saxena : There was a good interaction, and we'll be keeping coming and trying to see that we keep communicating with the strong fraternity at large and because we have our plans to showcase how the bank has been performing. We have our plans in place to go for some capital raising, we have our plans to become a bank of greater significance, and we would always need and request positive indications coming from this powerful community when you write for us, you write on us, it impacts.

So that's my closing comment. That's my request, and we will keep our engagements with you and not only necessarily that with every quarterly, in between, also, we will try to plan out and keep engaging with you all. Thank you for joining the call today.

Moderator: Thank you. On behalf of Bank of Maharashtra, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Oct 2024

AX1/ISD/STEX/ 114/2024 -25 Date: 19.10 .2024

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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held
on 15th October , 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of conference call with Institutional
Investors/ Analysts regarding Financial Results of Bank for the quarter and half year ended
30.09.2024 held on Monday , 15th October , 2024 .

The transcript of conference call is uploaded on Bank's website and same can be accessed
through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Nehal Rawat)
Company Secretary & Compliance Officer

Encl: As above

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Bank of Maharashtra
Q2 & H1-FY25 Earnings Conference Call
October 15, 2024

MANAGEMENT : MR. NIDHU SAXENA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BANK OF
MAHARASHTRA
MR. ASHEESH PANDEY – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA
MR. ROHIT RISHI – EXECUTIVE DIRECTOR – BANK OF
MAHARASHTRA
MR. VIJAY SRIVASTAVA – CHIEF FINANCIAL OFFICER
– BANK OF MAHARASHTRA

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '25 Earnings Conference Call of Bank of Maharashtra. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

We have with us from the management, Shri Nidhu Saxena, Managing Director and Chief Executive Officer; Shri Asheesh Pandey, Executive Director; Shri Rohit Rishi, Executive Director; and all General Managers of the bank. I now hand the conference over to Shri Nidhu Saxena. Thank you, and over to you, sir.

Nidhu Saxena: Yes. Good afternoon. Thank you so much, and thank you to all the analysts to join this call. And I'm happy to share that we have done our half yearly results today, and the numbers are very encouraging. A lot of strategies were put in place in the beginning of this financial year in areas of concern like deposits, and those all are yielding good results to the bank. And I will very quickly take you through the major achievements.

Our total business has seen a growth Y-o-Y of 17%, and total advances have grown by 19%. The deposits, were continuing as concern in the industry, in the system. In the last quarter, we had seen single-digit growth, but a lot of improvement has happened in Q2, and total deposits have grown by 15% Y-o-Y within which, CASA has also seen traction. CASA has grown Y-o-Y by 12%. In terms of absolute number, we have added INR 15,000 crore of CASA in our book. The ratio stands at our level of guidance, which is to maintain it around 50%, and that's the CASA ratio with the bank.

Coming to the RAM side, in the loan book all the 3 parameters, Retail, Agri, MSME have seen a high double-digit growth of 23% Y-o-Y in Retail. Agriculture, 34%, wherein large part of contribution has come from agricultural gold loans. MSME has also seen a Y-o-Y growth of 25%. Our corporate book has grown at 9% Y-o-Y. As I said, gold has been a focused product for growth this financial year, which has seen a Y-o-Y growth of 60%.

In terms of asset quality and stress SMA position, we are again very comfortable. GNPA has improved and has come down to 1.84% against 2.19% last year. NNPA is at 0.2%. Recovery has also been good in Q2 with cash recovery of INR 120 crore, upgradation around INR 100 crore and write-off recovery of INR 255 crore, we have a total recovery of INR 475 crore. PCR is standing at a healthy level of 98.31%. The CD ratio, is being maintained at the desirable level of 78.72% against our guidance of maintaining it around 79%-80% levels.

Net interest income has also seen a good growth of 15% Y-o-Y, with an addition of INR 375 crore. NIM has also seen improvement and has grown 3.98% from 3.97% and 3.92% in the last 2-3 quarters. There were concerns in the industry, whether banks would be able to maintain the NIM and that there may be a level of deduction in NIMs being reported by banks in Q-o-Q basis at least, but I'm happy to share that we are able to maintain a high NIM of 3.98%.

Operating profit has also grown year-on-year 15% at INR 2,203 crore. Net profit has seen a remarkable improvement of 44% Y-o-Y growth, and we have added INR 406 crore more than Bank of Maharashtra

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previous year at INR 1,326 crore. ROA year-on-year has improved by 36 basis points, and it stands at 1.74%. ROE at 26.01%. We are adequately capitalized with CET1 of 12% and CRAR of healthy 17.26%.

Overall, we have seen that the guidance we have kept for this financial year on various growth and profitability parameters and other efficiency ratios, have been achieved in the

half year. At

many of the parameters, we have surpassed the guidance. Going forward, we are confident that this trend will continue and we will see improvement in the Q3 and Q4 of this financial year.

Now over to you, Mr. Srivastava, our CFO, who will take you through the presentation

Vijay Srivastava: We will start questions, since we have already uploaded the PPT and our results .

Nidhu Saxena: Okay this is broadly from our side, and we'll be open to your questions on any of the issues that you would like to get additional information on. Thank you.

Mod erator : Thank you very much. Our first question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Sir firstly, congratulations on a great set of results. I think whatever guidance we've given, we've actually surpassed most of them. Just wanted to ask, like, would you want to revise the guidance?

I think, in terms of ROA as well as NIM, we've been outperforming what we said. How do we look at it going ahead? Like would we expect it to be more robust ? Like could we go to a 2% ROA and a 4% NIM?

Nidhu Saxena: Both these parameters are important and we have been performing consistently on the ROA and the NIM, which you mentioned , over the past couple of quarters. Although going forward, we are also mindful that if you talk of NIM, there is a likely rate cut that is being discussed. We really don't know when it will happen. But if that has to happen, I have a loan book of 37%, which is linked to repo. And with rate cut, that loan book will get immediately repriced. While I have been maintaining a NIM of 3.92% to 3.98% level, and we have grown NIM Y -o- Y almost 9 bps, but we are keeping a conservative guidance for our sales of 3.75% to 3.85% because of this factor that when the rate cut is to happen, for some time when the repricing or the deposit repricing will happen only with a lag . For that reason, I'm keeping a conservative NIM. My ROA stands at 1.74% , There is a guidance of 1.6% to 1.65% that we would be maintaining for this financial year.

Darshil Jhaveri: Fair enough, sir. That makes sense . I also just wanted to know in terms of our gold loan, we said that Agri loan has also been boosted by gold loan and in general, gold loans have grown a lot. Could you just describe what's happening on ground? Is it like the price of gold has risen that is why that's helping us or just somewhat how that's been?

Nidhu Saxena: If you talk of these gold loans, there is a huge market out there, and it is only banks which have grown this portfolio, commercial banks over the last 2 -4 years. In fact, after the COVID years, gold loan has seen a lot of traction in all the banks. Still, I feel there is a huge scope and we have also reoriented ourselves because gold loan there are 2 basic requirements. One is the safekeeping of the pledged gold ornaments, and the other is the appraisal infrastructure that is Bank of Maharashtra

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required to appraise the gold jewellery when you are coming for a request from the client for extending the gold loan. So with these 2 infrastructure, once they are provided, there is still a huge scope for all the banks to grow. It is a very beneficial product, and is able to easily be on boarded by branches.

It is quite a stable advance. It is also giving us that good pricing, and plus the risk weight is 0. With all these incentives around this product, we have also grown this portfolio and going forward, we remain bullish on gold. The pricing, which has gone up is only creating a lot of comforts around this scheme since over and above the RBI prescribed LTV, we are only getting more traction there. In terms of gold also, we are mostly able to take it in the Agri gold loan as per the RBI permissible scheme. My portfolio has already touched INR 13,000 crore . By end of the year, we plan to take it to minimu

m INR 15,000 crore , which I see is quite achievable. We have also done some co -lending partnerships with leading gold loan NBFCs. We are also building a sizable co -lending loan book in this segment of gold loans.

Darshil Jhaveri: Great. Sir, that's good to know. Sir, just like last question on my part, sir.

Mod erator : Mr. J haveri, may I request you to return to the question queue for a follow up question ? The next question is from the line of Pinaki Banerjee from AUM Capital Private Limited.

Pinaki Banerjee: Congratulations for a good set of numbers. Sir, actually then coming to the Page 7 of your investor presentation , the agricultural sector has shown the maximum growth of 34%. And sir, if I recall, in the last con -call, you had mentioned that you are in the process of doing away with farm credit and moving more towards this investment credit, like cold storages and food processing. So sir, can you give me an update on this, please?

Nidhu Saxena: Yes, Pinaki, actually, if I give you the YTD growth number and if you see my agriculture gold loans in the investment credit and these gold loans, they have grown YTD at 29%. Whereas the others, which is the working capital KCC, has seen a growth of 6%. We have also experienced certain concerns in the area of the KCC loans, we have also tried to see that we are not growing the Agri book in that segmen t where concerns are lying.

We have made a lot of changes in our underwriting with regards to who is actually sanctioning, since the sanctioning in KCC is not allowed now in branches, and there is a centralized cell housed in the respective zonal office, where the underwriting for Agri loans takes place . We are comfortable growing this portfolio. The large contribution, is from gold loans . Agriculture

portfolio has grown to INR 8,000 crore , out of which INR 5,000 crore have come from gold loan alone.

Pinaki Banerjee: Okay, sir. The, next question is like your corporate loan portfolio for the last 5 quarters, we've seen that as a percentage your gross advantages have remained static at 38% to 39%. And year -on-year growth is 9%. So sir, have you taken any strategic decision to lower y our exposure to the corporate sector?

Nidhu Saxena: So Pinaki, I would like to say that the bank will not be missing any emerging opportunities which are available in the market. Today, we have kept the guidance of RAM versus Corporate at 60 - 40, and plus/minus 2%. Currently, we are looking at the sector's proposals, which are coming Bank of Maharashtra

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from the upcoming sectors, the infra, the renewable energy and the like. There is absolutely no such t hought process to not grow the c orporate book. Wherever we see opportunities emerging, like the PLI sector where the government emphasis is increasing , we would definitely want to be present there.

Pinaki Banerjee: Okay sir. Just one last question. Regarding your term deposits, which have grown by about 19% at INR 1,40,000 crore , so actually, can you give a breakup of what is the amount of new deposit and what is the renewal deposit percentage?

Nidhu Saxena: We just noted this Pinaki, and we will share the number with you. We can go to the next question. We will work on this data and let you know.

Moderator: The next question is from the line of Deepak Gupta from SBI Pension Funds.

Deepak Gupta: Sir, my question is on asset quality, if you could give us some perspective on your SMA book which has increased, especially SMA -2 book, which has grown by almost about 100% for the quarter on a quarter -on-quarter basis? And your perspective on credit cost and slippages, which remains at similar levels as per last quarter.

Nidhu Saxena: I think the stress in the loan book is well managed. If you see year -on-year, it was 7.54%, and now we are at 5.8%. I'm talking about the total . Not SMA -2, but the SMA and the total posi

tion

for the bank within which 5.8%, what I've said, it is a few of the state entity accounts, 4 -5 accounts, which has actually moved to the SMA category, and INR 1,542 crore are in these 5 accounts. So while I'm talking to you, one account, the major one, INR 717 crore from that state entity has already moved to the standard category. If I'm discounting, removing all this, my stress in the overall loan book is 5.09% only. As regards the SMA -2, I think Sankpal, would you like to add?

Dinkar Sankpal : Yes. In SMA -2, there are only 2 accounts and nothing major. All the accounts are below INR 60 crore . In this space, one account is around INR 58 crore and one is INR 32 crore . There is no major account there in the SM A-2 book.

Deepak Gupta: And sir, any thoughts on your slippages and credit cost , which are at about 1.1%

Vijay Srivastava: If you see the credit cost, we are maintaining a net NPA of 0.20%. So almost everything we have to provide in respect of the credit costs and slippages. If you talk about IRAC, credit cost and IRAC per month then it would be below 0.40%. Regarding slippage ratio, you can see that we are able to maintain slippage in quantum term roughly around INR 600 crore which will continue in future also. The slippage will be within the range of INR 500 crore to INR 600 crore .

Moderator: The next question is from Samraat Jadhav from Prosperity Wealth Adviser.

Samraat Jadhav: Firstly, congratulat ions on a good set of numbers. I have 2 questions. One is on the co -lending book, which you have. So what was it for the last quarter and how much is it for this quarter?

Nidhu Saxena: See, from among the vario us segments, we have looked at growing the co -lending book. This co-lending has gone up to almost INR 2,000 crore we are reaching. For this, we have identified

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NBFCs rated AA and above , and we have seen how the processes and how the audit system, how the compliance levels are getting maintained. Wherever we have seen our comfort, we have joined hands with them.

Our experience is that we are able to negotiate a good NIM. The entire product is technology driven in our bank. For example, for one of the NBFC in the gold loan segment , I'm able to underwrite and take the share in my books the next day all the loans that are being done by the NBFC today from 10 a.m. till 5 p.m. in their branches. The entire flow of accounts, the disbursements, the collection, the reconciliation is entirely digitized, and we have developed this in-house, along with the IT of the concerne d NBFC.

That's how we are seeing that not only are we comfortable to grow this portfolio, but we are also able to manage this well and see that the issues around reconciliation are well taken care of. I have been able to find a very good pricing which we have been able to negotiate in terms of

service. Through this technology, we are able to give good services, add value in the partnership and I'm able to, in return, get good pricing. My NIM typically in some arrangements is 5% plus. These are all, frankly, classified business that I'm able to do.

If it is a MSME, it is impacting my micro segment. There, again, I'm able to meet my PSL targets and we have the opportunity to do a PSLC sale and earn additional 1.5% to 2% wherever we surpass, going forward. That's the co-lending we are looking at, and we are diversifying. Today, we have around 6 to 7 partnerships and another 3 to 4 partnerships are under discussion at various stages which we will be onboarding very soon.

Samraat Jadhav: Okay. So do you have any number that how much this co-lending book would be there at the year-end?

Nidhu Saxena: Currently, we have not kept any number as such, but, for the last 4 to 5 months, just in discussions, we had experienced this with 1 or 2 good-rated NBFCs. We have watched how the portfolio is moving,

how the recon, disbursements, collections, everything is working now having drawn a lot of satisfaction. We are actually scaling up now. There have been 6 tie-ups already and another 3 are under discussions. Hence we have not put any number as such but, we want to grow this co-lending book in a major way this financial year. We will see that this entire portfolio is a high-yielding portfolio for us, and it is well managed through the technology part of it.

Samraat Jadhav: Great. Okay. My second question is on the number of branches. So we added around 9 branches last quarter, and majorly was into metro, urban and I think 2 branches in semi urban, but we had closed some branches in rural also, I think 2 branches in rural. So like you said majorly the income is from the gold loan side book, which is again from the rural. So do we have any strategy like closing the nonperforming branches or increasing it in a rural or majorly it is from metro or urban side?

Nidhu Saxena: If you see, we have a robust branch expansion plan. We have, in fact, gone to our Board with a 5-year roadmap, 1,000 branches is what we have envisaged. The Board has approved this plan of ours, which is 1,000 branches in the next 5 years. Around 600 branches were opened in the Bank of Maharashtra

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last 3 years. Before going into this new branch opening in a major way, we are also taking stock of how these 600 branches that were opened are performing and whether there is any learning for us going forward. So, we are trying to identify the centre basis the growth as to where the growth potential lies, we would like to be present there, and present there in a meaningful manner.

Maybe one centre if we decide, we feel that it should not be a representation of one, it could be between 4 – 5. So we have been following some set of branch opening strategy. We are just in the process of relooking that. But ideally, for the next 12 months, we have planned for 200 to 220 branches to be opened. This first quarter has been more to take stock, take review of what the performance or that desired outcome of the branches opened so far have been to us, and going forward, if required, we will modify our way of identifying the branches. Otherwise, this is the plan we have in the next 12 months which is to open around 200 to 220 branches.

Samraat Jadhav: Great. Any plan for international branches, expansion of international branches?

Nidhu Saxena: Currently, we are mindful of the fact that there is a GIFT City opportunity with us. We have already gone to the Board, and the Board has approved our proposal post which we have submitted our request to the regulator, and we will be in discussions with the regulator and pursuing our case with them to give us the GIFT City license as early as possible. I think with that, there will be a lot of opportunities opening for doing some ECBs or participating in some global syndications, which are the re in our thought process. I think with that GIFT City formal application already lodged with the regulators, as soon as this approval is granted for opening the outlet, we would be ready with our plan in terms of manpower, and going forward, the strategy to grow business through GIFT City.

Moderator: Our next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: A couple of questions. First is, sir, in your retail loans, you have around INR 17,700 crore as others. If you can share a few ranges, I mean, which all products are there? And do you have any unsecured personal loan book on this?

Suryakant Sawant: Yes, as far as these others retails, it includes the loan against properties, top-up loans, our personal loans and Aadhar loans which we are granting to our customers. In addition to that, are the gold loans which are classified under retail gold loans. All these constitute nearly INR 17,000 crore

e.

Jai Mundhra: And how much is the personal loan, sir, unsecured personal loan out of this?

Suryakant Sawant: Gold loan is around INR 3,500 crore. Personal loan is around INR 2,500 crore. And loan against

properties are around INR 2,000 crore . So almost in all the segments, it is more than INR 2,000 crore .

Jai Mundhra: Right. And sir, if you can highlight any asset quality trends in unsecured personal loan book of INR 2,500 crore , how has been the slippages or GNPA? Is there any change in the last 1 - 2 quarters?

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Nidhu Saxena: So if you look at my unsecured personal loans book, it is entirely to ETB customers, especially wherever we have salary tie -ups. So typically, government department or a corporate whose entire employees are banking and drawing salaries through me, I have done this personal loans and with the salary disbursement, we are able to recover our monthly EMIs and then the remaining portion is made available to the customer to draw from this savings account. Likewise, in the unsecured with the pensioners also, we have some portfolio built.

Wherever we have pension is where we have actually done this unsecured lending. So, to say that this personal loan segment put together this pension and other things, it is INR 3,350 crore , and only INR 15 crore is NPA out of that. So it's a high -yielding product for me, and it is very much in focus. The concern, I think where you are coming from, Reserve Bank regulator also highlighted this. So I am completely comfortable with this part, and we are having this unsecured loans only where the salary tie -ups or pension payments are through my branches.

Jai Mundhra: Understood, sir. So, you have the GNPA at only INR 15 crore , but the slippage is, let us say, out of this INR 3,300 crore portfolio. Slippages would also be quarterly slippages. I mean, in Q1 or Q2. Would it be safe to say that the slippages would be around INR 30 crore , INR 40 crore on a quarterly basis? Or would it be even lower than that?

Vijay Srivastava: It would be on the lower side because, as sir told, it is backed by the salaries. We take the instalment from the first salary being credited in account. So we have seen the individual part in such portfolio , and we have not given unsecured loans to the non -salaried class. So in our case, it is almost secured portfolio.

Nidhu Saxena: See, INR 15 crore also, out of that INR 3,300 crore book, is maybe due to the demise of some employee , and there's a process of getting the money from the terminal benefits, and terminal benefits are in the process of settlement. So that kind of tie -up arrangements are existing with the organizations who are disbursing salary through our branches and only against that salary disbursement, this kind of loan product is built for them. And we have mostly grown this portfolio in the government PSUs and central and state PSUs. There's hardly any personal loan segment in the non -salaried segment . In fact, there is no product for the non -salaried person to avail an unsecured loan from the bank.

Jai Mundhra: Right, understood.

Rohit Rishi : It is hardly 0.05%, gross NPA.

Moderator: The next question is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: Sir, I had a question on the provision that we have taken in the P&L. So we have almost INR 585 crore , INR 590 crore of NPA provision. And if I look at the net slippages adjusted for recovery and upgrade, that comes to around INR 400 crore , and the PCR has not improved. So just wanted to understand the consumption of this provision that have happened.

Vijay Srivastava: As you know that whatever slippages are happening, we are almost taking 100% provision.

Rohan Mandora: The net was around INR 400 crore . So at 90% provision it would be?

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Vijay Srivastava: I'm coming to that. There are aging provisioning as well that you have to take care in the sort of some assets. Overall, if you see we have made the provisions accordingly.

Rohan Mandora: Right. But sir, absolute slippage was around INR 600-odd crore . If you adjust for the recoveries and upgrades, INR 220 crore , so you come to around INR 400-odd crore of net slippage this quarter, right? On that, if we were to build in 90% PCR that we are maintaining or 98%, including technical write -off, then that would be around a similar number, INR 400 crore . So we are still left with around INR 200 crore . So just trying to understand where is that getting added, because the technical just about technical write off the PCR has not improved?

Vijay Srivastava: We will provide you the details in this regard.

Rohan Mandora: Sure. That's it, sir.

Moderator: The next question is from the line of Ashok Ajmera from Ajcon Global Services Limited.

Ashok Ajmera: Sir, compliments to you and to the entire team of Bank of Maharashtra. Not only for the good set of numbers, but also recently celebrating your 90th Foundation Day, where the Chief Guest was the Finance Minister, Nirmala Sitharaman -ji. She spoke very nice words about the bank. The second compliment is for you recently successfully raising INR 3,500 crore of equity, which

is, I think, the fourth largest, I mean, the largest in the fourth QIPs, which you have done in last 5-6 years. So my compliments to you sir.

Having said that, sir, most of the questions have already been answered in this long discussion by various colleagues. I have little concern or maybe I need your feedback on the overall business growth, because if you see at a credit growth also if you don't annualize it, just look at the current financial year 6 months, our advances have gone up by only 6.80% and our deposits have gone up by only 2%, and 6 months have passed.

Even though you are comfortable on capital adequacy and you raised the capital also, but ultimately, the bank needs to grow its business. And as for the past glory of the bank, where you used to be 25 -plus, 20 -plus percentage, what is the strategy now going forward? What do you think your target's going to be for the credit and deposit, sir, for the bank?

Nidhu Saxena: So Ajmera -ji, first of all, thank you for acknowledging whatever you just mentioned about. And if you look at my total business, our guidance for this year is to grow the business at 16%. The advances would grow at 18% to 20%, and deposits will be growing at 12% to 15%. The first quarter was not very encouraging, and that ought to be, but I think a lot of things have started to look up when we entered Q2. Today, none of my growth performance is lower than the guidance we have kept for ourselves. So I think we are on the right path of growth. And going forward, the Q3 and Q4 are only going to be better quarters in terms of banking business.

You all know about that. So the overall guidance that we have kept for the full financial year, I see absolutely no concern, no challenge in achieving or even surpassing those. We also just discussed about the aggressive branch opening strategy. Since these 600 -odd branches that have been opened in last 3 years are also helping in a lot of fresh business generation in the bank. Going forward, the 12 -month plan of 200 to 220 branches, I'm sure that the pace of growth of Bank of Maharashtra

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business in the bank will only rise with this new branch expansion, with bank being present in more and more geographies.

Ashok Ajmera: Sir, I mean, with this kind of maintaining of targets for the credit also and deposit also. For credit, if you look at it in order to meet the target of, whatever, 18%, 20% or 17%, 18%, you need to disburse the credit of almost about, I think, INR 25,000 crore just in the coming in 5, 6 months,

which is left in this financial year. So what is our pipeline of the sanctioned amount as well as the advanced stage of sanctioning so that we can be sure of this INR 25,000 crore, INR 26,000 crore credit dispersion in the remaining 5 -6 months?

Rohit Rishi : Ajmera -ji as far as the pensions are concerned, so far in the first half year itself, we have made sanctions of around INR 39,000 crore, of which around INR 30,000 crore pertains to corporate credit segment. So disbursement in such projects is based on the various milestones. So they will get disbursed over a period of time. There are certain takeover cases also. We have that visibility to achieve that growth of around 18%, plus minus 2%, in advances going forward.

Ashok Ajmera: Yes, sir. Point well taken. My last point is, on the digitization, on the IT front. Where do we stand, after having spent a good amount on IT? I think we are doing it aggressively for the last 1.5-2 years. What is the status today? At what stage we are in our IT total digitization implementation end -to-end products, whether on retail or SME credit?

Asheesh Pandey : Yes. Thank you, Ajmera -ji, actually, you have seen last almost 3 years we have continued with around INR 2,700 crore budget, in which the utilization was around INR 1,900 crore since major of the things required the overhaul. So in total, if I'm not wrong, around 138 RFPs are floated in last 3 years period. Now it is across the board, like in the retail side, in the corporate side, in the operations side, in the customer service side, in the efficiency enhancement side and even on the compliance regulation side.

So, in all the areas, we have done, actually, right now, still this year, we are having a budget of around INR 1,000 crore. But the pace of that RFPs will not continue to that extent because in all the areas we have floated the RFPs and all the projects are going on, most of them are completed, and it will take 6 months to 9 months' time to get the result. So you may remember that we created a digital business zone, which is headed by a general manager.

Now that zone is nearing INR 5,000 crore approximately as of today. So, it is between INR 4,500 crore to INR 4,700 crore. So here, no employee is actually involved in the business, and through only digital they have an entire setup like a physical zone. So they have their marketing team, they have done strategic digital marketing course from IIM Rohtak and Bangalore. And they have a risk management team.

So they have an entire team. Now coming to the point, there are certain very big projects which the bank is running right now. The one is the CRM module, which the bank is running. Second is the Life Style Banking which the bank is running. Now somewhere it is 30%, 40%, 50%, all those are completed. The next is that entire hardware and software overhaul of the bank. So with this, I think by next 6 months' time, the entire hardware, all the servers, will be a refreshed one

Now with that, we are actually, to that extent, confident that next 2 to 3 years, it will be not more so on the capital side, but there will be a recurring expenditure on the IT. So, with this INR 1,000 crore which we have taken approval, and last Board also our MD sir told. So that is going on. Coming to the RPA side, earlier we used to tell around 35 -36. Today, I think we, we have implemented around 60 . And from the Board, we have taken approval of 150. So you can think of that 90 still it is there.

Now coming to STP's journey, we have already launched around 12 to 15. Around 5 are there, which are in the CUG state because see, the technology pertaining to the customer side should not be straight away put to production. So what we have done in our bank, you have seen earlier also is the risk mitigation, that whenever journeys are moved to production, we first

move to

some 2 or 3 branches. Then we move to 1 or 2 zones. And then we take stock of the situation for a month or so and then we move to pan India base.

So right now, I think 3 -4 journeys are there, which are under CUG state for last 15 -20 days. So you will be seeing all these things which are going to be rolled out in the present quarter. And then RPA also is around 10 to 15 -20, which the team has planned and they are working upon that. And the hardware, where refreshment is taking place, the entire DC, infra and our servers, so all those are getting refreshed.

I think that will be completed by February '25. So this is where we stand right now . With regards to journeys , I think, next 5 to 6 journeys will be launched in this quarter. And similarly, 2 -3 journeys will be launched in the next quarter. We don't keep anything for March , because it is a quarter end. It is also very important that we build a very good audit software, which is having almost 18 modules, which is going to be rolled out, I think, Phase 1 in this quarter and Phase 2 by the February '25. So this is the status as on date on the entire IT infra in the bank.

Ashok Ajmera: Sir, thanks, for such an elaborate information on the IT front. Definitely, I have been watching you at that centre also, I think, which is created here in Mumbai. That IT -- you call it, what?

Asheesh Pandey : Digital business zone .

Ashok Ajmera: Very impressive.

Asheesh Pandey : I think like what you asked about the business growth, they will also be a good contributor going along when more and more journeys are launched, so they will be a good contributor in this total growth.

Ashok Ajmera: Yes, I'm sure that would definitely yield the results there. Only because we compare only quarter -to-quarter and especially in this year, even up to September quarter, our credit and deposit figures. It's there in the entire industry, it's not just only your bank. But I keep Bank of Maharashtra separate in a very, very high esteem, and I'm sure that you will definitely meet the targets whatever has been given here. Thank you.

Moderator: The next question is from the line of Bhumika Jain from Desvelado Advisory. Please go ahead.

Bhumika Jain: Congratulations on a good set of numbers. My first question was the cash flow from operating activities shows a relative movement around the INR 14,000 crore in this first quarter , sorry, in the first half of this year compared to the positive INR 14,000 crore in the first half of FY'24, which was basically driven by the advances in provision. So my question is how does management plan to manage the liquidity in the coming quarter, especially considering the ongoing bond issuances and rising interest rate environment?

Vijay Srivastava: You are talking about liquidity management. LCR?

Bhumika Jain: Yes, sir, liquidity.

Nidhu Saxena: Bhumika, if we talk about the LCR is liquidity what you were looking?

Bhumika Jain: So my question is on the liquidity part, yes, sir.

Vijay Srivastava: Yes, so in respect of the liquidity, that we are quite comfortable. If you see that we are having the sizable investment portfolio and most of them are related to SLR securities. Also recently we have raised INR 3,500 crore equity capital as well as the infrastructure bond at INR 811 crore . We have also raised Tier 2 bond of INR 1,000 crore . Apart from that, there is a deposit growth to fund the advances. So from the liquidity plan to fund the growth, there would not be any problem .

Asheesh Pandey : I think what she is asking that from our statement. Bhumika, if I'm correct, please correct me.

Bhumika Jain: Yes, sir.

Asheesh Pandey : CRR, we are having, SLR we are having, so around I think INR 20,000 crore , INR 25,000 crore , total INR 40,000 crore is existing liquidity. So I think your question is on that?

Bhu

mika Jain: Sir, my question refers to is our operating expenses more than that the return that we are getting.

Asheesh Pandey : Actually, it will convert into 2 things, madam. So there is no excess, LCR, we are carrying second. Neither are we having a surplus which we are deploying as a repo. Or maybe we are borrowing, number two. Number three, is that if you take because it will straight away converge into CD ratio. So when CD ratio is around 78% level so that also shows that it is very well managed, not the aggressive side and not the lower side.

Bhumika Jain: Okay, sir. Also, sir, there is one more question that bank has comparatively smaller national market share, and that is 1.2% as compared to other state banks, since it is mainly concentrated mostly in the western India. So do you think that there is less pricing power as compared with other banks because it can apparently make bank to increase its risk appetite to protect its margins and profits?

Nidhu Saxena: So if you have mentioned about the market share that we are commanding, is that what you wanted to know about? And in terms of growth, how we want to go forward, is that your question?

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Bhumika Jain: No, sir, I want to know the risk appetite for the company, because it has a lower market share in the market as compared to the other state banks because it is mostly concentrated in Maharashtra?

Nidhu Saxena: Okay. Got it. So I will try to answer that. First of all, there is some misconception around that. We are not predominantly in Maharashtra. I think more than 50% of our presence is outside Maharashtra. If you ask me last 3 years, the new branch opening has been outside Maharashtra. And going forward, we have planned, 1,000 branches. So I think the entire expansion is outside Maharashtra. Not because Maharashtra is not important, Maharashtra is the state which contributes almost 27% to the nation's GDP. But I'm more than adequately represented here. If at all, there is a new upcoming centre, I will definitely want to open my outlet within Maharashtra also.

But currently, as the situation is we have our adequate presence within this state, and we are trying to identify and explore in areas where more emphasis is coming from the central government in terms of outlets to those states going forward, or new growth centers that are coming up or potential centres where we are not present currently. So broadly around these 2, 3 areas, we are deciding to expand our reach.

This geographical expansion, is currently being envisaged outside Maharashtra. We are not averse to looking at growth opportunities in any sector, whether it is a RAM, which currently is seeing a robust growth in the industry. Whenever we see an uptick, in the corporate cycle, we will definitely want to participate in any of those upcoming opportunities.

Vijay Srivastava: Regarding your question, cash flow, On March 31, there was a cash surplus in the cash in the form of the RBI balances. And that we have given to operating assets, so mainly to advances to increase our interest income. So that's why there was a decrease in the overall cash surplus as compared to 31st March.

Moderator: The next follow-up question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: In your opening remarks, sir, I think you mentioned that you have managed to upgrade or resolve INR 700 crore stress. What was that, sir, if you can elaborate?

Nidhu Saxena: Okay. So see, there are exposures to some state entities. And one of the accounts may move from standard to SMA -0, and that is why the SMA was 5.8%. But if I exclude those 1 or 2 accounts, which are state entities and for some technical reasons, moved to standard to SMA -0, that was the number I just mentioned. That INR 717 crore, I may not like to name the account, but it has moved to the standard category. So

otherwise my overall stress in the loan book stands at 5.09%.

Jai Mundhra: Yes. So sir, 5.09% is excluding the INR 700 crore exposure? Or this is including INR 700 crore?

Nidhu Saxena: No. This is excluding. Today when we are talking, this account has already moved back to the standard category. It is only that as of 30th September, this account appeared in the SMA -0 category.

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Rohit Rishi : And this is the entire SMA book, SMA -0, -1 and -2 but if you look at SMA above INR 5 crore, SMA -1 and -2 above INR 5 crore, then that figure is 0.19%.

Jai Mundhra: Understood. So this was because this must have been large corporate exposure only, right? I mean that is fair to assume, but which has now become SMA -0 or standard only. It has become

perfectly standard?

Dinkar Sankpal : It is standard only, but it is out of SMA

Jai Mundhra: Right . And sir, there were media reports, of course, it looks like we don't have exposure to MTNL and RINL. But there have been media reports suggesting that these 2 accounts may be downgraded or would have been downgraded, but we don't have any exposure to those 2, right? Is it fair to conclude that?

Nidhu Saxena: You're right. We have no exposure to the 2 accounts.

Jai Mundhra: Right. And sir, on recovery pipeline, right, sir, I mean, this quarter, your recovery remains more or less similar. Recovery from TWO is episodic. But how do you see recovery pipeline? I mean are there any large cases where you have an exposure and which are seeing higher chances of recovery over the next 6 months?

Nidhu Saxena: So typically, we are doing fairly well in the recovery. In fact, in the last quarter, we did a mega - auction drive, E -auction drive wherein we could resolve almost 1,000 accounts and these are the smaller category accounts. Around INR 300 crore were recovered in a drive, which was for 45 days. So there is a complete focus on recovery. I can tell you that around INR 4,000 crore is my gross NPA book. And we have also with us INR 21,000 crore of write -off book, within which the N CLT is almost INR 8,800 crore .

Out of INR 8,800 crore , INR 5,100 crore is already where the resolution has come, whether liquidation order has come to me or the RA has been declared under NCLT as a successful bidder. So this INR 5,000 crore of NCLT which have resolved, I sense that whatever be the rate of recovery, maybe if it is 30%, 35% is what we typically see as a recovery. So, this INR 1,500 crore from the NCLT book itself is somewhat recoverable within this financial year itself.

Moderator: The next question is from the line of Sneha Ganatra from Star Union.

Sneha Ganatra: On the corporate side, are we seeing any capex driven loan book growth which we are expecting?

Nidhu Saxena: Okay. So if you are asking about the private capex cycle, that issue, which has been discussed quite often, and only estimated to be happening. Yet I think that private capex cycle in real term is not yet visible. But we are seeing some green shoots are there. In some sectors, things are only moving up. Traction is visible.

Even in our limits, the sanction limits, we are seeing that utilizations have gone up and which probably are indicators that, going forward, there will be some project funding requirements emerging when the private sector is able to look at new demand, and then they would like to go Bank of Maharashtra

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for expansion. I think, in my view, another 1 or 2 quarters, we'll have to actually wait and see that complete traction coming from the private capex .

Vijay Srivastava: Large capex is not happening. But if you see, there is a good growth in MSME advances. What is happening is that the large corporate are not increasing the capex . Capex is being increased through MSME customers . A lot of outsourcing activities are happening in the large cor

porate.

And we are taking benefit that's why you can see that our MSME growth is above 20%.

Sneha Ganatra: Second question is on the treasury income. Just wanted to know your thoughts going ahead, we are seeing that interest rate cut cycle would be panning out for the upcoming quarters. So how do you envisage the treasury income to be panning out for our bank?

Vijay Srivastava: If the interest are softening further , we are still at appreciation. And if the interest rate soften further , then we'll be able to encash that opportunity. Having said that, we would have to make trade -off between trading income as well as yield. So we will continue to protect yield. We will also eye the trading profit at the time of softening of yield.

Sneha Ganatra: Okay. You mentioned that you're planning to expand to an additional 1,000 branches over the next few years. So any additional opex requirement would be there? And how do you see your overall cost -to-income ratio to be panning out?

Nidhu Saxena: If you see my guidance for cost to income is to be maintaining it below 40%. Currently, we have a cost to income of 38.8%. So yes, we do realize that with new branch openings, there will be some operational costs, which will go up. But our sense is when we are going to be operating in the growth centre , very soon we can see that, the particular branch is actually contributing to the top line and bottom line of the bank also.

Any cost increase and, correspondingly, if we are able to generate more revenues and as a resultant, more income for the bank is something desirable. We don't want to limit ourselves in increasing that extra cost. But currently it is at 38.8%, and that's why my guidance is to maintain it below 40%.

Sneha Ganatra: Okay. And sir, last question regarding you have already mentioned on the asset quality which is running at the similar level, any early signs or anything we would be watchful on the asset quality area of the sector or the segment?

Nidhu Saxena: As we just shared currently , our stress in the loan book is well managed. We have proper systems in place to closely monitor the various portfolios. I don't see any issue in corporate book or other

loan books, they are behaving fine. There is no incipient or stress that we are able to look at. I think, overall, there is no immediate sign of concern. We have also been looking at our underwriting benchmark, underwriting standards.

For some time, we have strengthened our standards. And we are seeing that we are onboarding the quality assets, and the loan book that is getting created is also of higher quality. So with this high growth rate, I'm also able to maintain that kind of strict underwriting benchmarks, that we don't underwrite a loan below certain threshold in terms of the quality of the asset.

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Moderator: Due time constraint, we won't be able to take any further questions. So ladies and gentlemen, I would now like to hand the conference over to the management for closing comments.

Nidhu Saxena: So thank you so much. You have been supporting us. You have seen that the bank's performance, has been consistent for last 15 to 16 quarters. We keep tracking our performance vis-à-vis the other players within the PSB space and also in the industry, and we find that we do lead in many of the parameters.

Going forward, while we will be looking at growing our top line, but we'll always remain mindful of how that growth in the top line is going to impact, and whether it is going to impact the bottom line favourably. All these parameters where we currently are leading in the industry, we would like to see that we do not dip in any single parameter in terms of our future performance. Thank you for joining this conference.

Moderator: Thank you. On behalf of Bank of Maharashtra, that concludes this conference. Thank you for joining u

s, and you may now disconnect your lines.

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Call: Feb 2025

AX1/ISD/STEX/ 160/2024 -25 Date: 22nd January 2025

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National Stock Exchange of India Ltd.,
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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 16th January , 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for the third quarter and nine months ended 31.12.2024 held on Thurs day, 16th January , 202 5.

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :

https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Nehal Rawat)
Company Secretary & Compliance Officer

Encl: As above

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Bank of Maharashtra Q3FY'25 Earnings Conference Call

January 16, 2025

MANAGEMENT : SHRI NIDHU SAXENA –MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , BANK OF MAHARASHTRA .
SHRI ASHEESH PANDEY –EXECUTIVE DIRECTOR , BANK OF
MAHARASHTRA
SHRI ROHIT RISHI – EXECUTIVE DIRECTOR , BANK OF
MAHARASHTRA
SHRI V.P. SRIVASTAVA –CHIEF FINANCIAL OFFICER , BANK
OF MAHARASHTRA

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Moderator: Ladies and gentlemen, good evening, and welcome to the Q3 and Nine Months FY2025 Conference Call.

As a reminder, all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

We have with us from the management S hri Nidhu Saxena – Managing Director and Chief Executive Officer; S hri Asheesh Pandey – Executive Director; Shri. Rohit Rishi – Executive Director , and all general managers of the Bank .

I now hand the conference over to Sri Nidhu Saxena. Thank you, and over to you.

Nidhu Saxena: First of all, thank you for joining this investor call, it's a great opportunity to come back and connect with you again to tell you that the Bank has again been showing consistency for the last 12 to 15 quarters and the same performance has been seen.

As you would have seen in the presentations, which are shared with you, whatever guidance we had kept for ourselves for growth in terms of overall business advances, deposits, even sector - wise RAM, have been met and in a few cases, we have surpassed those with a good margin . Even the profitability parameters, our NIM, non interest cost to income, ROA, those have also been maintained at elevated levels. Coming to our asset quality, GNPA , NNPA, the guidance that we have kept, we have maintained all that.

I will very quickly share the major parameters of the performance. Before that, I would like to highlight that we have crossed the business of INR 5 lakh crore , and we would want to , also grow sustainably in the future . For the past 2 quarters, our focus with our field functionaries also has been to grow and grow sustainably and for that matter, the core business that is happening in branches was at our front focus.

The major contribution of our growth has come from our set of new branches, around 600, which were opened in the last 3 years. Our existing branches have also contributed into this. Certain elements of bulk component of business have been there. But, our core business has definitely grown, and that gives us that extra comfort that these numbers will be only sustainable and going forward, we are looking to grow.

Let me just very quickly share the major ratios :

Our total business at INR 5.07 lakh crore has grown Y -O-Y at the rate of 17%, advances at INR 2.29 lakh crore has shown a growth of 21%, total deposit at INR 2.79 lakh crore has grown 14% , within which CASA has also shown a good growth of 16% and INR 14,000 crore in absolute terms CASA has been added year on year. Term deposits have likewise grown at 16% and INR 19,000 crore of term deposits have been added.

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Within the RAM segment , retail has been registering handsome double -digit growth of 24% and overall RAM segment also is growing at the rate of '23-'24%. Within the retail , segments like housing has grown 29% and car loan has also grown at 44% year on year and these are all results of us working on our schemes, making the schemes customer friendly , and seeing that the pain points for customer in the process of availing these loans are all streamlined , and that's why we

are able to see handsome high digit growth of 23%.

The retail segment has also been performing well and this performance of high double-digit growth has been despite our conscious efforts to strengthen our underwriting norms, and we have actually strengthened them and have made them stricter.

For the last 2 quarters, we are now consciously not underwriting certain segments of loans. The idea is that whatever growth is happening, the ultimate loan book that is getting

created must be

a quality loan book so, that focus has been there but despite this tightening of our underwriting standards, we have not seen any adverse impact on the growth part of it, which is again a result of our focus, as I said, from branches doing their core activities from a lot of simplifications, modification, improvisation that we made the schemes customer-friendly and customers getting reasons to Bank with us, customers getting some value proposition in every scheme. That's how it has been.

Stress in the loan book on year-on-year basis has also seen an improvement from 6.61% stress. It has improved 174 bps and the stress is 4.87%. Likewise, GNPA also year-on-year has improved 24 bps and stands at 1.80%. NNPA at 0.20%.

For our profitability, also if you look at NIM, it is at a healthy 3.98% level. Our ROA has improved by 23 bps at 1.78%. The capital raise that happened during this quarter of INR 3,500 crore has also helped us improve further, much beyond the minimum prescribed capital adequacy norms from the regulators. CET-1 improved by 204 bps and stands at 13.6%, CRAR at 18.71%. Government of India holding with this capital raise has come down to 79.6% and has changed the optics for us.

We being the Bank now with less than 80% G OI holding, credit cost at 1.04% has also seen improvement, and even segment wise our NPAs have witnessed improvement including individually, retail agri, MSME and corporate book.

This is broadly from my side, and we will be happy to take your queries and questions. I am joined by my Executive Directors and my General Managers to take your queries. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from Sagar Shah from Spark DWM.

Sagar Shah: Good evening sir. I have a couple of questions. My first question was related to our corporate loan growth. We had hardly 3% loan growth Y-o-Y. I wanted to have some sense as in what is

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your outlook regarding this segment actually and how exactly do you view this segment the opportunities that are coming up? Do you see the CAPEX going through?

Nidhu Saxena: Good evening to you. If you are intending to know about the corporate CAPEX, private CAPEX cycle, those things are yet to happen. When I look at my Bank, we have identified certain sectors where we feel we should increase our presence, and where there are a lot of opportunities present so, in Infrastructure, in Green Renewable Energy, taking up LRD proposals, Healthcare, Pharma, we have very consciously looked at these sectors, and we have also been growing our book, and that's how you see that year-on-year, we have grown. I think a lot of opportunities are also coming. I will ask ED also to add.

Rohit Rishi: Just to set things in the right perspective, Sagar, Y-o-Y growth in corporate book is around 17%.

Sagar Shah: 17%, yes, sir. I was talking about the quarterly growth. I think the quarterly seems to be pretty subdued. Wanted to have a kind of a color on what kind of opportunities are you finding in the sector?

Rohit Rishi: Quarter-on-quarter growth is also around 4% if you see, and opportunities are there. We have some proposals in renewable, if you look at our sanctions during the 9 months' ending December compared to last year, our sanctions have almost doubled in the corporate sector and projects are under disbursement. Our outlook is more towards the renewable sector. Infrastructure, HAM projects are coming up. Manufacturing also we are seeing some traction now, all these PLI related sectors, some of the food processing units, and such proposals are there, we are quite confident that we will be able to maintain a decent growth in the corporate sector and for PLI sector we have weighed very carefully the risk return and trade

off in this sector. We are not

going for business where we don't get the desired yield on advances, we are very conscious about that and our aim is to grow our corporate book, maintain good quality of assets, and at the same time, ensure a good yield on advances also.

Sagar Shah: Okay. Now coming on to your net interest margin, sir, our net interest margin stands at almost around 3.98%, quite stable as compared to even last year, hardly, in fact, a 3.3 bps increase. So, what do you see of the deposit market right now? With infusion of liquidity in the market, do you see the NIMs stabilizing or at least improving when the rate cut cycle happens or do you see further pressure on NIM due to the kind of situation going on right now?

Nidhu Saxena: If you ask me, in my loan book, 50 -55% of loan book is priced to MCLR , and around 37% is linked to repo so, whenever the rate cut that we have been hearing is going to happen, this portion of the book is going to get repriced immediately so, that headwind would remain, but when we compare ourselves with other lenders in the industry, we see that our share in the MCLR is a little higher so, to that extent, the impact is not going to be , and we have also been able to raise our MCLR , and that's how we have been able to increase our interest income also during this past couple of quarters.

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V.P. Srivastava : Yes. So, regarding that deposit cost, you will see that we are trying to not take much bulk deposit higher cost that's why we have gone for the alternate resource mobilization. We have raised roughly INR 5,800 crore from SIDBI . During this quarter again we have raised INR 2,000 crore from the NABARD so, that is a reasonable rate, and where there is no CRR, SLR, HQL A requirement , it is giving us good benefit in respect of the cost of deposit.

As I told that maintaining that good yield on advances and keeping the deposit cost in control, we will be able to maintain the NIM , our NIM would be 3.70 % to 3.90 %, even with the rate cut is there so, that we will continue to be our guidance .

Moderator: The next question comes from Shubhanshi Rathie from Anand Rathie . Please go ahead.

Shubhanshi Rathie: Good evening, sir. What are the current trends in home loan growth and what are the expectations for the growth in near term?

Nidhu Saxena: For home loan , if you see this sector it had underperformed for some time , and it is post -COVID that we have seen the reversal happening in this real estate, both commercial, residential real estate.

If you look at data that is available in the top 7 - 10 cities, a lot of unsold inventory that was held by the builders have also found some takers , and that stock has actually gone down. Even you are now witnessing new project launches across the major centers. We are also able to get the benefit out of this robust growth in this segment.

Home loan for us has grown year on year at 29% and some credit is to our easy onboarding process that we have kept. The scheme is also improvised, and customers are finding a lot of value , whether it is pricing or otherwise. We are able to garner good business under home loans. Going forward, I think the trend will continue , At least for a couple of quarters , this trend for housing loan portfolio should be maintained at these levels.

V.P. Srivastava : You know that in respect of housing loan, our interest rate is one of the best in banking industry. A lot of interest is there from the home buyer in taking loan from Bank of Maharashtra and a lot of takeover has happened so, that's why you are seeing the loan growth roughly around 28% this quarter and the same trend will continue in future also.

Shubhanshi Rathie: Okay. A couple of more questions , sir. What is the outlook on distribution fee income, particularly from life insurance ? And how is the Bank planning to e

nhance the overall

distribution fee income ? Are there any specific targets or strategies in this regard?

Nidhu Saxena: Our wealth management vertical is actually looking at these value propositions . We have our partners into all the 3 segments of life and non -life, so life, general and health and they are actually actively deployed, but we are always mindful that there is no instances of mis - selling anywhere .

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We are also digitizing some parts of this wealth management business , and shortly, we are launching with Life Insurance Corporation , we are going to digitize their top 5 schemes, end-to-end, and the policy issuance and make that process also simpler. There is a scope to increase this bancassurance business, and we want to grow in a very compliant manner , and make use of some technology around this proposition.

We have also improvised upon the 3-in-1 products that we have , we have tied up with certain brokerages to give that seamless option of having a Demat trading and saving account of Bank of Maharashtra and that's how I think we will see more traction in our income , and also going forward would also be seeing some improvements in deposits .

Shubhanshi Rathie: Okay. And sir, why have the employee costs been so high during 9 -month FY25?

V.P. Srivastava : If you see recently, the government has come with the guideline with respect of giving that incentive to at higher scale 4 and above , and during this quarter, we have made a profit of INR 25 crore regarding this that's why you are seeing some increase in the staff cost.

During this year, in 9-months, we have added 1,000 staff. We are opening new branches for that, we require staff so, some cost has come because of that , and we have increased our staff strength to take care of the growing business.

Nidhu Saxena: Just to add here, if you see the guidance for our cost to income, we have kept it to be maintained below 40 %. And today, the cost to income is 38.27 %. Quarter -on-quarter , we have actually reduced this number. We are well within our guidance and this is among the best in the industry. There's not much of a concern around this.

I am going for an aggressive branch opening as well and there will be some cost that we will incur but when we are identifying or going to open centers where there are potential for growth, then I am sure the revenues that we generate will be more than the cost that we incur on the process and so, that new branch opening also will offset, and should not become a challenge.

Shubhanshi Rathi: Okay, sir. And the last question would be how much of the deferred tax asset is left and when is the Bank expected to transition to the normal tax rate?

V. P. Srivastava : We've already shifted to that normal tax rate that is 25% new regime. And roughly INR 6,000 crore still carried forward losses are there, and we are going to get this benefit in the next year as well .

Shubhanshi Rathi: Okay, but sir, what is the amount of DTA that is left?

V. P. Srivastava : DTA, it is hardly INR 600 crore DTA is in the balance sheet and that is required to continue .

Moderator: Thank you. The next question comes from Samraat Jadhav from Prosperity Wealth Adviser. Please go ahead.

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Samraat Jadhav: I wanted to know two things. One is on the co -lending book which we have. Any increase in that co -lending book and what are your views on it?

Nidhu Saxena: If you see when we began the FY, this was one among the segments where we were thinking that we should be growing our book. We had signed up 6 new partnerships and the outlay there is around INR 3,300 crore and my outstanding on the co -lending is INR 2,300 crore , there has been a good traction . I have 5 more new partnerships where the discussions are ongoing, and they are at various

stages.

Just to make sure that the recon issues and other issues don't bother us in growing this co -lending book , we have used lot of technology where my systems had been through a middleware linked to the systems of the NBFCs , and we are able to take care of the daily task of collections and distributions and value dating them properly so, the recon issue is also well taken care of by the technology and beyond the 6 partnerships, 5 more, as I said, are in the offing.

Samraat Jadhav: My second question was about branches. As I see that , we are not focusing anything on rural branch expansion. I think, in December '23, we have seen 09, today also, we have seen 09. The major are in the metro, urban, semi -urban. So, as I could judge that we are more focused, we are building up the entire well than all our businesses towards good quality factor. So, we have no focus on rural or we are just testing this?

Nidhu Saxena: Samraat, I think I got your question and correct me if I'm wrong or you can ask again, there's no issue. But your question was around new branch opening in the rural sector so, there are already regulatory guidelines in this , and we are abiding by that in the new branch opening and the only requirement from our side is that when we are opening branches, we should be seeing, present or opening or expanding our presence in potential growth centers so that's our requirement. But yes, we are all subjected and mandated by the regulatory guidelines.

That ratio is being maintained. Wherever we are not physically able to open a rural branch brick - and-mortar, there is a customer service point, BC, that guideline is available, and we make use of that but we are complying with the guidelines from the regulator in this area and with regards to all my new branch opening, yes, we will definitely be looking at being present at potential growth centers.

Samraat Jadhav: Understood. In the last call, you said that a target of another 200 branches was there till March '25. So, we are still on it?

Nidhu Saxena: Yes, we are and what we are doing actually, is that , around 600 branches is what we have opened in the last 3 years. We had set certain set of metrics for evaluating how these branch openings have met the desired objectives, the outcomes or not. We have gone through that exercise, and we are very comfortable with that but as of now, with 2,550 branches , we were more focused towards being present in all the districts in the country.

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But having achieved that objective majorly, now we are going to change our strategy for new branch openings and once having represented the banks in all their major districts, we would like to, maybe, have some strategy where we open in a center, not in terms of a single branch or maybe have a cluster of 4 -5 branches, and then go ahead and open and create that critical mass for the Bank . We have had a lot of discussions around this agenda in our Board, and we are

planning to take some expert help around this, who can actually guide us, which would be the better way going forward.

Samraat Jadhav: Great. Has our GIFT City Branch license come ?

Nidhu Saxena: That proposal is already approved from the Board , has been submitted, and the proposal is under process.

Moderator: The next question comes from Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Thank you for giving this opportunity. Good evening, Nidhu sir, and the entire team.

Compliments to you for yet another quarter of very good set of numbers as far as the profitability and performance of the Bank is concerned.

Having said that, this year has been a concern for the growth in the business for almost every Bank, and our Bank also, I have seen because I have been a great fan of your Bank and have been giving a very wide coverage all the time but I have got some concerns, if you

can address .

Our business target was 16% , if you go for the target , 18% to 20% of credit and maybe, I think, 12% to 13% was deposit.

Now, since we are already completed 9 months and only 3 months are left, will we be in a position to achieve another INR 40,000 crore , INR 42,000 crore of the business growth, which includes about INR 27,000 crore of deposit and INR 15,000 crore , INR 16,000 crore of advances when only 2.5 months are left now. Is it wise to take the target as it is , and wait for a very good performance in this quarter as this number speaks ? because once this quarter is over, we will be talking only about financial year '24 -'25 and not the trailing four quarters , or 1 quarter of the previous year. So, my first question is on that, sir, that how optimistic and confident you are to achieve these numbers?

Nidhu Saxena: See we have crossed INR 5,07,000 crore and we know what the objectives are there in mind, but there is consciousness that growing the top line is not enough. we are very conscious about whatever is incrementally happening in the top line , corresponding to that how it is going to impact my bottom lines , and the various ratios that make us liked by the investors instead of just merely growing the top line , because if you see my yield on advances, they have been showing signs of improvement only in the last 2 quarters.

We may not be very bullish, aggressive in the AAA , Central Government , PSUs and other sectors , I can grow my advances very fast, but I don't correspondingly add to my bottom line so, that consciousness is going to be there , but if you see, my total business guidance for the year Bank of Maharashtra

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has been 16 %. Year on year, I have added INR 73,000 crore of business in this December over December '23 registering a growth of 17 %.

I don't see the major of a challenge, but we will always remain conscious as to the business that gets added, the clients that get added . Every transaction that we are doing, we are remaining cost conscious and seeing how it is adding to my bottom line.

Ashok Ajmera: Well said, sir. There is 1 very unusual item in the audit report. If you look at the emphasis A and B, it says about the insufficiency of the independent directors, though I know that it is not in your hand , it is in the hands of the government. But as the head of the Bank , definitely, it's a matter of concern that we could not present our account to the Audit Committee because of insufficient number of members there , and we had to take it to the Board. Is there anything, any discussion going on with the government or any concern that has been expressed to the government or whether the copy of this report specifically marking this emphasis has been given to the government?

Nidhu Saxena: It is not only for my Bank . In the system, it is like that and maybe I will not be in a position to comment anything, but we are soon expecting the full strength will be made available to all the banks . This is all that I can say.

Ashok Ajmera: Along with that, sir, there is another observation of INR 1,200 crore of the COVID -19 provision which you are holding , and the auditor is emphasizing it. In fact, it's rather a good point. I mean, I don't think it's a point to be emphasized. You are keeping that buffer, isn't it? And you are continuing to keep it. Anyway, that's just an observation that there was no need for emphasizing this, something which is not warranting any mention. In fact, it's rather a good point for the Bank to hold this provision.

Rohit Rishi : At the end of the day, it is strength on the balance sheet.

Ashok Ajmera: Yes, definitely.

Rohit Rishi : Regarding independent directors, let me just clarify, 2 of our directors completed their term on 20th of December , it has been only recently that their term has come to an end . Then the process is o

n to equip the Bank with adequate number of directors.

V.P. Srivastava : Even though the AC B was not there, the auditors, presented their observation to the Board so,

we followed the due process in respect of the overall review process .

Ashok Ajmera: No, it's perfectly all right, sir. Now what is this total restructured book size now, standard and non-standard ? I think standard book is around INR 1,990 crore to INR 2,000 crore . So, what is the total restructured book size?

And 1 question coupled with that, our gross NPA in absolute terms have increased in this quarter from INR 4,009 crore to INR 4,124 crore. Though in percentage terms, it has come down because of the growth in the credit. So, on that, any conscious like working or act to reduce , because your Bank of Maharashtra

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net NPA is very comfortable at 0.20%, and you cannot go below that. But gross NPA definitely can be brought down. Any plan or any strategy on that? And on the restructured book size?

Nidhu Saxena: If you see the gross NPA, you were yourself saying and which is right, that the net NPA point too, there's hardly any scope for improvement. For my gross NPA, there has been a slight number increase in value terms. If you see the ratio percentage, again, we have only shown the improvement, it is at 1.8 % and we can any time look at doing some write-offs to see that these things are lower ed. I don't think any major concern is there. As we go on , some accounts do slip, I think, in the restructured book, we have 1 large MSME facility, within which the account has been restructured.

Management: Our restructure book is constantly declining , so, no major worry, except 1 account due to elections, they could not get the required government permissions , so, there is a delay in DCC. Otherwise, account is standard.

Ashok Ajmera: Okay. Yes, that's why because you have been doing very well on all the fronts actually, some of the small little concerns and especially because Bank of Maharashtra has been special among all 12 public sector Bank as regards to CASA is concerned. You are still around 50 % only, which you had promised, and you have targeted.

A little bit of concern now , because the Bank which used to have the credit growth of 25% -26%, and it was beautiful, considerably good deposit growth has now suddenly, especially in this last quarter has been impacted little severely as compared to you. If you compare yourself only, I'm not comparing the industry.

But anyway, having said that, perfectly all right, and you're finally crossed INR 5 lakh business target, which you were hoping to be there 6 months or 3 months back, but congratulations for the same , and all the best to you, sir.

V.P. Srivastava : Ajmera ji, when the businesses are increasing, there may be some increase in the NPA in quantum terms, but definitely, if you see the percentage term, we are maintaining a good ratio.

And talking about the restructuring, we have not reversed whatever the restructuring provision we created , we are still holding roughly INR 400 crore . We do not see any problem in standard restructured book as well .

Nidhu Saxena: In one account here and there, I mean, these things are part of the thing, nothing of concern at all. And just to add to even the deposit, like let's appreciate that the deposits in the system, the low cost at some point of time, the last numbers which were getting circulated, the average low - cost CASA was 44% for the industry, now which has come down as per the latest estimates to below 38%. 44% has come down to 38%, which is a 6% downfall.

We are also not out of the system. We are definitely going to have that impact , but I think the way we have been acquiring accounts and even some institutional accounts through our new business verticals are going to get added , some technology options that we have given where the Bank

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institutional accounts, both in the government and the corporate are adopting those facilities from us. I think we will be able to manage this temporary issues and have the consistency in our numbers in CASA also.

Moderator: The next question comes from Nemin Doshi from Geojit PMS . Please go ahead.

Nemin Doshi: Sir firstly , we have been meeting our quarterly targets on a regular basis. How do you foresee this growth momentum continuing in the following quarters , given the fact that 37% of our book is repo -linked , and will get repriced immediately. Within the near to medium term, how do you foresee this growth momentum to continue?

Nidhu Saxena: If you look at our top line growth, overall deposit advances and even segment -wise, the growth rate is in high double digit , and I think that system is also supporting , economy is supporting and the housing sector, we were just discussing we are growing at 29%. We don't see any challenges, concerns , or headwinds around this. Just to safeguard ourselves, we have rather made the task more difficult for ourselves by increasing the underwriting benchmark.

Below a certain requirement, we are not underwriting any loan in RAM segments , so, these kind

of things, we are doing just to make sure that the quality in the loan book, it's maintained to the level we would desire it to be.

Even after doing these stringent measures, we have not seen any dip in our growth rate and 100-200 bps here, there, we would not mind also in lieu of the quality. But the sourcing that we are doing for new loans through our attractive schemes where we are able to offer some value to clients, we are not seeing any dearth of new proposals coming to the Bank. To answer you in one line, we don't see any challenge going forward that we will not be able to maintain. Let's also keep in mind that 600 branches have been opened in the last 3 years, and we are continuing to open new branches. These new branches when they are opened in a growth center where business is happening, there is actually no base with them, and whatever new business they are getting, it is adding to the Bank's balance sheet only. The way, if you see Bank of Maharashtra versus other banks in the system, I think we are the Bank which is most aggressive in new branch openings as of now.

Nemin Doshi: Got it. Sir, as we mentioned that we have been opening branches since last 3 years, and if you look at our cost-to-income ratio, which has been pretty stable at 38% to 40%. Is there further headroom over medium term, so that this operating leverage could kick in, and we could get the benefits of branch efficiency to come in?

Nidhu Saxena: If you see, I have a plan for opening new branches to the extent of 1,000, but this 1,000 number is going to happen in 5 years. That's what the Board approval is with me. And we are opening at the rate of 200 to 220. In the past 3 years, we have done that. Now once we decide to open a new branch, immediately there is some expense around it, but within a year, we have our benchmark that that branch, if it's a metro center, what is the level of business should be achieved? Within Bank of Maharashtra
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that business, what should be the component of advances? What should be the component of deposits? And that branch itself should turn into a profit center head.

When we decide to open in a growth center, potential center, they should fend for themselves.

That's how we are doing it. The branches which are opened, say from 3 years from now, are actually the ones who are majorly contributing also. So, that's the staggered manner in which the new branches are opening. Cost to income is also behaving well. For last 3 years, the way we have opened branches, we are still able to maintain much below my guidance of 40% for cost to income.

Nemin Doshi: Got it. Lastly, sir, within the retail credit segment, which segments you foresee as a growth engine? Excluding the secured ones, which is the housing part, are there any chances of yield improvement within this segment?

Nidhu Saxena: Right. If you see, 50% of my retail is from housing loans. And that sector is growing at a very fast pace for me. I do price my home loans very attractively, but that kind of rate is available for certain only. You have to be 800 CIBIL score plus.

That final rate chart is in a staggered manner, linked to the credit score that the borrower has.

Not everybody gets that fine rate is the point. We are also picking up segments like gold loans which have picked up where non-priority gold loans can improve. We have picked up car loans and we have simplified our schemes. We have seen 44% Y-o-Y growth in big ticket car loans. When we look at the luxury segment market, that market affordability has really gone up and people are spending money for high-end segment cars, when our scheme is made customer-friendly to attract this segment.

I'm happy to share that whatever growth has come in the car loans, 75% of those customers are having vintage with me for 3 years or more. They are my own set of customers, well-conducted accounts. I'm comfortable with them. And if they are buying cars, I'm funding them, and I charge a good rate there. These segments individually are actually contributing and bringing this growth and high yield also in the system.

Nemin Doshi: Got it. Sir, lastly, if I can just ask for the retail credit, how have our yields been trending? Is it trending upward? Could you just give some directional thought that how are the yields panning out over the quarters? Especially in last 2 years, given the fact that we have been opening and we have been venturing out into different segments at a pretty fast rate?

V.P. Srivastava: So, you see in retail, the NPA level is very low in respect of the retail, and that's why we are leveraging, though we are giving some incentives to the customer. Whatever be the intent of management to give some benefit to above the line, so that we will not make provision below the line. That strategy will continue. It is a successful strategy, and we are getting a good yield in respect of the retail, there is no cut in respect of the NPAs.

Moderator: The next question comes from Ashlesh Sonje from Kotak Securities. Please go ahead.
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Ashlesh Sonje: Hi sir, good evening. Couple of questions from my side. Firstly, if I look at the SMA -1 book that has increased sequentially from INR 185 crore to INR 271 crore, can you share more details on what has caused this increase?

V.P. Srivastava: If you see overall SMA -1 and SMA -2, above INR 5 crore, it is 0.22%. We have witnessed some in SMA -1, but we have been doing strict monitoring on the account, and we are confident that from SMA -1 it will go back to SMA -0, or it will become the regular. Overall, though there is an increase in little bit quantum, but if you see the ratio, it is well below the level.

Regarding overall SMA, if you see that overall SMA book, earlier it was 5.80 including SMA -0. The major part was the SMA -0. Now we have brought down with our strict monitoring to 4.87. So, we are keeping strict vigil on the behavior of the overall asset book. We are also taking help of software.

Management: Even if you see the SMA -1 above INR 5 crore, the Y-O-Y, it was earlier 736. It came down less than 50%, it is 271. And we are rigorously monitoring from day one. So, Y-O-Y, it is little bit changed, only one account, a small account below INR 100 crore. It is well within control.

Ashlesh Sonje: Understood, sir. And this small account would be PSU entity?

Management: It is a state corporation. There is no stress. It is little bit cash flow issue.

. But definitely, within

15 days, we will definitely come out of that.

Ashlesh Sonje: Understood, sir. Sir, the second one is on your bad loan recovery outlook. If I look at your total bad loan portfolio today, including NP A as well as the technically written -off book, that is about INR 26,000 crore. So far in the 9 months of this year, you have made about INR 1,000 crore of recoveries for this book. Can you talk about your outlook for the next quarter and for FY26 as well on bad loan recoveries?

V.P. Srivastava: Regarding bad loan recovery, if you see recovery write -off, we have done a decent job. Already we achieved whatever that we achieved with recovery write -off in FY 23-24 and there are good accounts lined up for the recovery. You know that most of the accounts we have written off. So, we are expecting that whatever recovery comes, it will directly come to the P&L account over the line. Definitely the March quarter is where we make more efforts even in small accounts also. We are expecting good recovery and you will see that good traction as far as recovery write -off in March quarter also.

Ashlesh Sonje: You believe the run rate of bad loan recoveries can hold up in FY 26 as well?

V.P. Srivastava: Yes. If you see the overall portfolio of INR 20,000 crore, and over a period of 5 years, we are expecting a recovery of 30%. So, that would be INR 1,500 crore per year. We are striving to achieve that target.

Nidhu Saxena: Just to add here, if you look at our NCLT book, so 138 accounts are there, have been referred, 133 of those have been admitted and the amount involved was INR 8,500 crore. While they are

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all 100% provided, when we look at the recovery in the NCLT cases, out of 138 accounts, we have seen recovery this year in 58 accounts, and the amount is INR 222 crore in this 9 months. Whereas if we look at last year in NCLT cases, our recovery was INR 511 crore. The point is the way NCLT cases have been pursued, no matter, there will be some haircut, steep cut in some cases, but there are lot of reviews and follow -ups at various levels.

The NCLT resolution has also expedited. We have seen the admission is expedited, wherever after the admission process has to go, that has been expedited, and it's been still continuously reviewed.

To my mind, whatever this INR 8,500 crore NCLT, maybe '25 -'26, what you are saying may see substantial recoveries. What haircut that will depend, of course, on individual accounts, but for me, they are 100% provided for.

INR 8,500 crore is a large number. The way NCLT cases have been reviewed and followed up within the Bank and from the government also, I think we will see a lot of resolutions and resultant recovery to the Bank.

V. P. Srivastava: To supplement, we have a sizable number of smart ticket accounts also, which are NPA, and we have written off and we are giving the very good OTS scheme and there is regular weekly meetings in the field offices, et cetera, so where we are getting the good traction in terms of the recovery in write -off accounts.

Ashlesh Sonje: Understood, Sir, on these OTS schemes, what is the typical recovery rate?

Nidhu Saxena: These are schemes which are targeted to different segments. One are, where ticket size is low, the aging of NPA is kept into our consideration. The security that is available is kept in mind and then that's how this scheme is identified.

In some cases, we just want to clean up the number of accounts and there are agricultural advances, long NPAs, 5 -year plus, 10 years around that. So, there are 3 sets of OTS schemes, which are currently available, and the vertical is also very aggressively pursuing with the field

functionaries. We are trying to see that recovery in absolute terms or at least the cleanup happens. The small NP A accounts once cleaned up and settled,

ed, can enable us to focus on other things.

V. P. Srivastava : As part of the OTS, we are expecting 60% to 80% that we are able to recover in ledger balance. That is our idea accordingly that we are giving to OTS schemes .

Management: For this quarter, we have recovered INR 143. 31 crore for this December quarter through OTS .

Rohit Rishi : In terms of ledger balance, we are able to recover around 70%, 80% of the ledger balance .

Ashlesh Sonje: Perfect sir. Thanks a lot.

Moderator: The next question comes from Gaurav Sharma from HSBC. Please go ahead.

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Gaurav Sharma: Thank you for the opportunity. Just a couple of small questions. Wanted to understand your view on the growth outlook of the agriculture sector? Do you expect that growth to come back?

Second, sir, what are the changes have been made in underwriting for the agriculture sector and how are the trends you are seeing in collections for this sector? These are my questions.

Nidhu Saxena: In agriculture sector we have made certain changes in our approach and strategy , and this is a priority sector, and we have to do it but we are more towards the investment credit. We are looking at proposals which have higher ticket size , and lesser focus is on the production credit, more on the investment credit .

For that matter, a lot of steps have been taken. We are also mindful that there must not be any compromise in the quantity part with regard to underwriting that will happen in branches, so, we have also centralized our agriculture hubs there.

Today, in the production credit, the typical KCC, as we know, there is no sanctioning power given to the branches. The proposals move to one layer above in zonal office, where the agriculture KCC proposals will also be dealt with. Maybe ticket sizes were lesser, but we are actually centralizing so that the underwriting and the asset that is getting financed, we are on the right track. Plus, as I said, focus is more on the investment credit.

V. P. Srivastava: Now that monsoon is good, and the agriculture is expected to grow by more than 3% so, we are expecting good recoveries and lower slippages and as a strategy, we have not gone more for farm credit, though you have seen a growth of 24%. In farm credit, which is mostly coming by giving agri -gold loan, if you exclude the agri -gold loan, the growth would be roughly 4%. As sir told we are focusing on other areas of agriculture, where the slippage is on the lower side.

Gaurav Sharma: Okay. What would be your average ticket size for the agricultural loan?

V.P. Srivastava : Average, ranges between INR 10 to INR 50 lakhs, depending upon the requirement.

Moderator: The next question comes from Sushil Choksey from Indus Equity Advisors .

Sushil Choksey: Sir, congratulations to the team and Management of Bank of Maharashtra for excellent result on Quarter -on-quarter and year on year. You have been doing amazing work. Our CASA has empowered the Bank to grow so well. How are we monetizing the CASA numbers in cross -sell of third -party products and retail? Retail is showing some traction , but where the third -party products are concerned, which can be a big income to the Bank . How are we capitalizing on it?

Nidhu Saxena: Thank you for that question , and very vital point , and then we are very strategically moving in this direction. If you see the CASA, a lot of CASA we have been able to successfully mobilize from government departments and ministries. In Maharashtra, even outside Maharashtra, other states, Rajasthan, Madhya Pradesh, Uttar Pradesh , so on and so forth and if you see interestingly, it is not just the operative CASA that we maintain for them. We are having beyond that other ancillary business that is possible.

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If the government department has requirement

for some payment and collection services for

which they require some banking facilities, we are seeing that we even fulfill those. Then along with that, if there is a funding need of that government department and we can as per the regulator guidelines look at the proposal, we are providing finance. If there are investments requirements, we provide investments options to them . Payment and collections I have told. Then even the payroll business.

We will try and see wherever in the government department, ministries, we have the operative accounts, we invariably pay the salaries, the salaries get disbursed to my branches , and once the salary relationship is established, we are hoping broadly for another options. We can give home loans, car loans, we can give personal segment loans. We can also give educational loans to their wards in a seamless manner.

These kind of relationships in every account there, wherever we are having institutional

relationship, we are filling the gaps if it is not there and even new set of relationships when we are going to acquire, we are offering all these from day one.

This gives me not only benefits to have the complete banking business of that one entity, but also I am able to earn maximum possible income and I am also able to ring fence this account, if I maintain a vanilla operative account, tomorrow it may shift easily, but when we have these kind of multiple relationships, the accounts also, we are able to have some stickiness with them. Sushil Choksey: Second thing is, as we are moving towards lot of digitization and retail products, so connectivity, I am sure your spend has been quite high in last two years to make you enabler for future. What kind of further expenditure we are likely to incur for further digitization as technology evolves and AI and many other things are going to start. So, the Bank will have a continuous budget. So, any plans for further strengthening the Bank's technology platform?

Nidhu Saxena: Yes. So, one initiative, in fact, a very powerful medium that this technology allows is the mobile banking and we are in the process, the RFPs have been concluded, the new vendor has been onboarded, and we are going to completely revamp our mobile banking application.

The new lifestyle solution is going to be launched well within this financial year before we close the year and you will see that this application is a much-improved version. It is going to have higher customer convenience.

The number of services also from current 290, we are planning 400 plus services to be made available so, technology, is one major initiative. I have my ED with me. He will also speak on what all we have been doing, and we are planning to do.

Asheesh Pandey : Yes. Sushil ji, actually your second question, third question is linked in between. I will just combine the answer so, when you asked about on the retail side, like what are the initiatives, recently, we have launched some 3 to 4 STPs.

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In total, if you see, the total STPs, which the Bank has launched for the customer journeys on the retail and other sites are almost 15 to 17. Otherwise, other than that, some 7 to 8 other journeys are launched which are on the service side, like nomination, these journeys are there, which are giving comfort level convenience to the customer.

The second thing is that when it comes to UPI or it comes the transaction through mobile or maybe the WhatsApp service, so you may have seen our presentation where we have informed that how many new services are introduced in WhatsApp. Certainly, this time, you will see there is a huge jump in the onboarding and the number of transactions even on the WhatsApp side. Coming to the retail, we are still on the MSME and the retail book, I will put together, I think some 3-4 like vehicle, education and housing, we have already

launched and 3, -4, particularly

in MSME till 10 lakhs N2B, that is New to the Bank so, existing, we have already launched, and it is working very well in the Bank, and now we are going for a New to the Bank.

Now coming to the third party, it is also very important, because all these insurance companies are life or non-life or health, we are bringing into mobile directly and WhatsApp also so, what we are doing, that these STP journeys, which are not directly related to the Bank, but we have collaborated with the third party, our partners and one very good product, one of our partner is bringing, it is already approved by IRDA where the premium will be paid like FDs.

Like that, they can go on paying and they can reach a level and get a sum assured. I think, it was supposed to be launched very recently. This is one. Another one is credit life insurance that also we have done like an entire thing, whenever person taking home loan, if he wants to avail a life coverage about that.

The entire data will be picked up once he says that he wants it so, it will be like pre-filled form, and only a few steps he has to do, and the premium will be debited, and the coverage will be obtained. So, there are at least around 10 further journeys, which are either in the UAT or testing stage or the completion stage, which are going to be true, particularly for the retail side, MSME side, and third-party side.

Sushil Choksey: My last question in this round is that we have growth capital available, but because of constraint led by SEBI norms, we have to dilute government equity up to 75%. I am sure that for the next two, three years with the profitability number, if you want to achieve 15%, 17% or 20% growth, you don't need equity. Am I right?

Nidhu Saxena: To answer that question, I always keep looking at what nudges are coming from government regulators from time to time. The banking industry, no doubt, has been passing recently through a good phase, and this is the time that we should make and build cushion.

If that be, no doubt that we are currently well capitalized, but it makes a case for raising more capital if we want to maintain this healthy capital adequacy. For growth, I will keep raising money, we do have our plans.

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Our engagement with you would continue. We will keep coming with whatever guidance and how the bank has been performing over the guidance and about our future plans. At appropriate time in the year, we have our plans in place to look at the option of raising further capital.

Sushil Choksey: Sir, my suggestion is that government equities can be bought back in some instrument to get to 75% or second, the OFS should be done rather over QIP. Your stock price will reward you in the next round whenever you decide on that.

Nidhu Saxena: Right. Point well taken, sir. Thank you for that. But that OFS part is a call not to be taken by individual banks and definitely, we will keep doing good. See, the bank raised capital of INR 3,500 crore. I have to see that I deploy that fast. You would have seen our credit growth also including the corporate book actually looking up, which was single digit Y-O-Y last quarter, has become 17% Y-O-Y this quarter so, whatever we have raised, we are actually deploying it and earning interest out of that so, going forward, we will maintain our dividend levels, ROE and so on and so forth.

Moderator: Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Shri Nidhu Saxena for closing remarks.

Nidhu Saxena: Thank you so much for sparing time. I think the one thing you would have noticed definitely, consistency in our results have always been there. Additionally, we have tried to highlight certain areas where we are actually doing well.

We have also looked at seeing that whatever

growth is happening is a sustainable growth in the

Bank and for that matter, the contribution from every branch is what has been in our focus in our last two reviews, quarterly reviews with our zonal teams, we have been emphasizing on these points.

Our every branch, which is open, is supposed to be doing business as per their potential that is available to them. It is not that we depend on some bulk elements happening here, there. But every branch is contributing.

That is one aspect that we are aiming at, inclusive growth to happen in the Bank. Also, going forward to sustain this growth, we are also mindful of the issues around technology, our managing of risk, corporate governance, and the technology structure that we are having, and the cyber-related concerns that are there.

We are strengthening this vertical also. We are continuously looking at acquiring talents externally if those sets of requirements in this new era of technology are not available within the Bank. We have done one set of 195 officers' recruitment lately, concluded that 130 officials have already joined our various levels.

We are again going to very shortly come up with more requirements in these areas to see that our overall risk, governance, and compliance culture gets improved and strengthened, because in the long run, these things are going to sustain our growth that we are achieving.

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So, that's all from my side. Thank you so much.

Moderator: Thank you. On behalf of the Bank of Maharashtra, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Apr 2025

AX1/ISD/STEX/ 20/2025-26 Date: 30th April, 2025

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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Dear Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 25th April, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for the quarter and year ended 31.03.2025 held on Friday , 25th April, 2025 .

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Nehal Rawat)
Company Secretary & Compliance Officer

Encl: As above

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“Bank of Maharashtra
Q4 & FY20 25 Earnings Conference Call”
April 25 , 202 5

MANAGEMENT : MR. NIDHU SAXENA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BANK OF
MAHARASHTRA

MR. ASHEESH PANDEY – EXECUTIVE DIRECTOR –BANK
OF MAHARASHTRA

MR. ROHIT RISHI – EXECUTIVE DIRECTOR – BANK OF
MAHARASHTRA

MR. VIJAY SRIVASTAVA – CHIEF FINANCIAL OFFICER
– BANK OF MAHARASHTRA

MR. DINKAR SANKPAL – GENERAL MANAGER – BANK
OF MAHARASHTRA

MR. AMIT SHARMA – GENERAL MANAGER – BANK OF
MAHARASHTRA

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Moderator: Ladies and gentlemen, good day and welcome t o Bank of Maharashtra Q4 and FY 2025 Earnings Conference Call. We have with us from the management, Shri. Nidhu Saxena, Managing Director and Chief Executive Officer; Shri. Asheesh Pandey, Executive Director; Shri. Rohit Rishi, Executive Director and all general managers of the bank.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Shri Nidhu Saxena. Thank you, and over to you, sir.

Nidhu Saxena: Good afternoon and thank you for joining this con call. I'm very happy to share that we have ended yet another financial year very successfully where we've been able to showcase and maintain consistent growth across all parameters, whether it is business growth parameters, asset quality, profitability, capital adequacy, efficiency ratios and so on. I will quickly share the highlights of it with you .

The total business has grown by 15.30% year -on-year and has reached INR5,47,000 crore . Total deposits increased by 13.44% to INR3,07,000 crore . Advances increased by 17.76% to INR2,40,000 crore . NPA has declined in the bank to 1.74%. Net NPA also reduced to 0.18%.

PCR is maintained at 98.3%. Our operating profit has grown by 14% to INR2,520 crore for this quarter a nd for the full year it is 16% year -on-year growth. Net profit has increased by 36% and has reached to INR5,520 crore for the full year .

In this challenging environment where some lenders have been experiencing or at least claiming that they would be witnessing some NIM contraction immediately, we have been able to maintain our NIMs which witnessed a year-on-year improvement of 8 bps . The full year NIM stands at 4% now. For quarter -on-quarter , we have improved our NIM by 4 bps and maintain a high NIM of 4.01% for Q4 as well.

The ROA stands at a healthy 1.75%, which is a 25 bps increase over the last year. The CET1 capital adequacy is healthy and is around 16%. CRAR is at healthy 20.53%, LCR stands at 127%. Our Government of India holding has reduced during the last financial year where we have done a successful capital raise and the same has been broug ht down to 79.6%. My other cost-to-income has come down again, 22 bps year -on-year and stands at 38.5%. Yield on advances has improved year -on-year by 16 basis points and stands at 9.3%.

It has been a good year for the bank in terms of recovery and we have achieved the number of recoveries that we had planned for the bank. Our write -off recovery performance has also been fairly good. With regards to the segment -wise growth, the RAM segment has seen a healthy growth. Within the RAM, retail grew by 25% year -on-year. Segment -wise, home loan also grew 30%. In our other focus products, car loan grew by 47%. Gold year -on-year grew by 56%.

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Corporate advances to o we are present wherever we are getting good income earning opportunities . We are maintaining a RAM corporate ratio of 62.38% for March '25. Corporate book also grew year -on-year by 15%. Stress in the loan book has been managed well. We have seen improvement here as well. Overall stress number of the bank witnessed a reduction of 129 bps from 4.71 to 3.42 for March '25. Stress in accounts above INR5 crore have been standing at 0.11. SMA -1 plus 2 is at mere 2%.

Lot of strategies were put in place in the beginning of the year, which have actually helped the sustainable growth of bank business. We have also seen that the core business coming from the branches, the retail sustainable portion of business have also grown. We have seen that the dependence on pool buyouts and direct assignment transactions have also been kept under control and for strategic reasons only, we have gone ahead and entered into these transactions, so despite a decline in pool transactions, we have seen 18% growth in advances and the satisfactory part of this growth is that the sustainable, the core portion of the business has grown in the bank.

We have been one distinct bank who have been opening branches. Over the last 3 years, we have opened around 500 plus branches which has helped the bank to have its presence across the major districts of the country. Going forward, we have approval from the Board to open 1,000 branches in 5 years at the rate of 200 to 220 in the next 12 months. We are also taking help of an external expert to formulate a revised strategy if needed in terms of branch expansion which is going to happen in the bank going forward.

We have also been approved of a GIFT City license for opening a IBU at GIFT City, Gandhinagar and the project is moving at a fast pace and this enabler will open new opportunities for the bank, which will help us give more benefits to the bank and also our clients for some of their existing needs to fulfil which they were actually approaching some other banks. This GIFT City IBU will also ensure our global presence and this will become a reality within this financial year. All the IT, HR and other segment requirements have been assessed. Steps have been taken to see that these are being made available so that the project gets on track as soon as possible.

While we are growing our business, we have also been very mindful of the assurance function, the governance, managing risk of different natures, including technology risk, and lately, we have been onboarding talents, wherever the internal skill sets were not available. We have gone for these domain expert recruitments to strengthen the technology structure, to strengthen the risk in the governance structure in the bank. There is a strong understanding that if the bank is to grow in a sustainable manner, the risk governance and assurance functions need to be strengthened which have been very consciously done, and we have onboarded a lot of senior level skill sets in the bank to help support the bank in growth and sustain this growth in times to come.

I think I will take a pause here and take your questions. You are most welcome to ask us anything on some other critical numbers or any other questions. Thank you.

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Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi sir. I have two questions. First, in the growth that you mentioned, you also said that you have strengthened the assurance function. I wanted to check this growth, is this 100% delivered by branches or do you have some tie up with the DSA or loan originator or is this growth entirely done by the branches itself?

Nidhu Saxena: I did mention about it. Let me further elaborate. As I said, we have 500-plus branches and the new business that is coming into the bank, is mostly from my existing set of branches and these new branches, which have been identified to be opened in potential growth centres. They are contributing in a significant manner to the bank's business.

The focus in the last full year, in fact, for the last 3 quarters, the way we are reviewing our zones, the field functionaries, it was amply clear that the bulk components of business are handled by the head office, corporate office centrally, but the zones in the field are ensuring that each of their branches are functioning at their optimum level and getting both the assets and the liability business that is

available in the periphery or in the geography of the new branch or the existing branch that is opened. With that clear focus given to our field functionaries in the review, I will share a small data with you, which will indicate that how the business that has been growing in the bank has been more from the branches, which is the core and the sustainable one. Taking, for example, our NBFC relationships and the pool buyout and direct assignment transactions. In the previous years, we have been experiencing some year-on-year growth in this contribution coming from the tie-ups with the NBFC, whether through pool or direct assignment transactions. FY '25 has been the first year where there has been decline in pool buyer transaction by minus 7%. Despite this, the advance, the credit has grown by almost 18% in the bank. That strategy has worked and the branches have been given a lot of enablers from head office to help them source new business. As regards to your question on DSA, we are very conscious and considering about the quality of the loan book that is going to get created.

We are mindful of the quality and the underwriting benchmark standards. In fact, in the last year, we have strengthened our underwriting standards and have said that below a point of, say, credit score for an individual segmented borrower, there is no underwriting permitted in the entire bank. While that was a tough call, we had seen that the right enablers gone from head office, the growth has not decreased .

We are growing and maintained the growth and this growth rate has only improved , but the satisfactory part of it is that the growth and the quality of loan growth has been insured with the stricter underwriting standard. To answer in one line, there are no aggressive DSAs and acquisition strategies. It is my own core branches where we have complete control and asset quality is of supreme importance. I don't mind achieving a level of business in, say, one or two more quarters, if I take , but there is definitely, no compromise on the asset quality at any point of time.

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Jai Mundhra: Sir, what is the outstanding of this pool buyout, which has declined just to get a sense out of your INR2.36 lakh crore loan book, how much is the outstanding pool buyout?

Amit Sharma: As of 31st March, pool outstanding is INR12,998 crore as against INR14,045 crore , on 31st March '24.

Jai Mundhra: Secondly, sir, on your benchmark, what would be the share of loan linked to EBLR, MCLR, fixed rate and other benchmarks?

Nidhu Saxena: From my loan book, 37% portfolio is linked to EBLR and 57 %-odd is what is linked to MCLR.

You would see a distinctive factor that there has been two rate cuts. I'm not operating out of the system. I also would be affected going forward. I'm sure the impact is going to be felt by us , but the way we have managed our business mix, and there has not been the full quarter impact for the large rate cut that we have seen , but if you see that NIM in our case, actually, for the last three quarters, the number was 3.97%, 3.98%, 3.99%, and we have crossed to 4.01% for Q4. We have always been mindful of not only the quality, but also of the pricing aspect. The top line growth has been very consciously driven in the bank to see how it is impacting my bottom line.

` We were seeing that in some of the businesses there is no contribution to the bottom line, even sometimes due to competition where we are required to give some concessions, are we able to keep that relationship profitable by taking some ancillary business from the same set of borrowers. If those were not happening, some segments we have not taken exposure or exited. Like, for example, we have a Board approved product where a T-bill rate we could have built some portfolio , but we decided that whatever exposure we had, that T-bill rate pro

ducts today

as of March '25, the exposure is not there. It is zero. That's how we have been driving business consciously that not only top line, but bottom line as well and also how each and every ratio is maintained in the bank quarter-on-quarter .

Moderator: Thank you. Next question comes from the line of Ashok Ajmera with Ajcon Global. Please go ahead.

Ashok Ajmera: Thank you for giving this opportunity. Compliments to you, Nidhu sir, Asheesh sir, Rohit sir and, Amit sir , for the fantastic results quarter after quarter and year after year now for last 2, 3 years, 4 years. If you look, on all the parameters you have performed well. I mean, the CASA which went down to 49.28% in December, which used to be always above 50% has again been brought up to 53.28%. In this scenario, I think you may be the only bank who is having this kind of CASA . Even on the credit front, and I mean, on all the parameters, the result is fantastic, compliments to you for that.

Having said that sir, I have got a couple of observations and some questions. Since we have noticed that the growth at the end of the year is good, whether it is a deposit or advances , but the major growth has come in this quarter. That is the January, March quarter. If you look at the advances, of course, it was very small in the first 9 months. Even in the deposit also, only 3.5% in 9 months and 10% down this quarter only, similarly in the credit also.

If you look at further breakdown, the savings deposit have gone up only in this quarter itself by 14.78%, and the current account has also gone up 31%. Is this kind of growth which has come

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only in this January -March quarter is sustainable? Number one. Number two, is it going to be the pattern for the next year also that you are a little bit down in first and second quarter and then you pick up in the third and fourth quarter?

What are your comments on that? Since it is something, which is very, very unusual that in 1 quarter only, you have grown so fast and whether it is going to be sustained. This is my first question, sir?

Nidhu Saxena: Thank you Ajmera Ji for noting the performance in the bank and the consistency in the performance. As regards our feeling regarding the growth is happening only or majorly in the last quarter is not something very unusual in terms that you will see that Q1, Q2, Q3, Q4, in the entire industry, if you look at the data at the industry level or even at the individual bank level, you will see that the Q4 is the highest performing quarter for any bank for any matter.

Now there have been some macro events we all have known about. Maybe if it's the Maharashtra state elections or elections in some states, and as we have robust kind of relationships at the government and the institutional business that we are commanding in Maharashtra, outside Maharashtra and many states. With these kind of macro events beyond the control, you would have also read that wherever we have relationships, it was a news item that the state had released 500 GRs in the last 3 days of the financial year. Out of that 500 GRs, 300 GRs on the last day only, because that's how the election activity had delayed the disbursement of funds. These kind of events do have an unusual impact. This is something more than unusual. Every year, you will not find elections happening. This is one -off kind of an event but let me tell you, when we are reviewing our branches and zones, as I mentioned earlier, the focus is entirely on the core business that the zone and its set of 60, 65 branches are going to generate for the bank.

As regards to the institutional business, my vertical heads in corporate office, in central office sit and plan for that kind of business. Our focus is 100% on the core and which is a sustainable business, number one. Our focus is also on the average business because when we are review

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the second part, critical in our review mechanism, review format of our field is that what the average business is. It is not the terminal business basis which we are only reviewing and ending.

It is the average business. If it is the advances, the average advances in that quarter, 90 days because concept given to the field is very clear if you are doing business for the last 1 week or the last terminal date, it does not advance or will not need to have the bottom line contribution. If we are 90 days earning interest only for 7 days, for 3 days, that doesn't add to my bottom line, but if you see that even the bottom line parameters have been correspondingly maintained.

I think it is not true to us that it is majorly only in the last quarter that things are there. If I quote the numbers, my average advance has been growing at the rate of 18%. My average deposit in the bank has been growing at the rate of 14%. If you see the terminal number, the terminal number and the average number is the same. In average advances, we are always excluding the quarter end numbers and when we are calculating this figure.

Ashok Ajmera: Sir, one question is a little observation on the restructuring of the standard advance, which has gone up by, I think, INR439 crore only in the corporate book. Can you throw some light on this, that INR439 crore in the corporate book, which has gone to the restructuring of the standard Bank of Maharashtra Limited

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advance. What is the nature of this? Is it one or two accounts or it's a multiple number of accounts?

Dinkar Sankpal: For two accounts it is only DCCO extension. Nothing alarming there. Only because of DCCO extension in two accounts, that number has gone out.

Ashok Ajmera: In two accounts?

Vijay Srivastava: Yes, only two accounts.

Dinkar Sankpal: One is the PSU and another is state government accounts.

Vijay Srivastava: Both are infra projects. Due to land issues, the DCCO got extended.

Ashok Ajmera: Sir, on the capital raise, you have got the approval of INR7,500 crore for the QIP and INR10,000 crore for the long-term bonds. What is the plan, sir, there, as this rate of the stock, which in spite of the good result today has also not yet responded, which I feel would do? Would you be comfortable immediately coming in this quarter, this April, June quarter for the QIP or a part of it?

Nidhu Saxena: When we begin our financial year, we make our assessment of the capital requirements for the full financial year. This is a process being the beginning year of Board meeting, along with results, we have moved this paper, but there is a process which will follow after this. We have to go to shareholders, AGM and then government and get the approval.

Once the approval is done, our process is complete. We will then take a call what mode will be used and at what opportune time. That call will be taken during the course of the year. One of the motivations with us is that since we are currently at 79.6% of Government of India holding, the SEBI requirement of 75% is not a difficult milestone to be achieved. We will definitely be looking at the right time, right mode and taking our decision during the year.

Moderator: Thank you. Next question comes from the line of Pinaki Banerjee with AUM Capital Private Limited. Please go ahead.

Pinaki Banerjee: Congrats for the good set of numbers sir. Just a couple of questions. Regarding your loan portfolio, the maximum exposure is towards the infrastructure sector. Can you segregate what type of companies this exposure is regarding infrastructure, what are the types of companies, the

loan book is?

Nidhu Saxena: Overall, if you see my business mix and the guidance that we had kept for ourselves, it was to maintain RAM corporate share of 60 -40 and plus minus 2%. Along with all other parameters, we have actually achieved or surpassed our guidance

that we kept for the full year last year,

including this when we closed our year at 62 -38. The important part is wherever we are seeing the opportunities emerging, we will definitely participate and opportunities, which are profitable for the bank.

Adding to my top end and also my bottom line, so in the sectors where we are seeing traction, whether it is road HAM model, whether it is renewable energy, whether it is LRD. We have Bank of Maharashtra Limited

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been bullish on these kind of areas and we have been taking our considered calls in participating in new opportunities that are coming.

Amit Sharma: To be very specific, our additional exposure has come mainly in renewables or in HAM sector these are the same sectors.

Pinaki Banerjee: Okay. My last question is now in the falling interest rate scenario, sir, actually, you are expecting a fall in your NIMs, net interest margin. On a conservative basis, how much are you expecting to report like from current 4%?

Nidhu Saxena: If you see that my entire last year, we have been indicating our guidance for NIM. Quarter -on-Quarter, we have been performing beyond and against my NIM guidance of around 3.75% to 3.85%. We have closed the full year with 4% and the Q4 at 4.01%. While I have outperformed my guidance, I am mindful that there have been two rate cuts. My 37% of loan book is priced to repo interest rate loans and where I have to pass on the benefit immediately.

During the year, yes, we had occasions where we had reviewed our MCLR. Around 30 bps of MCLR was increased in various buckets during the year and repricing in some of those assets is also happening now, still 1 or 2 more quarters to have that reset date reaching for those accounts. Going forward though, looking at the accommodative stance given by RBI, I'm not operating out of the system.

We are again going to keep a conservative guidance for NIM for the next year at 3.75%. If we see aggressive rate cuts, maybe like other banks, we may be also taking a conscious call to review the guidance. As of now, after achieving 4% and maintaining this level of 3.95% to 4% for the past four quarters, around 3.75% is the guidance I'm keeping for myself for the next year.

Moderator: Thank you. Next question comes from the line of Darshil Jhaveri with Crown Capital. Please go ahead.

Darshil Jhaveri: Sir, just when we talked about NIMs right now, any kind of guidance you want to give on what our advances and deposit growth would be?

Nidhu Saxena: For advances, we are keeping a guidance at around 17%. For deposits, we are keeping around 14%. When we talk of deposits, our focus always comes to the low -cost part of it. CASA will be maintained above 50%. That's the conservative guidance I've kept for myself, and we will try to keep performing beyond that. Those will be the efforts, but this is the guidance for the numbers you asked.

Darshil Jhaveri: Any sort of guidance on ROA, GNPA, credit cost, that would be really helpful, sir.

Nidhu Saxena: ROA, we have achieved 1.75% for the full year. My guidance for ROA is 1.75%, which we would like to maintain for the next year. GNPA has again seen a reduction, and has come down to 1.74%, but guidance is to maintain it below 2% and the credit cost to maintain below 1%.

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Darshil Jhaveri: Okay. Sir, I just wanted to know with our expansion in branches that we are planning. How do we see cost to income going forward? We said that we are hiring also a bit more talent. What do we see in the Opex side for us?

Nidhu Saxena: If you see the cost to income for this financial year, it is 38.5%, which again, when we compare and look at peers and other banks in the industry, including the private banks, is the best in the industry in this parameter along with some other 20 parameters that we compare ourselves with

every quarter. My cost to income has reduced by 22 bps year -on-year. Yes, with the new branch opening, this opex is bound to increase, but what I have seen that with the new incremental business revenues that we are generating we are also able to find some traction in the income contributing element of it. We have kept our cost-to-income, under control despite aggressive branch opening of 500 branches in the last 3 years, and the incremental revenue is actually helping us sustain the cost to income within limits. The guidance, again for cost to income is to

maintain it below 40%. Currently, I'm at 38.5%, which is again below 40% and I perceive this as among the best in the industry.

Darshil Jhaveri: One last question on my end, sir. On the ground, like how are we seeing the demand right now? I think people are expecting a good monsoon and there has been tax cut by the government, but are the sentiments like good on ground? How is it going? What's the reports that you are seeing? I know you're guiding for a good growth, but how do we see the economy panning out? Is there a possibility of some stress coming or just how do we see in general?

Nidhu Saxena: I think India has a growth story despite tariff concerns coming lately, and the world markets getting impacted in a particular way. We also keep hearing that maybe in the long run, all these disruptions may benefit India in the long run. Definitely, some of the entities have changed the growth estimates for the country, but still, there is no doubt that the country remains one of the fastest-growing emerging economies.

With the economy in the country growing, we are directly linked. Banks are directly linked. I don't see any major challenge as such. Yes, there are disruptions that are happening, but there are a lot of data points around how the GST collections have surged in the country year-on-year. It has grown 9.9%. For the month of March '25, the GST collections is INR1.96 lakh crore. All these data points also indicate that the growth is happening. We are also continuously engaged in analysing, which sectors to grow, where the opportunities are coming and how to see that we are present there.

As a strategy, when we target new sectors, high-quality borrowers, there is a realization that our turnaround time in deciding on the proposals that will come in the corporate credit sector makes some difference and bring some value. Being a lean mid-sized bank, we are very conscious and are able to move on high-quality, high-rated customers. With our improved TAT, not only are we successfully able to on-board, but command a better pricing through our goods and fast service to them as well.

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Moderator: Thank you. Next question comes from the line of Ashok Ajmera with Ajcon Global. Please go ahead.

Ashok Ajmera: Sir, just a couple of remaining observations and questions. Firstly there is one in the auditor's emphasis note #4, it says that because of the inadequacy of the independent directors, some regulations were invoked and the results have been taken directly to the Board. Since when has this situation been there, where you don't have the full strength of the independent directors and what is happening on this?

Nidhu Saxena: With regards to the independent directors, this is not anything unique to us. Since the government is engaged in providing independent directors to all the PSU entities, so the entire BFSI space is impacted. Since December, we are awaiting the outcome for two of our independent directors. I would not like to comment on that part.

This again, as I said, is not unique to the bank. We have definitely not allowed any business to get hampered in any way, but this is a transition phase. There is no serious concern or any matter of discussion as well.

Ashok Ajmera: Anyway, things are the same in place

, they are just to safeguard the interest. Just wanted to mention that your profit would have been higher by INR348 crore, had there not have been any change by RBI in the classification and valuation of the investment. That is another reserve, which is already being built up. It has got to the AFS reserve. INR348 crore, which otherwise would have come to P&L. This is all plus point.

Another plus point about which I'm talking about and I asked you. Sir, you have continuously maintained a COVID provision of INR1,200 crore as buffer. How long do you plan to keep it? Especially in this quarter and the year ending when you had to provide a little more for NPA, almost about INR47 crore, INR48 crore or INR50 crore more provision and overall provision is, as compared to the last quarter of INR840 crore, it is INR983 crore. Could you not have used at least some portion of that reserve and would have given further decent profit, which directly impacts the stock?

Vijay Srivastava: I will give you the answer to that investment AFS gain. Deliberately, we have not written about that gain, but since we are expecting that RBI will come with the cut and it has happened. We were expecting that there will be good profit, further appreciation, at the time we can encash that. You can see that though we got the benefit in capital, AFS is a gain, it will be part of capital. At the opportune time, we will convert into the trading profit. However, having said that, it is the strengthening our yield also.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to Shri. Nidhu Saxena for closing comments.

Nidhu Saxena: Yes, I have nothing more to add. I think broadly, it is all covered. Most of my performance, the highlight would be that it is consistent. For more than 3 years now, quarter -on-quarter, you would not have seen spike in any of the parameters, which should give any kind of discomfort to investors. We have consistently maintained quarter -on-quarter improvement.

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Given this opportunity, we have also in today's Board recommended a dividend of 15% and of course, this proposal has to be approved by the AGM. That's one more addition I would like to share . Thank you.

Moderator: Thank you. On behalf of Bank of Maharashtra, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy .

Call: Jul 2025

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AX1/ISD/STEX/ 68/2025-26 Date: 21st July, 2025

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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Dear Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 15th July, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for the quarter ended 30.06.2025 held on Tuesday , 15th July, 2025 .

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Vishal Sethia)
Company Secretary

Encl: As above

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“Bank of Maharashtra
Q1-FY2026 Earnings Conference Call”
July 15, 2025

MANAGEMENT : SHRI NIDHU SAXENA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BANK OF
MAHARASHTRA
SHRI ASHEESH PANDEY – EXECUTIVE DIRECTOR –
BANK OF MAHARASHTRA
SHRI ROHIT RISHI – EXECUTIVE DIRECTOR – BANK OF
MAHARASHTRA

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Moderator: Ladies and gentlemen, good day, and welcome to Bank of Maharashtra Q1 -FY2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

We have with us from the management, Shri Nidhu Saxena, Managing Director and Chief Executive Officer; Shri Asheesh Pandey, Executive Director; Shri Rohit Rishi, Executive Director and all General Managers of the bank. I now hand the conference over to Shri Nidhu Saxena. Thank you, and over to you, Mr. Saxena.

Nidhu Saxena: Good afternoon and thank you for joining this conference call and hearing out from the bank, how Q1 -FY2026 has been, and I'm happy to share that this has been a consistent quarter. The bank has been delivering this consistent performance for 3 to 4 years now, and this quarter also qualifies as yet another consistent performing quarter.

I can say that our business growth, total business advances, deposit, CASA, RAM, asset quality, profitability and efficiency ratios seem to be well within the guided range. I should say, for all 15-16 parameters where we are sharing guidance for the FY, the bank's performance is in sync with the guidance number.

We all know that Q1 is traditionally a lean quarter for the business and for growth, but the bank has been maintaining the trend. There has been no upward or downward spike. This is a consistent growth story, and there have also been some enablers, which I would like about a little bit as well.

Lot of new things have been done around products, processes, how the products are competitive in the marketplace, when our field functionaries are going and trying to fetch new business, trying to add more customers to the bank's business, the support being offered by the products, Are there products finding competitive edge for them? Are they in sync with what the best of the best offerings are there in the market? We keep looking at our product profile. In fact, all basket of liability and asset products are mandatorily reviewed in the bank once in a year, and all my verticals who are managing these portfolios, keep looking at it because environment is dynamic, so in between the year also, if any change is mandated or they themselves want to give some differentiated proposition to the clients, they would keep doing that throughout the year. Beyond the product, we also see the process that we are following for on-boarding customers. Customers once on-boarded, whether on my digital channel or through the physical branch channel, are they conveniently able to bank with us, conveniently able to transact with us or are there any pain points to address? We keep looking on beyond products and our processes, how they can be improved, how they can be made more seamless and give a better experience to the customers? This is very consciously done product processes.

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Another differentiator is that the bank is very consciously expanding into new geographies. We are a fast expanding bank while you would have seen post the merger consolidations in 2020 in the industry, some of the large banks have gone for rationalization, and that was typically the logical step to do and under that process, some branches had to be rationalized, but we are a differentiated bank. For the last 3 years, we have been actually opening branches, reaching out to new geographies and are ensuring that our presence makes us a Pan-India bank, which has already been achieved some time back. The branch expansion is still going on, and

for the next

5 years, we have a broad objective approved from our Board to open 1,000 branches . We have broken down this large objective to the next 3 years and have carved out a list of 321 branches. A Project 321 is running in the bank, and passionately, a vertical is driving this objective and are opening branches.

If I tell you, the branches are opened in the potential growth centres of the country, and lot of data has been used around to identify which is the centre where Bank of Maharashtra should be opening its presence, and down to the PIN code level, the study has indicated to us that this is the district where the growth is visible , and that's how you have to look at expanding your presence , so we have this objective of opening 321 branches in the next 18 months. A lot of planning has gone behind this. We have gone for recruitments to match the expanding needs. We have gone for recruitments in the specialized verticals. We have gone for taking care of specialized skill sets in the areas of improving the compliance, the governance, managing the technology risk.

All these have been very consciously looked at and skill sets in these domains have been recruited in the bank, and are actually being put together. We are ensuring that the bank is not only growing, but growing in a sustainable manner. Today, if you ask me, the regulator will not have a forbearance if you are found not growing a segment, not following the guidelines or the expectations from the regulator , so we are very mindful of what the expectations from regulators are. Not only that, even if a draft set of guidelines are released, we quickly have an in-house system to look at what are the prospective set of guidelines that may come and whether my current functioning is addressing those concerns that are being flagged by the regulator, and we start working on building the right setup if there is something found to be improved in our present set of working.

That's how we are growing and expanding quickly . We are very mindful of the growth that we are looking at . It is not just in the top line growth, which is important for us, any growth in the top line, correspondingly, how it impacts the bottom line and the various ratios, which we actually leading in across many of the parameters in the industry, in the growth parameters, in the financial ratios, profitability parameters, we lead the industry, and typically, we do a comparison every quarter.

In March 2025, for the full year performance, we looked at 25 metrics across growth, asset quality, NPA levels, profitability, ROA, ROE, NIM numbers, capital adequacy, CET1, so on and so forth, and out of 26 parameters, we were leading the industry in 18 parameters. In the industry, we are not only comparing ourselves with the peers in the PSPs, all the PSPs and the even new generation private banks form part of that comparison, we submit this analysis every Bank of Maharashtra

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quarter to our Board to also look at how the bank is performing. It is not only growing, but growing sustainably and also growing profitably, so we are very mindful that how is the new business being acquired is impacting the bottom line, and very consciously, we have even taken calls to probably not on-board a new business where the bottom lines are not impacted favourably.

We have taken a lot of initiatives and tried to differentiate ourselves . Technology, is one focus area, and we have decided to not only come up with a new version of our mobile banking application, which today we all understand is a powerful medium of transactions for clients. The mobile banking project has been fast tracked and probably 1 month from now, we will be revamping our existing mobile banking application and will try to deliver a world-class kind of an experience through the new application that will be available. We feel t

hat this will bring a

lot of traction to the core business , new clients in the personal segment will be attracted .

We have got the regulator's permission for opening a GIFT IBU and that project has been approved by the bank in less than 5 months from the regulator when we made our request for allowing us the license. Today, I think that is going to be one big enabler, GIFT City is getting a lot of emphasis, lot of focus from the government also, and for the last 1.5 -2 years, lot of traction is seen and this should be the best time and the right time to see that we scale up our activities and operations

Within these 5 months, –we have undertaken recruitment wherever we wanted to have some extra skill sets and we on-boarded after trying to identify the best resources available in the market. The technology decision has been taken, which ideally takes 6 -7 months' time, but we are also requesting our partner to help us start operations as soon as possible. We feel that this, again, will be a game changer, because it will open up a lot of opportunities being the first global presence for the bank of 90 years . We will be able to participate in global syndications. We will be able to do ECB transactions for our good old corporate clients, and it will not only enhance customer stickiness, we will be able to get new business growth opportunities, and that GIFT

IBU should be in this year itself because we envisage in Q2, we will start booking business there.

That's how we are moving .

This is all broadly from my side, We have shared the performance presentation with the investors . I'll take a pause and look at some questions or queries from your side .

Moderator: Thank you. The first question comes from the line of Rohan M andora with Equirus Securities. Please go ahead.

Rohan Mandora: Sir, I want ed to understand the NIM movement this quarter because we have done a good job on NIMs. On the yields, what was the benefit that came from MCLR , how much was the impact from repo cut and what was the benefit of the NIM mix change?

Nidhu Saxena: Rohan, if you see , my last year guidance was to have a NIM of 3.75%. If you see last year, Q1, Q2, Q3, Q4 we were already having 3.97%, 3.98%, 3.98%, and we closed the year with a 4%

NIM , but if you look at the guidance because this fact of rate cuts was well known and on

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expected lines , so despite doing 3.98%, 4% kind of number, my NIM guidance for this year is conservative again at 3.75%.

If you look at NIM that we have achieved in the Q1, with the repo cut, my 40% of portfolio is linked to repo loans. Now I have to mandatorily pass the benefit which we have done immediately on the entire portfolio, the calculations were there, we were expe cting around 18 to 19 bps as per the entire RBI rate cut that had to be passed on the 40% loan book.

With regards to other strategies that we have put in place, I would just like to mention those to see that my NIM contraction is not to that extent or how we can protect it. If you see my cost of deposits, it has actually come down sequentially, and how it has happened is during the last 10 - 12 months, we have very consciously not gone for high -cost bulk deposits. Very consciously and strategically, we have not taken the renewal with the bulk deposit when it is coming for renewal and we have focused entirely on the low -cost.

My CASA share when we closed the year is 53%. We are keeping t he guidance to maintain CASA ratio above 50%, and if you see my Q1 also, it is above 50% , so this is one big enabler.

My average CASA has seen an improvement of 14 bps, 14% point year -on-year, so straightaway the 18 bps of reduction in repo loans have been offset with the high CASA and a very conscious strategy of not depending on high -cost bulk to fuel my growth. That's how we have seen, whereas probably the industry may

see that kind of contra ction, but we have seen that my NIM has come down to 3.95% .

We also still have some leftover portfolios. My MCLR book is 55%. Now that 55% in the last 12 months, we had gone for MCLR raise by 5-10 bps, and over the 12 months, almost 35 bps of MCLR raise happened. There is still one or two more quarters where some accounts resets will happen , so these two factors put together, low cost deposit, that kitty of more than 50% and consciously doing away with high -cost bulk, and this little bit of MCLR resetting remaining in accounts or happening in phases, has actually cu shioned my NIM contraction.

I am still mindful that maybe we can see with the benign inflation number, retail inflation is 2 point something, and we may see further rate cuts. My guidance, if you look at is 3.75% for the full year, and I feel the kind of consciousness in terms of doing business, is growing fine, but growth with profitability, is the kind of focus that we are having and we will definitely achieve the guidance for this year as well.

Rohan Mandora: Sure, sir. This was helpful. On the yields also, despite the compression from repo, we have been able to maintain almost flattish Q -on-Q yield on advances. Does the MCLR movement explain the entire thing? Or is there also a component of loan mix change? This quarter, we have increased gold loans and have almost doubled that, and we have run down agri and MSME portfolio by almost 7% Q -on-Q. Did that also have an impact on the managing yields?

Nidhu Saxena: Yield on advance has been 9.28%, which is a healthy yield, and I'll tell you a couple of things have worked for us to get this kind of profitability numbers. We are very consciously on the profitability and the pricing aspect in every transaction that we are doing. We have a T -bill link rate product with us, Board -approved where we could have lent to central PSUs, AAA corporates

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and build up our top line , but whatever exposure we had that we actually consciously had in product is there. Today, we don't have any exposure in that.

With regards to the segments, not that we are not mindful of quality , it is all investment grade which we are looking at , but consciously we are not so willing to look at any business , or any

new customer acquisition, if it is not impacting our bottom line favourably. Sometimes we will match out of sheer competition, but we also then try to look at how the relationship can be made profitable.

If it is a vanilla credit, that relationship we are having, can we have some ancillary business from that corporate, some of their payment collection requirements, can that be routed through us, some fee-based income can come, some payroll business can come. We are very mindful on the profitability with every customer.

At transaction level, we have tried to drive this point in the field function also. An essential part of my review now from this quarter, 17-18, we have acquired some software, which helps me to let the branch see how profitably they are operating. If they are growing, fine, but it's not only the top line in this FY that we are going to review, we will see that on the growth at the branch, how the profitability has behaved.

Bringing in that kind of consciousness in the field functionaries I'm sure people will be more conscious at the ground level as well, in terms of how they look at offering concessions, special rates, can they compensate any finer rate with some ancillary business, so on and so forth, so this is how we are looking at this issue. Yes, with more rate cuts that can happen, my 40% loan book immediately gets repriced.

We have kept, I think, a conservative guidance of 3.75%, despite even maintaining it above 3.95% for last 4 quarters which again is a very good number. With 3.75%, we again lead the industry. The next number could be

3.5% if I'm not wrong. That's how we differentiate ourselves in this NIM metric also.

Rohan Mandora: Sure, sir. Lastly, we have added duration in the investment book in 1Q. Just wanted to understand your thought process for doing so, given that yields have fallen.

Management: Yes. You know that the RBI reduced the repo rate, but the market, they have not [inaudible 0:22:22] and rates have come. We knew that going forward, RBI is further going to do these rate cuts, so we have purchased a longer-term duration security in fact in SDL also in order to maintain yield or to protect our yield. This is what has impacted our duration. The whole idea is to protect the yield and going forward when there will be rate cuts, we can take the benefit of the market.

We have purchased when the yield was on the harder side, and now rates are coming down, so there will be the good appreciation and even return from the booking is good.

If you see we are also sitting on the appreciation of roughly INR600 crore, and same is the case of STM, so going forward, you will see that some of the approaches will be to improve the profitability of the bank.

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Moderator: Next question comes from the line of Suraj Das with Sundaram Mutual Fund.

Suraj Das: I think I will follow up with the previous question. I think in the last quarter, 40% of the loan book was linked to repo. Now I guess your transmission of the repo rate cut would be immediate.

I mean, which would be T+1. 40% of the portfolio seeing something like 75 to 100 basis point rate cut, but still your yields are intact.

Could you explain what is the mathematics here, beyond whatever you have mentioned because if you transmit 75 to 100 basis point on the 40% of the portfolio, it would be something like 30 to 40 basis point kind of a yield decline, but your yields are intact on a Q-o-Q basis?

Nidhu Saxena: As I mentioned, we are very mindful in terms of pricing of our loan offerings. The emphasis is always that business is happening and profitable business is happening. Growth is with profitability. With that kind of a philosophy, today, when a proposal is brought to a committee of the Board or my committee or my AD's committee or CGM's committee or GM's committee in head office, they're all mindful and very consciously looking at this aspect.

It is not just growing the portfolio. We have kept our aspirations to become a bank of greater significance to grow in terms of our ranking among the 12 PSBs. That's an aspiration, but we are not mindlessly going towards top line growth and not looking at how it is impacting the bottom line.

We have also done a couple of things around, beyond this CASA, we can look at this co-lending opportunities. We started off the year with around 2 NBFCs where we had done some co-lending, and we have developed some in-house technology where the entire transaction of disbursements, collections, validating of payments is taken care by technology in a seamless manner, and we are through proper integrations with the IT of the NBFC. Today, we have 9 partnerships. Here, again, we are leveraging on their strength, their reach to areas, geographies where we are not present in the segments, suppose it is gold, they have been doing this kind of activities for decades. They have their robust audit and recovery mechanism.

When I'm doing the business from the branch, same business Gold Loan versus when we are

doing co-lending partnerships, we are able to charge 100 bps more there, so that kind of things are actually, somebody mentioned this and I think I skipped, the Gold Loan portfolio has grown, 58% of year-on-year whereas we had put the focus in the beginning of the year itself, so Gold Loan has grown.

We have also taken care of the associated risk that are there in the business. Only after putting in place the entire system of safekeeping of pledged jewelry, the valuation, the 2 critical components, once we have set that infrastructure in place, we have gone ahead and done that business in large manner. In co-lending, we are getting better yield, better returns and better pricing.

Management: Suraj, you see that last year, we have raised MCLR 35 bps, and that increase in number I say will be applicable at the time of annual reset. A number of resets happened after the repo cut, so that's why despite the reduction in repo, increase in MCLR and such reset, it has protected our yield on loans.

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Suraj Das: Sure, sir. Understood. I mean, while your cost of deposit has come down, I think your cost of fund has not, that is also partly because your borrowings has increased. Is this opportunistic in nature? Or could it be strategic also given that you are replacing your bulk deposit with some of the borrowings this year. I mean if you can give some rationale there.

Nidhu Saxena: You are saying cost of deposit has come down by 15 bps. I just mentioned and we discussed that cost of funds also have come down 4 bps, not as sharp as the cost of deposit, but overall cost of funds have come down 4 bps, and yes, there was a conscious strategy to look at other options of refinance or raising resources, funds through infrastructure bonds, and those kind of enablers, and approvals for those have been taken from the board from the beginning of the year. At appropriate time, we will keep doing these raises to see that overall borrowings and cost of funds and other things are remaining under control and our NIM is getting favourably impacted through such measures. We'll be very mindful of those things and we will try to depend less or not depend at all on high-cost bulk and look at other options to raise resources.

Management: To add, if you see there may be higher cost in respect of the raising the alternate resources, but looking to the benefit involved in respect of the exemption from CRR and SLR cost and the ability to directly divert such fund to the advances where that margins on the higher side, it has improved and has created a positive impact on our NIM.

Moderator: Next question comes from the line of Ashok Ajmera with Ajcon Global. Please go ahead.

Ashok Ajmera: Thank you for the opportunity. Compliments to Nidhu sir, and the entire team of Bank of Maharashtra, first for coming out so fast with the result on the 15th. I think you are probably the first bank, which shows your accounting, your corporate governance. The CFO and the entire team deserves rich compliments for this thing. Having said this, sir, you have also maintained the NIM in spite of the pressure of the rate cut and not passing on the entire interest to the borrower, but still you maintained your NIM, rather it's a good NIM sir, compliments for the same as well.

Having said that, sir, this quarter, though a lean and a muted quarter, but I think for the first time in the last 3 years, we have gone into the negative business growth. I think the last was June '22, which is for the first time, I think, in what 12 quarters or so. Coupled with that my question is that you still maintain the trading guidance of 17%, which you had given for FY 2026, deposit 14%, CASA, above 15% in any case is there. Do you think that, and looking at the performance of this quarter, you will be able to maintain the same guidance and achieve the numbers? Or you would like to revise the guidance on the business growth and the credit growth especially this is the first question.

Nidhu Saxena: Right, Ajmera ji, thank you for complimenting my team. Yes, they are working really hard. Every vertical is putting in their best efforts and you would have seen traction in every segment of the bank, be it the bank business and other issues, other activities, how we are

looking at

ramping up our HR, how we are looking at ramping up our other infrastructure, which is going to support our growth, our expansion needs, new branch opening. Every vertical is doing that.

Thank you. They deserve the compliment.

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As regards, I think there is some error in understanding. This quarter also has seen a year-on-year growth of 15% in total business, which has gone up to INR5.46 lakh crore, and we have

added INR70,000 crore . In total business, we are growing. There is not a single parameter, in fact, business alone is, as I said, not important. You look at asset quality, you look at profitability metrics, ROA, ROE, you look at capital adequacy , you look at the stress numbers, you will see that for the last 48 months if you plot a graph, it will be a consistent performance, there is no quarter , single quarter where we will see spike up or down.

This quarter also in terms of business, it is there . I already explained what is actually supporting . The new geographies that we are entering into, new branches are also adding business to the bank kitty annually and 500 branches in last 3 years, 120 in the last whole year and this 321 . I think the pace of growth with the new branch, new geographies, new markets that we are going to enter, GIFT City IBU that alone holds a huge potential , so I think growth will not be a challenge at all. We will have to keep looking at which are the profitable opportunities , how to reach out to them and how we can differentiate ourselves in this era of competition, sometimes through pricing, sometimes through quick decision s, sometimes to just to differentiate ourselves by the reach out, how we reach out t o the top -rated borrowers and how we fulfil and completely understand their financial needs and deliver them.

That's how we will keep differentiating and growth guidance that we have kept total business to grow at, for this year also is 15%. I see no challenge s towards achieving that, advances within which will grow at 17%, deposit, we have kept a guidance of 14%.

Management : Point well taken sir. A few data points and some clarification and explanation. This quarter, we had little higher slippages of INR727 crore , as compared to the last quarter. Then our SMA -2 numbers have also gone up to INR171 crore as compared to INR40 crore in the last quarter, which is a little cause of concern because the numbers have gone up substantially high.

Secondly, I would like to know something about the profitability, which has gone to the reserve of the AFS because there is a gap of INR226 crore , I mean, there's an addition , if you look at the net worth of the June and March. What was the profit figure, which has gone to the reserves on account of the Treasury operations because treasury otherwise also performed very well. If you look segment -wise, the Treasury profit for the quarter is INR625 crore income as against INR360 crore , so these are the few dat a points and some explanation.

Nidhu Saxena : Sure. Divesh, you answer the treasury part, you answer SMA -2. With regards to INR727 crore of slippages, yes, within which if you look at, you asked me INR343 crore , so 47% of that slippage has come from the Agriculture segment . Now what we have done is, what we have looked at, this is the trend we have seen in Q1 for past couple of years . For the past 3 to 4 years, the Agri segment because of the cyclical nature witnesses a slippage in the Q1 . Since we are aware, we have very consciously look ed at how fast, how quick the accounts can be upgraded in case these slippages are not arrested. I'm happy to share during th ese 15 days, we have already upgraded INR240 crore from this fresh slippage.

As I said, Agri, which is cyclical in nature , I don't see major concern emanating here because if you see the monsoon prediction, I think the Agri segm

ent is going to have good prospect for this

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season as well , so with overall prospects favo urable . I think the Agri segment challenge that is typically seen in the Q1 is not going to impact much this year the way it would have done last year. Divesh, you can go ahead .

Management : Yes. In treasury, there are 3 major components which have contributed, one is the domestic profit , which has increased from Q1 -FY2025 from 37 to 141 in Q1 -FY2026 . We had some maturities where we booked that this particular quarter, and we also had this opportunity to book profit in mutual funds, which was not a part of Q1-FY2025, so INR104 crore was added through domestic profit, additional Q -on-Q.

Forex also, as you know, the market has been a little active and we could book better forex profit from trading, and that has added to almost INR40 crore . These are the major additions what you are talking about in terms of the Treasury income growth.

Management : To supplement Divesh ji, what you rightly said, in respect of AFS, further appreciation in this quarter, it has gone to the results directly and not to profit and loss account, so that has also been added to our capital.

The MD sir has already given some response on the Agriculture slippages , but I will tell you that the Agriculture season is good . There are some review renewal delay that happened in some zones. Definitely that review renewal has been done once , and again we will recover all the slippages that are there.

Coming to the SMA level, the observation you have taken from the SMA -2 INR40 crore to INR171 crore , but if you see the SMA -1, it's reduced from the INR214 crore to INR114 crore , so it came down by INR100 crore from SMA -1.

Some accounts are shifted from the SMA -1 to SMA -2, and it will always happen, it will be rolled

back, sometime it will roll forward also , so we will definitely, take care. If you see our slippages and the total stress on the book , it is in an improving stage every year and every quarter.

Management: One more thing between SMA -1 and SMA -2, if you see historically, this figure has been more or less equally divided , so some distortions happen here and there, but it's not something which is alarming and team is on the job. Our slippages will remain under control.

Moderator: The next question comes from the line of Akshay Badlani with HDFC Securities. Please go ahead.

Akshay Badlani : Thank you for taking my question. The first question is more on the strategic side. I think whenever we see our MSME , NPAs, overall asset quality in the MSME book, it stands out compared to other PSU banks , so what are we doing separately? Or what are we doing differently compared to other PSU banks that our underwriting has been superior for quite some time now when we compare it to other PSU banks?

Nidhu Saxena: We are very conscious on quality. As I said, in the beginning, we have aspirations to grow , and we have numbers in mind as well, but I don't mind if it takes two more quarters extra to reach that milestone of growth, but we are very conscious that of the loan book that is getting generated

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and created, how is it being generated? Is it prime borrowers or what kind of segment are we are lending to.

If you ask me not only in MSME, we have strengthened our underwriting benchmark standards as well . The bank has been growing fast. Even if I give you an example for a retail segmented loan, no underwriting, not a single loan under any scheme is permitted for an individual if the credit score is below 681 , so we have linked our underwriting standard to TransUnion CIBIL and below 681 is their definition of a subprime. We do not lend and have restricted ourselves completely for the last 10 to 12 months, even if it restricts my growth

, but lot of things that we

did around products, the processes, I think we have not seen that pain coming in. Our growth has only gone up.

The differentiator in MSME that we are trying to do and we have successfully done also is to reach out with quick decisions , and I'm able to even because the ground realities are, if I'm able to convey my decision, customers can happily, negotiate and we can charge a premium to our good and fast and quick decisions , 25 basis more I can charge.

This is the philosophy we work with, and we reach out to the right segment borrowers and identify them, and we have put in place some cluster schemes where we give some special enablers with pricing or otherwise as well .

We have maintained CMR scores, below which we don't underwrite in MSME also. These kind of strengthening of underwriting benchmarks ensures that whichever borrower in my system in the loan book is of some prime category kind of a borrower. This is, again, going to help me not now only, there are no quick mortality numbers , but in times to come, 1 -2 years , we will see that my loan book, even if there is a cycle and the cycle has to reverse, the philosophy we have is, we should not be seeing the worst hit.

If the system goes down, I'm not out of system, but I will not be the first one to be hit because that's how we are building our loan book consciously of prime borrowers. I think it partly does answer your question, and the philosophy has been like this in the past also, but in 12 months, we have more consciously strengthened our underwriting standards to make sure that what we are saying is happening in a better measure.

Akshay Badlani: The second question is around the OPEX intensity. I think this quarter, we have added around 850-plus employees and you had mentioned in your opening remarks as well that we are focusing on new recruitments and higher equipment. My question is, what exactly is the way we are recruiting now, how has it changed vis -a-vis earlier how we used to recruit or from here, which segments used to recruit?

Secondly, when I see the OPEX for this quarter, it's not reflective of the additions that we have made in the employees and branches. Is that impact going to kick in, in the next few quarters? Or is it something else?

Nidhu Saxena: I will explain. If you look at my cost to income , in the last year, it was 38 -point something. We have closed this year, even this quarter at 37.57%. Guidance is to maintain cost to income below

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40%. This parameter, again, is one of the parameters where we lead in the industry , and even if I'm maintaining it below 40%, I'll be best in the industry.

Despite having 3 7%-38% kind of cost to income, my guidance is kept to maintain below 40% knowing that when I'm going for this fast-paced recruitment, there is some likely increase in the employee cost, that will happen, and so I'll try to maintain below 40%, but if you see, it is not actually happening, and I will tell you the reason behind this. We have a robust recruitment plan for supporting this massive branch expansion, but the entire branches opening and recruitment is not happening on day 0. It is going to come in phases, and today, when I'm going to open my branches, and I am saying potential growth centres, we will see that these branches are turning around also fast.

Today, once I do some OPEX around the new branch opening, and if I'm at the right location, incrementally what revenue that they will generate for me will be more than offsetting the cost that we'll be experiencing.

The third thing is that we have opened 500 branches in the last 3 years so the branches that were opened 3 years from now are all profitable as per our parameter, and that's how we will see that those which were opened 2 years from now, around 50% have already turned profitable.

We will gradual

ly see what we opened in last 12 months, by the next 12 months, they are opened.

The point I'm trying to make is that first of all, this big change of recruitment, big change of new branch opening is not happening overnight. It is coming in staggered phased manner. We have kept a defined time line, and recruitment is also matching that part, and at least for the last 12 months, I have seen that my cost to income has not gone up, and my guidance of the FY 2026 is also to maintain it below 40%. I have a strong sense and we strongly feel that we'll be able to maintain it.

Moderator: Thank you. Next question comes from the line of Abhishek Kothari with Aviva India.

Abhishek Kothari: Sir, you have a plan of QIP this year. Could you time line the same as to when would you be raising funds?

Nidhu Saxena: As of now, see, last year, we did GOI dilution, we achieved 7% and we did an equity raise.

Today, my CRAR stands at 20.5%, so, it's a healthy CRAR that I'm maintaining.

We have kept the guidance, these are the best times is what regulator says to maintain it at reasonably high levels to see that we are adequately cushioned to meet any cyclical downturn.

That's what the regulator's overall guidance keep coming in, that these are the best times you should create cushions and buffers. We have kept the guidance to maintain CRAR at around 18%. There is no immediate case for me to go and raise capital, number one.

Number two, last year, we came down from 86% to 79.6%. 7% dilution has brought me below 80% and optics have changed, so it is just a mere 4.6% if I have to meet the SEBI regulation, but what will happen, when we will do that and opportune time and opportune mode, we have taken no decisions on that part. We have done a lot of investor engagements, but that is as a matter of our sacred duty to the investors. Last 12 months, we have been meeting investors, Bank of Maharashtra

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both domestic and foreign covering all markets, those who are invested with us, but as of today, we have taken Board approval for raising INR 7,500 crore debt plus equity but we will look at this option at the opportune time and opportune mode, as well.

Abhishek Kothari: Okay. This quarter, you explained that your slippage ratio was slightly higher due to Agri portfolio. A normalized slippage ratio guidance for FY 2026 as well as credit cost guidance?

Nidhu Saxena: The guidance is to maintain it below 1% and credit cost 1%. If you look at my PCR, provision coverage stands at 98.36% and with this high level of PCR that we are maintaining, the aging provision pressure is hardly there, but the fine NNPA guidance that we are maintaining, is 0.2% to 0.25%, but my NNP A number is 0.18% for the last two quarters, March as well as June this year. This is the guidance that I'm keeping for both the metrics that you asked.

Moderator: Thank you. Next question comes from the line of Bhavik Shah with InCred Capital. Please go ahead.

Bhavik Shah: Hi, sir. Congrats on very good numbers. Just a few questions. What would our outstanding AFS reserves be as on 30th June?

Management: AFS reserves, which we have transferred to capital is around INR497 crore.

Bhavik Shah: Yes, that would be flow, right? What would be the outstanding amount?

Management: That would be outstanding amount.

Bhavik Shah: INR490 crore?

Management: Yes.

Bhavik Shah: Okay. We have transferred 5% of held to maturity, have we sold that. I guess we don't need approval to sell that, right?

Management: Yes. Till date we have not exercised that option.

Bhavik Shah: Okay. Do you plan to do that over the course of the year?

Management: At the opportune time we will take the decision because we are having appreciation in AFS.

Depending upon the yield movement , we will see that if it is required or not.

Bhavik Shah: One last question, sir. Within the staff cost

, what would be the employee provisioning this quarter versus last quarter? AS 15 provisioning ?

Management: AS15 provisioning is roughly INR 220 crore .

Bhavik Shah: Okay. What was it last quarter?

Management: Last quarter, it was at INR240 crore .

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Moderator: Thank you. Next question comes from the line of Ashlesh Sonje with Kotak Securities. Please go ahead.

Ashlesh Sonje: Hi team. Good afternoon and congratulations. First question is on your MCLR -linked loan book. Can you share what was the average yield on the MCLR -linked loan book in this quarter and the previous quarter?

Nidhu Saxena: MCLR, we have around 55%, which is a high number that gives a definite advantage when we compare with other lenders in the industry, their MCLR share is not as high as ours and again there is a lot of scope to grow the retail book.

Management : For MCLR -linked, if you see the average yield it is at 9.75%.

Ashlesh Sonje: What was the number in the previous quarter?

Management : For the previous quarter, it will be around that 9.75% to 9.80%.

Ashlesh Sonje: Secondly what proportion of the MCLR -linked loan book is yet to be reprised to the higher rate?

Nidhu Saxena: MCLR goes by calculation and during the 10 -12 months with every review that is taken monthly in the ALCO , this decision has been taken. CRO, you can add something ?

Management: In the last one year, MCLR was around 75 basis points and 5 basis points we have released . One of the components of our MCLR is the cost of deposits and also the market dynamics. We had to review the market dynamics to see how it will be done. One more thing, our MCLR, if you see that 1 year linked MCLR is around 70% , so that is the main change to that. Considering this it will be based on the market dynamics and the cost of deposits we look at.

Nidhu Saxena: Just to add to what CRO has told. Whatever raise we would have done, see the repricing of that particular is going to have on the reset date, which is an annual exercise. There will be a couple of accounts and I think, one or two more quarters where this repricing in the MCLR loan book is going to still happen. That advantage actually has worked in some way to even ensure that we have not lost on our NIM number the way the calculations had shown. NIM has come down from 4 % to 3.95% only , so still for some one or two more quarters , we have a portfolio of MCLR yet to be reprised.

Management : We can say that 20 % to 30%, it is yet to be reprised as you see that from March '24, we started increasing the MCLR. So 20% to 30% it has to be reprised.

Ashlesh Sonje: Just lastly, your Agri loan book is down 8% Q -o-Q and your Gold Loan books on the other hand have increased. Has there been any reclassification of Gold Loans from Agri to Retail? Along with that, can you explain why the MSME book is also down 7% Q -o-Q?

Management: This Agri book, if you see that the ATL Gold Loan that has decreased by near about 8%. That is because of that RBI guidelines to not take less than INR2 lakh as a collateral amount . Due to this, we have reclassified this agriculture to the Retail Gold Loan , because of which , there has been a decrease of 8%.

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Management : However, if you see the recent RBI guidelines, where they have allowed that such a loan can be taken in agri after taking the voluntary declaration from the customer , so again, it will come back to our agri portfolio.

Ashlesh Sonje: On the MSME book, that is down 7%?

Nidhu Saxena: For MSME, I mentioned about co -lending partnerships. We have gone ahead and done some co -lending with the Gold Loan NBFCs also. In my co -lending book, a sizable amount of businesses are also with the Gold Loan NBFCs, and this is all the lending by them to all the shopkeepers, small traders and

and the ones which are actually MSME, but because of the clarity in the regulatory guidelines, this co -lending portion, which was Gold Loan with NBFC and getting classified as MSME advanced, we have reversed that.

This is also a matter of discussion like RBI has issued for up to INR 2 lakh, this circular has

already been released 2 days back, that if the MSME or the agri borrower has taken the loan for their agri or the MSME activity that will be a priority sector advance, so we will take a review of this reclassification, up to INR 2 lakhs, we can now go ahead, we will do that, this is only a 2 days old guideline. We will review this segment because now RBI has come out with this clarification, and whatever we had been doing rightfully because if you ask me in the co-lending, INR3,500 crore is the kind of exposure we have with the gold loaned various NBFCs. Now entire was MSME, which has moved to non-priority retail. We will look at it again. The CRO is examining these guidelines and the guidance will come from him and the business vertical will take the call, and we will reverse this as entitled by the RBI clarification.

Ashlesh Sonje: Just one last clarification. This Gold Loan and MSME, both of them will be classified as PSL now from here on?

Nidhu Saxena: Absolutely. There's a limit up to INR2 lakhs. If you ask me, the average ticket size of the Gold Loan NBFCs unlike Public Sector Banks, they are funding the small segment shopkeepers, who are MSME borrowers, micro segment. Their ticket size is INR45,000 to INR50,000.

We'll comfortably be able to do that, but the CRO is examining and they will come back with the complete guidance and the vertical will do that. Regarding other than Gold Loan, this MSME and agri, both are a focus segment for us this year. We have done some special initiative of creating separate verticals, in both these segments, agri as well as MSME.

There is a separate general manager heading these verticals independently, and they have a lot on their to-do list and a lot of strategy already implemented wherein we will now be targeting for MSME and agri advance investment credit and some large ticket, medium-ticket business, which will qualify for MSME as well as agri loan. We have given them enablers, some special schemes, wherein some special pricing offers are there, but of course, it's not available to one and all. The borrower needs to have some level of credit rating. We have formed clusters and these clusters will be approached by my branches, zonal managers, also from head office team in a much focused manner, they will go, visit and talk to the clients there, in a textile cluster. If Bank of Maharashtra

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there are 100 units in one cluster, we will contact the top 10-12 borrowers with this kind of special offerings and bring them in our fold.

That's a very conscious strategy that we have planned for the growth of MSME and Agriculture this year, and I'm sure we will wait for one more quarter, and we will see those numbers really looking up.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to Shri Nidhu Saxena for closing comments.

Nidhu Saxena: We had a detailed discussion. I thank everyone who joined the investor call and the bank has been trying to not only perform, but to reach out with this performance consistently every quarter close with our quarterly performance. We also actively engage and talk to you between the quarters as well.

There is a vertical again and bank today has positions of Chief General Manager and this vertical of capital raising is headed by a Chief General Manager. We are consciously engaging with the entire community at large in terms of who are the brokers who are going to cover my my company
We w

ill of course, keep performing consistently to give the comfort that whenever we do plan for a capital raise at the opportune time using opportune mode that we continue to get the patronage and with our own merits and sustainable performance, we will come back to you at the right time when we do that exercise. Thanks from my side for joining the call. Thank you.

Moderator: Thank you. On behalf of Bank of Maharashtra, that concludes this conference. Thank you for joining us, you may now disconnect your lines.

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Call: Oct 2025

Confidential

AX1/ISD/STEX/ 103/2025-26 Date: 17.10.2025

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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Dear Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held
on 14.10.2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of conference call with Institutional
Investors/ Analysts regarding Financial Results of Bank for the quarter and half year ended
30.09.2025 held on Tuesday , 14.10.2025 .

The transcript of conference call is uploaded on Bank's website and same can be accessed
through below link :
https://www.bankofmaharashtra.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,

For Bank of Maharashtra

(Vishal Sethia)
Company Secretary

Encl: As above

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Bank of Maharashtra
Q2 & H1 FY-2026 Earnings Conference Call
October 14 , 202 5

MANAGEMENT : MR. NIDHU SAXENA – MANAGING DIRECTOR AND CEO
MR. ROHIT RISHI – EXECUTIVE DIRECTOR AND ALL
CHIEF GENERAL MANAGERS & GENERAL MANAGERS
OF THE BANK

Bank of Maharashtra

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Moderator: Ladies and gentlemen, good day, and welcome to the Bank of Maharashtra Q2 and H1 FY 2026 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

We have with us from the management, Shri Nidhu Saxena, Managing Director and CEO; Shri Rohit Rishi, Executive Director , and all Chief General Managers and General Manager of the bank.

I will now hand the conference over to Mr. Shri Nidhu Saxena for opening remarks. Thank you, and over to you.

Nidhu Saxena: Good afternoon and thank you for joining this conference call. We have announced our Q2 and H1-FY2026 results, will quickly cover the main highlights while you would have gone through the presentation .

Our total business grew by 14 % to Rs. 5.63 lakh crore . Deposits has gone up by 12.13% , Advances have gone up by almost 17% , CD ratio for us has improved to 82%. Gross NPAs have declined to 1.72%. Net NPA have declined to 0.18%. Our provision coverage ratio is standing at 98.34%.

Our net profit has increased by 23% to Rs. 1,633 crore . Operating profit has grown by 17% to Rs. 2,500 crore . Net interest income has increased by almost 16%. NIM stood at a healthy 3.85%. Cost to income has also improved to 37.1%. ROA has improved to 1.82%.

Yes, our capital adequacy is improving to 18.13% within which the Tier-1 is standing at 14.96%, almost 15%. SMA, the loan book is also behaving well. SMA -1 plus 2, which is always an element of concern within the overall SMA book, so that SMA -1 and 2 have actually gone down from 2.61% to 1.87% , it has been an improvement of 74 bps. A couple of things over and above these parameters of business growth, asset quality, efficiency ratio, profitability and capital adequacy metrics.

I would like to mention about that S&P Global has assigned us a BBB - rating, and which is three notches improvement of what other international rating agency has assigned to the bank. Now we have two international agencies that have assigned ratings for the bank.

Our GIFT IBU, which was made operational in this quarter within a period less than six months of the Reserve Bank of India ' approval to our application ; and we have closed this half year with Rs. 100 million of business in the IBU. There is a complete pipeline that is getting built to see

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that we are getting more and more traction in that IBU. We are keeping aspirations. We have yet to put some numbers, but maybe it can be a \$1 billion book in the next 12 months, it should be a profitable business which is also our aspiration in the GIFT IBU branch.

The sharp rating improvements, which has come from the international rating agency. We are also seeing traction in FII holding, which is going up steadily. Recently, we are seeing interest getting built up in FIIs who are looking and tracking our stock. From 0.39% FII holding in 2023, for September 2025 the FII holding has improved to 2.58%. Likewise, mutual funds have also been building books with our Bank of Maharashtra scrip in the ir kitty.

We are consistently outperforming the industry. We are fast expanding our presence in potential growth centers of the country and that is one thing which has not only helped us register more than industry performance, but it is also helping us sustain this kind of growth performance in the years to come because this is a 5 -year plan to open 1,000 branches in the next five years is what the broad Board approval we are having . In this FY 26, we have taken one big initiative to open 321 branches , we a

re calling it as the Project 321, and the plan is to

open 321 branches in the next 18 months . The new branch opening that we have shortl isted after doing a scientific exercise, taking help of external agencies , for us to understand these

potential growth centers of the country, where we will be opening our presence in a phased manner. This is what is going to support and sustain our fast growth rate that we are clocking every quarter -on-quarter.

I am satisfied as a bank, as a management that whatever guidance at the beginning of the year for the last 12 to 15 months we have been talking about, we are maintaining and beating our own guidance quarter -on-quarter. If you look at the metrics of importance to the investors, specifically the ROA, ROE, NIM, these numbers, we are having a decent guidance for NIM of 3.75%.

This quarter also, we have, despite the rate cut impact coming in completeness in this quarter, we have been able to maintain our NIM above the guidance that we had shared in the beginning. And the Q3 and Q4, we have seen that with most of our deposit maturity profile, seeing the deposits getting repriced, we should see that further NIM contraction should not be. But yes, we are keeping a conservative number of 3.75% in terms of the NIM guidance. Let me take a pause here and maybe take some questions before we keep sharing couple of other things.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from the line of Rohan Mandora from Equirus Securities. Please go ahead.

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Rohan Mandora: Sir, I wanted to understand the movement in cost of deposits this quarter, which has gone up by 8 bps. So, what was the benefit from term deposit rate cut? And what was the adverse impact from the current account changes, the decline in CA balance?

Nidhu Saxena: Right. If you see our deposit growth for this quarter, year -on-year, we have grown by 12.12%, but within which CASA has grown at almost 15% , so, focus clearly stands out to have more and more low -cost deposit in the system. The high -cost bulk wherever we have identified, which is sitting in our deposit book, we have been very consciously not renewing the bulk high -cost deposits. What data we will share is that our bulk deposits have seen a 9.9% de -growth. Deposits have grown majorly from the CASA, which has grown at 15%, and that's how the total story is growi ng at 12%.

Rohan Mandora: Right. But sir, the question is on cost of deposits, which has increased.

Nidhu Saxena: Our focus is to maintain our deposit growth majorly through the low -cost element. We have done a lot of efforts to see that both the components, the core CASA that is coming from our branches and the institutional CASA, which we focus from institutions, government departments, ministries, corporates. We have a separate vertical that takes care of that. The two objectives are strategically achieved through a lot of strategies that we have put in place. If I have to tell you, in terms of business that is happening in branches, we have done a lot of product improvements, we have introduced products for some segments where we were missing. Today, we have a complete basket of products that is taking care of the professionals, the HNIs, the NRIs, the business community and so current savings, salaried, non -salaried, we have a complete basket of products. We have also looked at the process part, whether the process is a healthy seamless onboarding of clients to the bank's business and once they are on boarded, whether they are able to seamlessly transact.

Our mobile banking application, which we have revamped , we have not just upgraded our existing mobile application by introducing a new version, but we have revamped the version, and this is moving faster. The concept of giving ease of doing business

for a client that they are

able to transact on this mobile application with minimum number of clicks has been our theories in building , developing this mobile banking application. Someone should experience it to understand what I am indicating . A lot of techno logy is helping in this segment, the individual core segment that is happening in branches.

For the institutional segment, we have started with putting up a new business vertical, calling it as new business customer acquisition vertical headed by a lady General Manager. Having a complete structure with her , the only two KRA is to reach out to institutions and look at their banking needs and try to get institutional deposits from them. Bringing some value also to the institutional clients and understanding their specific needs and also offering some technology -based solutions there , so, these two verticals are independently working. As I said there is a

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core business of CASA, there is an institutional business of CASA and we are trying to address both these components with a different strategy that is working for us. We are trying to see that we maintain this low -cost element in our deposit profile, which is a big enabler, contributor to our bottom line. The system would have seen the average CASA at some point

of time, which was in the industry 43%, 44%, came down to almost 37% , but we have been able to maintain our guidance to maintain it above 50%. That is one. Second, a lot of our experience is that with this rate cuts in the deposit side also, clients are also parking their money from the CASA to creating term deposits with us.

Rohan Mandora: Sir, we heard all of these points. This point is well understood.

Nidhu Saxena: Okay. So, I think we can move to the next question

Rohan Mandora: Sir, second was on what is the outstanding AFS reserve at the end of Q2?

Nidhu Saxena: It's around Rs. 340 crore on the gross basis.

Rohan Mandora: Okay. And just kind of the similar number, Rs. 500 crore at the end of Q1, right?

Nidhu Saxena: Yes.

Rohan Mandora: Okay. lastly, there's almost 10.5% Q -on-Q increase in credit RWA this quarter , so if you can explain what is the reason for that?

Nidhu Saxena: My CRO is just joining the call, and he will respond.

Sobbbhashish Rooyy : The total RWA from the June to September 2025 has increased around Rs. 16,000 crore, out of which, the credit RWA has increased around Rs. 15,000 crore and market RWA has increased around Rs. 1,180 crore . If you see the credit RWA has increased because of gross advances have increased around Rs. 14,000 crore and there is some extra undrawn so, that has also increased around Rs. 7,000 crore . Likely, it is around Rs. 16,000 crore on credit RWA has increased.

Rohan Mandora: Okay. So, the higher share is because of the undrawn lines as well. Okay, sir. I got it.

Moderator: Thank you. We take the next question from the line of Abhishek Kothari from Aviva India.

Please go ahead.

Abhishek Kothari: Sir, if you could guide with respect to your growth that I am seeing in the RAM portfolio, retail has grown very nicely, but SME and Agri, the growth is lagging behind. So, any thoughts over there?

Nidhu Saxena: Overall share of RAM is 62 :38 and our guidance has been to maintain it at 60 :40 plus/minus 2%. We are doing a conscious rebalancing again in the two verticals. The idea behind is the

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loan book that we are creating, and it must be of good quality borrowers, prime borrowers . In the Agri portfolio, we are going from production credit to investment credit and trying to look at reaching out some mid -segment kind of clients. The overall guidance is 60 :40 plus/minus 2%, we are already at 62%. If you see in the retail, there are a couple of products which are seeing a lot of traction. The home loans are growing

at fast growth rate of 30% - 31%, gold

loans have grown at 47 % , vehicle loans have grown at 49% and these are our own set of clients who have been banking with us. We have tweaked some schemes to introduce new customer - friendly schemes to bring them on our fold. The entire focus in this segment is towards the big ticket advances where we are seeing the LTV is also very favorable to the bank . We are having that comfort that this growth in the retail portfolio, we are growing in the segment which is constituting the prime and super prime borrowers.

In the bank, today, there is no loan that is available for a client having CIBIL score less than 681, as per the definition of TransUnion CIBIL is a subprime segment. We have strengthened our underwriting benchmark , so, that is one of the reasons that industry growth is supporting in these retail segments. Plus , we have done a lot of product improvisations, introducing new product lines to see that there is a good traction in the retail. In the agriculture and MSME, while we grow the loan book, we are mind ful of the pool of assets that we are going to create. We are focusing this time more on investment credit, some big ticket mid -segment kind of proposals where we will see a lot of ancillary business opportunities coming in cold storage, dhal mill, rice mill, so ticket size and portfolio will improve . We will get some tangible securities, which are going to be with those credit limits that we are going to consider for borrowers , so, that kind of consciousness migrating from production -linked to investment -linked credit. In the production, in the KCC, we have already created digital journeys, and we would want the underwriting for small ticket KCC loans to be end -to-end digitalized.

To begin with two states, state of Maharashtra is the first where luckily, we have good exposure, and the land records in this state are fully digitalized. With that, end -to-end journey is possible in underwriting for the small ticket size KCC loans so, that's how the strategy is and I think in coming quarters, we will see a lot of traction in these two segments also.

To answer your question in one line, bank is looking at wherever profitable opportunities for growth are there, we will definitely be participating. We will be mindful of the quality of the loan book that is getting created and how the loan in times to come should be behaving. We are fully mindful of that, and then that's how we are going to increase.

Abhishek Kothari: Okay. Sir, your capital consumption was high in this quarter, around 193 bps. You have a resolution or Board approval in place for fund raise . So, by when could we expect your fund raise to come by? Will it be in this fiscal, Q4 or will it go to next fiscal?

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Nidhu Saxena: So, there are plans. We have approvals in place from our Board, from the government, RBI, shareholders. So, approvals are in place to go for a fundraise. Within this FY 2026, we are looking at the opportune time and opportune mode to do that. And the one aspect that I would like to share here is while the capital adequacy stands at almost 18%, which is our guidance to maintain it going forward, and yes, 193 bps that we have consumed. But if I factor in the profitability of these two quarters, my CRAR improves by another 1.72%. So, this is one thing. And coming back to your fund raise query, I have Rs. 7,500 crore of approval from the Board within which equity is Rs. 5,000 crore, the rest is debt. At the opportune time in the remaining FY26, we would definitely like to take a call on this and we will use to go for the fund raise. That's the two reasons for us.

Abhishek Kothari: Sir, just to ask, would you be raising the entire Rs. 5,000 crore or it will be like Rs. 2,500 crore kind of a number?

Nidhu Saxena: Since this enabler is there and we take it from the be

ginning of the year, so that approval is on

the higher side. With the healthy CRAR of 18%, there is no urgent emergent need for raising the growth capital, but going forward, our guidance is to maintain at this healthy level, that makes the case for going for a capital raise to fund the growth that we are fast clocking. The branch expansion reaching out to new geographies is only helping us with more and more business opportunities coming to the bank.

And second, one of the reason with us is that we started the last financial year with the Government of India holding standing at 86.46%. With the last rate, it has come down to 79.6%, so, it is below 80% now. To comply with the SEBI MPS norm, we have just to complete this tranche of 4.6 0% and once that is happening, we are complying with the SEBI guidelines of minimum public shareholding. These two reasons are very much there, which are there in our mind and at the opportune time, we are definitely going to decide to do this effort within this FY2026.

Moderator: Thank you. We take the next question from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: Thank you for giving me the opportunity. Sir, two questions. First one, your Agri GNPA has increased quite a lot over the last one year, and the number is touching almost 10% now. Anything specific that is happening there or any particular state or anything there? That is question one. Question two, sir, your comment on ECL, any impact there on both the credit cost or the asset quality side as well as on the fee income side, because now I think fee will be amortized?

Nidhu Saxena: So, there are three elements of your question, if I have understood correctly. One is the increase in the agricultural NPA. Second is on fee income. And what was the third part? Credit cost.

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Suraj Das: Sir sorry, fee income and credit cost is in the context of ECL.

Nidhu Saxena: Understood. Agri NPA is a conscious strategy to recognize the issue and then go ahead and resolve it. Although what we have seen is the first half of the year and more particularly the first quarter, we would see some slippages in the Agri segment. We have seen some agriculture stress in some pockets, in some branches where we have seen incessant rains and flooding, and those kind of small, small issues. At the holistic level also, I have mentioned about we are rebalancing our Agri book and taking it towards the investment credit side. We were a little slow in doing the production KCC credit for some time. We had consciously decided to have the underwriting in one level above, not allow the branches, so, somehow the portfolio in terms of volume has not grown. Denominator actually reduced and the NPA stays there and you see the percentage slightly going up.

The RBI guidelines on classifying your advances, gold loan advances and agriculture had gone some changes. That's how a lot of our agriculture classified gold loans, we had marked them as nonpriority to comply with the RBI guideline, as it was a substantial number. In real terms, nothing has happened in the agricultural NPA, but this rebalancing plus this RBI guidelines undergoing a change, which again, now up to Rs. 2 lakhs RBI has permitted. We are again able to reclassify that to the agriculture gold loans because anything and everything that is getting to be done has to be compliant with what the regulator regulatory guidelines are. That is first and foremost requirement.

This is how the agriculture NPA for the moment is looking elevated, but we are very consciously working on it. Going forward, we do not see any major challenges. Our strategy may take a

quarter or two when we are onboarding fresh advances, big ticket advances in the Agri segment, and we are able to build the denominator also. So, you will see the percentage also normalizing in the following quarter.

Coming to the next question is ECL. ECL calculations, once it was indicated as something as a forthcoming guideline so, the broad number is there with us, Rs. 2,500 crore. We had already started proactively providing for ECLs provisioning. I am holding in my balance sheet, Rs. 250 crore of ECL provision. If I give you a sense of it, it is Rs. 2,500 crore to be maintained from 1st April 2027 to 31st March 2031. There is a glided path available. The number is requiring me to provide Rs. 100 crore to Rs. 125 crore every quarter towards ECL, which is very well managed, and we see absolutely no challenge in making those provisions when the guidelines are coming into effect from 1st of April.

Credit cost has seen a slight improvement in this particular quarter. Credit cost has actually come down from Q-on-Q, if you look at from 1.19% to 0.92%. Our new underwriting norms, which are put in place for the last 10, 12 months, wherein even in the individual segmented loans, we are not underwriting to the subprime category and for the MSME loans, we are benchmarking our underwriting to CMR ranks given by the TransUnion CIBIL. Anything which

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is below the investment grade, it is not considered in the bank, so only CMR 1, 2, 3, 4 and up to CMR 5, which are defined as investment grade, we have restricted.

If I give you a sense data, home loans that have happened in this bank, this fantastic growth of 30% -31% after we have introduced that no home loans below 681. An outcome of the one simple step of no underwriting in the bank below 681 in the home loan segment, one product category. My 27% of home loan sanctions that have happened in the last 12 months are 800 and above CIBIL score category, 57% has happened in CIBIL score category, 750 and 800. You will see the major underwriting that is happening is in the prime and the super-prime categories, so that's how in times to come, quarters to come, we will see that the slippage number, which has shown slight improvement. We are on the right track of building a loan book which is of, good rated borrowers, prime category borrowers and the slippages, which is a guidance for us is to maintain below 1% we would be able to maintain it on a sustainable basis.

Suraj Das: Sure, sir. Just one follow-up, sir. On the fee income, do you see any decline in fee income because now you have to amortize fee under the ECL versus now, I think upfront of fee income?

Nidhu Saxena: The way we are growing the credit along with fund-based and non-fund-based so, the opportunities that we are creating for enhancing our fee-based processing charges, LCBD commission, then we have identified other areas of augmenting the fee income. We have gone for entering into new partnerships, we are joined with SBI Cards, where we are offering co-branded cards for clients. So, my clients, I am seeing are enrolling in large numbers. We are seeing the traction, and I am getting fee-based.

A couple of bancassurance is another area we have ramped up our partnerships in life and non-life. These partners are in the process of onboarding, but we are also very conscious of the misselling part of it. We are digitalizing the entire end-to-end policy issuance so that there is no chance left for any income leakage, revenue leakage and right selling practices, customers getting what they actually require. We are mindful of that. All these elements, which contribute to enhancing our fee-based is definitely in our to-do list and very consciously, we want to improve this parameter of performance.

Suraj Das: This you have COVID provision of Rs. 1,200 crore also. So, that Rs. 2,500 crore of ECL provision is after adjusting for this Rs. 1,200 crore or this, you can use towards this Rs. 2,500 crore?

Nidhu Saxena: It is not just Rs. 1,200 crore of COVID provisioning. Today, we have a

ad hoc provisioning in the balance sheet cushion, which is almost now Rs. 3,000 crore. This is a very conscious strategy going by what guidance comes from the regulator also from time to time that these are the good times for the industry and all the players, entities operating within it. We should be looking at building extra cushions and buffers in the balance sheet, so that's how we are doing

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it. I am holding today almost Rs. 3,000 crore and I can do it in one go, but that's not what is the right prescription to do. Rs. 2,500 crore as against that. We have already built Rs. 250 crore, and we may follow a glided path as is also allowed by the regulator to create the provisions.

Moderator: Thank you. The next question comes from the line of Siddharth Rajpurohit from Systematix Group. Please go ahead.

Siddharth Rajpurohit: Sir, first on gold loan. What will be your LTV in the Agri and non -Agri side?

Nidhu Saxena: . LTV in gold loans, the RBI guidelines are 75% at all times , so, for agriculture, we have kept 85% LTV. We have some variance within this range in the nonpriority, but wherever we get higher LTV, we offer a lesser ROI to incentivize clients to come and pay a higher rate. If they want more loan, they have to pay me a higher pricing. The pricing is tweaked towards the higher LTV, which is our safety. But in agriculture segment, we are 85%. All our product variants are following the RBI LTV norm of minimum 75% at all times.

Siddharth Rajpurohit: Sir, second, on your small and medium segment. In the segment, sequentially, the NPAs have gone up. So, what is the trend that we are seeing? Is there incremental pain that is in this segment? And also, these are numbers above Rs. 5 crore . So, if you can give some trends that we have observed in, say, below Rs. 5 crore ?

Nidhu Saxena: The NPA in the lower segment, we are trying to address in a long -term basis. Mostly for like Mudra segment loans, we have created digital journeys end-to-end online. A customer can apply online through application , without reaching to our branch The processing, the documentation and disbursement happens end -to-end online. We do for maintaining the quality part of it that the rules we are prescribing in this digital journey, BREs are decided by the bank to see that the beneficiaries are the r ight kind of beneficiaries that are entering into this loan book, my system once they follow this underwriting.

Our experience is whatever physical mode that we have been erstwhile doing, legacy, the loan book that is getting created through digital sanctions . End-to-end digital journeys, the quality, the stress level, everything is far, far better. The low -ticket loans, in the Agri segment or in the micro MSME segment, we are all migrating to this digital journeys.

We also have done a lot of co -lending partnerships; almost eight to nine co -lending partnerships we are having today. The RBI guidelines have undergone change and I have to make it compliant now with those things, but we have built a good book through co -lending, where we are getting a reasonable pricing and we are having this co -lending and the business that happens entirely digitalized. There is no intervention from the branch when they are dealing with the low ticket size. so, this is the broad way to I ook at the micro and that kind of stress that generally may be experienced in the lower segment and pricing the risk also properly.

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Siddharth Rajpurohit: Sir, are you seeing some incremental stress in the MSME space, of late?

Nidhu Saxena: It is not something too alarming in the retail and MSME. If you ask me the stress which is there, so retail, more than 50% of book is home loans it is backed by mortgage. If there is an account which is experiencing stress and tomorrow, SMA -2, it will slip t

o a delinquent category, we can

start the recovery action very fast and with the mortgage, I am able to recover my dues also.

We are seeing quick upgrades also happening because since it's backed by mortgage and the value of security only appreciates. So, we are not seeing any stress in that retail element.

Siddharth Rajpurohit : Just a final question, sir. On the MSME particularly, sir, are you seeing any incremental stress?

Nidhu Saxena: MSME, in fact, if you see my absolute number, percentage terms, in the presentation, if that is accessible to you. MSME has the stress number , year -on-year if you see, September ' 2024 was 2.39% , it has come down to 1.73% now. If you see for our bank , the MSME portfolio is also behaving well. There's no issue.

Siddharth Rajpurohit: Thank you.

Moderator: Thank you. We take the next question from the line of Akshay Badlani from HDFC Securities. Please go ahead.

Akshay Badlani: Given the fact that the ECL provisions, the impact is Rs. 100 crore to Rs. 125 crore per quarter.

So, what are we sensing in terms of a credit cost, like a sustainable credit cost guidance, if we could get? Also given the fact that our tax rate would get normalized also maybe to some extent in FY'26 or '27. So, what could be the normalized credit cost range that we are looking for?

Nidhu Saxena: Right , credit cost guidance has been to maintain it below 1%. If you see September '25, we have achieved 0.92% on a half yearly basis, it is marginally 2 basis points above, 1.02%. I think we are seeing that the steps we have taken to keep the credit cost in line, they are delivering the results and this guidance number going forward also, we would be maintaining to keep the credit cost below 1%.

Akshay Badlani: This is including the ECL impact as well that we will additionally provide for the next four to five years, right?

Nidhu Saxena: If you see in terms of IRAC norms, if you look at my NNPA, it is 0.18%. Now to maintain that kind of NNPA number . Whenever we are encountering slippages, so as against the IRAC norm of providing 15% on day one, we are providing 100% and that's how my credit cost also looks

elevated. If I say from the IRAC perspective, it is ranging from 0.4% to 0.45% in real terms. If I look at as per the regulatory norms, my credit cost is 0.4%. But because of this maintaining the fine NNPA of 0.18%, I am providing 100% against the regulatory prescribed of 15%.

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And just to add, our PCR, if you see is 98.37% now. With 98.37%, I do not have the pressure of aging provisions. It's mostly book which is provided for. Minus two, it is also 90.37%. So, with that kind of high provisioning we are holding, the aging provision pressure is also not there.

Akshay Badlani: Understood. Got it. And the second question was given the fact that you have given this target of 321 branches in the next 18 months, in which geographies are we seeing these incremental branches? Which geographies how much of it would be like non -Maharashtra, given the fact that we are looking to expand beyond Maharashtra as well? So, which kind of geographies are we looking for to expand?

Nidhu Saxena: Today, Maharashtra, is the highest contributing state to the nation's GDP, we all know is Maharashtra. We are adequately represented within Maharashtra. Our expansion is all beyond Maharashtra, outside Maharashtra. If you see 12 months from now, our branch ratio was 52% Maharashtra and the other side is non -Maharashtra, that ratio has changed to 42% now in Maharashtra, rest is all outside Maharashtra. The 1,000 branches that we have taken approval and this 321, it is all opening branches outside Maharashtra. Very consciously, we are planning our presence where two things are happening. One, there is an existing banking business potential already there, Second, the growth is also happening.

The scientific wo

rk that we have done using lot of data points, they have down to the PIN code level. One center suppose has three PIN codes, the Kanpur city, if has three to four PIN codes, we have a recommendation from the external expert that this is a PIN code that you should be opening the branch. Where the city is expanding, that makes a lot of sense. and we are opening branches where the existing banking potential is there and potential for growth is also there. Our sense is that when you are going to be one another player in a mature market, it will be very difficult to get traction. But if you are going to open your shops in places where the opportunities are increasing, business is growing, you will find that there will be a scope for a new player to also garner reasonable business in the first year of operations. We have very clear laid down metrics that if it's a metro branch, that branch, how much of business in the next 12 months of opening is that they will be expected to garner, within which what should be the ratio of advances, what is deposits and we would expect a branch on their own to become a profit center head for us. That's how very clearly measurable metrics for the new branches in metro, urban, semi -urban and rural.

If you see my new business verticals that I mentioned about, they are now in this year, given five focus states, which are, of course, Maharashtra, we have a strong traction edge, we are building on that relationship through more cross -selling to the institutional clients also. But outside Maharashtra replicating our experience and handling institutional business in five focus states. If you ask me those focus states, these are the states where the central allocations are coming in big numbers. We have done an analysis, studied the budget, the allocations, and we have a sense that there is always a scope for a new player to even garner an institutional

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business. These five focus states, my new business vertical approaches and they are able to understand their needs and offer customized tech -based solutions and get that business on the board.

We have got a lot of tractions from this initiative. This year, we have only gone ahead and strengthened the vertical further with every 50 zonal offices having some extended arm of the new business vertical so, that's how we are approaching the branch expansion strategy.

Moderator: Ladies and gentlemen, due to time constraint, we take that as the last question, and we conclude the question -and-answer session. I now hand the conference over to Shri Nidhu Saxena for his closing comments.

Nidhu Saxena: So, I think there were rounds of disruptions and probably sometime got consumed, but we are very actively and aggressively doing the reach out outside these quarterly calls and meeting the investors and analysts and the community as a whole, both domestic and foreign.

Moderator: Thank you. On behalf of Bank of Maharashtra, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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Call: Jan 2026

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AX1/ISD/STEX/ 135/2025-26 Date: 16.01.2026
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Exchange Plaza,
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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Dear Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held on 13.01.2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Institutional Investors/ Analysts regarding Financial Results of Bank for the quarter ended 31.12.2025 held on Tuesday , 13.01.2026 .

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link :
https://www.bankofmaharashtra.bank.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Vishal Sethia)
Company Secretary & Compliance Officer

Encl: As above

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Bank of Maharashtra
Q3FY25 -26 Earnings Conference Call
January 13, 202 6

MANAGEMENT : MR. NIDHU SAXENA – MANAGING DIRECTOR AND CEO

EXECUTIVE DIRECTOR S, CHIEF GENERAL MANAGERS
& GENERAL MANAGERS OF THE BANK

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Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call for Q3 FY '25 - '26 R esults of Bank of Maharashtra. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Ms. Margaret Mishra. Thank you, and over to you, Margaret. Margaret Mishra : Good evening, everyone. We have the following members of management with us today: Mr. Nidhu Saxena, Managing Director and CEO; Mr. Rohit Rishi; and Mr. Prabhat Kiran, Executive Director; along with Chief General Managers and General Managers of the bank.

I will now hand over the call to the management, Mr. Nidhu Saxena, Managing Director and CEO, to walk us through the quarter. Thank you all, and over to you, sir.

Nidhu Saxena : Thank you, and thank you all for joining this con call. We have finalized our results today, and I would say, this has been yet another quarter where we have consistently and, I would say, for the last couple of years, one of the best quarters in terms of profitability also. Numbers, I will very quickly share.

But before that, let me share that the guidance that we had kept in the beginning of the year, the first 2 quarters and now this Q3, we are well above our guidance numbers. On all the parameters, we have been achieving our guidance. I will quickly share. So total business, against our guidance of 15% growth year -on-year, 17.24%, and we reached INR5,95,000 crores. Total deposits have increased by 15.3% against the guidance number of 14%.

Advances have increased at 19% -- sorry, advances against the guidance of 17%, have increased by 20% year -on-year. Then CASA share has been maintained at above 50%. We are doing 50% this year also -- this quarter also. Our RAM to Corporate share, which was 60 -40 plus/m inus 2, we have done 63 -37 share. RAM growth against the guidance of 20%, we are exceeding that number also.

Within the Retail, the verticals that are growing in the bank, Home Loans have grown year -on-year at 28%; vehicle loans, 54%; Gold Loans, 56%. Retail overall has grown at 36% year -on-year. Our stress in the loan book is very well managed. We have improved on these metrics also. Overall, stress number stands at 3.35%, within which SMA1 plus 2 is 1.69%, which is an 18 bps improvement. In terms of above INR5 crores, the stress stands at 0.19%.

The gross NPA and the NPA, the numbers are also very well managed. Our gross NPA in terms of percentage has got reduced from 1.72% in the last quarter to 1.60% this quarter. The net NPA has improved from 0.18% in the last quarter to 0.15% this quarter, and we are well within our guidance that is to maintain our gross NPA less than 2% and net NPA at less than 0.25%.

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The ROA, ROE and NIM numbers; against the guidance of 3.75%, we have achieved 3.87%. ROA guidance, 1.75%, we have achieved 1.86%. ROE guidance to maintain ROE above 20%, we have actually achieved in this quarter 23.79%. Our cost -to-income is to be maintain ed below 40%.

Against that guidance, we have done 37.19%. Yield on advances stands at 8.95%. We have experienced also reduction in our costs, and cost of fund stands at 4.10%. Cost of deposits stands at 4.47%. Overall, the profitability has been good in this quarter. We have been able to clock our highest ever quarterly profit of INR1,779 crores and the 9 months net profit has exceeded INR5,000 crores, which stands at INR5,005 crores.

We are maintaining a healthy CRAR against the guidance of keeping the number above 16%. We have a CRAR of

17.06%. CET1 is maintained at 13.10%. In these 9 months, we have also seen OFS issuance by the government, and we are today an MPS -compliant bank with Gol holding standing at 73.6%.

Ratings during the year. Beyond the international rating from Fitch, we had approached S&P

Global, and they assigned us a BBB - Stable rating in September 2025. Our long -term rating is AA+ Stable from ICRA and CARE. Short -term rating is A1+ from CRISIL.

Looking at this good profitability, we have also looked at considering payouts in terms of interim dividend. I'm happy to share that 10% interim dividend has been approved by our Board today.

I will take a pause, and I think we will take more questions from your side. The detailed presentation, I'm sure, is made available to you, and you would have gone through those, and we would like to take queries from you and respond to those. Thank you.

Mod erator : Thank you very much. We'll take our first question from the line of Ashok Ajmera from Ajcon. Please go ahead.

Ashok Ajmera : Compliments to you, sir, Nidhu sir , and the entire team, Rohit sir, Prabhat sir, and the top management of the Bank of Maharashtra, and the other staff, for a very, very excellent quarter results -wise, if you see. And you rightly said, one of the highest quarterly profit, taking the bank -- in fact, now the size of the bank is also increasing. You are now going to touch maybe in the next quarter INR6.5 lakh crores of the business, so quite a good sizable bank. And my compliments to you, sir, f or the fantastic show. Having said that -- hello, am I audible?

Mod erator : Yes, you are. Please go ahead.

Nidhu Saxena : Yes, Ajmera ji, please go ahead.

Ashok Ajmera : So just 1 or 2 -- couple of observations and a few points. While in this quarter also we have grown -- in this quarter, we have grown well on the credit front as well as even deposit also. But overall, if you look at the 9 months growth in the deposits, it is only 4.73%.

I don't take the whole year, but 9 months, which means in the last quarter of this January, March quarter, we'll have to raise the deposit of almost about INR29,000 crores, INR30,000 crores to Bank of Maharashtra

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reach the target of that 14% of the deposit. So just like in the previous year you have achieved that, this year, too, are you confident of achieving this gap or bridging this gap of about 9% for the whole year, so on the deposit front?

And this has basically affected our -- I mean, rather affected the CD ratio also, which has gone up very high at 85%. And CRAR also has come down to now 17.06%. So I just want to have your comments on this, that how are we placed? And are we going to achieve the deposit target? This is my question one.

Nidhu Saxena : So Ajmera ji, the deposit guidance that we have kept is 14%, which will be maintained. I would like to bring to not ice that if you see the deposit growth, which has lagged the credit growth, but within the deposit , the composition that has grown in the bank is the low -cost component. So CASA -- even in the last quarter, if you ask me, 12% was the total deposit growth, within which CASA grew by 14%. In this quarter, the total deposit has grown by 15%, but within which CASA has grown by 16% year -on-year. Now the focus is very, very clear , to raise low -cost component of the deposit.

Very consciously, this is our strategy for the last couple of quarters to let high -cost bulk deposits leave our bank. We don't need that kind of funding, and we have tried to look at other alternative sources of raising resources. We have gone for almost I NR14,000 crores, INR15,000 crores of refinance transactions at appropriate time during the year, carving some of our portfolio, we have been able to raise resources at a blended rate of 6%, 6.5%, which have been quite beneficial. And this is coming with no overhang for CRR and SL

R requirements. So it was a conscious

strategy on our part. In fact, last -- in this quarter, we have seen the bulk deposits for the first time, we have degrown year -on-year by 7% in the last quarter. And this is -- overall, the DRI component also from total deposits, bulk, the DRI which was as high as 13, we have slowly and gradually let it come down and it stood at 5.08. So it was a conscious strategy, and that also had an impact on the CD ratio going up.

What we feel that it is not -- the bulk high cost is a function of rate of interest that we will decide. And we can easily get that business to enter our system, but we are more conscious of the profitability aspect of that. And at the right moment, we will keep looking at raising more of the low-cost deposits , and the priority will also be towards retail deposits, which are more stable, don't experience volatility.

There, we keep offering some special schemes, offering some special rates to get that kind of a deposit in our bank. So this is how we are managing. CD ratio is also an outcome of that. But at the appropriate time, we will be taking call during this quarte r. And a lot of things do happen in Q4, we are all aware. That's how the industry experiences. And I will have no element of doubt that 14%, that objective is in mind, will not be achieved.

Ashok Ajmera : Yes, sir. Point well taken, sir. In fact, you are known for your CASA, which is, of course, a low -cost deposit, and it is maintained still, in these difficult times, also almost about at 50%. Though

it has gone down a little bit from March, 53% to 50%, but this is commendable even to maintain this also. Sir, having said that, sir, now coming to our overall profitability, the overall profitability of the bank as such is very good. But if you look at the treasury side, I think in this quarter, we have suffered a loss on the investment, I mean, the loss of about INR180 crores as compared to the profit of INR99 crores in the last quarter.

And even if you look at the segment-wise treasury profit also, that has also gone down to INR136 crores against INR433 crores in the last quarter. So there is definitely some pressure on this. So going forward, for the remaining one quarter of this financial year, how do we see ourselves going and making at least -- offsetting some of the treasury losses which have taken place or rather coming into the profit, which adds to the overall profit of the bank and makes it more profitable?

Nidhu Saxena : So if you -- before I start looking at this, let me just give you one more number . CASA percentage has actually improved in this quarter by 26 bps year -on-year. So that again is a substantial improvement. In terms of treasury income and the number that you are seeing, there is a one -off INR290 crores of Maharashtra Gramin Bank and Vidarbha Konkan Gramin Bank amalgamation, which has resulted in this INR290 crores of one -time hit. And if you exclude that, treasury also will be seeing quarterly profit of around INR115 crores -- INR112 crores.

Ashok Ajmera : That's good, sir. So it means in the next quarter, this INR290 crores, if you remove and add to whatever the treasury profit is there, then that will be added further to the bank's overall profit, and it accordingly can be seen and analyzed, the bank's performance coming . Sir, coming to the -- if you look at little bit of the composition in the segment -wise results, which are being always furnished along, which is as per the requirement of Reserve Bank of India.

So here, if you look at the profitability segment -wise, then in the retail book, our profit has gone up to INR1,050 crores as against INR673 crores in the last quarter, almost about INR400 crores. Wholesale book is also a little bit better from INR680 crores to INR802 crores. So is there any recomposition? Is there any, like maybe the

gold loan or agri loan, reclassification between retail and wholesale book, or some -- I mean, what is the reason for segment -wise such a high jump in the retail profitability , sir?

Nidhu Saxena : So if you look at the portfolio and the growth, the elements in the retail segment, the individual -- in the retail advances, agriculture, MSME advances, if I talk of retail, home loans are experiencing a year -on-year growth of 28%. Vehicle as a portfolio, where we have focused on big-ticket business with our existing clients, has grown at 54%. Gold loan itself is growing at 56%.

And we have also entered into co -lending partnerships, almost 9 have been signed up to this time, majorly in the segment of gold. Then , housing and MSME, we are also signed up with co -lending arrangements. And that is also a sizable book that has been built up, and where we have got good pricing for the business that has entered the bank.

So this is how -- but let me tell you, we are growing simultaneously our corporate book also with the corporate growth of year -on-year 19%. I think it's a very healthy where the industry may be a single -digit growth. And we are expanding into areas where new opportunities are visible, new profitable opportunities are visible. We have done a lot of green financing, renewable energy projects. We have done data centers and the like, EV segment. So a lot of this kind of funding has been done in the bank and portfolio has gone up.

So contribution will keep coming from all the sectors, and we will participate in any kind of opportunity that is visible to us, where the only underlying thing in the corporate segment, whether we understand the risks, whether we are able to manage it well. And if it is a profitable opportunity, whether in the retail segment or in the corporate segment, we will definitely participate.

Ashok Ajmera : The last question, sir, on the slippages. Our slippages this quarter have gone a little higher at the INR700 crores and almost INR750 crores as compared to a range of INR650 crores to INR700 crores. So is there any one -off this thing of INR100 crores, INR200 crores, or it is the common, normal things in the quarter which is going to be followed in the coming quarter too, sir?

Management: No, Ajmera, slippages also, if you look at the ratio, our advance book is increasing. In terms of

percentage, it is 1.2%. The same was the figure last year. And even 1 year back also, we were around this range only. So there is nothing alarming there to so live in the usual course of business. That's what I would like to say.

And just to supplement your observation on treasury income, MD sir has already put the things in the right perspective, but if you exclude that one -off item, which has resulted because of our investment in MGB, in the last year, entire net profit on our investments was INR220 crores. And if we remove this one -off item, then our 9 -month profit is INR352 crores, which shows marked improvement.

Similarly, on the FX operation side also, last year, our entire year profit was INR63 crores. This year, in nine months, we have done INR107 crores. So , core operations profit is improving. They are contributing more towards profitability in the current financial year.

Ashok Ajmera : Great, sir. My compliments to you once again , and all the best to you all. I will come back again, if the time permits. Thank you.

Moderator: Thank you. We'll take our next question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania : Congratulations. So I just wanted one clarification first , that it's fair to say that you had absolutely no impact from the new labor codes? That's my first question.

Nidhu Saxena : So we have done our assessment. It is a very small amount. Around INR33 lakhs is the figure, keeping in account our contractual employ

ees, our regular employees. And that is a number which is very insignificant and needs no discussion is what the sense we are having. With the new labor code, new rules are probably under the framing.

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And if new interpretations, or within the code, new rules are seen, we will keep a watch on that and see how it is impacting. But as I said, it is only a small amount of INR33 lakhs on account of the new labor code, the rules that are applicable to us are the impact on Bank of Maharashtra.

Mahrukh Adajania : And that includes the gratuity contribution and everything?

Nidhu Saxena : Yes, ma'am. Yes.

Mahrukh Adajania : Okay. And sir, my second question is on the LDR only. So the LDR has shot up, and that's throughout the system. It's not unique only to Bank of Maharashtra, right? And previously, RBI has always gotten worried when the LDR touches 80%. Now the system LDR is 82%. So , do you foresee any regulator action or soft nudge from the regulator, given that the system LDR is rising so much, and it's already above the comfort level of 80% that has been historically the case?

Nidhu Saxena : So the LDR, in my case, we are keeping guidance of maintaining around 83%, 84% in the present circumstances. And we feel that is the best prescription in terms of being able to generate our good profitability. So I also had mentioned to a previous query wherein very consciously, we have been looking at other alternative sources, including infrastructure bonds, which have also contributed in some way to see that 1 bps, 2 bps more of CD ratio LDR in the case of Bank of Maharashtra. But I think t here is no major challenge.

There is no prescription from the regulator. We all know that. So far, no soft nudge also. But we are mindful of this, and we will keep looking at raising core business, stable business that comes from branches rather than it is very easy for us, which is a matter of function of interest rate that I would offer on a bulk deposit, and let the deposit be raised in the bank. But we would not like to exercise that option.

It will not be out of place to also say that we are running a project currently in the bank. We are calling it as Project 321, wherein 321 branches selected very scientifically at the PIN code level, we have decided to be opened in 18 months. While I speak today, 116 of those branches have already been made functional, and they are doing business. So these branches are going to get us the core business of individual deposits in their jurisdiction, in that branch.

And that's how we will be focusing -- keep continuing to focus on the core business, core deposits, stable deposits where we see no fluctuations, major, no volatility in our business. Stable figures are what we are experiencing now. And we will continue to be mindful of how the impact on LDR is going forward and take corrective steps wherever we feel have to be taken, we'll do that.

Mahrukh Adajania : Okay, sir. And my last question is on rates. So what is your home loan rate right now for your prime or your best customers? And what would be your average yield on gold loans?

Nidhu Saxena : So we are keeping very competitive home loan interest rates. And the idea is, with a big enabler of being able to maintain such a high CASA, we are able to offer the best interest rates in the Bank of Maharashtra
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market. We charge 7.1% for our home loan borrowers, but then this rate is again not available to all. One has to qualify in terms of their credit scores. So there is a graded slab. The best interest rates is available for CIBIL score 800 and above. And we have a slab system, depending on what credit score I enjoy, I will be priced according to that. We have also been mindful of the quality. Somebody -- some mention was there for slippage. So it is not only pricing the prod

uct with CIC scores, but we have also done underwriting.

So there is no -- the underwriting benchmark does not permit in the bank -- no funding below CIC score of 681 and below, CIBIL score. We have benchmarked our underwriting to TransUnion CIBIL, and 681 and below, there is no underwriting in any schemes in the bank. So we are mindful of the quality, the loan book that we are forming in these good times. We are also aware of that part. And profitability, of course, we are aware of.

Mahrukh Adajania : Sir, average yield on gold loans?

Nidhu Saxena : So my gold loan, we have actually made three options, because with the tweak which has come, or the relaxation, dispensation, which came from the regulator on this segment, they have permitted small segment agriculture gold loans, small segment, up to INR10 lakhs, MSME gold loans and the nonretail -- nonpriority, the retail gold loans.

So I have three products where I will -- if it's agriculture classified, I will charge the lowest rate.

But we are getting a yield of almost 9% around in our gold portfolio. Also, when I mentioned...

Mahrukh Adajania : It includes agri also?

Nidhu Saxena : Yes, it includes agri also. And we are also having the co-lending partnership, a sizable book.

Today, I think we are the leading bank in the industry having NBFC co-lending tie-ups, and more than one NBFCs we are doing that arrangement with, where using seamless digital API and reverse API integration, we are doing that business. And we have almost now INR5,500 crores of business in that segment, where I'm getting a good pricing.

I also don't incur any expenses in safekeeping of the gold jewelry. There is no insurance cost to me. I'm getting a good rate. So this co-lending also is -- and the portfolio is behaving very well.

We intend to further increase these co-lending partnerships with some good rated gold NBFCs who will be willing to join hands with us.

Mahrukh Adajania : And what is the co-lending rate? Rate on co-lending portfolio?

Nidhu Saxena : So that is subject to our discussion negotiation, but system knows that the private gold loan NBFCs charge a very high rate. We are not into that game. We are mindful of the quality also, although it's a self-liquidating asset, but there is a ceiling in our co-lending arrangement beyond which we will not permit underwriting. So there is a strict business rule engine through which this entire underwriting will flow.

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So whatever gold NBFC branches throughout the country will do business, the portfolio is shared to the bank. We will do our LTV checks digitally. We will do the screening and then purity check is done, and we will underwrite this portfolio the very next day. So the technology that supports this co-lending arrangement is working seamlessly.

There is a reconciliation on a daily basis that is happening. And as I said, a lot of issues in doing gold loan business that we encounter when we do it in our branches versus in this co-lending arrangement, the front ending is done by the NBFC. I'm saving a lot of cost on those fronts also. But rates are negotiated one-on-one. I would not like to disclose those.

Mahrukh Adajania : Okay. Okay, sir. Thank you so much.

Moderator: We'll take our next question from the line of Rohit Priyadarshi from Mittal Analytics. Please go ahead.

Rohit Priyadarshi: So congratulations on good set of numbers to the management. And sir, my question is on the yield front. If you look at our yield on advances, it has been reducing from 9.27% last December to 8.92% this December.

So could you please explain the key reasons behind this decline? Is it mainly due to the loan mix change or reducing lending rates or anything else? And what will be our yield guidance for the coming quarters?

Nidhu Saxena: So the yield on advances is standing at 8.95%. But you would have se

en that there has been 125

bps rate cut from the regulator. And like every bank has mandated to pass on the rate cut without

any time lag. We have to mandatorily pass this rate cut benefit to our portfolio, which is linked to the repo rate. So around 40% -- 42% of portfolio is linked to the repo, which gets this benefit passed on immediately.

But the deposit pricing, which is always coming with a lag. And with this rate cut happening, the overall yield will see an impact. But we have been very mindful -- when this rate cut cycle was in the offing, aware of that, almost 30 bps to 35 bps of MCLR raise we had done in a 10 -12 months period before this rate cut began in Feb 2025.

And we have seen that this portfolio -- still maybe one quarter of portfolio which will be remaining for getting repriced, in that MCLR portfolio, which is around 55% that is our loan book composing or linked to the MCLR.

But again, with this rate cut, clients, the good rated borrowers have been approaching and they have been getting options, and we have to be aligning ourselves remaining in the market and doing business. So some good rated borrowers also on the MCLR side have been approaching banks with concessions.

And when the competition is looking at those and considering them, then we would also not sometimes like to lose the business. So all these are elements of headwinds in this thing. But Bank of Maharashtra

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ultimately, with rate cuts, the ancillary benefit that bank is getting is that with new rate cuts, we will see new opportunities coming for the bank for raising their loan book all over.

New home buys are happening, the interest rate cut, the tax rates, the GST cuts, all this is doing is enabling, empowering people to go and spend. And when this is happening in the ecosystem, ultimately, the funding opportunities for all the players in the ecosystem is only going up.

So that's how we are also going to get benefit out of that. The yield may a little bit soften, but overall, our volumes that we are doing are higher, ultimately, it will become a profitable proposition for the bank. Though not on the immediate, when the rate cut benefit has to be passed immediately, there will be a lag where my deposits will get repriced. For that intervening period, yes, but as I explained, ultimately, bank also stands to benefit.

Management: We don't have guidance on yield on advances. We have a guidance on NIM, we are targeting to maintain at about 3.75%, and we will maintain it.

Rohit Priyadarshi: That is good, sir. That is good to hear. And sir, secondly, how focused are we on increasing the MSME loan book? And what kind of yield can we expect from here? And since I believe MSME usually gives higher yields, so do you see this helping our overall yield improvement going forward?

Nidhu Saxena: So as I said, we are into wherever we see profitable opportunities and where we are comfortable to build our exposures on. So be it MSME also, we are looking at this segment also very seriously. What we have done is low -ticket MSMEs, the journeys have been created in using technology and the end -to-end process is digitalized where we don't wish to have too much of engagement in our branch for availing or disbursing these MSMEs small ticket size loans.

So we rely more on digital journeys where we will set our own business rules and the underwriting quality will also be managed well. MSME, we will keep trying to grow. We have been growing double digit -- high double digit, I would say, in 15%, 16%. Lately, in the last quarter, you would have seen our MSME and agri book has shown a single -digit growth. I have also shared about this rebalancing strategy that we were undergoing. And very consciously, we are rebalancing some portfolio in these two segments and using these good times where the growth is happening in high double digit. I want to

onboard some business,

which is, I should say, a high -quality business, and replace some businesses with those. So this is a rebalancing that was happening. Now we have improved drastically.

When we look at September growth in agri, MSME year -on-year versus December growth, you will see marked improvement has come in. And very consciously, we have been underwriting big ticket agri and MSME advances and onboarding them. When these set of clients are coming, focus has moved from production -linked finance to investment credit in the agri segment.

And that's how we have done a lot of rice mill, dal mill. We have done warehouses, cold storages. And we have seen that while the portfolio has grown, we have got some ancillary business also.

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We have got a lot of primary and collateral securities. So we have grown the portfolio in a very

secured manner.

And of course, yes, you are right to say that the pricing, if you are able to service the clients' requirements expeditiously, this is a portfolio which is able to get you good rates also. And there's not much competition here. So we deliver our products fast through quick decision-making and are able to command some premium in pricing also, which a customer is happily paying to the bank. 20 bps, 25 bps don't matter. If their requirements are expeditiously seen and met by the lender, they'll be more than happy to pay that.

Moderator: We'll take our next question from the line of Jai Prakash Mundhra from ICICI Securities. Please go ahead.

Jai Prakash Mundhra : Congratulations on a steady number. Sir, my first question is, during the quarter, the RBI had opened the window for MSME dispensation to the export unit. What would be the quantum, sir, if we would have received any request for moratorium from export customers?

Nidhu Saxena: We'll just come back to you on this. We are aware of this dispensation. And we don't have a very big portfolio around here, but we will just come back to you if there is anything major.

Management: Total amount for the MSME for this compensation, whatever the RBI guidelines have come, it is around INR5,000 crores, sir. And already we have started the process and it is undergoing, sir.

Jai Prakash Mundhra : Sure. So, sir, you have a loan book of around INR50,000 crores in MSME, right? So out of INR50,000 crores of MSME, around INR5,000 crores have come for dispensation. I mean, is the number right, INR5,000 crores?

Management: Yes, yes.

Jai Prakash Mundhra : Okay, sure. And these are all export-heavy, predominantly exporters only, right, those who are engaged in export and have been impacted under the U.S. tariff, et cetera?

Management: Yes, sir.

Jai Prakash Mundhra : Sure. And sir, the window has now been closed, right? That now no more -- as of, let's say, 13th of January, if a similar customer wants a similar dispensation, they cannot have that, right?

Management: Correct. It is 31st of January.

Jai Prakash Mundhra : Sorry, sorry. I missed that. Sorry, is this the 31st of December or the 31st of January?

Management: January.

Jai Prakash Mundhra : Okay. So the window is still open, right?

Management: Yes.

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Jai Prakash Mundhra : Okay. Second question, sir, on LCR, if you can suggest what was the LCR at the end of quarter 3. And as we move into April 1, you may have now a higher LCR requirement on the mobile and Internet Banking. But at the same time, you will have some lower risk weights on the bulk deposit, right, at least the NBFC deposits.

So how do you see the net-net impact, let us say, on -- what is the Q3 LCR number? And assuming we have to provide higher on mobile Internet banking, but lower on bulk deposits, how would it look like? Would it be net impact positive or net impact negative?

Nidhu Saxena: So we are looking at -- these calculations are being done. But -- meanwhile, we are keeping the

internal guidance for us to maintain LCR between 115% to 120%. We feel too high on this number is not a very good idea to maintain. And LCR, to answer your question, for Q3 is 116.36%. And I will ask my CRO to just respond to what is in the offing, as you said, 1st April.

You want to add in there?

Management: On the 1st April, whatever the guidance states, increasing the dividend or let's say the deposits, and we have seen this actually and considering the net outflow positive impact on the banks is around 3%.

Jai Prakash Mundhra : Okay. So the net impact will be a positive impact on LCR, right?

Nidhu Saxena: Of 3% is what the calculation is showing.

Jai Prakash Mundhra : Correct. So, sir, assuming you have to move to -- on 1st April, you need not shore up liquidity, right? If at all, you will have some release of liquidity. Is that the right understanding, or is there some other element here?

Nidhu Saxena: You are right to say that.

Jai Prakash Mundhra : Sure, sure. And secondly, sir, if you can talk about the total gold loan of Bank of Maharashtra, the retail gold given is around INR 12,000 crores. What will be the total -- do you have agri or MSME gold also, or is that not very meaningful?

Nidhu Saxena: No. Like I said, we have all the 3 variants. Today, with regulator, up to INR 2 lakhs being permitted to be classified as gold loan under agri, subject to conditions. So if those conditions are getting met, so agri gold loan is also possible. Likewise, up to INR10 lakhs for MSME is possible.

For other than those purposes, it is classified as a non-priority gold loan. And the breakup, if I have to tell you, the retail is INR12,000 crores, agri is INR 9,000 crores, and MSME, which is a new product introduction post this regulator guideline, we very quickly gave this option also, so it is INR 1,000 crores.

And this is one segment which we have been aggressive to grow, and we had marked as one of our focus products. If you see quarter-on-quarter, we have been growing at a very high rate of

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40%, 45% year-on-year, right? 18 months back, I remember, it was almost INR7,500 crores to INR8,000 crores.

Today, including co-lending, we stand at INR 22,000 crores. So minus around INR 5,000 crores of exposure in co-lending, INR16,500 crores to INR 17,000 crores gold loan is happening through our branches. The rest is what is under the co-lending tie-ups.

So the point is, we have also been very careful that this business, although it's a very good business, attracts zero risk weight as per the guidelines. But it's the 2 elements, which are the purity of the gold and the safekeeping of the pledged ornaments, these 2 infra we will create first, and then only permit a branch to venture into doing gold loans.

So I think the focus that is there has led to good growth in the portfolio. But going forward, we will keep this drive of growing the gold portfolio. 116 branches that we have opened in this FY under the Project 321, we have supplied them with gold safes from day 1.

So the mandate is very clear. They would also be looking at doing gold loans as per the potential that is available. And today, gold loan is not the element of 6 traditional South-based states, but it is happening elsewhere also in the country in a big way. A lot of scope is there to grow this portfolio.

A lot of gold loans are in the unorganized segment despite -- we very clearly see, after the COVID, a lot of focus has come from banks. Most of the banks have grown gold loans. But still, I would say there is a huge market that is there for coming to the banks and even the NBFCs from the unorganized segment, and the customers also stand to benefit because the interest rates getting charged in the banks particularly will be very

low. So we are growing this portfolio.

Jai Prakash Mundhra : Right. And sir, if you have this...

Moderator: I'm sorry to interrupt, sir. May I request you to join back the queue, please, as we have participants waiting for their turn.

Jai Prakash Mundhra : Sure. Thanks a lot.

Moderator: Thank you. We'll take our next question from the line of Bhavesh Kanani from UTI AMC. Please go ahead. The current participant line is disconnected.

We'll move on to the next question from the line of Akshay Badlani from HDFC Securities.

Please go ahead.

Akshay Badlani : So my question is around the margins. So yields, what we can see is it has dropped by over 25 bps this quarter. And before that, there was 100 bps rate cut, but the yields did not drop as much.

And also, the rate cut happened slightly at the end of the quarter. So I wanted to understand that why did we see as much drop in the yield on advances?

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And secondly, on cost of fund side, there also, we have seen 22 bps reduction. So is that largely term deposit repricing? Or have we done some repricing on savings accounts as well?

Nidhu Saxena: So I'll take your second question first. So yes, we keep reviewing the interest rates being offered across spectrum of products, including the savings deposits. Also, when we look at this business, we see, very clearly, there are 2 components. One is the institutional business, the institutional CASA, and the retail core CASA that is happening through our branches.

I have been mentioning about this vertical that was set up with the idea to reach out very systematic manner to the institutional clients, which our understanding is they have a different set of requirements. They need to be understood, their requirements need to be understood.

And we go ahead and do a lot of value additions when we look at institutional CASA relationship coming into the bank, where we try to give them some technology-based solutions, which will take care of their transactional needs, saving needs, investment needs, or payments and collection needs. And that's how we bring value to those institutions.

And that's how we are able to see that leaving in the ecosystem, many options of banks they are

having, but they prefer to bank with us. So, institutional CASA, we keep focusing on a different strategy altogether. The core CASA, we have done a lot of new product introductions to see that today in the ecosystem, whatever segment of savers are there, whatever segments of deposits that will come from banks, from women, from kids, from professionals, from HNI, ultra HNI, NRI, the entire product basket is available, customized products are available to them. We have gone ahead and revamped one of the most important channels in today's time, where customers come and transact, which is not in the branches, but it is the mobile application. And I'm happy to share that our new mobile application is not just an upgrade of the old version, but we have totally revamped and launched a new version where the theme or the underlying principle was making life simpler for clients, letting them do transactions with a minimum number of clicks.

That's how the journey, that's how the app has been developed, and it is getting a lot of good reviews, and has been appreciated. Clients who have on-boarded themselves are able to transact and see the difference. What the old version took 7 months for first 1 lakh downloads, we achieved first 1 lakh downloads in 14 days.

And today, while I speak, this is a very recent launch in September on our Foundation Day, but we have crossed 6 lakh active users, which in the previous version was 225,000 users. So that's how we are bringing change in core CASA, giving right product choices, ease of customers for doing their business.

Once they are on-boarded, they are able to transact seamlessly with u

s. And that's how we are

seeing slowly, steadily attrition is coming from that element also, core CASA, stable individual deposits, and the institutional. Your other question was?

Akshay Badlani : On the yield aspects?

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Nidhu Saxena : So yield on advances, you rightly have said, but see the earlier times, it was not the full quarter impact which was there, we had seen. And we have also passed on our rates. I did mention in my last response to a query wherein our good rated borrowers also are demanding. I would not like to lose a borrower. And we tried to -- whenever a rate cut request is coming, we try to compensate that the overall profitability from that client should not have gone down.

So we always seek, while we give them good rates, so that they continue to bank with us, but we try to replace the loss in the concession that we have offered through getting some ancillary business. So overall the income may not be seen in the advances book, but we will get some ancillary business, whether it's payroll accounts, whether seeking their payment and collection business and trying to get some income through those heads.

We are getting some deposits of their to sit with us. That's how we try to keep compensating so that the relationship continues. Our profitability with that client also should not go down. But then we are operating in this market. We may see another rate cut is being discussed, but we keep a close tab.

We are mindful of those things, and we keep doing business. And if you see the bottom line, ultimately we have maintained, and we have not seen that any of my NIM, ROA, ROE has seen a contraction. This is the quarter where I had mentioned last time that we probably will not see any further contraction in NIM.

And we have actually increased NIM by 2 bps only, although we have increased, at least no contraction. And there is a 25bps rate cut is what we have come. But then again, the next quarter, I will get the full quarter effect of this rate cut. And we may even, going forward see further rate cuts. But we will keep operating and keep maintaining the bottom lines and the profitability metrics. We will keep achieving those as per our guidance and try to surpass our guidance every quarter.

Akshay Badlani : Sure. Thank you for answering the questions.

Moderator: Thank you. We'll take our next question from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: Hi, team. Good evening. A few questions from my side. Firstly, can you share what is the proportion of your term deposits which are yet to be fully re-priced at the lower rate, that is one. Secondly, you mentioned that the home loan disbursements which happen at the 7.1% rate are a very small proportion.

Can you share that proportion with us, please? And lastly, in your exchange disclosure, you have shared that roughly you bought loans worth roughly INR5,000 crores in this quarter and about INR12,000 crores during the 9 months. Can you share what type of loans these are and from whom they were acquired?

Nidhu Saxena : So first is, deposit getting re-priced. So when this rate cut cycle began, and very closely, we have

been seeing and monitoring this development. So our typical maturity profile is against the Bank of Maharashtra
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industry standard of 12 to 15 months. Our maturity profile at that point in time was 8 to 10 months. And we have seen that most of the deposits by that time have been re-priced. But then again, there is a fresh rate cut announced, and we will see that this is a cycle that will keep happening. And we are also seeing that -- we don't wish our -- we should keep offering when the other banks that are not able to garner deposits and are facing challenges, they are also offering very high rates to depositors.

And I would not like my retail depositors, at least, to leave the bank. They are the stable core deposits. So we keep offering good rates to them. And meanwhile, not focusing on the high-cost bulk, but continuing to give these kinds of rates to them. So these are the, I think continuous dynamic challenges that you will keep seeing when this kind of rate cuts will be happening. What is the next question, please?

Ashlesh Sonje : The proportion of disbursements which are at 7.1%.

Nidhu Saxena : Yes, sir. So 23% -- when we introduced this metric, we strengthened our underwriting of benchmark standard in home loans and all retail segment loans by saying that there will be no sanctions below 681. So the pricing was also tweaked according to that. So I can share with you that when the 12 months have passed, the 800 and above CIBIL score, which is entitled to get that 7.1% rate, 23% of sanctions in that 12 months happened in that bucket.

And 57% of sanctions happened between 750 and 800 buckets. So if you put together 23% plus 57%, 80% sanctions were happening in that bucket. So while I am giving very fine rates, I'm also trying to get some ancillary business, because the mandate given to our field functionaries when they sell one home loan, they will be trying to sell minimum four products on the day 1. So they will try to offer a co-branded credit card that we have now in our kitty. They will try to do a group credit life, explaining the benefits of that scheme. And if they are not able to get the operative account from where the salary or the business where the servicing of EMI will happen, they will request the borrower with minimum three EMIs as deposits with the bank.

So we do a home loan with these three or four things together. So that's how -- but you will appreciate that the quality of loan book that is now getting created for the last 12 to 15 months, this will be of good quality. We will not see, going forward the kind of slippages number where guidance we are keeping to maintain it below 1.

It is behaving well, 0.88% for this quarter. Annualized is 1.2%, which is the trend we have seen last quarter, and a couple of quarters behind us. And we would like to see that this ultimately will go down further. Any question I missed yours, sir?

Ashlesh Sonje : Sir, the loan purchases of roughly INR5,000 crores which you did?

Nidhu Saxena : Yes, sir. So the pool transactions that we are doing, at some point in time, we keep analyzing our portfolio that is built. And when we reach a realization that some rebalancing is required,

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we will do that. So we had also marked that we will try to reduce our overdependence on pool transactions.

While saying this, we are not averse to doing pool at the right moment as per need of the bank. If, for some PSL classifications, I require a portfolio, we will do that. We will also do pool buyouts when we are getting a good pricing or we have other ancillary benefits with that. But my core branches business must happen first, then we will see what pool we will do or not do. So the mandate given to the field functionaries in my 50 zonal offices and now 2,700 branches is to stop looking at what the bulk business or pool business you will do. That's the central office call. They will see that the KRA of the zonal manager is the core business that is happening in their set of 60-65 branches, whether it is happening or not. Their KRA is very clearly defined in those terms.

So what we have done is, sir, we have reduced our overdependence. The December 2024 quarter, in fact, became the first quarter where we have seen YTD degrowth in the pool. Year-on-year, minus 7% in pool. But as I said, again, from time to time, we will keep looking at taking pool partnerships.

Today, when in the agri and the MSME, I mentioned about doing the rebalancing in my portfolio.

It was a conscious strategic decision on part of the bank. And to see that the portfolio is there, we have taken some pool transactions in the last 1, 2 quarters .

We will again shift back to my branches doing the core stable business. And from time to time, it is purely a central office call, we will see the profitable part of it, we will see the PSL requirements part of it, and we will keep doing pool transactions going ahead also.

Ashlesh Sonje : Got it, sir. Thank you. Sir, just one clarification on the first question. Fair to assume that the term deposit book is largely repriced now and no more repricing should be expected?

Nidhu Saxena : So, some more -- about 18% to 20% is likely to be repriced during this quarter, which is what is coming up. And some part is repriced. But moreover, what happens, like one is after the rate cut from RBI, and then basis that, there are multiple rate revisions at the bank level, depending on the appetite of the bank. So basis this, repricing keeps happening. But as of now, we can tell that about 18% repricing is expected during this quarter.

Ashlesh Sonje : Understood, sir. Thank you, sir. Thank you very much for your responses.

Moderator: Thank you. We'll take our next question from the line of Bhavesh Kanani from UTI AMC . Please go ahead.

Bhavesh Kanani : Thank you for the opportunity. I hope I am audible.

Moderator: Yes. Please go ahead.

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Bhavesh Kanani : Yes. So my question was on the MSME segment. Sir has mentioned a couple of times that there is a rebalancing going on. So it would be helpful if you can help us understand the nature of rebalancing, the purpose behind that, especially in the context that within MSME, the medium entities book seems to be degrowing dramatically.

And this is surprising when we look at the sectoral GNPA numbers, which clearly reflects that medium enterprises are experiencing improving GNPA profile. So hence, the question that what is the reason behind need to rebalance.

Similarly, on agri, too, while the headline total number seems to indicate a single -digit growth, within agri, the agri infra and agri ancillary portions of the book are growing at much faster rate.

So what are the segments, the kind of borrowers we are serving here, that would be helpful. And last one was on the other expenses. There seems to be a sharp spike sequentially. So what is the reason behind that spike? That's all from my end.

Nidhu Saxena : So, thank you for the question. So MSME, there has been some reasoning behind the change in the regulator guidelines. So with the MSME limits getting enhanced, you would have seen some portfolio which is MSME shifts. So they have increased the limits. So there is a portfolio which would move from MSME mid to the small segment. And likewise to micro.

Even some corporate accounts would have moved to MSME getting entitled. So that is one thing which is happening as per the change in the regulator guidelines. What we have been also looking at rebalancing are the TReDS book that I'm having. This is a function of not underwriting, there's no underwriting involved. It is a function of pricing.

I can easily grow the TReDS -- bill discounting portfolio by offering very cheap rates, which normally is getting provided to the MSME suppliers when they get their bill discounting done on the TReDS platforms. So we want to see that the final purchasers from those MSMEs, are they our existing clients or not.

So we decided that we will gradually move from -- if there is a TReDS discounting facility available, and we are not part of the consortium or we are not lenders to that entity, we would like to move into their consortium.

We would like to move -- even if they are into multiple arrangement or sole, we would like to take their exposure in their normal credit also, whether a term loan, working capital, so that we

can have more visibility on how that entity is performing, not just leaving it to doing TReDS business all by ourselves. We should have TReDS along with other business also. So that is one. Second, we wanted to centralize and improve our underwriting in the MSME segment also. Two things we did, CMR 1 to 3, up to CMR 10. This is what CIBIL TransUnion is assigning ranks to MSMEs from INR10 lakhs to INR50 crores. And we decided that CMR 1 to 5, below which no underwriting will happen in the MSME segment.

So this was decision number 2. So we have been pursuing that MSME TReDS bill discounting has been centralized from -- now zones, 50 zones are not permitted. We want to centralize the

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portfolio, do seamless -- there are two more discounting platforms which have been approved by RBI. We have signed with them also. They have also been onboarded.

So there is a lot of potential to grow, but we want to have share in their normal financing. So this rebalancing, and if you see my September 2025, MSME growth would have been suboptimal 2%, 3%, 4%. But we have grown now year-on-year 8%. So now that impact, what rebalancing we have done, from December and onwards, I'm going to get to the same level of double-digit growth.

But we are mindful, as I said, of quality. The borrowers that are entering into my system, how comfortable we are with them. And yes, they are a very profitable segment also. So we don't want to exclude any of that part of business coming into the bank balance sheet. So this is all, I think, from my side on this MSME rebalancing.

Management: Regarding agriculture, your question on agriculture ancillary activities, this book is growing. And that is mainly food processing-related activities like rice mills, dal mills and all that. And farm credit, there is a degrowth. So this is a segment where we have experienced some stress. So that's the reason we are not going very aggressive in this particular segment.

Bhavesh Kanani : Okay. And the last one on other expenses.

Management: With regard to other expenses, various factors are impacting, like we have opened around 165 branches, new branches that is also considering the additional business giving, expenses are also increasing. And second is also revaluation depreciation is there. Since last year we have revalued our some of the assets, and that is why the depreciation has also increased. And also IT capex expenses we have done. So on that part also, our depreciation has also increased. So that is why other expenses are showing -- but on Y-o-Y basis, we see 11% increment is there.

Bhavesh Kanani : So in terms of the continuing for other expenses, I just was wondering if there is one-off this quarter and it is going to normalize subsequently. Is there a one-off there?

Nidhu Saxena Yes, sir. Any one-off element is there is what's being asked. You want to explain what is that one-off? Otherwise, I will take that such as PLC...

Management: PLC certificates...

Nidhu Saxena : Okay. So some PLC certificates in this rebalancing is what the team is saying. I think INR20 crores?

Management: INR63 crores.

Nidhu Saxena : INR63 crores. So that is one-off transaction that has happened in this quarter. But now we have come out of that. In terms of new branch opening, what is our experience, because since we are doing this, almost 500 branches have been opened in the last three to four years. And in this year, 116 in this FY. And we are going forward with our plan to open complete 321 while knowing that there will be first some increase in the opex.

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But the experience so far has been that the new branch that we have decided to open, after a very scientific exercise down to PIN code level, trying to decide where two things must be happening. There must be existing b

anking business potential and that center is also growing at a good growth rate. If these two conditions qualify, we decide to open a branch there.

For a branch in one center, we have even gone to see, which is the PIN code within that center where we should open. Typically, you would see a branch -- that a city is growing in one side. So we will not want to open our branch in a side where nothing is happening. So doing it very scientifically, we have decided this list of 321 branches. And what our experience is, when we are opening branches in potential growth centers of the country, we will see that they will break even also very fast.

And whatever branches we have opened in the last three to four years, we have been very closely tracking those branches. So the branches which were opened three years from now, all have turned profitable. Branches which are opened between two to three years, 60% of them have converted to profitable.

So incrementally, what is happening, while I do incur some opex in the immediate, but incrementally, what the new branch that has opened is giving me revenues and profit, it is more than offsetting the cost. So we are not at all bothered about increasing our expenses on account of new branch opening. It is only this one-off item which is there in this quarter, which will, of course, not be seen in the next quarter.

And very critical, the other metric, if you look at, cost-to-income. Knowing that we have been - I've been doing 37%, 38% cost-to-income for a couple of quarters. But since we are opening branches, we were mindful that some opex will go up. So my guidance has been maintained beginning of the year to maintain it below 40%. But if you see cost-to-income, today also it is 37.19%. So cost-to-income is also -- which is, almost, I should say, best in the industry. Even

private banks don't have that metric.

Bhavesh Kanani : Certainly sir. Thank you for all the responses and wishing you all the best.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Nidhu Saxena, Managing Director and CEO, Bank of Maharashtra, for closing comments. Over to you, sir.

Nidhu Saxena : So I think not only this quarter has been good, but the other element, which is the consistency in the result getting delivered is also something an element of comfort to the management, and I'm sure investors as a community must be looking at that. And also going forward, the kind of branch expansion that we have been doing in potential centers of the country, I think this kind of high double -digit growth for the next three to four years very clear visibility is there, is going to be maintained in the system.

We will keep growing because these branches, 321, doesn't end. We have a Board approval to open 1,000 branches in the next five years. We are doing it in two phases. The first phase, we Bank of Maharashtra

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have taken up for three years, and we took help of an external expert to help us use a lot of scientific data points and tell us which is the center, and they have done a lot of work around the CIC data that is available, RBI data, using their all algorithms, and they have come and told us very scientifically that in the center, at this PIN code, is where the bank should have its next presence.

So I think this new branch expansion which is happening is going to sustain this fast growth rate also, and we will remain mindful of the profitability part of the business. It is not mindlessly growing the top line, but any corresponding growth in the top line, how it is impacting our bottom line, we will remain mindful on that and see that not only growth metrics, but our asset quality, profitability metrics, our capital adequacy numbers, all are getting consistently delivered. Thank you.

Moderator: Thank you, sir. On behalf

of Bank of Maharashtra, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

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BSE Scrip Code: 532525 NSE Scrip Code: MAHABANK

Dear Sir/ Madam ,

Sub: Transcript of Earnings Conference Call with Institutional Investors / Analysts held
on 20th April, 2026 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of conference call with Institutional
Investors/ Analysts regarding Financial Results of Bank for the quarter and year ended
31.03.2026 held on Monday , 20th April, 2026 .

The transcript of conference call is uploaded on Bank's website and same can be accessed
through below link :
https://www.bankofmaharashtra.bank.in/financial_results

Kindly take the same on your record.

Thanking you.

Yours faithfully,
For Bank of Maharashtra

(Vishal Sethia)
Company Secretary & Compliance Officer

Encl: As above

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BANK OF MAHARASHTRA
Q4 FY 2025-26 Post Results Conference Call
April 20, 202 6

MANAGEMENT : MR. NIDHU SAXENA – MANAGING DIRECTOR AND CEO

EXECUTIVE DIRECTORS, CHIEF GENERAL MANAGERS
& GENERAL MANAGERS OF THE BANK

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Moderator: Ladies and gentlemen, good day, and welcome to the Bank of Maharashtra's Q4 FY 2025-'26 Post Results Conference Call, hosted by Systematix Shares & Stocks. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Siddharth Rajpurohit from Systematix Institutional Equities.

Thank you, and over to you, Mr. Siddharth.

Siddharth Rajpurohit: Good evening, everyone. Thank you all for joining Bank of Maharashtra's Q4 Post Results Conference Call. From the management today, we have Mr. Nidhu Saxena, Managing Director and CEO; Mr. Prabhat Kiran, Executive Director; and Mr. Sushanta Kumar Mohanty, Executive Director. I would like to congratulate Mr. Mohanty for being appointed as the ED to the bank. We are very grateful to the bank for giving us the opportunity to host this. I hand over the call now to Mr. Nidhu Saxena for his opening remarks, post which we'll open the call for Q&A session. Over to you, sir.

Nidhu Saxena: Thank you, and good afternoon to all, and thank you all for joining this con call. And I'm happy to share that we have seen yet another good year for the bank despite whatever, I should say, challenges, geopolitical uncertainties and a real war for deposits also. But bank has typically shared 18 to 19 parameters for which the guidance was shared at the beginning of the year. We have done this last year also.

And I'm happy to share that all the guidance numbers across the growth parameters, across the asset quality, across the profitability metrics, across the capital adequacy, efficiency ratios, we have been able to meet all the guidance and at some of the places with a decent margin above the guidance that was shared in the beginning of the year.

To just quickly -- the high-level pointers. Total business this year has grown at the rate of 17% and within which advances grew at 22%. Total deposits grew at 14%, within which our focus, which had always remained on CASA, CASA grew at a double-digit 12%. And our CASA ratio also was maintained above the 50%. We closed the year with 52.51% CASA. Term deposit also saw growth of 16%. The asset side, the RAM had good growth, within which retail was growing at 32%.

The major focus products that supported this growth. Home loans grew at 29%. Vehicle and gold, which were marked as focused products to grow for this year grew at Y-o-Y 56% and Y-o-Y 53%, respectively. Agriculture and MSME portfolios also saw a double-digit growth. MSME grew at 11%. Agri grew at 13%. While we've been doing both these portfolios at 15% to 16%, but we had initiated a conscious strategic part on our side to do a rebalancing in the portfolio.

And while in the first -- Q1, Q2, you would have seen that the growth had gone down to single digit -- low single digit, I would say, but we've closed the year with double-digit growth, and the process to grow quality agri and MSME has onboarded new fresh business in that segment in that portfolio, is going on for this year. It will continue also. And we will soon regain our 15% to 16% retail and agri -- sorry, agri and MSME growth in the bank.

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Corporate also, we have been able to find areas which we mark as bullish areas for the bank to go. Sectors like green, clean energy, renewable sector, we have funded in a major way. And we have done infra loans. We have done data centers. We have done a lot of areas where there is a lot of emphasis and support system, which is coming from the government of India and where we are seeing that huge scope and potential to grow

is there not only for the current FY, but for the years to come.

So we had marked these sectors as bullish sectors. And through our quick acquisition, quick disposal, we have even grown our corporate book Y-o-Y at 22%. RAM corporate share was within the guidance. It was 63% in favor of RAM, 37% was corporate. The asset quality has also been contained well -- maintained well, and there is improvement in both GNPA and NNPA, where we have seen improvement both in absolute terms and percentage terms as well.

The gross NPA has reached -- percentage come down to 1.45% with a 29 bps improvement year-on-year. Net NPA came down to 0.13%, 5 bps year-on-year. And both were well within the guidance number. Recovery in the bank this year also had seen a good performance and within which our write-off recovery book, which is almost marked as a focus area to perform, around INR20,000 crores -- INR21,000 crores of write-off book, and we had planned that annually, we should be recovering between INR1,200 crores to INR1,500 crores for the next 5 years.

And the band, which was kept a big band because out of INR25,000 crores -- INR20,000 crores, around INR7,500 crores were in NCLT where bank would do a process. But at times, you're not very sure whether the recovery will fall in a particular quarter or it may slip to the other because of the some delays that may happen in the NCLT. So we had a band of INR1,200 crores to INR1,500 crores, but

I'm happy to share that for the last 2 years, a lot of traction is seen.

Last year, against FY22 number of INR600-odd crores of recovery in written -off book, we did INR1,375 crores. This year, we have even surpassed that number. It is INR1,423 crores of recovery in the write -off book. So I think our strategy is playing well. We are able to see resolutions and recovery in the write -off book. And we will continue to focus this segment. We have a big, I would say, gold mine where we -- if we are resolving, we are contributing also to the OP of the bank. The stress has been well managed. The overall stress saw an improvement of 49 bps. It has come down to 2.93%, within which SMA -1 plus 2 is 1.39%, which also improved by 61 bps. As a result of this fresh growth and growth where we have not mindlessly grown the top line but have remained conscious about the bottom line -- for every transaction level, we have been very consciously doing that. Our profitability also has grown in a very favorable way, I would say. OP, operating profit, INR10,826 crores, grew Y -o-Y at 16%. Net profit with INR7,019 crores, grew Y -o-Y at 27%. The profitability metrics of ROA, ROE, NIM, they also were well above our guidance that we shared beginning of the year. Against a NIM guidance of 3.75% at the beginning of the year, we closed the year with a NIM of 3.91%.

If I have to share Q1, Q2, Q3, Q4. Q1, the NIM was 3.95%. It went down to 3.85%, 10 bps in quarter 2. We have seen improvement thereafter, which I have been sharing, that probably the third and the fourth quarter, we will see no further contraction. We may see an improvement in our NIM, and that's Bank of Maharashtra
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-- despite the rate cuts during the FY, we have seen that we have regained our NIM at 3.95%. Quarter 4 stand -alone NIM was 3.95%. Full year NIM was 3.91%. Our guidance has been 3.75%. ROA, quarter 4, 1.97%, so barely touching the 2%. But for the full year, our ROA has been 1.86 against the guidance of 1.75. Seeing this good traction, while I will share also the guidance number of important parameters, we are ready with those guidance numbers. But I can share, for ROA, we have upped our guidance over the last year. We have said that guidance for this year ROA will be 1.80. Going over to the ROE. Q4 ROE, 26.61%. Full year ROE is 23.19%. Our net interest income also has grown handsomely, 17% Y -o-Y growth. We have contained our cost to income bel

ow our guidance of 40%, and it closed with 37.08%. Yield on advances has been maintained at 9.05%. Cost of funds and cost of deposits both have seen a reduction. Cost of funds at 4.15%, has reduced 7 bps year -on-year. Cost of deposits has improved by 14 bps year -on-year at 4.52%. Capital adequacy, we are adequately capitalized. And with this full year profitability now also added, CET1 is standing at 14.59%. CRAR is at 18.36%. Government of India Holding during the FY, with the OFS issuance by Government of India, has come below the 75%. We are an MPS compliant bank now. And Government of India Holding stands at 73.60%. Participation from FIIs and DIIs have gradually been increasing over the past 2 years, and we have been very, very particular about our engagements with the investors, both foreign and domestic. Just to give you a number, the FII shareholding has gone up from 0.39% in 2023 to 5.8%. Likewise, DII, excluding the LIC and the bank treasuries, has gone up from 0.24% to 6.86%. I think I will take a pause. These are the broad numbers. The presentations are shared with you. I will take a pause to take questions. And while we go ahead with those, maybe give some more additional inputs from our side.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera : Thank you for giving me the opportunity. Before I start, let me congratulate and welcome our new ED, Sushanta Kumar ji Mohanty . Sir, welcome to Bank of Maharashtra from analyst side. You have recently joined. Having said that, congratulations Nidhu sir and the entire team of management of Bank of Maharashtra for the fantastic results. It's not only a question of quarter, but on the overall FY26, you have performed exceedingly well.

And once again, have gone beyond 50% on the CASA, beyond 20% growth on the credit, and almost every parameter that yourself narrated, you have met all the guidance and one of the excellent performance. Though you are the first to declare the results among the public sector banks, but still I would say you are one of the best performers, sir. My compliments to you. Having said that, Nidhu sir, I would like to have your views because now going forward, this war started from 28th of February, this Iran, Israel and US war. And the impact might not have been seen so much in March. But now going forward in April, May, June, in this current quarter, where do you see the impact of this war coming to our corporate account, mainly the MSME accounts? And is there any stress which you Bank of Maharashtra

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have already started feeling? Because till last year, till 31st March, the SMA numbers are good. SMA - 1 is only INR241 crores, SMA -2 is only INR56 crores. So what are your comments on that, sir? And what kind of impact do you see, sir, of this war?

Nidhu Saxena : So Ajmeraji, you're right when you're saying that there is a crisis ahead of us, but we also know that we are yet to see the end of the crisis. It will be very difficult to say what will be the full impact because if this kind of crisis will stretch and if it will prolong, we would see more pain coming in, is what the sense tells us. But we are very closely monitoring, watching the developments, and I'm sure at the highest level in the government and the regulator, their engagements are on to see how things pan. And at the bank level, I would say that if you -- since you mentioned about the MSME portfolio, so far, March, there is no element of stress or sign of any worry. In fact, my MSME NPA number has actually come down, has come down to 1.54%, which is an improvement. But having said that, yes, with headwinds like Brent crude more than \$115, anything above \$100 will bring pain. We may see inflation if this is getting prolonged for long. We all u

nderstand the rupee -dollar and how the currency depreciated will have its own impact. So we are watching it very closely.

And you're also right to say that March will not be where the impact. We may see the impact in -- not Q1. By Q2, you will see the fallout of the West Asia crisis. But as I again said, we are still to see the end. So we can only hope that the crisis resolve s and what damage must have happened, the impact, how fast it can be replaced is also needs to be seen.

So you may see in following quarters, the impact of the damage, which has happened, it is not that the war ends and everything goes back -- appears normal because something gets disturbed, the crude supply where some actions are there, it hit. So to replac e those damages will take time. And so one may see, but we'll need to watch, and we are completely mindful of the impact.

Ashok Ajmera : Yes, sir. Point well taken, sir. You explained it very well, sir. I got a few data points and some observations. In the provision front, we used to have that INR1,200 crores, that special provision, I think that COVID provision. But this time, it has come down to INR1,010 crores. So INR190 crores has gone up from that buffer, from that provision we used to maintain. So is it used in the normal provisioning? I mean, but for it, the provision would have been more by INR190 crores in this quarter? This is my...

Nidhu Saxena : Right. So point is well taken. We have been mindful of the nudges that are coming from the regulator. When we are passing a benign phase where we are seeing that everything is good, the balance sheet, banks are good, corporates are good, every bank is also showing profits. So what has been continuously being said, when the good times, you should keep maintaining buildup provisions. But to have a COVID provision and COVID is all gone way back, beyond the point, there is no sense to build that kind of provision.

So while the COVID book has reduced, it has actually been a nudge coming from the auditors also. That when we are adequately provided, when you are maintaining NNPA of 0.25 guidance and actually, the performance is much below that 0.13 is number. So any fr esh slippages that we are encountering, we are supposed to, as per IRAC norms, go with 15%, but we are providing 100% upfront. So we are adequately provided, so why you should now keep this?

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But actually, what we have done, if you see, I think this is again an industry first. Keeping in mind this West Asia crisis, we have internally created, there is no regulator prescription. There is no nudge also towards that, but we are calling it as a glo bal geopolitical uncertainties provisioning. And we have, in this quarter, built a provision of INR200 crores.

What we will do in the next quarter, whether we'll top it up, we don't know. But we thought we will be prudent when -- if any challenges are coming, prudence will be -- let's actively provide for -- if there is a headroom or there is an enabler with you, I et's utilize that. So we call it global geopolitical uncertainties provision INR200 crores to begin with in this quarter, I have created.

Ashok Ajmera : So it has just shifted from there to here. In fact, that INR1,200 crores has become INR1,010 crores. So another fresh INR200 crores provision has been made?

Nidhu Saxena: Fine, you can look at it that way because amount is almost appearing to be similar, but this was something a consciousness which came not because the auditors wanted that why do we so much keep provisioning on the COVID thing. But we had on our own decided that we will be -- continue to remain prudent. And if prudence requires that when you see a challenge or a headwind and if you are providing for it, so there was no link to that to this. But yes, somehow the amount is near to that.

Ashok Ajmera : So there is an irony that even the good po

ints are put in the emphasis by the auditors. Even if you are holding extra provision, they put as an emphasis item. But anyway, sir, my one point is on this overseas advances book, which has gone up from INR3,517 crores to INR6,142 crores. I believe this must be GIFT City. So what kind of book we have built here, which has gone up from 1.29% to 2%?

Nidhu Saxena: So it is a combination of participating in some global syndications. We are -- see, GIFT City, today, we have started operations in the last FY. We will see a lot of opportunities, to begin with, in the corporate. Then we are also -- we have taken a complete suite of Infosys. We also intend to do in this half year of this current FY -- H2, we will be good to go with the retail products in our GIFT IBU. So currently, it is mostly corporate books, but we are ECBs, global syndications. That's what we are doing. Even the way we have in a very short time moving very decisively. I recall 13 February 2025, we get the nod from the Reserve Bank of India, and we took 6 months to book our first business. 13th September, 4 transactions were booked. And September 2025, we had 100 million of overseas business in our books.

And from there, the journey started. We have kept an aspiration of making GIFT City in 12 months minimum 1 billion book. 650 million we've already done. And I can share with you that we have -- there is a pipeline visibility to us of 350 million. So that aspiration is going to be -- getting achieved. While in the Board, when we went for suggesting for a GIFT license, we said we may take 3 years to breakeven.

But I'm happy to share, we said, why not? In the first 12 months, the balance sheet should be a profit - net profit should be there. And what we have done in March in GIFT City, we have achieved after covering the entire overheads, staff cost, premises, everything, including the IT, we have been able to see bottom line positive in the GIFT IBU also. So that aspiration, that part of aspiration also will, I'm sure, be achieved in the GIFT IBU.

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Moderator: Sorry to interrupt, Mr. Ajmera, may we request you to please re-join the queue. We have participants waiting.

Ashok Ajmera : One question, one on tax. Can I go? Hello?

Moderator: Please go ahead, sir.

Ashok Ajmera : Yes. So on taxation front, sir, just one clarification. Our average tax -- income tax, it has come to 10.66% of the profit for the whole year. Can the CFO -- you can throw the light on the entire DTA provision and everything? And what is the status? Where do we stand today on the taxation front, sir?

Nidhu Saxena: Okay. Since you said CFO, I'm passing on the line to the CFO.

Management : Yes, sir. With regards to tax, sir, average tax rate is coming around 10% to 11% because we are getting a deduction in the forms of bad debt provision also under 36(1)(viii) & 36(1)(vii) - two sections mainly we are operating where we are getting deduction. Apart from that, sir, also other DTAs, like in this DTA, we have hardly INR17 crores, we have created. So that is also there. So overall, sir, if you see in our bank or other banking sector, sir, operating profit, 13% to 14%, average tax rate is coming. So since in first quarter, we are having some unabsorbed losses of around INR1,200 crores to INR1,300 crores. So first quarter, we have consumed that losses. And after that, second quarter and onwards, sir, we are coming to the normal tax bucket rates. And since we've opted for new regime, so 25% tax rate is coming.

So for OP, it is a 13% to 14% average rate is coming for us. And sir, considering the quarterly profit and we are having cushions. Now since we are not requiring any additional provision, so we are not seeing anything that we will not be able to cover that provisioning requirement from tax side, sir. And also, we have -- in this quarter, we have paid the advance

tax of INR930 crores, total advance tax for FY26 -27.

Ashok Ajmera : So you mean to say that in future now, our tax will be 25.17% because we have finished all those benefits of the bad debts and the DTA and other things. So we will come back into the normal bucket -- normal tax rate bucket, isn't it?

Management : Yes. Sir, this year itself, from second quarter itself, we are in the normal tax bucket rate, and we are accordingly provided -- certain tax provision has been done, and sufficiently advanced tax is also paid.

Moderator: The next question is from the line of Priyank Chheda from Vallum Capital.

Priyank Chheda : First, sir, you have been highlighting on various calls about the strategy, which is working well. I would like to hear it out again on what actually has played out for Bank of Maharashtra to achieve all the guidances that we set 12 months ago in such a volatile year? And if you can also touch upon what will work -- what has worked till now and what will work going ahead over the next 2, 3 years?

Nidhu Saxena: So what we have been working with the theme, see, bank has been performing well for the last couple of years. And the only sense that we were drawing that our scale and size of operations was not as significant. So we want -- the 2 years back when I joined, and we kept this vision that we will become

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a bank of a greater significance. And 2, 3 things that we jotted down for us. One is that we want to

grow in scale and size, so the top line has to grow.

And if you see the stack of 12 PSBs, we were ranking in terms of size at the position 11. And what we decided that in the next 2 to 3 years, minimum 2 notches is what we should grow in size. So from 11th, we have to come to the 9th. But then we said it is not a mindless top line growth. What we will be doing that with top line, bottom line growth has to correspondingly improve.

If it cannot be -- I mean, if possible, we will try to even improve it further because we've maintained some good ratios. You would have seen. Most of the ratios are now among the top 3 in the industry. In terms of profitability, asset quality, we rank in position 1, 2, 3 on the critical ratios when we compare ourselves with the industry. So we would like to not go down on a single ratio. So the mantra for growth was it should be a growth, but it should be a profitable growth. Then there is no compromise on the quality.

So around this theme, we had done a lot of things. I recall, we had a very fine rate T-bill linked rate product. We had certain exposures. But we said we made our exposure zero during the course of the year. And we switched on from core business that should happen from my 2,500, 2,600 branches. And for that, we did a lot of product improvisations, new product improvements. Processes were streamlined.

Our review mechanism went for a total change when we started to review our zonal leaders in terms of their core business growth. It is not enough that institutional relationship is settled and your 20% branches are optimum performing. It is essential that your core business is your core area. The bulk element of business, the central office, head office will take care. So that's the theme with which we started to review them. And I think dividends were visible.

And we have seen now that the volatility in the loan -- in the total book -- total business book also is not there. Because whatever new business has come, has also come from core, which is happening from individual branches. So we went on to reduce our overdependence on pool buyout transactions, not that we are averse to doing. Wherever we get good pricing and at times, we want to look at meeting our PSL requirements, we will do those transactions. But that's the central office call.

So my branches, zones, they were all working towards getting core business. So this is one

thing. This

theme is going to continue going forward as well. I am also a differentiated bank. With this kind of a geographical expansion, I think no bank in PSB space and particularly the large players who saw amalgamation and mergers, they had to logically go for some sort of a rationalization where some branches had to be closed down.

So we were differentiated that we were opening branches lately when the private banks did realize 1 to 2 years back. So you would have seen HDFC, Axis, ICICI have decided to open a few branches in some rural semi-urban centers. But we were organically growing and expanding our presence. And this branch expansion is happening continuously. I have 1,000 branches approval from the Board to be opened in the 5 years.

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We are in a very calibrated and scientific manner, growing the branch presence across the country. For the first 3 years, we are calling it as Phase 1, wherein we are currently running a Project 321, we are opening 321 branches. While I speak, 183 branches till date have become functional, and they are actually doing business. And they are scientifically selected to be opened in a center down to the pin code level.

So with this kind of very focused approach, we are -- despite whatever headwinds, we are able to see business. We are able to see profitable business. We are able to also do business without compromising in any way on the quality of business. And that's how we will continue to go ahead with, sir.

Priyank Chheda : Amazing for the -- and much appreciate the detailing. Sir, I just have another two questions. Second question on the 18, 19 parameters which you had said on the various level guidances and the forward-looking statements that you had made for the bank for us to judge for the following 12 years, and you have meticulously achieved that in FY26. What would be those comparable numbers when I have to look Bank of Maharashtra for FY27? That is my question number second.

Nidhu Saxena : Yes, sir. Sir, again, the last 2 years, we have been announcing and sharing these guidances beginning of the year. And we are fully committed to achieve each of those parameters. The same exercise has been done for FY26-'27. I can very quickly, for benefit of all, share these numbers. So total business this year, we plan to grow at 16% to 17%, within which advances will grow at 18%.

Deposit to grow at 14% to 15%. CASA, we will maintain around 50%. RAM book will be growing at 18%. RAM corporate, the ratio 60 -40 plus/minus 2%. Net interest income is to grow at 15%. NIM, the guidance for this year is 3.75%. Noninterest portion to grow at 10%. Cost to income, we will continue to maintain as last year, below 40%. ROA, here, we have actually upped our guidance number by 5 bps.

Last year, ROA guidance was 1.75%. By seeing quarter 4 ROA touching 1.97% -- I mean, barely touching 2%. So ROA, we want to keep a guidance of 1.80%. ROE, while we did 23% plus for this

year, we want to maintain a guidance of 20% and more. GNPA will remain within 2%. NNPA within 0.25%. Slippage will be maintained below 1%, and credit cost will be around 1%. PCR at 98%, and CRAR to be maintained at 18%.

So these are the broad guidance numbers, which will again guide our path and very thoughtfully seeing our past trend performance and keeping also some headwinds in mind and keeping a challenge for us. We have kept these numbers, and we'll -- the team is committed to see that as we have done in last 2 years, we should -- there's no compromise. These are sacrosanct numbers for us. We will be achieving itself.

Moderator: Sorry to interrupt. May we request Mr. Chheda to please rejoin the queue. We have participants waiting for their turn. Thank you. The next question is from the line of Parth Gutka from 360 One Capital. Please go ahead.

Parth Gutka : Yes, hi. Thanks a lot for the opportunity.

Sir, my first question is on the fee income. Our fee income growth was lower or way lower than the loan growth. So what are the steps we are taking here to improve our fee income?

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Nidhu Saxena : So noninterest income, if you are -- you must have seen, it is 2.51%, whereas we have kept 10% guidance for this year. What has happened in this particular financial year, there is a one-time exercise where I had to provide for INR290 crores, so there is -- we have RRB, Maharashtra Gramin Bank and Government of India initiative to have one state, one RRB. I got to amalgamate the RRB from Bank of India, which is Vidharbha Konkan Gramin Bank.

So now the entire state of Maharashtra today, we are a single RRB and that RRB, I'm the sponsor bank. And the book is also a significant size, INR44,000 crores of business. With this RRB coming in, unfortunately, for us, it was carrying accumulated losses on balance sheet and stand-alone also, there was a loss. And I had to take the investment on face value. So there was an immediate MTM, which we had to provide and INR290 crores is what the hit I took as onetime.

But then as I said, this is MTM, already 10% -- INR10 crores -- sorry, not 10%, INR10 crores, we have seen improvement in that. But this is why my noninterest income parameter has gone weak. But I'm happy that you have raised this issue. For this year, even before we had actually -- we do keep in mind that beyond the critical parameters, we will keep every year 1 or 2 areas where we will be focusing and seeking participation from each and every branch, each and every zone, and each and every staff member and all vertical heads.

So last year, we have done this focus on growing a quality agri and MSME book. This year, the one parameter which we have already decided is fee-based income. And 2 days from now, we are -- we have planned our Board strategy meet and my zonal leadership will be all together. We will be disclosing this special ask for this year.

One is that we will make it as a year of deposits. And second is that we will make it as a year where we see huge scope of growing our fee-based income. And to help them do, the central office verticals are working overtime to already work on giving them enablers. So they are able to respond to this corporate call and deliver better results, better outcomes in this FY.

Parth Gutka : Sir, my second question is on the cost of deposits. So what percentage of your deposit book is yet to reprice in Q1 and Q2 FY27?

Nidhu Saxena : So, see, this repricing, now there is no much of portfolio, which is seem to be repriced. We have seen the entire -- because in fact, I would say when we used to look at this parameter and look at what the industry average, my average maturity profile was somewhere around 10 to 12 months. So we saw repricing also happening faster than the industry.

And you would have seen probably this is one of the reasons, one of the contributors that my cost of deposits have gone down year-on-year 14 bps. It is 4.52%, within which the quarter 4 was 4.33%. The full year is 4.52%, but quarter was 4.33%. So this is what the impact is. And -- I mean, that answers your question sir.

Parth Gutka : Yes. And sir, my last question. The yield on investments has improved materially on a Q-o-Q basis from 6.71% to 6.8%, what has led to that one-off improvement?

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Management: Yes. Actually, there was one of the factors, one-off income, which was booked during current quarter. So because of that, otherwise, the yield was flat during the current quarter.

Parth Gutka : Okay. sir. Can you please quantify that number, if possible?

Management: That was roughly INR20 crores, INR25 crores.

Parth Gutka : Okay. Okay, sir. Thanks a lot. Thanks.

Moderator: Thank you. The next question

is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra : Yes, hi. Good evening, sir and congratulations on a great number. Sir, I have a few questions. One is on the treasury portfolio, if you can suggest how much was the MTM, the number that we have given is the total MTM plus realized gain and the movement in AFS reserves from Q3 to Q4?

Management: Sir, in the [FVTPL] portfolio , we had around INR40 crores, INR45 crores of MTM and we have added that into the books. And in AFS, yes, you're rightly seeing that the AFS reserve is coming down, okay? And that has turned into red. But as on date, because the yield as on 31st March and now it has improved a bit around 10 bps to 15 bps. So the AFS reserve is still into the red, but it is under manageable. It is manageable.

Jai Mundhra: Right. Sir, I was more interested in knowing the swing from Q3, how much was the AFS reserves? And I believe because yields have come back to below 7%, so you would have seen a recouping of this thing. But how much was AFS reserves in Q3 and how much was it at the end of the quarter, March quarter? Yes.

Management: Yes. So it was INR175 crores positive as on Q3. And as on -- I mean for 31st March, it is INR362 crores negative. So roughly around INR500 crores -- INR550 crores swing is there.

Jai Mundhra: Right. Okay. Sure. And sir, one -- a question to Nidhu sir, it's around PLI, performance -linked incentive, how much was the total payout for Q4 performance -linked incentive, sir, PLI thing? So how much was the payout in Q4 and maybe FY26? And what is the scheme that we have in PLI in the sense that I think now you can only offer one PLI above a certain grade. Do we practice that 15 days for everyone and then an additional PLI for Class 4 and above? Or how is it?

Nidhu Saxena: So, Jai sir, what we have done is for scale up to 3, as per the agreed formula in the IBA, we have gone ahead and released the PLI to them. And for the category of officers, Scale 4 and above, since there are discussions going around, final points are still. But as a bank, we have made 100% provision on some estimations that we have already in place. So provisioning is there, the PLI release probably will take some discussions before we actually are able to release the amount.

Jai Mundhra: Okay, sure. Maybe I'll take this offline. So that is okay. And sir, the assignment number, right, which gives in the BSE disclosure, that gives like INR14,000 crores is the aggregate amount of loan that we have acquired through assignment. I was hoping that this will be mostly mortgages and SME, but the tangible security coverage is only 12%, 13%. So what is the nature of these loans? What have we acquired where the tangible security is so less? Or what am I missing here?

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Nidhu Saxena: One moment, sir. I am just passing the line. Please feel free. We are going to provide you. That is not an issue. So I'm just handing over to Chanda, he is GM Credit. I will respond. If you're not satisfied or you need more information, please do let us know, we will do that. Chanda?

Management : So regarding unsecured yes, sir, we had a loan to NABARD which was a substantial amount. So that contributed to that portfolio.

Management : Jai sir, that INR14,000 approximate amount is in a pool lending. So majority of the pool is in our AA and AAA rated NBFCs there. So those IDs in MFI sector and some of the housing pool is also there.

So -- but that housing pool is secured. MFI pool is like that it is in a consumption or some production pool is there. So their securities reflecting lower side, but it is given to NBFCs, which are the AAA and AA rated. So as of now, that portfolio is doing well.

Jai Mundhra: Right. Okay. I was hoping that only, sir, but it says that the loan acquired are not rated because these are noncorporate borrower because the

pool is -- underlying the pool is individual, but the originator is

NBFC, right? That is the way it is. Okay. Sure. So, Sunil sir, I will take this offline also. So that is good. And the last thing is, sir, from my side is this -- sorry, the tax rate.

You said that it is already normalized, but if I calculate tax rate as a percentage of PBT, it still is 12%, 13% in the last 2, 3 quarters. So -- I mean, you said that it has normalized, but will you be -- because you may have some rural advances or some exemption, what is the true tax rate for us in FY27 ?

Management : Sir, now we are in the normal tax rate. And if you see from OP point of view, we can say 13% to 14% -- operating profit 13% to 14% is an existing rate we are getting. So it is affecting multiple factors like rural advances, how much we are the depth in there. And exactly -- because some assumption basis, 8.5% directly we are getting the deduction. So -- and the DTA is also one of the factors. So multiple factor is there. So on the OP basis, we can say 13% to 14% .

Jai Mundhra: No, sir, my only question was when we give guidance, while we'll be doing everything right, but if the tax rate itself moves from, let's say, this year tax rate, if I calculate tax upon PBT is less than around 10%. But if next year, it is 25%, then despite delivering on PBT, you may -- I mean, the tax outgo itself can swing. So that is why I was hoping if the tax rate will remain more or less similar or you believe it will move up from 10% to 25% next year? That is the question.

Management : It is more of similar only because this year also, we are hardly having INR1,200 crores unabsorbed

losses. Over the whole period, we have done whatever required provisioning is there and we have paid the advanced tax. So considering the other factors, this is the normal rate is there and it is now normalized.

Nidhu Saxena: Mr. Jai sir, if you have still some elements to be answered, additional information, we will be providing. Please be rest assured on that.

Jai Mundhra : Yes, sir. I know. I know, sir. You have been very prompt. I will come back sir, yes.

Moderator: The next question is from the line of Akshay Badlani from HDFC Securities.

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Akshay Badlani: My first question is around the fact that Maharashtra government has announced farm loan waivers for KCC loans less than INR 2 Lakh . So just wanted to get a sense as to how do we see the impact of that because majority of our agri advances are in Maharashtra. And because of that, if -- do we envisage any borrower behavior that could get impacted?

That is one. And second was around, as we said that we have made some additional provisions regarding geopolitical risk. Do we also see a sense whether we could price our loans better. Is there a scope of our yield on advances going up if we are sensing some risk in the MSME sector, especially because of the geopolitical risk? Thank you.

Nidhu Saxena: So the state has already, I think, budgeted for this year that there should be a debt waiver, while the approved scheme has to still come and known to the banks. But we are aware of a couple of things because we've been the SLBC and we are otherwise also discussions at various forums. So below INR2 lakhs KCC loans, which are outstanding as on 30th September 2025 and which are overdue or have already slipped to NPA are the eligible accounts that will be considered for any scheme that will come. So we have our calculations that are in place. So overdue -- our overdue amount eligible accounts will be INR917 crores. NPA is INR1,067 crores. So put together, it is INR1,984 crores, to help to understand -- so around INR2,000 crores of debt waiver amount is what one can expect. We don't see any major challenges around this probably once the budgeted action is done and the approval is expected, if not Q1, Q2, maybe we can hope Q2 m

ax Q3.

We will see, in fact, our NPA in the agri book, we have done some estimations, calculations. My agri NPA, which is standing at 7.72% with around INR3,100 crores. With this, it will come down to INR2,037 crores. Agri NPA will actually come down to 5.33% is what we are looking. We are aware that some part of this is also where we would have maybe done some prudent write-off also. If that is -- whatever that portion, it will also -- I'm able to take it to OP.

So we don't see any major challenge around this debt waivers. Rather this FY, if the state approvals are coming, not only us, other banks also will get the benefit. My calculation is INR2,000 crores is what we get to benefit out of debt waivers. Second, there is a component is that wherever prompt payments are made by agriculturists during FY23, '24 and '25. So the government has also indicated that an amount of INR50,000 per borrower will be passed on as a prompt payment incentive. And this will not go to the loan accounts. This will be credited to their saving banks account.

So we have even done that calculation that I would get INR775 crores of SB balance if this debt waiver has to come. So we don't see a major challenge whatever things would have happened, I think the pain would have been already seen. Now is the time where it is Q3 or -- Q2 or Q3, we may see that if debt waiver is actually coming and sanctioned and the state is passing the funds, we will see these 2 positives happening in the bank.

Akshay Badlani: Understood. And on the second question regarding if we see stress building up in the second half, are we in a position to price our loans better even if there is no rate action?

Nidhu Saxena: So I think banks are free to look at the pricing part. And when we have been saying that we will grow and grow profitably, so if the risk underlying are there, we always look at pricing the risk, pricing the

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accounts, pricing the facilities that we are extending carefully. So if there is a risk, enhance risk, increase risk, we will take a suitable call and price the risk that we see coming to the bank. So this is one part of it.

But as we initially -- I also mentioned, one has to really wait and watch and see how much and by when we see the impact of this West Asia crisis. I think one good thing if it can be happening is at least the crisis find a resolution and we end the crisis. So then we can actually see. But we are very closely monitoring the likely portfolio and any benefits or anything which is flowing from the regulator dispensation or from the government.

We are fully committed to see that the benefits get passed on seamlessly to the eligible category of borrowers or even the retail category, whatever is getting to announce, we will follow that. It happens

seamlessly, and that's how we will also derisk ourselves in the process.

Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje : Congratulations. Two questions from my side.

Moderator: I'm sorry to interrupt you, Mr. Ashlesh, we are unable to hear you. Your voice is breaking.

Ashlesh Sonje : Can you hear now.

Moderator: It's better.

Ashlesh Sonje : A few questions from my side. Firstly, if you can explain the movement of the net worth because it seems like your net worth has declined quarter -on-quarter by about INR200 crores in spite of a profit of INR2,000 crores for the quarter. That is one. Secondly, your gold loan book has declined by some 17-odd percent Q -o-Q. So if you can explain that change. Thirdly, if you can share what proportion of your MSME book is covered under the CGTMSE guarantee? Fourth one, if you can share a segmental breakup of slippages? Yes, those are my questions.

Management: Yes. Regarding the first question on net worth, if you see on quarter -on-quarter basis, there is one

movement regarding the AFS reserve. And second, the Board has proposed a dividend, the final dividend amount is around 12% and -- including the interim dividend of 10%. So considering these 2 factors, you see the decline in net worth on a quarter -on-quarter basis.

Ashlesh Sonje : What would be the dividend payment amount roughly?

Management: So 22% comes to around INR1,600 crores, INR1,692 crores.

Nidhu Saxena : So answering, sir, your second part -- sorry, first, I think you asked about the decline in the gold. So gold, I mentioned also is our focus category to grow this portfolio. Year -on-year, we have -- my gold loan book stands at INR24,000 crores, which has grown by 53%. Some odd INR5,000 crores is where we have gone for co -lending arrangements, and we have signed up co -lending arrangements now with 9 leading NBFCs, all A rated and above. And we have done a sizable business in co -lending with gold NBFCs.

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So the Muthoot and the other 2, 3 companies where we have signed, so what has happened is 1st January 2026, RBI has come up with a fresh set of guidelines wherein the new model, CLM1 was mandatory to be implemented. So we had almost an exposure of INR 5,000 crores plus in co -lending with the 3 NBFCs. And the portfolio is a good yielding business to me and portfolio is doing really well.

But we did not do any fresh underwriting till the time we switched on from the CLM2 to CLM1 model, which needed some level of integrating my IT and developing, first of all, new underwriting mechanism with me and the NBFC. And it took time with NBFC also. So now by almost, I should say, first week of March, my portfolio because I was getting huge collections on a daily basis, but I had actually stopped fresh underwriting.

So with first week of March, the CLM1 model is implemented, tested, and it is working fine. And I'm getting -- RBI guidelines are allowing 15 days portfolio to be shared under the CLM1 arrangement. And we are on a daily basis, building this book to come back to the earlier levels. Market is there. The gold price and our experience with co -lending partnerships has been extremely good.

We are only happy to onboard more gold NBFCs as and when -- I mean, they are ready with the CLM1 model and discussions are underway with getting more good rated NBFCs for this co -lending piece.

So that partly explains what happened in the last quarter. And sir, one last of your query, I got this figure, sir. CG TMSE, INR 9,800 crores is the portfolio, which is backed by CGTMSE guarantee.

Ashlesh Sonje : Got it. And sir, last one was on the segmental breakup of slippages for the quarter ? Those are all the questions I had.

Nidhu Saxena : Yes, yes, the data is there sir. They'll share. Please go ahead.

Management : So in retail, there is around INR100 crores. In agri, it is around INR 300 crores. In MSME, it is around INR400 crores.

Nidhu Saxena : Sir, were we audible to you? March '26, fresh slippages sector -wise was shared. Could you take down the number?

Ashlesh Sonje : Retail INR100 crores, agri INR300 crores, MSME INR400 crores. Corporate side was?

Management: Sir, in corporate, there is no slippage.

Ashlesh Sonje : Understood, sir. Understood. Perfect, sir. Thank you very much for your detailed answers .

Moderator: Next question is from the line of Preethi RS from DSP. Please go ahead.

Preethi RS : Congratulations, first of all, on a great quarter to you and team. Sir, I was just curious to understand your thoughts on M part of the RAM portfolio. So that has -- the growth is lower than the company's average. So what are your thoughts? The growth is around 10%. And within that, the growth in medium and small is actually lower and declining?

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So what are your thoughts on that? And the second question is

on tax rate. It's wasn't clear to me. You

said it averaged around 15%, 16% this year. So what will that be when you say 2% ROA target for next year? What are you -- I mean what is the team internally building it?

Nidhu Saxena : Yes. So Preethi , the ROA target for the next year, we have kept at 1.80%. I just wanted to clarify that. Coming to MSME...

Preethi RS : When you say 1.8%, what is the tax rate that you're building?

Nidhu Saxena : Okay. So let me first take the MSME. So MSME micro book has grown small and medium. And what we have done is like we did in the retail, where we experienced a high double-digit growth, in fact, 24%, 25% and now even crossing 30%. So we had last year introduced stringent underwriting benchmarks. So we stopped funding to retail segment, individual borrowers where the credit score minimum 681 was not there.

So there is no funding permitted in the bank, and there's no discretion to any authority to permit any funding. So likewise, in MSME, we have strengthened the underwriting benchmarks. And we want to see that in this good growth times, can we have some big ticket and secured and good rated portfolio that can come and sit in our loan book. So that was the attempt.

And that's -- when we initiated this, we did come to market and announce this that we are doing the rebalancing in both the books. And simultaneously, what we were attempting that every level, whether it's a branch or a CPC is what we call where the underwriting on linked branches is happening in agri and MSME or a zonal level sanctioning committee or corporate office, there are 4 committees. GM-headed, CGM-headed, ED-headed or MD-headed and of course, the MC.

So all these committees will see that they are sanctioning proposals. So business has to be properly scouted under big ticket agri and MSME proposals, where our sense was we will get securities and see that the quality business is underwritten. So we -- temporarily in the Q1, Q2, we did see a dip. The Y-o-Y growth went down to 3%, 4%. But then after that, the pickup has started to happen. We also had some exposures to TReDS.

And we wanted to see that wherever TReDS has been allowed as a facility, are we part of the consortium or are we having other funding facilities with them? Alone TReDS, we perceived it as a risk that we are not able to actually monitor the accounts if we are doing alone TReDS. So a couple of these things were done and idea was to create -- to have a loan book, which is a quality loan book where we have a proper control on what is sitting in the loan book.

So now it is almost 11%, around INR6,000 crores we have grown, and we are not stopping. These 2 priorities and contribution from across all levels in the bank to sanction good rated agri, big ticket investment credit kind of portfolios in agri and also in MSME will continue to be there till the time we are able to go back to our original levels of 15% to 16% growth in these 2 segments. And I'm just taking help of my CFO to repeat the answer for the tax part.

Management : Yes. Ma'am, with regards to tax, so for -- on the OP, it is 13% to 14% effective tax rate is coming. So we are getting the benefit of rural advances and other thing considering all these parameters. So that is Bank of Maharashtra

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the normal tax rate. Now we are -- in the last 3 quarters, we are the normal tax paying and normal provision has been done also as per the requirement.

Preethi RS : So what should we build in for next year on PBT basis? Not OP, on PBT basis?

Management : It is around same level ma'am, because we are -- this year, we are in the normal level, so -- yes, 10%.

Management: On a PBT basis, Madam, roughly it will be around 18% to 20%.

Preethi RS : For next year, right? For '27 I mean?

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Nidhu

Saxena for closing comments.

Nidhu Saxena : So I think there's not much to add around this. We have also looked at upping our payout -- dividend payout. So 10% was the interim and 12% our Board has approved. So put together becomes 22%. We also are growing fast and having a sanction pipeline. INR72,000 crores of sanctions have been granted in the last FY in the corporate book.

And we still have undisbursed portion of INR34,500 crores, and this will keep seeing the growth in the -- healthy growth that we are recording in the corporate side going forward also. And whatever numbers that we have shared and our emphasis on recovery and recovery, particularly also from the write-off book. Our last 2 years' experience has been good. So we will continue with those efforts. We'll continue with those strategies, which are playing out well for us and giving us the results going forward.

And we are fully committed to see that whatever guidance we have shared today, the team is meeting, and we will be closely watching all these 17, 18 parameters on a quarterly basis. And we'll keep coming

to you with whatever developments are happening with in the bank in all these areas. And I must thank all of you to have sp ared time today and joined the call. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, on behalf of Bank of Maharashtra, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2026

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Dear Sir/ Madam,

Sub: Transcript of Earnings Conference Call with Investors / Analysts held on 10th July, 2026.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/ Analysts regarding Financial Results of the Bank for the quarter ended 30.06.2026 held on Friday , 10th July, 2026 .

The transcript of conference call is uploaded on Bank's website and same can be accessed through below link:
[https://bankofmaharashtra.bank.in/financial -results](https://bankofmaharashtra.bank.in/financial-results)

Kindly take the same on your records.

Thanking you

Yours faithfully,
For Bank of Maharashtra

(Vishal Sethia)
Company Secretary & Compliance Officer

Encl : As above

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"Q1 FY 2026 -27 Earnings Conference Call"
July 10, 2026

MANAGEMENT : MR. NIDHU SAXENA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

EXECUTIVE DIRECTORS , CHIEF GENERAL MANAGERS &
GENERAL MANAGERS OF THE BANK

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Moderator: Ladies and gentlemen, good day, and welcome to the Bank of Maharashtra Limited Q1 FY '27 Earnings Conference Call, hosted by Nuvama Wealth. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch -tone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Raj Jha from Nuvama Wealth. Thank you. And over to you, sir.

Moderator : Thank you, Sagar. Good evening, everyone. Thank you all for joining Bank of Maharashtra's Q1 FY '27 Post Results Conference Call. From the management team, we have Mr. Nidhu Saxena, Managing Director and CEO; Mr. Prabhat Kiran, Executive Director; and Mr. Sushanta Kumar Mohanty, Executive Director. We, at the Nuvama Wealth team are grateful to the bank for giving us the opportunity to host this conference call.

Without further delay, I would now like to hand over the call to Mr. Nidhu Saxena for his opening remarks. Post that, we will open the floor for the Q&A session. Over to you, sir.

Nidhu Saxena : Thank you. And at the outset, I extend a warm welcome to all the investors for joining this investor call. June 2026, Q1 of this FY, has yet another good quarter of business growth for the bank, wherein we have seen no major challenges around our asset quality, which is getting maintained at the same good healthy levels. The stress in the loan book also is being well managed. There has been improvement around that. Our efficiency ratios, profitability ratios also have -- is showing signs of consistency, and we continue to consistently maintain our performance over now past several quarters.

Coming to specific numbers. We had, in my last interaction, shared the guidance number on around 15, 16 parameters. I'm happy to share that all the guidance around the growth parameters, the profitability parameters, asset quality parameters, profitability , efficiency parameters. We are maintaining a performance in this Q1, which is above the guidance numbers. Specifically speaking, total business, which was guidance of 16% to 17%. We have grown year -on-year by 19%, INR 1,04,000 crores of business is added in the past one year. Total advances against 18%, we have grown at Y -o-Y 27%, INR65,000 crores of advances have been added.

Total deposits also 14% against 14% guidance, we are 13%. The CASA within which have also grown year -on-year by 9% by -- in percentage terms and INR14,000 crores in amount terms. The RAM book versus corporate book, the ratio has been maintained at 63:37. Our individually, our Retail has grown at 25%, Agri at 30% MSME at 23%, and corporate book also has a healthy 30% growth year -on-year.

Gross NPA is maintained at the March level 1.45% against our guidance of maintaining it below 2%. NNPA likewise, against our guidance of maintaining less than 0.25% is maintained at Bank of Maharashtra

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0.13%. PCR stands at a healthy 98.55%. Recovery performance in the Q1 also has been reasonably good. INR 709 crores of recovery happened within which cash is INR 490 crores odd, and upgrades are INR208 crores.

Recovery from the write -off book has been INR305 crores in the Q1. Our stress percentage also has come down in the overall loan book to 3.18%, which is 140 bps improvement year -on-year in the stress percentage. In terms of amount wise also, the stress number has come down in absolute terms by INR 1,300 crores. The leaving SMA 0, SMA 1 plus SMA 2 that book also has registered improvement of 5 basis points. It is now at 1.34% year -on-year.

Coming to the profitability. Operating profit has shown a healthy growth of 21% year -o

n-year

with adding INR 547 crores, our OP is INR3,117 crores. Net profit for the Q1 is INR2,020 crores, which is a year -on-year increase of 27%. The NIM stands at 3.85%. It has been a reduction of 10 bps, but we are healthy 10 bps above our guidance number of 3.75%, which again, I would

say, is a decent number to maintain at this level. ROA at 1.9% is, again, an improvement of 10 bps year -on-year. Likewise, ROE has improved 165 bps year -on-year and stands at 24.65%. The cost of funds and cost of deposits both have seen improvement by way of reduction by 25 bps and 22 bps, respectively. Our credit cost has also come down by 20 basis points and has remained within our guidance of maintaining credit cost below 1%. CET1 capital adequacy, 15.56%, CRAR at 18.64% qualifies us to be well-capitalized, adequately capitalized bank. I think these are the high-level information that I will share. I would like to take questions from investors and then we would like to also keep adding some more inputs around the overall decent performance in the bank in the Q1.

Mod erator : Should we open the floor for questions now, sir?

Nidhu Saxena : Yes, please.

Mod erator : Thank you very much sir. Your first question comes from the line of Priyank Chheda with Vallum Capital. Please go ahead.

Priyank Chheda : Hi, this is a Priyank Chheda from Vallum Capital. What a fantastic start to FY '27, Nidhu, sir!

First question, our NII growth, which is net interest income growth has lagged our total advances growth of 27% versus NII growth of 14.5%. And I understand as well as reconciled that PPOP growth, which is operating profit growth has been 21%, which is again higher, but still lagging the loan growth, which only means that NIMs have a bit compressed. And yet, they are higher than what you have guided?

So just would like to understand, would you want us to only focus on operating profit growth along with the higher -- way higher loan growth, which is with the system level growth, which is also expanding and improving. So just guide us on how NII growth with loan growth would pan out for the full year or Q1, anything to call out as one-off?

Nidhu Saxena : So while if you look at the...

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Mod erator : Sorry for that, sir.

Nidhu Saxena : Yes, so I'll be audible to the investors, right? Am I audible?

Mod erator : Yes, sir, you are.

Nidhu Saxena : Okay. There was a -- I think, recorded message, which played. Anyway. Coming to the question, if you see the NII guidance, which was given as 15% and the NIM guidance, you rightly observed at 3.75%. What we have done in Q1, it is we have maintained both the numbers. And I think we are as a management, as a bank, we are committed to the guidance numbers that we have shared. And we will, going forward, keep continuing to maintain these levels.

Profitability and doing growth not mindlessly or increasing your top line has always been a conscious element in our growth journey. So we are always focusing on growth, which is a profitable one, where there is no compromise on the asset quality. And that's how we look things remaining sustainable in the medium to long term.

So this year to look at getting good interest income the overall profitability from the system. We have done a couple of initiatives which are different and probably, I would say, pioneering it in the industry in our review mechanism with our field leaders.

So today, there is a -- my risk management has developed a simple profitability dashboard, which gives a sense to my Branch Manager and the Zonal Manager as to if the incremental business in the quarter has happened at some rate, whether the profitability out of that incremental business has grown at the same level or at the higher level or at the lower level. So they are very consciously tracking this top line growth as well as the bottom line growth.

with.

And that's how we have built the consciousness down to the branch head level that in the individual accounts also when they are negotiating the pricing with the clients, they are ensuring that the negotiation is a smart negotiation. The negotiation leads to a price which the Bank of Maharashtra brand deserves to charge to the client. And we are very conscious about our good tact, good experience to the client.

And sometimes, we even try to see that clients happily pay a price for the good service or the turnaround time, which is reasonable or a decent turnaround time. So with every credit decision we have built this consciousness around. So we are also seeing probably in coming quarters we will see that we are commanding good rates at the account level, the concessions in charges also are well negotiated. And that's how we will see our NII growth also is happening this thing in the manner, it ought to be.

Priyank Chheda: Perfectly, we understood, sir. Definitely, there are a lot of operating level changes happening.

And no doubt of that. When you guided for loan growth in FY27 at the start of this year or meaning at the end of last quarter, the system level growth has been accelerating versus what you had guided at that point of time. And rightfully, even your advances growth has been

accelerating in that manner.
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Would you want to revisit your guidance of 18% loan growth for the full year to the higher number? And wanted -- on the other side, I wanted your observation on the current account balances. I understand that Q1 is usually weaker and it's usually 10% softer than the Q4 or year-ending quarter. This time, it was quite a bit steeper decline that we saw in current account balances, I could not reconcile if there was a corporate loan growth happening. So I thought that, current account balances should have seen sharp increase. Anything -- any observations on that would be happy to hear.

Nidhu Saxena: Right. So coming to first, your question on advances. Advances 27% growth, 3% growth out of this 27% growth is the contribution coming from the IBU, which today has become a sizable book for us, INR8,200 crores in almost 8 to 9 months is what we have built there. The 24% is, yes, a healthy growth.

We have seen traction in all the verticals, Retail, Agri, MSME even the corporate is growing at a decently good rate. We are maintaining this kind of high double-digit corporate loan growth. For the last four quarters, I'm seeing it is 17%, 18%. And this time, it is almost 30%.

So this is what is going to continue. I would not like to look at, relook at, revisit our guidance of 18% growth. But I think the way things are happening, it looks that we are able to perform likewise, other plays in the industry at a higher level. But we will maintain the guidance at 18%. As regards to the current account, it is not a major concern at all. It is just 2,500 to 3,000 bps in the overall current account book is not a very big size when you compare with SB book of 1.28 lakhs. Current account doesn't compare to the INR3,000 crores of negative. And these things fluctuations do come sometimes. But the way we are growing our CASA, which is today, CASA in this, despite this degrowth has grown Y-o-Y 9%. And we have added INR14,000 crores of CASA in our city.

A lot of initiatives are taken around trying to see that fresh accounts get added to the bank, it's a new individual deposits, which are stable deposits come and add to the bank kitty. We are the bank which is also differentiated in terms of faster expansion. We are opening branches annually at the rate of 200 branches, expanding our footprints in the country. And all these new branches are being opened at potential growth centers in the country, very scientifically identified using a lot of Pin code-level data.

And these branches today are br

inging us the stable deposits of individuals, including saving and current. And in terms of new offerings, new products that we are giving to our field they are actually finding that differentiated options, which are not available in the -- from the other players are being provided to them, which gives them the definite advantage and reasons for clients to choose us over the other banks.

Last year, we had done a product around and claiming it as global saving options brought to you in India by the bank. And that product has really brought a lot of traction and it is going to continue to contribute in the core stable CASA.

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We also have looked at CASA for giving some technology support there. So our mobile banking application, which is a revamped application, which is now nine months around, it has spent the new version. And we have seen that the active registered users number in the old version from 2.75 lakhs. The number has crossed 14 lakhs, 3 days back, and it is counting.

So when you are getting more and more people onboarded on your mobile platform, we are seeing that the balances that are getting maintained in these individual accounts are also going up. And that's how a lot of technology, new product ideas are being given its support to see that the stable core CASA in the book grows.

Priyank Chheda: So very heartening to hear that. And just last question. On the provisions, quarter-on-quarter, a slight increase had to do with most likely to be with Agri loans and maybe a deferment of debt waiver scheme, if you can confirm that.

And additionally, with that debt waiver coming in, would you like to mention what can be the benefits and the P&L implications or balance sheet implications for Bank of Maharashtra? And one clarification required on the taxation rate, what should we assume for '27? I remember we had utilized all the DTA last year. So what explains the current lower tax rate, which is a

percentage of PBT? Three question, sorry. Last, Thank you.

Nidhu Saxena: Yes. So I will take them one by one. Debt waiver is what I remember. So debt waiver, the scheme is still under formulation, but we have the covenants of the scheme and our eligible portfolio, we have rough numbers to share. And around INR3,500 crores is eligible amount in case of debt waiver. From the government receivable to us will be INR2,750 crores. And INR260 crores out of this amount has to come from the farmers. That's what the scheme is.

Max haircut to the bank is around the range of INR450 crores to INR500 crores, we hold already a provision of INR1,700 crores in this debt waiver eligible accounts. There is also a TWO of INR1,100 crores in this debt waiver eligible accounts. So I think like the other banks, since we have a predominance presence in Agri, my predominantly book Agri -- the large part is also in Maharashtra.

I think we stand to also benefit in this debt waiver scheme when we will see that the accounts which are identified already, there is a TWO book of INR1,100 crores and total overall provisions that I'm holding is INR1,700 crores. So any haircut we are taking is actually already provided for. And with TWO recovery that may happen out of this will also incrementally help my OP, in that way. Of course, there is also one element, which is for regular payments by farmers.

The government is -- Maharashtra government has created a provision of incentivizing them and INR50,000 per account per farmer would be given as the incentive in their SB accounts. So we have our calculations. We may get some SB balance also in a significant number through this debt waiver settlement whenever that is coming.

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And of course, it is expected to happen within this FY, definitely, the way things are moving. Credit cost also has come down again

st our guidance to maintain it below 1%. It has been 0.99% for this Q1 and which is a Y-o-Y 20 bps improvement in this metric.

Management: Sir, with regards to tax rate -- so sir, like last -- earlier also, we said that our tax rate is on the OP basis, it is coming 13% to 14%. And if you are asking for a PBT basis, then it is 16% to 17%. So earlier, we also said that it have a multiple levers and but also over -- now we are normal tax bucket rate, and that is on PBT basis, 16% to 17% rate is there.

Priyank Chheda: Sorry, I couldn't hear you clearly. What would be that benefit, if you can help us repeat for the larger audience? Is this a structural -- would it change for one year or would it remain for multiple years?

Management: Sir, basically, tax rate for the -- we are getting the benefit of rural advances since most of the branches having rural advances of our around 40% branches in rural. So that benefit we are getting under tax rate. And apart from that bad debts also -- for bad debts write-off, we are getting the tax benefit. And apart from that, sir, DTA also is one of the factor impacting. So considering all these factors, our operating profit of OP basis, the tax rate will come in around 12% to 13% and PBT basis, it is coming around 16% to 17%.

Moderator: The next question comes from the line of Akshay Badlani with Motilal Oswal.

Akshay Badlani: First question is around the lines of deposits. The CD ratio is now around 87%, 88%. So how is the deposit growth going beyond the state of Maharashtra? And till what CD ratio would we be comfortable given the growth has been very healthy. So where would we be comfortable with CD ratio? And what kind of progress we have done in institute especially, institutional deposits outside Maharashtra?

Nidhu Saxena: I will answer this question in two ways. One is the deposit growth you have mentioned. And I would like to give you a perspective that how we have done in this Q1. Very consciously looking at the margins and what are the various sources deposits that your branches are become -- bringing from the individuals, the institutional deposits, government, corporates that is coming to you. You have refinance also as an option. You have options to raise CDs also.

So if you look at my deposit growth, the average deposit growth, what we have seen this Q1, we decided for some time, we are not doing any fresh CD issuances. In Q1, I have this deposit growth of 13% with no CD raised in the Q1. While the PSB average is 11% deposit growth and minus the CD because most of the players have taken the help of CD.

So 10%, the PSBs as a group have grown. Private Banks, 14% is the deposit growth. And 11% is the minus CD, in the core deposit time or demand deposits, they have grown. So 3% more than that. So we have grown 13% with no CD raised in the Q1. So if you see the way we look at it, CD is going to be coming with a runoff factor of 40%.

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It is by intrinsic short-term nature. Maximum tenure is one year. What we are doing is, we are funding our credit growth entirely by deposits. So we are not borrowing and funding. And this we are doing why? Because we are very conscious about the margins.

So coming to the CD ratio. Yes, CD ratio, you may see it elevated. My global CD ratio because it has a composition of IBU also where we don't have deposits, where we are doing borrowings and lending. Look at the domestic CD is also 86%. While we have -- what we have done is for last, I think, now six quarters, I've been talking about this, sharing even the numbers, we have gone for a lot of refinance.

And refinance, which in the last year was INR14,000 crores, INR15,000 crores. We have almost INR19,000 crores of refinance that we have taken. If I consider this refinance, my CD ratio is 81.99%. So refinance, again, why we decided not to go for high-cost bulk deposit

, the blended

cost that we have experienced while we go for refinance is in the range of 6% to 6.5%.

Now when we are going for refinance, there is no CRR and SLR loading. So we found that this is a viable proposition to raise resources for funding my credit growth rather than going for high-cost bulk deposits. And ultimately, the outcome is that we are conscious about the margin part of it.

Having said this, CDs refinance, we also -- yes, we are also mindful of this. We are tracking this number. We feel the high credit growth that is happening, we would not like to lose any new opportunity for growth. So we have other sources. Today, if you see the ecosystem, there is a clear marked shift of consumers moving to other asset classes.

So if you keep depending always on individual deposits and bank plans to grow, I think there is a high time we need to relook this. So we are very consciously seeing -- analysing this, and we are seeing a clear shift. People are going to other asset classes, SIP, mutual funds and all those things.

So your deposits are going to go down in the -- so refinance is option, you can do CDs. We also have a Board-approved plan, capital raising plan for raising equity, INR5,000 crores for this FY. RBI approval is with us. Shareholders have approved. We have sent our request to the government. And the moment government approval is coming, we are good to go.

Any time, opportune time during this FY to support our fast credit growth, we can raise equity also. While I'm adequately capitalized, I don't have an urgent dire need to raise to maintain, but this is what -- this is how we are looking at. And to answer your question, last year, we are tracking these numbers because a lot of new branch openings are also happening.

So last year, INR21,000 crores in deposits, we have raised outside Maharashtra. Out of our total growth of INR43,000 crores in deposits, INR21,000 crores contribution is coming from outside Maharashtra. So I think I have answered all your questions, sir.

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Akshay Badlani : Yes, sir. Thank you for that. And just one last question was around the opex. I think this quarter, our opex growth has been around 8%, 9% against balance sheet growth of over 20%. So is this like a one-off in this quarter? Or are we structurally seeing better operating leverage going forward?

Nidhu Saxena : Staff cost, is that you are -- there is a -- see, today, the way we are growing, expanding in our national footprints, we need a lot of manpower to man these new branches. Today, two years back, our staff strength stood around INR13,000 crores. We are now INR17,500 crores -- sorry, I'm sorry 17,500 in numbers.

And the way we look at it, any new branch that we are opening, if you don't adequately staff, you are also into the business of finance, and we should not unnecessarily open ourselves to any operational risk. So the minimum staffing that we feel is required is provided to the branches from the day one, and they are not just focusing on doing the transactions.

They are also required to be making new customer acquisitions in the new geography in the new pin code that where we have opened our branch. So we rather like to staff the branch adequately. And that recruitment exercise is going to keep going on.

What we have found that, in the long or in the medium run, what we have seen, if you see my cost-to-income guidance has been to maintain it below 40%, the way we are increasing our opex by opening new branches, recruiting staff, I was thinking with 37%, 38% kind of 36%, 37%, 38% that we've been maintaining, we should try to maintain it below 40%.

But we have been maintaining a good cost to income. And large part is seen that whatever branches that we have opened, we are seeing the branches which were opened three years or

more from now, all have turned profitable. Two years

to three years, there was some data we had taken. So a significant percentage of branches have breakeven.

So that's what we are seeing. When you're opening branches in the right locations, potential centers, potential growth centers of the country, you will see that new business will come fast and the branch will also breakeven fast.

And we -- the incremental cost that is coming by opening new branches, the revenue that they are generating, the profitability they are generating, it is more than offsetting the cost that is we are experiencing in opening new branches, recruiting.

So that's how we are into the growth story. We are not reducing the pace of opening branches or recruiting staff. We will keep doing the same pace as per the need. We are -- so maybe some staff opex cost would have gone up. But today, if you see the cost to income that I'm maintaining is a decent number.

Many of the private banks also don't -- I mean, they are around that or at least, I would say, a guidance of maintaining below 40% is a decent cost to income to maintain, which we are maintaining.

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Akshay Badlani : Sure, sir. Thank you. Thank you for answering the questions.

Moderator: Thank you. The next question comes from the line of Parth Gutka with 360 One Capital. Please go ahead.

Parth Gutka : Yeah. Hi, sir. Thanks a lot for the opportunity. Sir, my first question is, can you give some color why advances declined so sharply during the quarter?

Nidhu Saxena : So sir, I think you'll have to read it again because advances growth has happened, sir. We have -- in fact, this Q1 has seen advances growth of 27% Y-o-Y.

Parth Gutka : Sir, I'm talking about the yield on advances, sir.

Nidhu Saxena : Yield, I did not hear that. Sorry, we heard advances. I'm sorry. Let me just look at that. So yes, 8.57%, 71 bps is what you are looking at. So there is MCLR reset we had with these rate cuts in the past FY, which were announced. So the full year effect, I would say, would have been felt by the -- this -- I think this time around, when we have started to cut the MCLR, the eligible portfolio with MCLR gets to reset annually when the account is coming for review.

And in fact, one of the reasons I decided to keep our NIM guidance at 3.75%, we were expecting probably there will be further rate cuts. But now the way the West Asia crisis has come in and things have evolved, at least now discussions are not around any further rate cuts. It simply looks like for sure. And rather maybe there could be a review and you may see an interest rate going up.

So this is how, but I think we are very, very conscious in terms of profitability of the business that we are doing. And as I just explained with some example also that at the transaction level, that sensibility we are trying to bring to our branches that the profitability is not a central office function alone. That central office verticals only do and the field only focuses on the top line growth.

But now in their review, we have made this as an essential element of review. And we have also decided to quickly see how the first quarter outcomes are. Maybe I may even decide to allocate in their performance appraisals, some weightage towards if they're doing business growth, how profitable the growth is, we will work out some mechanism around and assign them due marks towards increasing business and increasing business profitability.

So if that kind of sensibility is going to come, I think we will see that in any case, bank is maintaining a good profitability, a healthy number, which is there. And one last thing which I'd like to mention, see, GIFT IBU has been an addition in the bank eight to nine months back, and we have now \$965 million of sanctions in the IBU, INR8,200 crores of books.

So the 8.57%, what I have mentioned is the global yield. So the domestic yield, if you look at is

8.66%. So which is only not 20 bps, it is 13 bps difference over the quarter. But I think that's how we are very mindful and conscious of doing profitable business, both in the asset side and the liability side.

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Parth Gutka : Sure, sir. And sir, my second question is, how are you thinking in terms of the COVID provision buffer that you have? You had around INR1,200 crores last year, and then we draw down some provisions. So how are we thinking on that? And the follow-up on the provision is, we do not hold any provisions towards ECL. Is that the right assessment?

Nidhu Saxena : So see, provisions in terms of COVID book, I think we peaked around almost INR1,200 crores or something as a COVID provision, when 2021, when we started to build this provision. And there was some INR4,000 crores of restructured book that we were keeping at that time. And now it has come down to almost INR1,050 crores.

So we almost have provision 100% of the restructured book, which is actually not required, as you rightly pointed out. But this is, again, a prudent way to provide for any unforeseen or future delinquencies is what has happened over the last three, four years. In terms of ECL, and this gives me only extra buffer and cushion.

And we are always mindful whenever there are any high-level suggestions coming from the RBI also when honorable governor or deputy governors, they are speaking. For the last one, two years, I recall, the broad nudge was that we are passing a benign phase and these are the best times, but you need to keep yourself adequately capitalized.

You need to create buffers and cushions, and that's exactly what we've been doing. But today, as you rightly said, with 1,000 % -- INR1,000 crores of restructured book and equal amount of COVID loan provision, we don't need to really make that. But we have other avenues to utilize this, write back this, which we will be looking at gradually as the quarter-on-quarters are there.

As regards to ECL, we already have -- even when the draft stage guidelines were there, we had decided and we had made a provision of INR255 crores. Today, we -- in terms of ECL, our calculations are it is INR2,500 crores is the total provision that I may require to keep maintain in a 4-year period up to 31st March 2031, which gives me around every quarter, INR125. INR125 crores every quarter I have to make for ECL.

So for around two quarters, we have already done when the draft stage was there. And when the guidelines set in, I see no challenge at all in being able to create this extra provision on this ECL also. The ECL guidelines, which have now been conveyed, they've also said that any provisioning you are doing is going to impact your net worth and not impact the P&L.

So that change also is now seen, which I think going forward, ECL does not remain a concern anymore. Otherwise, also it was not. And it does not -- with this final guidelines from the regulator where it does not impact your PL, it is the net worth that gets adjusted with the provisions. Maybe I'll ask my CFO also to just add anything to what I have said.

Management: Sir, further with regards to this, also that RBI has changed the CRAR calculations. Now the quarterly profit is also allowed for the -- taking the CRAR calculation and considering that 4 years past, we have to give the initial impact on the CRAR. So considering all these things, we Bank of Maharashtra

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are not seeing that anything is required as of now and we are sufficiently having buffer provisioning also. So considering that we are very comfortable on ECL side, sir.

Parth Gutka : Sure, sir. Thanks. And my last two questions. When I see the gross NPA across all your retail segments, housing vehicles, education loans has gone up Q-o-Q. And also within the MSME segment, micro, small and me

dium, the gross NPA has gone up on a Q-o-Q basis. So anything to read into here? That's my first question and second is what was the LCR at the end of the quarter, sir?

Nidhu Saxena : So NPA, if you ask me segment-wise, while we'll look at the NPA amount, but retail is 0.34%. Agri is 7.58%, which is again has reduced from 9% in a couple of quarters back. MSME stands at 1.60% and total in the RAM is 1.23%. It's not a cause of a serious concern to look at. And we'll just -- but still in amount-wise, have we changed?

Management: Yes, INR73 crores, it has gone to INR 150 crores.

Nidhu Saxena : Okay. So whatever change I'm looking at the slide, it is not something that we need to be worrying of. We are very, very conscious in new underwriting. In fact, whatever growth this bank we are registering in the last 12 to 15 months, we have stringent underwriting standards, benchmark.

There's no compromise on the quality, as I said earlier. We have stopped underwriting any segment loan, even in personal segment, where the TransUnion CIBIL score, where we have benchmarked our entire underwriting in the bank, where the individual CIBIL score is less than 681, so which is the definition of CIBIL TransUnion as a subprime category.

So all our sanctioning in the past 15 months have been in the segment, which are prime and super prime categories. We had even looked at the sanctions that happened in say home loans, which is one of the big categories, 50% of retail book comes through home loans. So home loans

after we set this strengthened underwriting benchmark, we had 57 % -- 23% of sanctions in 12 months in home loans, where the CIBIL score was 800 and above. And 750 to 800 CIBIL score, 57% sanctions in the past 1 year. You add 57 plus 23% it becomes 80% of new sanctions in home loans was from the prime and super prime categories. So we are very, very conscious about the loan book that is being created, both in all the segments. We have been very mindful about not achieving growth on two parameters are important. The mantra is very clear. It has to be a profitable growth and no compromise on the quality. So whether it's the RAM book or the corporate book, we are very conscious on what new clients are getting added to us.

This is what I would like to also share LCR on an average basis, we have kept a band of 115% to 120% on an average basis was 118% is what we are maintaining. Terminal LCR was 114%. But we feel that LCR between 115% to 120% is prudent to maintain and you are able to see that Bank of Maharashtra
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a good deployment and interest earning is happening if you are maintaining the liquidity within this band.

Parth Gutka : Sure, sir. Thanks a lot for answering all my questions.

Moderator: Thank you. The next question comes from the line of Suhani Goyal with ICICI Securities. Please go ahead.

Jay Mundra : Yes, sir, this is Jay Mundra. Sir, a few questions before that congratulations, sir, on a steady number. Sir, first thing on your yield on advances and cost of deposit trajectory from here onwards, assuming there is no rate change. And I hear your commentary on the overseas and GIFT IBU business growth. But -- I mean including that also, how should one look at the yield on advances incrementally as we go ahead?

Nidhu Saxena : Mr. Jay , thank you for the observation you made regarding the performance. Coming to your questions, while we see that the cost of deposits today, we have improved, the reduction has been 22 bps, 4.38% and focus is to get core deposits from the branches. And CASA is always the focus to get and with a lot of initiatives around bringing innovative products.

Bringing -- taking help of technology to help us get new business, within which the low cost always remains our focus. And with this new set of branches that we are opening and opening in potential centers of the country, they're a

lot giving me a lot of core stable retail deposits, which we would like to have in our books.

So we haven't actually -- I don't have a number ready in mind to share with you. But yes today when we look at our global book versus the IBU. Today, IBU book is 2%, 3%. But yes I'm mindful of the fact that what you are going to get in domestic in terms of profitability, domestic NIM, you will not get that kind of a NIM in overseas business.

But currently, it is a very small part of our total book, INR293 crores of loan book and here is INR8,000 crores. But IBU has also in terms of optics, in terms of new opportunities to explore in terms of getting stickiness of our corporate clients to remain with us for all their banking needs and they feel like raising ECB.

Now they don't need to look here there, bank can help ECB raise also. And we have got a lot of -- in terms of traction already in this IBU. So -- but I will not have any specific numbers, but we would like to maintain this yield and this cost of funds and deposits. And this is a very dynamic market that we are into. And there cannot be one specific way to do it in the remaining three quarters. We are very mindful, as I said, of the margins, the business and the profitability part of the business. So both as set side and liability side we are mindful that we are doing and growing profitably.

Jay Mundra: Sure. No, I respect that. What I was trying to understand is if you think that cost of deposit is going to get higher? And is there any lever with you to actually improve the spread on the yield Bank of Maharashtra

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side and also as to maintain the margins. So that is what I was trying to understand that if you think that cost of deposits...

Nidhu Saxena: I got it. Maybe a little bit, I can -- I did respond to this in some other question, that we are not expecting also any further rate cuts. Maybe if there is a rate hike you may get to see in subsequent quarters, that also adds to your yield and other things. But I think we are very -- I do not have any specific numbers, but today, if you look at my -- this is one thing, okay, let me share this

with you.

Tomorrow, my MCLR book today stands at 44% and my Repo -linked book is 53%. So, with this -- tomorrow, if there is a rate cut, I can -- I'm sorry, a rate hike in the repo, I will immediately see a big benefit coming because my 53% of loan book now is Repo -linked. At some point of time, my MCLR book was 55%, 57%.

But now with this change scenario where my corporate has also grown and maybe the retail segments, retail MSME have grown handsomely and this retail Repo -linked book becoming 53%. This is what I think will be something contributing in a big way for this. Then again, we have also in the last two, three reviews in ALCO, we have actually looked at increasing MCLR. And we have done it also.

So MCLR base that has been cleared in our last two months ALCO, we will see that these portfolios of accounts in the next one year, as and when they are falling due for reset, we will see that the interest earnings at the reset, they will see MCLR hike also. So, these two things are something which will help us not see any further down, but the yield of advances may be going up only.

Jai Mundhra: Sure, sir. I think that is very helpful. Sir, I wanted to...

Mod erator : Sorry to interrupt. Sir, your audio is breaking. The line is not clear. As there is no response from the line of current participant, we'll move on to our next question. The next question comes from the line of Ashlesh Sonje with Kotak Securities.

Ashlesh Sonje : Sir, first question is on the ECLGS scheme. If you can share what is the amount of sanctions and disbursements we have done so far? And if you can also highlight if there is any specific product segment or borrower segment, which is showing more interest in the scheme?

Nidhu Saxena: Our

performance, I would say, has been decent. We have INR6,700 crores of eligible portfolio under ECLGS, within which we have already conveyed sanction of INR4,500 crores. So, 65% of eligible portfolio has already been accorded sanctioned from the bank. Out of INR4,500 crores of sanctions, INR3,560 crores already stands disbursed.

So, 82% of ECLGS sanctions are disbursed. And when we look at eligible versus disbursed, like not 100% of borrowers would like to avail the ECLGS facility. But we still are pursuing to reach out to all the clients, 53% of our eligible portfolio has already been disbursed. So, we are continuously reaching out.

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Our experience has been that while the MSMEs comparatively to corporates are more willing to look at this option and avail the emergency line. Out of my INR3,560 crores of ECLGS amount disbursed so far, INR2,700 crores is MSME and INR400 crores is corporate.

Ashlesh Sonje : Understood sir. Sir, second one is on the FCNR deposit scheme. If you can share what is the progress so far? And if you can also give some qualitative color on what are the processes, approvals, partnerships that are needed for mobilizing these projects?

Nidhu Saxena: So, this is yet another opportunity, which has come to the system to raise dollar deposits and get liquidity for your Indian operations. While initially, the Reserve Bank of India guidelines and more engagements with RBI, they have also now issued FAQ, which has addressed all the issues and concerns from the bank's side

And all of the banks are looking and even we are looking at this opportunity to see that what is the optimum or maximum mobilization that can come to the bank through this window. Initially, when we envisage the product, the pricing or the rate that we were offering, we thought with the changes and clarifications that have been coming in the FAQs from the regulator, we should take an aggressive stance comparatively.

So, we are -- now we are offering for a 5 -year FCNR deposit, a rate of 6.60, which compares us with the best offers that are available in the industry, definitely from the PSB space. And we are now working around the strategies, the ways to do the reach out as well and see how maximum utilization or traction that we can build around this.

Currently, the business mobilization already started, but it's a very initial stage. We don't -- I don't have a big number to inform. But since very consciously, we have improved our initial rates to such high level 6.60%, we definitely plan to make maximum use of this offering that we are doing. And maybe the following weeks, months, August and September, one may see major traction coming in from mobilization with all the banks, and we will also see that, how best we can utilize the opportunity.

Ashlesh Sonje : Understood, sir. And last question from my side. Your cost of deposits has increased by 5 basis points Q -on-Q. Do you expect this to increase again in the next quarter also?

Nidhu Saxena: So, in terms of cost of deposits, year -on-year basis, they have actually sharply reduced. They have come down to 4.38% by 22 bps. There is also -- if you see, we are also seeing a shift that

my TD growth, the Time Deposit even from the retail segment, our TD, Term Deposit growth is at 16% while my total deposits are growing at 13%.

So, a lot of our individual segment deposits are also -- depositors are also taking benefit of the high interest rates that we sometimes like to offer to individual clients through our special schemes, limited period schemes. And we want to give them the options to remain competitive in the market. I don't wish my retail depositors to look at other banks for their -- getting returns on savings. So, we like to give them decent offerings while we are not -- we are averse sometimes to high-cost bulk deposits from institutions.

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But for retail clients, so this is what we have seen a lot of CASA has also converted through time deposits from retail segment as well. And which is Q-on-Q basis is what we have seen, while the year-on-year 22 bps improvement came to us in terms of reduction. But the Q-on-Q, there's a slight 5 bps increase and the reason I just explained, sir.

Ashlesh Sonje : That is understood, sir. Sir, I'm just checking whether, because you get a visibility into the mix of incremental deposits that are coming, whether it is CASA, term deposits, retail term deposits, wholesale term deposits, you would also get a sense of what is happening on the renewal of your term deposits, whether it is coming at a higher cost. As a mix of all of that, do you think the cost of deposits has now kind of bottomed out and will only increase from here? That is the question.

Nidhu Saxena: I do not think because -- you are also getting to explore new avenues to raise resources. I think we must understand there is a clear shift among the -- household savings also have moved from banks or to other asset class through the SIP mutual fund. And this is an irreversible phenomenon. Even from the Tier 2, 3 cities, if somebody looks at the number of Demat accounts that have been opened in the country, those numbers are clear indication to the shift and people are willing to get higher returns, better returns and not just depend on bank deposits.

But yes, there is a trade-off that -- but they are willing to maybe take some higher risk, compromise a little bit on the liquidity part, which a bank deposit typically would offer. But this is how things are growing. So for your raising resources to fuel your growth, fund your growth, credit growth, you have to look at not only deposits, you have to look at other sources where you can.

So we have been doing a lot of refinance. CD is an option, but we have seen that it is a short-term measure and borrowing at some cost, sometimes if it is not helping my margins and rather denting the margins, I would not like to do that. So refinance has been where our blended cost has been 6% - 6.5%. We have done that significantly also, I would say. We also can now, I think, with a high ROE that we are commanding, we can look at some capital raising in course of this year.

We already have a Board and shareholder approval to raise equity. At opportune time, we can even look at raising capital to fund this high double-digit growth that we are experiencing in the bank. I would not like to lose any opportunity to not grow. And wherever the growth is a profitable growth, is what the only requirement is. So these are the various sources that we will have to be mindfully watching and operating around them.

Ashlesh Sonje: Thank you, sir. Thank you for the elaborate answer. That is all the questions I have.

Moderator: Thank you. The next question comes from the line of Abhishek Murarka with HSBC. Please go ahead.

Abhishek Murarka: Hello, hi. Actually, my question has been answered. So thank you so much and all the best.

Nidhu Saxena: Thank you Abhishek for taking out time to come and sit through our call. Thank you so much.

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Abhishek Murarka: Thank you sir, it is a pleasure. Thank you.

Moderator: Thank you. Our next question comes from CA Dr. Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Thanks for giving this opportunity at the far end. So sir, compliments to you for very steady performance in the first quarter of this financial year, which was otherwise -- which is a difficult quarter, Nidhu sir. And many of the questions have already been answered in such a detailed answer which you have given. So sir, I will just take up on the treasury. Treasury operations in this quarter has contributed a lot in the profitability of I

NR266 crores as compared to INR33

crores in the March quarter. So sir, going forward, how do we see the treasury working out treasury operations and the profitability on that, which includes the profit on the investments and from the forex also?

Nidhu Saxena: While what you have noticed, Ajmeraji, let me thank you for commenting on the bank's performance. But this treasury income had a component of a one-time SR of INR104 crores. So this is what is the contribution. While we are looking at our treasury income on a consistent basis, but this figure that you just mentioned has a large one-time contribution, which I thought I will clarify.

Ashok Ajmera: Sir, going forward, sir, in the coming quarters, do we feel some good income coming from the treasury matching even this one-time also?

Nidhu Saxena: So while is this -- there are some SRs and in this particular SR, this is not the final payment. We may see in subsequent quarters. But we have also improved on -- we have got a lot of skill sets at senior levels. And treasury also, we have recruited people from other public sector banks. And I mean, I am sure there will be -- the idea is to see how smartly we are able to manage our treasury operations.

And while we do not give any targets to treasury for profits, but yes, there are a lot of ways to augment income from the activities that are happening in the treasury. And not only that we are not currently doing, but any possibility to have any incremental contribution to the profitability of the bank. Yes, we do not want to lose out on any possible opportunities, what I thought I will make.

Ashok Ajmera: Yes, sir. Point well taken, sir. Sir, in the net worth calculation, I just observed that in addition to the profit added of this quarter, of the last quarter's last net worth, INR488 crores additional has been added. So this has come from the reserves, which might have come from the AFS book? Or is it something else? -- this INR488 crores net worth is increased beyond the profits?

Management: Yes, sir. That has come from AFS reserve only. So you have rightly pointed out, sir.

Ashok Ajmera: Okay. So this fully has come from the AFS is revaluation. Sir, on the SMA front, this SMA 2 in this quarter has increased from INR56 crores to INR208 crores. So is this mean that this SMA 1, which was INR241 crores in the last quarter, has turned into SMA 2?

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And secondly, the overall gross NPA also increased by about INR188 crores. So there must be below INR5 crores, many accounts of them. So are you sensing some kind of major stress in MSME or the lower below INR5 crores accounts because of this geopolitical situations and the -- on the war front between Iran and U.S. and whatever disturbances are being created. How do you see it panning out in the coming quarters? Do you see a little more stress coming into within your -- this ECL also people have availed. So almost about INR3,100 crores has already been, I think, availed by the MSME and the corporate book only. So what are your views on this, sir?

Nidhu Saxena: Ajmeraji, there is one single government entity account, which you have seen has entered momentarily in the SMA 2. That is not a problem at all. The money has to flow from the government, and that will be getting regularized. On the contrary, if you see, the stress in the loan book has come down both in percentage terms and absolute terms also.

Year-on-year, if you see 3.18% is my stress level, which is an improvement of 140 bps. And in terms of value, INR1,300 crores stress level has come down. If you see the concern SMA 1 plus 2 despite this one government account, so SMA 1 plus 2 is 1.34%. So which is also a 5 bps improvement. So one single government account has probably distorted the SMA 2 figure when you look at stand-alone. But overall, SMA 1 plus SMA 2 also has shown improvement and t

his

particular account will get rectified. That is not a challenge that we are seeing.

Ashok Ajmera: Okay. Which is -- how much is that government account?

Nidhu Saxena: Probably not proper to name the account, but ...

Ashok Ajmera: No, not name, but the amount.

Nidhu Saxena: INR87 crores.

Ashok Ajmera: INR87 crores?

Nidhu Saxena: Yes, sir.

Ashok Ajmera: Last question in this round -- I mean, in this round, its last round only. So is on the again, on the credit growth and also the CASA Bank of Maharashtra is known for the phenomenal credit growth. And even now also, if you look at the yearly basis, it is 27%, 26.9%.

So going forward, I think one question was asked earlier by somebody, that would you like to revisit the credit growth target, which is I think that 17%, 18% is generally happening in every bank, especially in this quarter onwards. So, don't you -- I mean, think that a bank like Bank of Maharashtra, which is known for its credit growth will again go into 24%, 25% kind of a growth in this financial year?

Nidhu Saxena : So, while what you say is correct, sir, the system is also seeing that. We have also seen that private capex or maybe renewable energy, data centre, all these are emerging new areas, which has also helped lenders, the clean energy, the solar projects. So many things new which are happening.

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We've also been bullish on these sectors. We have marked them as bullish sectors where we are bullish and we are participating. These are the growth sectors in the present system. So, if you look at corporate growth year-on-year, we have grown in this Q1 at 30%.

So, while we'll see, keep this thing, also one differentiated thing that is with Bank of Maharashtra is that we are opening new branches annually at the rate of 200 branches. With every new branch that is getting functional during the year for the -- for that particular branch, the base is zero.

Any incremental deposit, any incremental advance that happens in that particular branch only adds up to the overall growth of the bank.

And that's how this is one of the contributing factors where we are continuously delivering industry-leading performance, more than what the industry average is. And this is not going to go down because our branch expansion plan is a 5 year plan. So, for the next 2 to 3 years, we will continue to experience this kind of credit growth.

But I think -- and we also have marked some sectors as our focus sectors. So, whether it's a vehicle loan among our existing clients where we are doing cross-selling to our MSME customers, large credit customers and doing big ticket vehicle loans, car loans. Gold loan as a product, if you see both in the Agri, MSME and non-priority retail segment, gold loan, INR13,000 crores have grown gold loan year-on-year, if you see, it's a 75% Y-o-Y growth, which is coming.

And so, these are also some product categories which are contributing to this fast growth. But I think at the initial of the year, our -- my trend has been that whatever guidance we share, that becomes sacrosanct to us, and we would like to stick to that. And if we are over-delivering, I'm sure we are only giving confidence to you all that whatever bank has shared as a guidance, they are performing. So, we would like to not -- I think, change the guidance.

Ashok Ajmera: All right, then. Thank you very much, sir, and all the best.

Nidhu Saxena : Thank you.

Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I now hand the conference over to the management for closing comments.

Nidhu Saxena : So, I think it was -- in my opening remarks, most of the points have been covered, and I must thank the investors who have asked a lot of questions around how we are doing and what we are doing. Maybe the OPNP numbers, everything I've already shared,

there's not much to share from

our side. But I would like to thank the investors community in general, our engagement and you have been very supportive.

Today, in 2 years' time, our FII holding has gone up from 0.39% to 6.08%, the DII holding also likewise has gone up from 0.24% to 7.42%. And in terms of number of investors in our BENPOS it's also encouraging. We are completely committed to see that whatever commitments in terms of guidance that we are sharing, bank would like to make sure that we stick to that.

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And this 7.42%, which I just shared about the DII share excludes the LIC, by the way. So that's how we have been getting the support. And we are committed to see that the guidance, as I just mentioned, we perform and wherever possible, we can over-deliver, we would like to do that. So, thank you so much for joining the call.

Moderator: Thank you, members of the management. On behalf of Nuvama Wealth that concludes this conference. Thank you for joining us, and you may now disconnect.

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